

Shriram Finance (SHRIRAMFIN)

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Call: Aug 2022

Shriram Transport Finance Company Limited

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Website: www.stfc.in | Corporate Identity Number (CIN) — L65191TN1979PLC007874

SEC/FILING/BSE -NSE/22 -23/68A -B August 02 , 2022

BSE Limited

P. J. Towers,

Dalal Street, Fort,

Mumbai – 400 001.

Scrip Code: 511218

National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor,

Plot no. C/1, G - Block,

Bandra -Kurla Complex,

Mumbai – 400 051.

NSE Symbol: SRTRANSFIN

Dear Sirs,

Sub.: Transcript of earnings conference call for the first quarter ended June 30, 2022 .

Further to our letter dated 29th July 2022 , regarding the audio link of the earnings call for the first quarter ended June 30 2022 , we enclose herewith the transcript of the said call . The Transcript is also been uploaded on the Company website www.stfc.in

Thanking you,

Yours faithfully,

For SHRIRAM TRANSPORT FINANCE COMPANY LIMITED

VIVEK ACHWAL

COMPANY SECRETARY

Encl.:a/a.

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“Shriram Transport Finance Q1 FY23 Earnings
Conference Call ”

July 28, 2022

MANAGEMENT : MR. UMESH REVANKAR - VICE CHAIRMAN &
MANAGING DIRECTOR
MR. SUDARSHAN B HOLLA - JOINT MANAGING
DIRECTOR

MR. NILESH ODEDARA - JOINT MANAGING DIRECTOR
MR. SRIDHARAN P - JOINT MANAGING DIRECTOR
MR. S. SUNDER - JOINT MANAGING DIRECTOR
MR. PARAG SHARMA - JOINT MANAGING DIRECTOR &
CFO
MR. SANJAY K. MUNDRA – PRESIDENT

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Moderator : Ladies and gentlemen, good day and welcome to the Shriram Transport Finance Q 1 FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar, Vice Chairman and Managing Director . Thank you, and over to you, sir.

Umesh Revankar: Thank you. Good evening, friends, and a warm welcome to all of you who have joined this call. Good morning to those who have joined from U SA. Today, we have our Joint Managing Directors , Mr. Sudarshan, Sridharan, Nilesh, Sunder and Parag along with me and Mr. Sanjay who is our IR Head.

Firstly, on behalf of Company and Shriram Group, I would like to thank all the shareholders, investors in approving the arrangement embodied in the proposed composite scheme of arrangement and amalgamation between various Shriram Group companies at the holding company level and the merger of two operating company, that is Shriram Transport Finance and Shriram City Union Finance Limited. The scheme was approved by 97.13% votes by Shriram Transport shareholders and 99.56% by Shriram City Union Finance shareholders. Coming to the economy, India's Gross Domestic Product Growth slowed to a four quarter low 4.1% during the Jan to March period from 5.4 % in the preceding quarter . As a result, full year growth came in at 8 .7%, lower than 8.9 % projected earlier in the February . Coming to the inflation, India's headline retail inflation rates as measured by CPI stood at 7.01% in June '22 from 7.04 % in May '22 and 7.79 % in April showing slight decline. This is sixth consecutive month that CPI data has breached RBI's upper margin of 6%. The stubborn inflation is definitely having some adverse effect on consumption and some indication on economy slowing down. The annual wholesale price index inflation rate is in a year fell to 15.18% in June from 15.88 % in the prior month less than the market estimates of 15.5%. Coming to the RBI monetary policy, RBI in its monetary policy on June 8, '22 has increased the policy repo rate under liquidity adjustment facility by 50 basis points to 4.9% with immediate effect . Prior to this, RBI increased the repo rate to 4.4 % in May '22. The inflation is projected at 6.7% for financial year '22 - '23, and MPC has retained GDP growth forecast of India at 7.2 %.

The positive side is the GST revenue collection in the month of June 2022 is 1,44,616 crores and is second highest collection after April 2022 , which was 1,67,540 crores. The GST

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collection crosses 1.40 lakh crore mark for fifth time since inception of GST and fourth month at a stretch since March 2022 .

The monsoon trends seem to be positive and good. The latest data says that farmers have planted total area of 592.11 lakh hectare so far in this kharif season. This is more than 591.30 covered during the corresponding period last year .

Now coming to the commercial vehicle sales, in spite of chip shortage challenges, the commercial vehicle sales increased by 112% to 2,24,512 units in Q1 FY23 as against 1,05,800 units in the Q1 FY22. It has decreased marginally from the Q4 which was at 2,49,806 units. The heavy and medium commercial vehicle showed positive growth of 160% with 75,685 units against 29,158 units during the corresponding period previous year. THE LCV numbers also showed growth of 94% to 1,48,827 units as compared to 76,642 units sold in the corresponding previous year.

The tractor sales has improved by 47.5% to 1,58,169 units in the

the Q1 compared to 1,07,231 units in the previous year.

The earthmoving and construction equipment showed 59% improvement in sales by the registering , 21,299 units sale compared to 13,153 in the same quarter previous year.

All the integration being very positive and good, coming to the first quarter performance, the collections were consistently good. Average collection of June quarter was 101.45 % of the demand against 91.04 % of the corresponding quarter in the previous year and against 104.28 % in Q4 FY22.

We clocked the disbursement growth of 30.92% to 16,670 crores against 12,733 crores in the same period of previous year. The used vehicle disbursement increased by 26.42 % to 15,754.52 crores against 12,462 in the same period previous year. The new vehicle disbursement also showed improvement by 256.7% to 784.96 crores against 220 crores in the same period previous year.

Overall, the AUM grew by 9.55% to 1,30,688 crores as compared to 119,301 crores in the previous year. The net Interest Income increased by 25.35 % to 2,641.74 crores against 2107.45 crores in the same period previous year. The Net Interest Margin was 6.91% against 6.38% in the same period previous year and 6.96 % in the Q4 FY22.

The Profit after Tax increased to 965.27 crores in Q1 FY23 compared to 169.94 crores in the previous year, which is 468% increase. The EPS stood at 35.68% compared to 6.64% in the previous year. Gross Stage 3 declined by 7 basis point and net Stage 3 declined by 15 basis point over Q4 '22 and hence the gross Stage 3 stood at 7% compared to 8.18% and 7.07 % in Shriram Transport Finance

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the previous quarter. The net Stage 3 stood at 3.52% compared to 4.74% in the previous year quarter and 3.67% against the previous quarter.

The credit cost for the current quarter stood at 2.09% against 2.68 % for the full year ended '21 - '22. The liquidity position now stands at 18,020 crores against 17,709 crores in the previous quarter, and during this quarter, company raised US \$250 million from United States Development Finance Corporation. The cost to income ratio was 19.46 % in this quarter against 19.11% recorded same period previous year.

On the update of merger, we have received approval from both the stock exchanges NSE and BSE, RBI and recently convened the shareholder and shareholder has approved and also from IRDA. The only pending approval is now the CCI which is expected anytime.

We expect the merger progress to be completed in the month of October. During June quarter, Promoter Group Shriram Value Service Limited has acquired 77.10 lakh equity shares representing 2.85% of the share capital from open market and increased its stake to 3.24% from 0.39 %. Hence the total promoter shareholding has increased to 29.30% from 26.45%.

On the growth outlook, we maintain the earlier indicated growth of 15% for the combined entity for the financial year. On the pilot project, we had a pilot run for 52 branches, 27 of STFC and 25 of SCUF and around 30 crores lead was generated and as a further plan, Pilot 2 will be starting from 1st of August in 1183 branches, which 602 branches of STFC and 581 branches of SCUF. So, that is the plan.

Now I will hand over to Mr. Parag Sharma to give update on the liability side and Sunder also would join the call on accounting numbers. Parag?

Parag Sharma: Hello, everyone. On the liabilities, total liability stand at around 1,19,000 crores compared to March of 1,14,000 crores. The cost of liabilities have not changed much between March and June. The cost of liabilities will be around 8.6% on the balance sheet. When it comes to the quarter, we have mobilized more than 4,000 crore through securitization and assignment transaction which was higher than what the quantum we did in March quarter.

Total borrowing was 12,600 crores for the June quarter. We are carrying exc

ess the liquidity of

18,000 and the maturities for next three months is 8,000 crore. This liquidity will be good enough to meet the maturities for next six months. There is a lumpy liability, foreign currency liability of dollar bonds, which is in October, and that is the prime reason of carrying excess liquidity as of now.

On the ALM front, all the buckets are positive and up to one year the cumulative surplus will be more than 21,000 crore with up to 3 years being around 29,000 crores. Leverage ratio is maintained at around 4.45 times compared to March which was 4.4. Incremental cost of borrowing have gone up for the bonds what we have raised by around 50 basis points. The Shriram Transport Finance

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bank borrowing rates have not gone up significantly. It is more or less same in this quarter compared to March quarter and securitization what we have done larger quantum, there has been a marginal increase in cost. So, overall incremental cost of borrowing is I think gone up by around 15 basis points, not very significant.

With this, I will hand it over to Sunder for his comments.

S. Sunder: The employees count have gone 30th June was 25,720 as against March number of 24,456, marginal increase of 264 employees . The cost to income has been stable at 19.46 as against the March number of around 20% and as far as the one-time restructuring that we had done in the previous year because of COVID which was permitted by the Reserve Bank of India, we have extended the OTR facility to 39,410 borrowers amounting to 1,152 crores, out of which outstanding as on 30th June is 1,163 crores and the greater than 90 days upgrade is 1.5% . And coming to the ECL, the PD for stage one was 7.34% as against the previous quarter number of 7.34%. Stage two was 21.75% as against March number of 21.72 %. The LGD was 43.76% as against 44.65% in March quarter. The company is carrying an excess provision compared to the RBI recommend by around 6,730 crores. The capital adequacy is strong at 22.54%, tier one being 20.62% and the tier two being 1.92 %.

That's it from me. Now thank you and we will now take the questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhiram Iyer from Deutsche Bank . Please go ahead.

Abhiram Iyer: I had two questions . One was, could the company give a general guidance over the upcoming quarters in terms of repayments and what they are expecting , considering that inflation is still high and fuel costs are still high ? So, are they expecting say more defaults upcoming or is the company actively managing that ? And the second question is a bit more pertinent to proposal that was placed in front of the Board for buyback of its debt securities . Could we get a bit more color on this whether this is going to be from the INR market or the US market ? And what kind of quantum or timing there would be ?

Umesh Revankar: See as far as the inflation is concerned and the collections are concerned, the difficulty is in collection. We don't really see that challenge because what happens when a person contracts the loan, he knows what is the EMI he is paying. So, if now a new customer coming this month and buying a vehicle which is at a higher cost because of inflation, price goes up. He exactly knows what EMI he is going to pay. So, depending upon the current situation , the EMI gets fixed . So, he may take longer duration to reduce his EMI. So, it doesn't get impacted because ours is all contract rates and also fixed EMI. So, it doesn't fluctuate. It doesn't go up in between and not like your housing loan. It doesn't go up. The EMI doesn't go up. So, therefore, there is a predictability is clear. So, the chances of the person having the challenge in repaying doesn't occur.

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However,

the increase in fuel price normally gets passed on to the end consumer . So, imagine if the fuel price goes up that to an extent the freight rate goes up and since freight rate goes up, the inflation goes up. So, end consumer will end up paying. So, truck operator normally don't bear the cost of increased fuel price. So, we don't expect any challenges due to increase in fuel price or inflation . Challenge is on collection because everything is depending upon the business.

Parag Sharma: Buyback we have already taking an enabling resolution that is keeping excess liquidity as of now. We have excess liquidity. We look at opportunities of closing any of the high cost debt what we have . So, nothing has been formed up. It is, things are being evaluated . As I mentioned, we do have a huge dollar amount liability and one of the reasons for higher liquidity is to meet that particular liability , but we will look at opportunities and then will communicate accordingly.

Abhiram Iyer: Could you also just explain a bit on your debt raising plans for the rest of the year ? With the rising interest rates, are you finding conditions a bit difficult or is it still a normalized pipeline for you ?

Parag Sharma: No, I don't think there are any concerns when it comes to raising debt. That is the reason why we are looking at even buying back some of the high-cost debt. So, opportunities are ample and one of the large source is securitization, which is for priority sector assets, demand is good. The retail deposit mobilization program is also doing well. So, no challenges there. Increased cost of fund, I think we will have the wherewithal to pass onto the consumer.

Umesh Revankar: We have the pricing power. Since we are in the niche segment of lending to used vehicle and in the rural market, we have that pricing power to pass on any increase in borrowing cost and since it is as, I was telling you, it is a contracted rate, whatever increase, the rate will remain throughout the period.

Moderator: The next question is from the line of Shubhranshu Mishra from UBS . Please go ahead.

Shubhranshu Mishra: Couple of questions. The first one is, I don't think in the initial comments we spoke about the disbursements . If we can just have that hear on this question, sir? The second part is if we can also speak about the number of vehicles that is financed in these categories new and used both?

The third is what proportion of our bank borrowings are on EBLR, external benchmark and what proportion would be on MCLR? And I see a sharp decline in the proportion of

securitization . Is that because the cash collateral being asked for securitization has increased with the interest rate hike or any other specific reason because of that if you can speak on these few questions, sir?

Umesh Revankar: See, disbursement number I did mention, but I would like to repeat it. 16,670 crore was the disbursements for the quarter and out of that 15,754 towards used vehicle and 784 crores against new vehicles.

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Parag Sharma: Coming to your other question regarding the bank loans, most of it will be MCLR linked around, I will say, 75% will be MCLR linked, 25% will be external benchmark s. That is on the bank side. When it comes to securitization, the quantum of securitization for this quarter has gone up. Your other question was whether the collateral requirement from the rating agencies, whether that is up? That is not the case. We are not seeing any increase there. So, though as percentage of the debt outstanding, securitization has come down from 17% to 16%, but the overall quantum of securitization for the quarter has gone up and we do see that trend to continue, a higher securitization to continue, and we should go back to around 18% to 19% in coming quarters.

Shubhranshu Mishra: One question remains unanswered, sir,

The number of vehicles --

Umesh Revankar: Number of vehicles, I don't have a number. Sanjay will do it back to you.

Moderator: The next question is from the line of Varun from Nippon Mutual Fund. Please go ahead.

Varun: I just wanted to understand a little bit more on the maturing liability of the US dollar bonds.

So, I recollect correctly, that is about 750 million. So, are you going to look into refinance it?

And in which case, how are your rates looking like now because of the increase in the rate generally?

Umesh Revankar: The 750 million is maturing. What you were saying is right in October and this was one of the earlier bonds what we did, it was slightly higher cost. Even we as of now have no plans. We have no plans to get any refinance facility for this. It's a very short maturity now. So, we will repay it out of our current excess liquidity only and onshore what we are borrowing right now is much, much cheaper than compared to what we borrowed three years bank for this dollar bond. So, no refinance option is what, we are not evaluating anything.

Varun: So, what is the total liability cost for that?

Parag Sharma: At that point of time, it was close to around 10%.

Varun: And the 250 million that you have invested in, what is the total hedge complete liability cost for that?

Parag Sharma: The coupon is 4%. The overall fully hedge cost will be around 8.8%.

Varun: And just one point I wanted to understand in terms of the fixed versus floating nature on an overall basis for your liability side, and also how you are able to translate this on the asset side? Is it only on new disbursements or I would imagine that most of the asset side would be on a fixed basis, right?

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Parag Sharma: Yes, liability side other than the bank loans, everything is fixed and bank loans also which are linked to MCLR or external benchmarks, the increase doesn't happen significantly. So, asset side is completely fixed. What you were saying is right, but any other liability, be it securitization, be it deposit, be it the external commercial borrowing, all are fixed rate loans.

Moderator: The next question is from the line of Rikin Ketan Shah from Credit Suisse. Please go ahead.

Rikin Ketan Shah: So, this question is pertaining to the funding cost and the lame outlook. So, given that you will be using your existing funds to repay the dollar liability maturing that could have a positive read through on margins as you bring down the liquidity instead of refinancing it. The second benefit is also from repricing of existing domestic bonds that would be maturing this calendar year, but on the offset, the incremental costs have started to go up. So, if one were to think about funding cost trajectory on the next 12 months, what kind of increase one should expect and also the same for margin?

Parag Sharma: Funding cost, I don't, because of excess liquidity, we are incurring a huge negative, there is a huge negative carry on this liquidity. So, with liquidity coming down, there will definitely be a benefit. What you are saying is right. Incremental cost is up on the bonds what we raise. When it comes to other borrowings, be it securitization, bank borrowing, the rates have not gone up significantly. Overall blended if you look at I think rates further not going up, the overall cost to us will go up by around 15 - 20 basis points,

Rikin Ketan Shah: And could you clarify what's the current liquidity buffer of 188 billion, what number would be a normalized level that you would be comfortable operating it?

Parag Sharma : So, we used to have a policy of maintaining three months of liability as the liquidity buffer and three months of liability is close to around 8,000 crore. So, that is what we will continue to have liquidity. We have currently I think 10,000 excess.

Moderator: The n

ext question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead.

Abhijit Tibrewal: Just wanted to understand what's the demand environment looking like now ? I think somewhere during last month, we were beginning to hear that there is some perceptible slowdown in the HCV segment that is kind of being witnessed by the linked financials . Now had that not been the case? Financials would have done even higher disbursements. Just wanted to understand, what's the demand outlook looking like? And if at all, whatever macro outlook or whatever macro uncertainties that we are in, can it have any bearing on the demand in the coming quarters ? That's my first question.

Umesh Revankar: See, basically, there are multiple factors that are impacting the demand . If you go back to the 2018, '19, the peak sale on commercial vehicle was 1 million units being sold and from 1 million , it came down to 5,50,000 during the 2021 and last year it went up to 720,000. And normally , when ever there is a down trend and the next peak season, it normally crosses the Shriram Transport Finance
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previous high. So, I still see, we believe, there is a huge opportunity and scope for the number of units to go up. It may take another couple of years to increase to go up to the peak, but there are several challenges faced by the commercial vehicle in between.

One is the vehicle price going up because of the BS-VI and second is because of the steel price going up , the vehicle price going up. So, vehicle prices have gone up by 30, 35% over the last three years. That made people for acquiring a new vehicle, it becomes a little challenge. So, it is getting little postponed, but Indian economy looks very robust currently.

If you look at the fuel price increase or inflation has not bettered or not really brought down the growth. Everywhere I see growth being reasonably good . Even though the urban inflation has some negative impact in the urban market, in the rural market I don't see the same, because of the good monsoon and consistently good agricultural output and better price realization in the last three, four months . Because of geopolitical tension, the wheat prices went up. Edible oil prices went up. So, the rural economy did not have a negative income. In fact, they had a positive impact because they had a better realization. So, the rural consumption seems to be quite good and till now the real estate also is holding reasonably good in the urban market. So, all the indication is that the momentum is likely to sustain. Maybe the rate of growth can come little down. From 8.7% GDP growth last year, it may come down to around 7.2 %, but still India is the fastest growing economy in the world and probably it may improve in the next financial year is what I believe.

So, we still believe demand is quite decent and reasonable and as far as our customers are concerned, if the new vehicle prices go up, they normally prefer to buy used vehicle and remain at that level so that depending upon the application for which they are using the vehicle, they remain at that level.

But one trend which is very positive is in the construction equipment and the construction related vehicle. The demand for dumpers are very high. There is a waiting period. There is a demand for construction equipment is quite high and there is a waiting period. So, since there is a waiting period and demand still continues to be good in the heavy vehicle sales, normally , this dumper get included in the commercial vehicle. It doesn't get included in the construction equipment. So, whatever the new vehicle are selling in heavy, it's mostly they are tippers. So, we feel that the government's spend is reasonably good and it is continuing and if that is continuing, I feel the commercial vehicle demand will continue to remain well. And e-commerce demand is quite good , and t

herefore, there is a large demand for Last Mile connectivity or Last Mile distribution.

So, I believe that the commercial vehicle sales or demand and even the resale values will remain good for at least another couple of years or more.

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Abhijit Tibrewal: And sir, if I were to kind of extrapolate it, based on your commentary, we are fairly confident that given all these tailwinds, the kind of sequential improvement that we have been kind of demonstrating that we are typically used to see first quarter to the fourth quarter in a fiscal year should sustain this year as well.

Umesh Revankar: Correct.

Abhi jit Tibrewal: And lastly on the credit cost, given that things are now absolutely normal and obviously, none of us are really kind of talking about the pandemic and COVID anymore, very fair that we have started utilizing our COVID provisions over the last . So, two sub -question s here. First question is will we kind of keep utilizing these COVID provisions gradual ly in the subsequent quarters? And if we do that, then is there a case for credit co st for the full year to come below that 2 to 2.3% that we kind of keep guiding for in a good year?

Umesh Revankar: Yes, we are still carrying around 18,000 crores of COVID provisioning. We have used this quarter around 2 16 crores being utilized. I believe over the next three to four quarter , the rest of it maybe utilized depending upon how each of these portfolio which we disbursed during the COVID or maybe prior to that is behaving . So, we are adequately provided and credit cost should remain around 2%. Last quarter it was around 2.09% and we expect it to remain at that level throughout this financial year and probably next year it may come down further.

Moderator: The next question is from the line of Chandra Sridhar from Fidelity . Please go ahead.

Chandra Sridhar: One is just, h ave we just stopped this working capital loans etc., completely, because I couldn't hear of any disbursement number there? And also obviously, on the AUM it's been just coming off pretty substantially , which is 2% in this others . So, that's the first question. Second is the whole NIM expansion . So, earlier we constantly used to hear that the Board used to say that we are going to keep excess liquidity. The Board is asked to keep excess liquidity for a slightly longer period. That period is passed. Now we have a bond maturity coming. These things will keep coming . We passed the point where I think funding was a major issue . So, are we fairly certain at least because we have been hearing this for about two years now that the Board is recommended that we k eep running excess liquidity. At what point in time do we, I mean, very confident that we can come back to th ree, four months of liquidity . Second, and the third is just what is the incremental yield on loans? Have we started making pricing action at this point of the market just the incremental yields on the loan this quarter mostly in the book?

Umesh Revankar: To answer your liquidity questions, see, the Board has been recommending us to keep excess liquidity, but this time around we had a discussion with the Board on the liquid ity and the Board has suggested us that we can look at some buyback arrangement so that liquidity slowly gets phased out or gets reduced from six month s to three months level. So, we will be still looking at the environment and depending upon that we will be working on that. but from this quarter onwards, every quarter we will be looking at reducing the excess liquidity in the system.

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The first question was child loan. So, on the working capital loan, it is not that we have totally stopped lending . There are two factor in that. One is the business loan and another one is the working capital loan. Bunch together, it was around 4%

of the portfolio. On the business loan, we hav e reduced the ticket size and we have made it smaller ticket. Therefore, the number of disbursements have gone up, but not the volume and on the other working capital loan, we had slowed it down during the COVID because we wa nted to restrict the working ca pital loan, but now since everything is behind us, we have started increasing the working capital loan. So, we believe next year probably we wil l go back to that 3.5 to 4% level and ultimately we wanted to keep not more than 5% at any point of time. So, temporarily it has come down because of the environment. That will now improve over the next couple of years .

Chandra Sridhar: And what were the incremental yields during the quarter ?

Umesh Revankar: Yield, we had increased the lending rate by 25 basis point in the month of June. For the quarter it has not changed much. It has remained almost the same as previous quarter .

Chandra Sridhar: And should we assume that there will be more pricing action over there?

Umesh Revankar: Yes, the lending rate will further go up. Net interest margin will remain almost same.

Chandra Sridhar: So, IDE should improve, right, as you start withdrawing some of this liquidity?

Umesh Revankar: The incremental cost of borrowing is going up. So, it may not significantly improve. There could be s ome three, four basis point plus or minus . So, we do not know what is the actual incremental cost going to go up and also a s I was telling you, it may take ano ther two to three quarters for us to reduce the excess liquidity.

Moderator: As there are no further question s, I now hand over the conference to Mr. Umesh Revankar – Vice Chairman and Managing Director for closing comments.

Umesh Revankar: Thank you, friends. Thank you for joining this call. Maybe this was one of the good quarter for us because normally, first quarter is little slow and this time we got started quite well off. This quarter results have been quite decent and good and we belie ve going forward, it will become better in this financial year and happy to meet you again in the next quarter. Thank you very much.

Moderator: Thank you. On behalf of Shriram Transport Finance , that concludes th e conference call. Thank you for joining us . And you may now disconnect your lines.

Call: Oct 2022

Shriram Transport Finance Company Limited

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SEC/FILING/BSE -NSE/22 -23/68A -B October 31 , 2022

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Scrip Code: 511218

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Thanking you,

Yours faithfully,

For SHRIRAM TRANSPORT FINANCE COMPANY LIMITED

U BALASUNDARARAO

COMPANY SECRETARY

Encl.:a/a.

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October 21, 2022

MANAGEMENT : MR. UMESH REVANKAR – VICE CHAIRMAN &
MANAGING DIRECTOR

MR. SUDARSHAN B HOLLA – JOINT MANAGING
DIRECTOR

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& CHIEF FINANCIAL OFFICER
MR. SANJAY K. MUNDRA – HEAD OF INVESTOR
RELATION

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Moderator : Good morning, ladies and gentlemen and welcome to the Shriram Transport and Finance Q2 FY23 Earnings Conference call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar – Vice Chairman and Managing Director. Thank you, and over to you, sir.

Umesh Revankar: Good morning, friends, from India and Asia, a warm welcome to all of you who have joined this call. Good evening to those who joined from the western part of the world. Today, we have our Joint Managing Directors – Mr. Sudarshan, Sridharan, Nilesh, Sunder and Parag along with me and Mr. Sanjay who is our IR Head.

In the first quarter of this financial year, the Indian economy grew by 13.5%, the fastest in the last four quarters on account of better performance by Agri and Services sector. The official data show it remains the fastest growing major economy in April to June quarter. However, it fell short of the expected 16.2% increase anticipated. The IMF in the latest world economy outlook report cut its forecast for India. India's gross GDP growth in financial year 2022-23 by 60 basis point to 6.8%. Warning of a long and tough economic winter.

India's headline inflation rate as measured by CPI rose to 5 months high of 7.41% in the month of September from 7% in August. This is the ninth month in two times CPI print has come above RBI's upper margin. The stubborn inflation is definitely having some adverse effect on consumption and there are some indications of economy going down. However, I attribute this to this to unexpected rains or unscheduled rainfalls, this got delayed in the month of June/July and there were late rains in certain pockets that disturbed Agri movement and that would have led to food related inflation. However, the wholesale inflation eased to 10.7% in September as against 12.41% in the month of August. The WPI in September was 11.8%. Despite easing wholesale inflation data, the WPI continues to remain double digit for 18th consecutive month beginning from April 2020-2021. The RBI in its monetary policy on September 30th, 2022 has hiked the repo rate by 50 basis point to 5.9% for straight increase in current cycle. To tame sustained above target retail inflation rate. The RBI now has rates by total 190 basis point since its first unscheduled mid-meeting hike in May. The economic growth projection for 2023, cut to 7% from 7.2% estimated in August and GDP is expected to go 6.3% in September quarter, 4.6% in December and March quarters. The inflation projection retained at 6.7% ongoing fiscal year and inflation to remain above the tolerance limit of 6% of RBI.

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The GST collection seems to be doing well. India's tax collection from GST was 1.47 trillion in September as against 1.43 trillion collected in August. On account of rising demand higher rates and greater tax compliance. This is second highest collection next to April 2022 collection of 1.67 trillion. The goods and service GST collection remained above 1.4 trillion for 7th straight month during this month and continues to display very high buoyancy. This harvest well for government spend on infrastructure. The government has announced national logistic policy aiming to achieve quick last-mile delivery to end transport related challenges. The policy focuses on key areas such as process the engineering, digitalization, multimodal transport. It is crucial move as high logistics cost impact competitiveness of domestic goods in the international

market. Along with PM Gati Shakti which is national master plan for multimodal connectivity and part of NIP spend of USD 1.35 trillion target with a vision to develop technologically enabled integrated cost efficient resilient the sustainable trusted logistic ecosystem in the country for accelerated and inclusive growth. This is highly positive for the transportation and logistic industry and to our business.

The monsoon has as I was telling you in the beginning, there was a disturbed monsoon in the northern part especially in UP, Bihar and MP. But overall, the acreage was a little lesser than the last year by 5%. Apart from badly, there is a slight difference in sowing of pulses, oil fields, jute. So, overall, the drop is very insignificant; however, the late rains and the reservoir being

full harvest well and for bumper crops in Rabi which is always much bigger crop across India and Rabi being bumper and year-on-year for last four years. Harvest well for rural and semi - urban economy.

Coming to the auto industry, the commercial retail sales is increased by 39.48% to 231,880 units in Q2 as against 166,251 units in Q2 and compared to the previous quarter it is 3.37 % increase. The heavy and medium commercial vehicles showed maximum growth with 48.93% with 79,650 units sales against 53,481 units. Significant portion of this heavy commercial vehicles are the dumpers and tippers which the demand is coming from the infrastructure industry. LC V numbers also showed good growth of 35% to 152,230 units compared to 112,770 units sold in Q2, last year. Tractor sales have been almost on par with last year's half year number with 319,642 number against 350,250 numbers, a marginal increase. The earth mowing and constructional equipment showed significant growth again for the first half of this year with 42,530 units being sold against 32,398 units.

Coming to the company's performance, the collections were consistently good the average collections of September quarter were 100.13% of the total demand as against 99.03% of the corresponding quarter last year and 101.45% in the Q1 of the previous year. We clocked a disbursement growth of 19.51 % to Rs.17,769 crores against 14,868 crores in the same period of previous year as against Rs.16,670 crores in the Q1 of this year. The used vehicle disbursement increased by 15.27% to Rs.16,502 crores as against Rs.14,317 crores in the same period of previous year as against Rs.15,754 crores. The new Vehicle disbursement has

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improved significantly. It has gone up by 106% to Rs.1020 crores as against Rs.493 crores in the same period previous year and as against Rs.784 crores in the Q1 of this financial year.

Overall, AUM grew by 11.18 % on line with the guidance of 12% to Rs.135,249 crores compared to Rs.121,646 crores in the previous year and increased by 3.49 % against the previous quarter of Rs.130,688 crores.

The net interest income increased by 22.85% to Rs.2693.96 crores against to Rs.2192.82 crores in the same period previous year and marginal increase of Rs.2641.74 crores against the previous quarter. The net interest margin improved to 6.98 % against 6.44 % in the same period previous year and 6.91 % of the previous quarter. The PAT increased by 38.33% to Rs.1066.87 crores in Q2 compared to Rs.771.24 crores in the Q2 of previous year and against Rs.965.27 crores in the previous quarter. The EPS stood at 39.44 against 28.71 in this quarter. The Gross Stage 3 declined by 7 basis point to 6.93% against 7.82% in the previous year and 7% in the previous quarter. The net Stage 3 stood 3.48% compared to 4.18% in the Q2 previous year and 3.52% in the Q1, this year. The credit cost for the current quarter stood at 1.67 % against the 2.68% full year. The cost to income ratio marginally increased to 31.12% in this quarter against 20.73% recorded in the same period previous

year. The update on the merger, we have received approval from all the regulators like NSE, BSE, RBI. Then NCLT had convened the Shareholders, Secured Creditors and Unsecured Creditors meeting, IRDA, CCI. The final order of the NCLT was heard on October 19th, this month and we expect the order in a week's time. The growth outlook remained at original guidance 15% for the combined entity. Now, I request our CFO, Mr. Parag Sharma, to take over the call and give details on the liability side.

Parag Sharma: Hello everyone. The fund mobilization for Q2 was good. Liquidity continues to be good across bank and that has been the focus area for fund raising. Some fund raising increase has been there from the capital market in the form of bonds also. Overall, for Q2 we have mobilized 17,000 crores over gross mobilization. Total debt outstanding as of September is Rs.125,586 crores. The cost being marginally up compared to Q1 by 10 basis point but if you look at year-on-year basis it is down by 16 basis point. On balance sheet liquidity also continues to be strong. We have liquidity of close to around Rs.2700 crores. Liabilities for next three months is only Rs.13,000 crores so there will be sufficient cushion for managing our liabilities for next six months also.

When it comes to ALM, each bucket as in past continues to be positive. Cumulative automatically is positive. Leverage ratio is at around 4.51 % with excess liquidity being utilized leverage ratio showed slightly a drop below 4.5 %. HQLA is at 188% versus 191% in the previous quarter. We did announce buyback of our offshore bonds in August and we did buyback close to around 256 million of bonds which were maturing in 2025 and some part in October 2022 which was in maturity for a short period that was bought back and currently we

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have announced buyback of our July 2023 bond with a capital of 250 million. That process is on will take another few days to realize how much interest is there. Incremental cost of borrowing is definitely up by around 50 -70 basis point, so we do expect overall cost of liabilities to go up in next quarter. We have increased our FD rates also in the shorter duration by around 25 basis point in the 3 -5 year (5 basis point).

So, now I will give it to Sunder for his comments.

S. Sunder: Hi everyone . The employee count has increased in the current quarter by 1056 employees as against 25720 employees in June quarter, we are currently having 26776 employees as on September 30th. The cost to income has marginally increased in the current quarter to 21.12 % that is primarily due to a one -time hit of Rs.65 crores because of the settlement of certain sales tax litigations in which the company had offered for the amnesty schemes and in the onetime visiting which RBI had permitted last year. The out fronting as on September 30th was Rs.683 crores. Here , I would just like to mention that in the investor deck that we had circulated yesterday it was wrongly mentioned as Rs.6830 crores instead of millions and the coverage ratio was 51.57% as against 51.62% and Stage 3 improved to 83.29% as against 82.49% in the previous quarter and Stage 2 was 9.78% as against 10.51% in the previous quarter. We maintained a coverage ratio of 3.29% as against 3.21% in the for Stage 2 asset and covering ratio of 8.84% as against 9.18% in the Stage 2 asset. The PD was 7.35% as against the previous quarter of 7.34% in the Stage 1 and 21.62% as against 21.75% in the Stage 2 and the LGD was 44.75% as against 43.76% and the capital adequacy was strong at 22.48% and tier 1 was 20.59% and tier 2 was 1.89% and we continued to have the COVID related overlay of Rs.1741 crores as against close Rs.1830 crores in the previous quarter.

That's it from me. We would like to open the floor for the questions.

Moderator: Thank you very much . We will now b

egin the question -and-answer section. The first question is from the line of Rikin Ketan Shah from Credit Suisse. Please go ahead.

Rikin Ketan Shah: I have four questions. First one was on the new vehicle disbursement and the AUM growth. So, the new vehicle, AUM has grown after 14 -15 quarters. So, just wanted to get a sense on the outlook from here for the new vehicle AUM. Second one relating to the margins have you taken any rate hikes on the loans for any products and what would be the cost quantum of the same and on the liabilities side, could please recap the total bond buyback that you did in Q2 and are looking to do in the Q3. Thirdly , on the OPEX , I think you did mention that there was certain one -off of Rs.65 crores could you please elaborate on that and whether do we see that repeating in the coming quarters and lastly there were news flows pertaining to Shriram Group looking to lead the consortium in buying the IDBI Bank intake. So, just wanted to get a sense on the rationale of the same and about the strategy over there. Thanks that's all from mine. Shriram Transport Finance
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Umesh Revankar: Thank you, Rikin. See new vehicle if you see quarter -on-quarter our lending is going up because our customers typically what we do is we lend to our existing customers who are already used vehicle. When they want to wish to upgrade then we fund them. We do not have a direct arrangement with any OEM or a dealer point for lending to the new vehicle business directly to new customer. So, as the economy progresses when our customer decides to buy new vehicle then he upgrades himself, so to the extent we are increasing the new vehicle portion. So, last quarter we did around Rs.1000 crores and we expect that to grow. It may not have a significant increase on the overall AUM immediately, because since we have not done new vehicle lending for last three years much so the AUM is actually coming down and with new lending it may get stabilized and then move up. So, overall proportionately it may not make any difference between new and used. So , margin wise , whatever the interest margin of around 7% target, we may be +/- 10 basis point on the same and we should be able to maintain that. On the OPEX there is a tax.

S. Sunder: One time settlement that we had done for the sales tax litigation. It is a onetime thing, which was all these cases are pertaining to prior to the GST regime which we were litigating and now since the amnesty schemes are announced by certain state governments. We had opted for it and went in for a settlement and we do not expect any one -time hit on discount at least for the next any future quarters and coming to the bond buyback as I mentioned we did in August , 256 million which was for two maturities October '22 and in 2025 bonds which are maturing this largely to do with carrying excess liquidity and also the ongoing of the hedges what we have for the long -term bonds if they are in money or not usually negative then only we go in for what we have also announced now is another 250 million for the 2023 maturity. So , total will be around 500 million is what we look to buyback and we do not have any plans for further buyback.

Umesh Revankar: On the bank part of it, we deny to say because as a company individually we have not really discussed with anyone or not shown any interest in looking at any buying or merger of bank.

So, we do not have any plan on that direction.

Rikin Ketan Shah: And just a clarification on the yield side, have you taken any price increases on any of your vehicle products and the quantum if any there?

Umesh Revankar: On the used vehicle, we have increased our lending rates because as and when the liability cost goes up then typically, we pass it on the fresh contract on existing contract we cannot change because these are all contractual but the new lending, we inc

rease by around 25-50 basis point

depending upon the segments. Normally, the smaller ticket the lending rate increase will be much higher.

Moderator: Thank you. The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund.

Please go ahead.

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Vivek Ramakrishnan: I have three questions on the same direction. Number one, does the buying of new vehicles indicate confidence that the economy is going to be doing well how are the freight utilization and rates, that is question one. On the bond side, what is the strategy being the buyback the bonds in terms of the fact that the domestic market liquidity is getting tighter. So, is there some, arbitrage that you have that you can utilize that is the second question and the third question is on cost. Umesh sir, mentioned about inflation, so are you seeing wage cost pressures and do you think that is going to impact cost income later on. That's it from my side, sir.

Umesh Revankar: As far as the new vehicle as I was telling you, customers are getting confidence in the economy or the cashflows. Ultimately, they need higher cash flow to repay the new vehicle.

New vehicle cost will be approximately two times of the used vehicle for same application.

Because application to application things vary, so when they buy a new vehicle, one advantage is it will be maintenance free that is the advantage. But since the acquisition cost is high their EMIs will be much bigger. So, if the cashflows are bigger then they will repay. So, people delay buying new vehicle mainly because of increase in cost of new vehicle in the last couple of years. First, because of the BS6 technology upgrade and second because of the steel price increase and of course the third one was chip shortage and supply chain issue. This would, mostly to cars not to truck but overall, the costs went up by 25% to 30% and because of that many people postpone the upgradation or buying new vehicle plan. Now people are getting confident that since there is very little idly, better freight rate, better movement of vehicle and also better resale values. They are able to disburse of their existing vehicle at a better value. All this is a positive and people will definitely move towards buying more new vehicles and as and when our existing customer buy new vehicle, we fund them. So, that is the strategy and we are very confident that once they realize that cashflow will be better and whenever they buy new vehicle their repayment will also be equally good. Coming to the bond.

Parag Sharma: We entered the offshore market of as when RBI allowed which was around five years back.

We are particular that we will continue to tap the offshore market for sure to the extent RBI permits or the limits are available. Whatever support is required if there is investor industry is looking at opportunity to sell. We want to support the market. What we largely offer was for a very short duration maturity which was October and we were carrying excess liquidity, we thought we are buying at par so whichever investor is keen to sell we will give them the option. For the long-term 25, what we have done was largely because the bond was raised in the current calendar year, January itself, the markets after that went negative. So, we wanted to give comfort to the investors and RBI does not permit huge buyback. RBI is also very particular about average maturity to be more than three years. So, limited option up to 80 million is what we offered to buyback it was only to help investors and we are particular that as and when markets are okay rates are conducive. We will continue to tap the offshore market. So, we want to develop this market and give them support whatever is required.

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Umesh Revankar: On the cost front inflation will definitely push us to incr

ease our wage bill a little, we have

done it in this financial year to some extent but we have not seen big pressure on the overall increase in the cost. So, we estimated the cost increase to 10% in our budget and that will remain in good for the rest of the year.

Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: I have three questions. The first one being, I understand that your collection team is completely

internal but what is the total collection employee count as a percentage of the overall number?

Umesh Revankar : See our field team is 16,000 people totally out of 25,000 and there will be another 4000 people in the supervisory level , at branch manager's level or collection manager's level. So , the 16,000 people, they are the field officers who will both source business and collect. We do not have separate team for collection and these people will build relationship with customer and continue to collect every month. We do not outsource collection to outside, so we do not have any outsourcing arrangement for collection repossession , even the repossession is done by inhouse team only.

Shweta Daptardar: Okay. Sir, you guided for 15% growth for combined entity. Can you guide for standalone ED as in Shriram Transport Finance.

S. Sunder : Standalone , we have given guidance of 12% and as of for six months we have reached 11%. So, we should be able to maintain that 12%.

Shweta Daptardar: Sir, my last question. If I look at our liability mix , NCDs has marginally gone higher, securitization a bit down. Sir, where I am coming from is, I think one of the previous participant has also commented on ((inaudible 32:47)).

Umesh Revankar : I think, we understood the question.

Parag Sharma: Yes, you are talking about securitization transaction being down and bond borrowing being up.

Okay, securitization normally in Q3 and Q4 , the demand is huge. So, that is where we feel we should go beyond the last year quantum what we did was 14,000. So , we should definitely do more than what we have done in Q1 and Q2. Bonds is something which we in fact the one market for a lesser rated entity is limited and during COVID time it was completely closed. Now, it has opened up so we want it that particular source should be around 20% of our liability. It was much lower. It has now reached around 20% interval and that is what we will try to maintain it and securitization will definitely go up as around 15%, I feel by year end it should be around 17 %.

Moderator: Thank you. The next question is from the line Nidhesh Jain from Investec. Please go ahead .

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Nidhesh Jain: Sir, in the current environment how should we think of margins going forward. I think there is a sequential decline in margins. So , in Q2 how should we think of margins in coming quarters?

Umesh Revankar: See, margins we are confident of maintaining it. Quarter -on-quarter, margins improved by 7 basis point. So , I think, we should be able to maintain that, see we always guide 7% +/- 20.

This is the broad guidance. So, that is the target we keep trying to achieve. There will be some movement because of the cost of liability going up and not have been able to immediately pass on to entire book. Because incremental only we can increase our lending rate not to the existing book. So, there will be some gap but otherwise, we should be able to maintain it around 7.

Nidhesh Jain: And sir, I missed out, if you can share the disbursement number in this quarter both in terms of new vehicles and used vehicles.

Umesh Revankar: Yes, we have already given the numbers, new disbursement Rs.1020 crores for this quarter against the previous quarter of Rs.784 crores on new disbursement.

Nidhesh Jain: And sir, used?

Umesh Revankar: Used is Rs.16,502 crores against 15,754 in t

he previous quarter.

Moderator: Thank you. The next question is from the line of Vikash Agarwal from Bank of America Merrill Lynch. Please go ahead.

Vikash Agarwal: Just couple of questions from my side. One is following up on the discussion on the NIM just now. Just want to understand a bit more in detail the impact as you said on the existing portfolio will probably stay longer and plus the cost of liability is also increasing. I know you are also normalizing the liquidity but this 20 -bits headroom is that something which is sufficient in the near term to maintain the margin NIM above 6.8 % , so that is my first question. And the second is on the offshore bond buyback which you are doing. Can you also share what sort of other offshore funding you are using and what is the term and borrowing cost for those funding?

Umesh Revankar: As far as, the net interest margin is concern we have a headroom to improve because we have higher liquidity and we had told in the previous quarter also that we would like to reduce the liquidity portion. Right now, we are carrying six months of liquidity which we would like to decrease to 5 and 4 and 3 gradually. So, that is where, we have an opportunity to improve the margins apart from increasing the lending rate for the new contracts.

Parag Sharma: On the offshore borrowings , we have a combination of bonds, we have loans from banks and loans from development institutions . Our total offshore debt is close to around Rs.25,000 crores now and the landed cost depends because some of the facilities are even 10 years what

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we have taken from development institutions and ECA. Bonds typically are 3 to 3.5 years. So, hedge cost will be accordingly different. It has been between 9.5% to 10% what we have done in the past but currently what we are borrowing what we have taken from development institutions at around 9%.

Vikas Agarwal: 9% all landed cost including the hedging?

Parag Sharma: Correct.

Moderator: Thank you. The next question is from the line of Nilanjan Karfa from No mura Group. Please go ahead.

Nilanjan Karfa: If you go back to this offshore bond. So, I understand there was excess liquidity but what tilted the favor in not doing buyback on the domestic and offshore and I heard, Parag, sort of giving the thing that he mentioned is giving comfort to investors. So, which investors are we talking about was there some kind of stipulation that something is not right.

Parag Sharma: No, nothing of that sort in fact largely if you see what we have bought back is October 2022 maturity only around 170 odd million what we have bought back is October. So, it was only very short duration and because we were carrying excess liquidity from April itself. So, instead of carrying that liquidity we thought we can look at buyback. When it comes to the long-term 2025 what we have bought back is because the secondaries were trading very high. We thought we should intervene in case any investor, is interested. In fact, it is only for bonds what we have bought back and offshore we really do not know because it keeps trading over the ultimate owners, we will not know. But secondaries were trading much wider, so we thought we should intervene and give comfort that in case anyone has got any concern, any stressors. We should be able to address it. It is very limited quantum, what is permitted as per RBI that is what we had done. It is only 80 million, not very significant. When it comes to onshore the secondaries are not trading anyway there, so that was there during the COVID period but post that everything is normalized so I do not feel any need, any investor is in any kind of distress. So, if there is a need as of now liquidity is there and in case there is a need to support domestic bond holders also, we will be happy to do it.

Nilanjan Karfa: Okay. Just a continuation where

we hedge a foreign bond for example, do we do it on an annualized basis or do we do it for the entire maturity?

Parag Sharma: We had a policy, always to do it for the full maturity.

Nilanjan Karfa: My second question is to Umesh sir, I know that we do not have sort of an outsource repossession but we can talk about in general how the environment is standing out on the repossessed vehicle and specifically if you want to comment a bit on the Shriram Automall how the business is doing?

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Umesh Revankar: Right now, the resale values are good customers would like to hold to their vehicle, they do not like to vehicle get repossessed. So, that is the tendency. So, the repossession increases when customer vehicle values drop and customer does not have the tendency to hold on to their vehicle. The vehicle is an earning asset and if it is not earning enough and vehicle value drops. Then the customer will allow the vehicle get repossessed or may be, we are forced to repossess because customer is not paying in time and currently the repossession is the minimum. I do not think there is any pressure for any of the NBFC industry organization, banking industry on repossession because resale values are good, earning is good. So, repossession has come down. In fact, even in the Automall business last two quarters, we have witnessed that repossession as a source for their business activity has come down. They are mostly doing the market business now. So, market business means, any one who wants to sell their vehicle on their own, they will come on the platform. So, Automall is doing and the focus is more on the market business rather than the repossessed vehicle from the NBFC or bank.

Nilanjan Karfa: Okay. Many NBFCs sort of went into a sell post that RBI Directive on Mahindra. So, you do not think something like that is impacting the platform business, regional repossessions.

Umesh Revankar: No man that is nothing to do with platform business repossession as I believe. Most of the industries they are capable of doing repossession on their own without depending on outsourced agents because that NBFCs which are there for traditionally long time but if there are new NBFCs which have just come up in the last few years without enough network and manpower they may depend outsourcing agent and that will be very significant number. So, I do not think that will make any change.

Nilanjan Karfa: And final in a small clarification and the point was also raised earlier, the improvement in the new vehicles is that something that came towards the quarter end and just because of the change in festival season is that what has led to this improvement on year-on-year basis?

Umesh Revankar: Yes, festival definitely will, there is an opportunity for customers to buy new vehicle. But

normally in the month of September, there will be more new vehicle sales during this Ganesha festival, then till Dussehra, the mood will be upbeat and positive for the people to buy new vehicle that is normal trend but what I am seeing is the viability of new vehicle operation has improved significantly in spite of increase in the vehicle value for even individual operator and for smaller vehicle e-commerce activity and the tier 2, tier 3 town business, the agricultural activity, everything is positive. So, people are now buying more new vehicles and the numbers are visible across the country. 38% increase on year-on-year is significant increase in new vehicle.

Nilanjan Karfa: Surely sir, so therefore the 15% guidance you are quite comfortable right?

Umesh Revankar: We are comfortable with 15% guidance for combined entity.

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Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services. Please go ahead.

Abhijit Tib

rewal: Sir, I had two or three questions. First one, was in the merger whilst we acknowledge that we are comfortable with a 15% kind of guidance on the merged entity. If you can help us understand that given that the final hearing in NCLT has happened and given that the order is expected in a week's time. What is the operational readiness in terms of working at one combined entity given that you have been running quite a few pilots across many of your branches and secondly from the merger just wanted to understand how will shares be issued. What I am trying to understand is will there be a period where there will be no trade in the stocks of Shriram Transport and Shriram City or will it be a scenario where there will be no disruption in the trading activity and Shriram City and Shriram Capital Shareholders will be issued shares of Shriram Transport and which will eventually kind of get renamed as Shriram Finance.

Umesh Revankar: As far as the merger is concerned, what we have done is geographically, we have put Geographical Head, Joint Managing Directors as the unit head and they are running both the business, Shriram Transport and Shriram City Union and even though respective company keep doing the business, the leadership is in place and then we had pilots. We had pilots only to understand the challenges of cross sells of each other products because the knowledge to be passed on to the staff, training them, reskilling them and all those things we have done in the pilot 1. Pilot 1 was done around 50 branches. Then, we scaled it up to 1200 branches across both the companies. So, pilot 1 and pilot 2 is completed. Now post-merger it will be for all the branches, so the high-ticket lending or high-ticket business like, SME and heavy commercial vehicle that is something which we will be doing more centrally but all other smaller tickets like two-wheeler, gold and the LCV and tractors all those things we should be able to do in all the branches, that is how it has been planned. So, the merger will be seamless and we should be able to scale up the business and achieve target which has been already guided.

As far as, the no trading period there will be no trading period for SCUF but not for STFC that will be may be 10-15 days depending upon the regulatory requirement and STFC shares will continue to be traded because STFC will be surviving company and that will be renamed as SFL post the completion of ROC formalities.

Abhijit Tibrewal: Sir, my last question that there are two questions, one is this new guidance that you gave of 7% +/- 20 basis points that kind of stands despite the rise in rate environment, right?

Umesh Revankar: Yes. I have given a rationale also that we have a higher liquidity which we can manage and around 7%.

Abhijit Tibrewal: And sir, lastly on this repossession ban which was recently there by the RBI, while you had clarified that Shriram Transport has no engagements with third party agencies for collections

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and repossession, just wanted to understand as an industry has RBI engaged with you in the past or after this recent ban and advised to improve some of the repossession processes.

Wanted to understand if the regulator is a little concerned with the industry as a whole when it comes to repositioning process or was it an isolated incident for a particular vehicle financial?

Umesh Revankar: No basically, in the past also on the collection part of it and the harassment of the borrower a part of it. RBI, did have an interaction with us but this incident is isolated one. It has nothing to do with the initial discretion we had with RBI. RBI wants us to have a proper standard on engaging outsourcing team and methods of either repossession or collection to be made properly guided and proper manual being there and training to be given even if it is outsourced, all those things

ngs are there. It is more of a discussion and we also had as a FIDC, we had come out with broad guidelines on repossession and handbook was released long back. Once again after this particular it is isolated and unfortunately incident, once again, we have given our broad outlook and broad guidelines on the same and that is shared with RBI and also seeking the appointment with RBI to further improve, if necessary, on the same. So, as an industry body, we are working on the same but there will be always some kind of some incidents which can go out of control.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kodak Securities. Please go ahead.

Nischint Chawathe : Just a couple of points. What is the target Gross Stage 2 will it come down in single digits. So, where do you think this kind of goals in existing stock or what is the level before COVID where you think it can go to?

Umesh Revankar: Stage 2 will remain range bond in between 10% -12% and we have significantly improved over the last 3 to 4 years. Once we have moved to the 90 days, right from that day it has been a continuous effort to bring it down because when we moved from 180 days to 90 days it was a gradual improvement. Customer had a bigger time for managing his NPA and we have been educating the customer. So, over the period, we have brought it down and we should remain at this level. I do not think it will significantly improve over it. Since most of our lending is asset back, we really need not get disturbed or perturbed with this and we are feeling that this is a good comfortable range.

Nischint Chawathe: What is the current IRR range having interest rate range that you are charging for used CVs and new CVs?

Umesh Revankar: Used CVs it ranges any way between 14 -18 it all depends upon the vintage of the vehicle and also ticket size. So , the simple principle, higher the vintage, lower the ticket size, higher the rate.

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Nischint Chawathe: Just a broad range for the Used versus the New, we know how much could be the weighted average differential.

Umesh Revankar: Weighted average differential between New and Used will be around 300 basis point.

Nischint Chawathe: And just the last one is on the possible dues on the liability side after the merger. Currently, we are kind of very close to the merger and I guess you would have evaluated the consolidated borrowing possession. So , what could be the dues left out there, probably borrowing, be paying some of the high -cost borrowings on the consolidated level and probably accessing cheaper ones or may be kind of just as more expensive ones get relieved, replacing with a cheaper one or probably looking at a consolidated liquidity possession. So, very roughly, some assessment on your side in terms of what you would have done and what could be the benefit.

Umesh Revankar: This is a continuous work and I think Parag would be able to explain better.

Parag Sharma: In fact, if you look at Shriram City Union and because you would have been looking at it very regularly. So , it is more going towards fixed deposits, retail deposits and bank borrowing there is not much of bonds, offshore is any way not there. So, looking at the total borrowing what they have from banks , I do not think that adds a very significantly to the overall bank borrowing. So, it should continue to at around 20% -21% of our liability. Post -merger and looking at whether we can reduce cost. I do not think, we will force that we will only look at borrowing fresh from the same bank at a lower rate. We will not go in for immediately paying off. It comes to the overall liquidity what will maintain I think policy will remain the same.

Three months of liability repayment would be in hard cash for the merge entity also is what we will look at. We did mention that around Rs.11,000 to Rs.12,000

crores is , what is required for

Shriram Transport if we add Shriram City Union liabilities also. It should be at around Rs.14,000 -Rs.15,000 crores of overall liquidity to be maintained that is what we will do post -merger.

Nischint Chawathe: And if I were to look at let's say facilities from the same bank is there a differential between what you are able to borrow and what they borrow.

Parag Sharma: Yes, definitely there is a differential, one there is a rating difference itself banks also have been tracing it differently. Capital market automatically goes by the rating in the public domain but banks also there are rate differentials.

Nischint Chawathe: But then that is something you kind of get negotiated immediately?

Parag Sharma: Correct. Immediately, I do not think banks will immediately reduce the rate but whatever fresh we borrow from the bank will definitely be at commercial level.

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Moderator: Thank you. The next question is from the line of Ajit Kumar from Goldman Sachs. Please go

ahead.

Ajit Kumar: First, on the OPEX side, despite increasing employee count by more than 1000 in this quarter. Why is employee expense down sequentially and how do you look at employee and branch addition going forward as disbursement picks up an impact on the cost to income ratio side that is one.

S. Sunder: Okay in the first quarter, we typically pay the annual incentive for certain grade of people and hence it was on the higher side and current quarter it was not there and hence it was lower compared to the previous quarter.

Umesh Revankar: And as far as, the employee count, we have not recruited more people in the last two years. During the COVID years, our recruitment drive had come down. Actually, our employee count also had come down from around 27,000 employees it had come down to less than 25,000 in the last 2.5 years because we did not do fresh recruitment which we started doing in the last six months. So, therefore the number of count is going up and for our business as we increase the volume we do need to add more number of people.

As far as, the branch is concern, we have not opened any branches in the last quarter. We did not add any branch. Going forward post-merger then we will look at this scope on opportunity to open more branch or using the existing network of combined entity. So, that we need to really work on. We already have blue print on the same but we will execute it over the period.

Ajit Kumar: And second coming back again on the liability side what could be the mix going forward or in other words on which funding mix, you will focus more on and how much increase in cost of fund, we expect in next 12 months or so?

Parag Sharma: Funding mix whatever is there for Shriram Transport that is equally distributed between deposit, offshore, bond, securitization, 20% each is what we will look at for the merge entity also. Borrowing cost as of now for the next quarter, I can definitely say, it will go up anywhere between 8-10 basis point. Going forward depends upon how much further rate increase is there. So, that kind of increase will be there. Banks have increased rate in line with or the capital market rates have also gone up in line with repo rate increase. We will have to only look at policy rate hikes and then factor in what would be the cost hike for us. It will be in line with whatever is available in the market but 8-10 basis point is what I can tell about the next quarter.

Moderator: Thank you. The next question is from the line of Chandra Shridhar from Fidelity Investments. Please go ahead.

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Chandra Shridhar: In the last quarter, we used Rs.200 crores of our buffer provision, we have used about Rs.100 crores of our buffer provisions in this quarter towards write-offs. We still have 17,000 c

rores

of buffer provisions and my understanding is that in the contracts for which we have made these provisions should be maturing before the year end given the tenure of your books. So, how are you thinking on what would eventually happen given sequentially the utilization also has come off.

Umesh Revankar: See these accounts will get matured over the next two years because typically average contract would be four years and over the two years. It will get adjusted. So, we have now last two quarters, we have seen the trend and we have Rs.17,000 crores. So, we expect may be another Rs.500 -Rs.600 crores by this year end then may be rest will be next financial year.

Chandra Shridhar: Sorry, my understanding was some of this was created because of the moratorium interest period and my understanding earlier, you have always said that contract should mature by the end of FY 2023. So, you will take a decision on writing back after then it seems that you have a different thought process now.

Parag Sharma: All these contracts were pre-COVID and which were closed prior to March 2020 and for all these customers maximum of the customers we had extended the moratorium approved by the government and these cases typically will have a tenure of 3-4 years and majority of the cases will come to an end by the end of this financial year and something will be spilled over to the next financial year that is what he was trying to indicate.

Chandra Shridhar: So, you do not expect any write-back at all from this.

Parag Sharma: Write-back is very difficult because in our segment of customers that we cater to they come in for some wavers at the end of the contract and these six months during the COVID period they had all been impacted and we had assessed that thing and had created this provision and we believe that it will go out as a waver and not much should come back as a write-back into our books.

Chandra Shridhar: Couple of questions were, there is a stamp duty if I am not wrong about Rs.200 -Rs.250 crores. I would presume that in this quarter that we should see that impact in the P&L number and second is that when the merger was announced there was about Rs. 68 crores as employee cost rationalization which had to be done across to instead of equalize various. I would presume

provisions for that also would be taken in this third quarter.

S. Sunder : Stamp duty will not be as high as Rs.200 crores. We had initially anticipated that the maximum amount that was prevailing in Tamil Nadu was around Rs.200 crores but I believe there has been some relaxation as far as that is concern and the amount involved would be much lower than that and coming to the cost rationalization, we are still working on it and it will take next
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2-3 quarters for that to really impact but we do not expect that to come in the next quarter immediately.

Moderator: Thank you. The next question is from the line Amit Jain from Axis Capital. Please go ahead.

Amit Jain: Sir, in this quarter, the credit costs have come -off as compared to Q1. So, just wanted to know your outlook for FY 2023 how are you looking at credit cost. I believe they will be on a declining trend but just wanted to know your thoughts on that.

Umesh Revankar: Yes, we have given guidance of 2% as the credit costs for the full year. We should be close to that.

Amit Jain: Right sir and in terms of excess liquidity what is excess liquidity currently on the balance sheet, sir?

Parag Sharma : Around Rs.5000 crores is what we have excess with one large maturity this month itself, we should be able to utilize that. So, around Rs.5000 -Rs.6000 crores is what is there excess.

Moderator: Thank you. The next question is from K C Bhuvana an individual investor. Please go ahead.

K C Bhuvana: I am shareholder as such you can expect my question easily. This question

is to Mr. Umesh,

last year in the September quarter meeting you had declared an interim dividend of 80%. This time there is no such declaration why is that?

Umesh Revankar: Yes, we will plan something in next two quarters. This quarter because of the merger we thought it is prudent to do it post the merger from the Shriram Finance that was the plan.

K C Bhuvana: That means we can expect any dividend only after the merger is completed, is that?

Umesh Revankar: Merger will be completed this month, that is November month. So, next two quarters you can expect.

Moderator : Thank you very much. Ladies and gentleman , as that was the last question for today. I would now like to hand the conference over to Mr. Umesh Revankar, Vice Chairman and Managing Director for closing comments.

Umesh Revankar: Thank you all for joining this call. Let me first wish you Happy Diwali and let us have this festival as the revival of Indian economy and being a leading economy in the world by growing the fastest and that should overwhelm for us and I expect next couple of quarters to be a much better quarter than this quarter as demand, collection, and customer business everything is looking very sound and good. Thank you, hope to see you all in the next quarter call. Thank you.

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Moderator: Thank you. On behalf of Shriram Transport Finance that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2022

Shriram Transport Finance Company Limited

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SEC/FILING/BSE -NSE/22 -23/68A -B October 31 , 2022

BSE Limited

P. J. Towers,

Dalal Street, Fort,

Mumbai – 400 001.

Scrip Code: 511218

National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor,

Plot no. C/1, G - Block,

Bandra -Kurla Complex,

Mumbai – 400 051.

NSE Symbol: SRTRANSFIN

Dear Sirs,

Sub.: Transcript of investor s earnin gs call for the second quarter ended September 30, 2022 .

Further to our letter dated 21st October 2022 , regarding the audio link of the investor s earnings call for the second quarter ended September 30, 2022 , we enclose herewith the transcript of the said call . The Transcript is also been uploaded on the Company website www.stfc.in

Thanking you,

Yours faithfully,

For SHRIRAM TRANSPORT FINANCE COMPANY LIMITED

U BALASUNDARARAO
COMPANY SECRETARY

Encl.:a/a.

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“Shriram Transport Finance Q2 FY-23 Earnings
Conference Call”

October 21, 2022

MANAGEMENT : MR. UMESH REVANKAR – VICE CHAIRMAN &
MANAGING DIRECTOR

MR. SUDARSHAN B HOLLA – JOINT MANAGING
DIRECTOR

MR. NILESH ODEDARA – JOINT MANAGING DIRECTOR

MR. SRIDHARAN P – JOINT MANAGING DIRECTOR

MR. S. SUNDER – JOINT MANAGING DIRECTOR

MR. PARAG SHARMA – JOINT MANAGING DIRECTOR

& CHIEF FINANCIAL OFFICER
MR. SANJAY K. MUNDRA – HEAD OF INVESTOR
RELATION

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Moderator : Good morning, ladies and gentlemen and welcome to the Shriram Transport and Finance Q2 FY23 Earnings Conference call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar – Vice Chairman and Managing Director. Thank you, and over to you, sir.

Umesh Revankar: Good morning, friends, from India and Asia, a warm welcome to all of you who have joined this call. Good evening to those who joined from the western part of the world. Today, we have our Joint Managing Directors – Mr. Sudarshan, Sridharan, Nilesh, Sunder and Parag along with me and Mr. Sanjay who is our IR Head.

In the first quarter of this financial year, the Indian economy grew by 13.5%, the fastest in the last four quarters on account of better performance by Agri and Services sector. The official data show it remains the fastest growing major economy in April to June quarter. However, it fell short of the expected 16.2% increase anticipated. The IMF in the latest world economy outlook report cut its forecast for India. India's gross GDP growth in financial year 2022-23 by 60 basis point to 6.8%. Warning of a long and tough economic winter.

India's headline inflation rate as measured by CPI rose to 5 months high of 7.41% in the month of September from 7% in August. This is the ninth month in two times CPI print has come above RBI's upper margin. The stubborn inflation is definitely having some adverse effect on consumption and there are some indications of economy going down. However, I attribute this to this to unexpected rains or unscheduled rainfalls, this got delayed in the month of June/July and there were late rains in certain pockets that disturbed Agri movement and that would have led to food related inflation. However, the wholesale inflation eased to 10.7% in September as against 12.41% in the month of August. The WPI in September was 11.8%. Despite easing wholesale inflation data, the WPI continues to remain double digit for 18th consecutive month beginning from April 2020-2021. The RBI in its monetary policy on September 30th, 2022 has hiked the repo rate by 50 basis point to 5.9% for straight increase in current cycle. To tame sustained above target retail inflation rate. The RBI now has rates by total 190 basis point since its first unscheduled mid-meeting hike in May. The economic growth projection for 2023, cut to 7% from 7.2% estimated in August and GDP is expected to go 6.3% in September quarter, 4.6% in December and March quarters. The inflation projection retained at 6.7% ongoing fiscal year and inflation to remain above the tolerance limit of 6% of RBI.

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The GST collection seems to be doing well. India's tax collection from GST was 1.47 trillion in September as against 1.43 trillion collected in August. On account of rising demand higher rates and greater tax compliance. This is second highest collection next to April 2022 collection of 1.67 trillion. The goods and service GST collection remained above 1.4 trillion for 7th straight month during this month and continues to display very high buoyancy. This harvest well for government spend on infrastructure. The government has announced national logistic policy aiming to achieve quick last-mile delivery to end transport related challenges. The policy focuses on key areas such as process the engineering, digitalization, multimodal transport. It is crucial move as high logistics cost impact competitiveness of domestic goods in the international

market. Along with PM Gati Shakti which is national master plan for multimodal connectivity and part of NIP spent of USD 1.35 trillion target with a vision to develop technologically enabled integrated cost efficient resilient the sustainable trusted logistic ecosystem in the country for accelerated and inclusive growth. This is highly positive for the transportation and logistic industry and to our business.

The monsoon has as I was telling you in the beginning, there was a disturbed monsoon in the northern part especially in UP, Bihar and MP. But overall, the acreage was a little lesser than the last year by 5%. Apart from badly, there is a slight difference in sowing of pulses, oil fields, jute. So, overall, the drop is very insignificant; however, the late rains and the reservoir being

full harvest well and for bumper crops in Rabi which is always much bigger crop across India and Rabi being bumper and year-on-year for last four years. Harvest well for rural and semi - urban economy.

Coming to the auto industry, the commercial retail sales is increased by 39.48% to 231,880 units in Q2 as against 166,251 units in Q2 and compared to the previous quarter it is 3.37 % increase. The heavy and medium commercial vehicles showed maximum growth with 48.93% with 79,650 units sales against 53,481 units. Significant portion of this heavy commercial vehicles are the dumpers and tippers which the demand is coming from the infrastructure industry. LC V numbers also showed good growth of 35% to 152,230 units compared to 112,770 units sold in Q2, last year. Tractor sales have been almost on par with last year's half year number with 319,642 number against 350,250 numbers, a marginal increase. The earth mowing and constructional equipment showed significant growth again for the first half of this year with 42,530 units being sold against 32,398 units.

Coming to the company's performance, the collections were consistently good the average collections of September quarter were 100.13% of the total demand as against 99.03% of the corresponding quarter last year and 101.45% in the Q1 of the previous year. We clocked a disbursement growth of 19.51 % to Rs.17,769 crores against 14,868 crores in the same period of previous year as against Rs.16,670 crores in the Q1 of this year. The used vehicle disbursement increased by 15.27% to Rs.16,502 crores as against Rs.14,317 crores in the same period of previous year as against Rs.15,754 crores. The new Vehicle disbursement has

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improved significantly. It has gone up by 106% to Rs.1020 crores as against Rs.493 crores in the same period previous year and as against Rs.784 crores in the Q1 of this financial year.

Overall, AUM grew by 11.18 % on line with the guidance of 12% to Rs.135,249 crores compared to Rs.121,646 crores in the previous year and increased by 3.49 % against the previous quarter of Rs.130,688 crores.

The net interest income increased by 22.85% to Rs.2693.96 crores against to Rs.2192.82 crores in the same period previous year and marginal increase of Rs.2641.74 crores against the previous quarter. The net interest margin improved to 6.98 % against 6.44 % in the same period previous year and 6.91 % of the previous quarter. The PAT increased by 38.33% to Rs.1066.87 crores in Q2 compared to Rs.771.24 crores in the Q2 of previous year and against Rs.965.27 crores in the previous quarter. The EPS stood at 39.44 against 28.71 in this quarter. The Gross Stage 3 declined by 7 basis point to 6.93% against 7.82% in the previous year and 7% in the previous quarter. The net Stage 3 stood 3.48% compared to 4.18% in the Q2 previous year and 3.52% in the Q1, this year. The credit cost for the current quarter stood at 1.67 % against the 2.68% full year. The cost to income ratio marginally increased to 31.12% in this quarter against 20.73% recorded in the same period previous

year. The update on the merger, we have received approval from all the regulators like NSE, BSE, RBI. Then NCLT had convened the Shareholders, Secured Creditors and Unsecured Creditors meeting, IRDA, CCI. The final order of the NCLT was heard on October 19th, this month and we expect the order in a week's time. The growth outlook remained at original guidance 15% for the combined entity. Now, I request our CFO, Mr. Parag Sharma, to take over the call and give details on the liability side.

Parag Sharma: Hello everyone. The fund mobilization for Q2 was good. Liquidity continues to be good across bank and that has been the focus area for fund raising. Some fund raising increase has been there from the capital market in the form of bonds also. Overall, for Q2 we have mobilized 17,000 crores over gross mobilization. Total debt outstanding as of September is Rs.125,586 crores. The cost being marginally up compared to Q1 by 10 basis point but if you look at year-on-year basis it is down by 16 basis point. On balance sheet liquidity also continues to be strong. We have liquidity of close to around Rs.2700 crores. Liabilities for next three months is only Rs.13,000 crores so there will be sufficient cushion for managing our liabilities for next six months also.

When it comes to ALM, each bucket as in past continues to be positive. Cumulative automatically is positive. Leverage ratio is at around 4.51 % with excess liquidity being utilized leverage ratio showed slightly a drop below 4.5 %. HQLA is at 188% versus 191% in the previous quarter. We did announce buyback of our offshore bonds in August and we did buyback close to around 256 million of bonds which were maturing in 2025 and some part in October 2022 which was in maturity for a short period that was bought back and currently we

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have announced buyback of our July 2023 bond with a capital of 250 million. That process is on will take another few days to realize how much interest is there. Incremental cost of borrowing is definitely up by around 50 -70 basis point, so we do expect overall cost of liabilities to go up in next quarter. We have increased our FD rates also in the shorter duration by around 25 basis point in the 3 -5 year (5 basis point).

So, now I will give it to Sunder for his comments.

S. Sunder: Hi everyone . The employee count has increased in the current quarter by 1056 employees as against 25720 employees in June quarter, we are currently having 26776 employees as on September 30th. The cost to income has marginally increased in the current quarter to 21.12 % that is primarily due to a one -time hit of Rs.65 crores because of the settlement of certain sales tax litigations in which the company had offered for the amnesty schemes and in the onetime visiting which RBI had permitted last year. The out fronting as on September 30th was Rs.683 crores. Here , I would just like to mention that in the investor deck that we had circulated yesterday it was wrongly mentioned as Rs.6830 crores instead of millions and the coverage ratio was 51.57% as against 51.62% and Stage 3 improved to 83.29% as against 82.49% in the previous quarter and Stage 2 was 9.78% as against 10.51% in the previous quarter. We maintained a coverage ratio of 3.29% as against 3.21% in the for Stage 2 asset and covering ratio of 8.84% as against 9.18% in the Stage 2 asset. The PD was 7.35% as against the previous quarter of 7.34% in the Stage 1 and 21.62% as against 21.75% in the Stage 2 and the LGD was 44.75% as against 43.76% and the capital adequacy was strong at 22.48% and tier 1 was 20.59% and tier 2 was 1.89% and we continued to have the COVID related overlay of Rs.1741 crores as against close Rs.1830 crores in the previous quarter.

That's it from me. We would like to open the floor for the questions.

Moderator: Thank you very much . We will now b

egin the question -and-answer section. The first question is from the line of Rikin Ketan Shah from Credit Suisse. Please go ahead.

Rikin Ketan Shah: I have four questions. First one was on the new vehicle disbursement and the AUM growth. So, the new vehicle, AUM has grown after 14 -15 quarters. So, just wanted to get a sense on the outlook from here for the new vehicle AUM. Second one relating to the margins have you taken any rate hikes on the loans for any products and what would be the cost quantum of the same and on the liabilities side, could please recap the total bond buyback that you did in Q2 and are looking to do in the Q3. Thirdly , on the OPEX , I think you did mention that there was certain one -off of Rs.65 crores could you please elaborate on that and whether do we see that repeating in the coming quarters and lastly there were news flows pertaining to Shriram Group looking to lead the consortium in buying the IDBI Bank intake. So, just wanted to get a sense on the rationale of the same and about the strategy over there. Thanks that's all from mine.
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Umesh Revankar: Thank you, Rikin. See new vehicle if you see quarter -on-quarter our lending is going up because our customers typically what we do is we lend to our existing customers who are already used vehicle. When they want to wish to upgrade then we fund them. We do not have a direct arrangement with any OEM or a dealer point for lending to the new vehicle business directly to new customer. So, as the economy progresses when our customer decides to buy new vehicle then he upgrades himself, so to the extent we are increasing the new vehicle portion. So, last quarter we did around Rs.1000 crores and we expect that to grow. It may not have a significant increase on the overall AUM immediately, because since we have not done new vehicle lending for last three years much so the AUM is actually coming down and with new lending it may get stabilized and then move up. So, overall proportionately it may not make any difference between new and used. So , margin wise , whatever the interest margin of around 7% target, we may be +/- 10 basis point on the same and we should be able to maintain that. On the OPEX there is a tax.

S. Sunder: One time settlement that we had done for the sales tax litigation. It is a onetime thing, which was all these cases are pertaining to prior to the GST regime which we were litigating and now since the amnesty schemes are announced by certain state governments. We had opted for it and went in for a settlement and we do not expect any one -time hit on discount at least for the next any future quarters and coming to the bond buyback as I mentioned we did in August , 256 million which was for two maturities October '22 and in 2025 bonds which are maturing this largely to do with carrying excess liquidity and also the ongoing of the hedges what we have for the long -term bonds if they are in money or not usually negative then only we go in for what we have also announced now is another 250 million for the 2023 maturity. So , total will be around 500 million is what we look to buyback and we do not have any plans for further buyback.

Umesh Revankar: On the bank part of it, we deny to say because as a company individually we have not really discussed with anyone or not shown any interest in looking at any buying or merger of bank.

So, we do not have any plan on that direction.

Rikin Ketan Shah: And just a clarification on the yield side, have you taken any price increases on any of your vehicle products and the quantum if any there?

Umesh Revankar: On the used vehicle, we have increased our lending rates because as and when the liability cost goes up then typically, we pass it on the fresh contract on existing contract we cannot change because these are all contractual but the new lending, we inc

rease by around 25-50 basis point

depending upon the segments. Normally, the smaller ticket the lending rate increase will be much higher.

Moderator: Thank you. The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund.

Please go ahead.

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Vivek Ramakrishnan: I have three questions on the same direction. Number one, does the buying of new vehicles indicate confidence that the economy is going to be doing well how are the freight utilization and rates, that is question one. On the bond side, what is the strategy being the buyback the bonds in terms of the fact that the domestic market liquidity is getting tighter. So, is there some, arbitrage that you have that you can utilize that is the second question and the third question is on cost. Umesh sir, mentioned about inflation, so are you seeing wage cost pressures and do you think that is going to impact cost income later on. That's it from my side, sir.

Umesh Revankar: As far as the new vehicle as I was telling you, customers are getting confidence in the economy or the cashflows. Ultimately, they need higher cash flow to repay the new vehicle.

New vehicle cost will be approximately two times of the used vehicle for same application.

Because application to application things vary, so when they buy a new vehicle, one advantage is it will be maintenance free that is the advantage. But since the acquisition cost is high their EMIs will be much bigger. So, if the cashflows are bigger then they will repay. So, people delay buying new vehicle mainly because of increase in cost of new vehicle in the last couple of years. First, because of the BS6 technology upgrade and second because of the steel price increase and of course the third one was chip shortage and supply chain issue. This would, mostly to cars not to truck but overall, the costs went up by 25% to 30% and because of that many people postpone the upgradation or buying new vehicle plan. Now people are getting confident that since there is very little idly, better freight rate, better movement of vehicle and also better resale values. They are able to disburse of their existing vehicle at a better value. All this is a positive and people will definitely move towards buying more new vehicles and as and when our existing customer buy new vehicle, we fund them. So, that is the strategy and we are very confident that once they realize that cashflow will be better and whenever they buy new vehicle their repayment will also be equally good. Coming to the bond.

Parag Sharma: We entered the offshore market of as when RBI allowed which was around five years back.

We are particular that we will continue to tap the offshore market for sure to the extent RBI permits or the limits are available. Whatever support is required if there is investor industry is looking at opportunity to sell. We want to support the market. What we largely offer was for a very short duration maturity which was October and we were carrying excess liquidity, we thought we are buying at par so whichever investor is keen to sell we will give them the option. For the long-term 25, what we have done was largely because the bond was raised in the current calendar year, January itself, the markets after that went negative. So, we wanted to give comfort to the investors and RBI does not permit huge buyback. RBI is also very particular about average maturity to be more than three years. So, limited option up to 80 million is what we offered to buyback it was only to help investors and we are particular that as and when markets are okay rates are conducive. We will continue to tap the offshore market. So, we want to develop this market and give them support whatever is required.

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Umesh Revankar: On the cost front inflation will definitely push us to incr

ease our wage bill a little, we have

done it in this financial year to some extent but we have not seen big pressure on the overall increase in the cost. So, we estimated the cost increase to 10% in our budget and that will remain in good for the rest of the year.

Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: I have three questions. The first one being, I understand that your collection team is completely

internal but what is the total collection employee count as a percentage of the overall number?

Umesh Revankar : See our field team is 16,000 people totally out of 25,000 and there will be another 4000 people in the supervisory level , at branch manager's level or collection manager's level. So , the 16,000 people, they are the field officers who will both source business and collect. We do not have separate team for collection and these people will build relationship with customer and continue to collect every month. We do not outsource collection to outside, so we do not have any outsourcing arrangement for collection repossession , even the repossession is done by inhouse team only.

Shweta Daptardar: Okay. Sir, you guided for 15% growth for combined entity. Can you guide for standalone ED as in Shriram Transport Finance.

S. Sunder : Standalone , we have given guidance of 12% and as of for six months we have reached 11%. So, we should be able to maintain that 12%.

Shweta Daptardar: Sir, my last question. If I look at our liability mix , NCDs has marginally gone higher, securitization a bit down. Sir, where I am coming from is, I think one of the previous participant has also commented on ((inaudible 32:47)).

Umesh Revankar : I think, we understood the question.

Parag Sharma: Yes, you are talking about securitization transaction being down and bond borrowing being up.

Okay, securitization normally in Q3 and Q4 , the demand is huge. So, that is where we feel we should go beyond the last year quantum what we did was 14,000. So , we should definitely do more than what we have done in Q1 and Q2. Bonds is something which we in fact the one market for a lesser rated entity is limited and during COVID time it was completely closed. Now, it has opened up so we want it that particular source should be around 20% of our liability. It was much lower. It has now reached around 20% interval and that is what we will try to maintain it and securitization will definitely go up as around 15%, I feel by year end it should be around 17 %.

Moderator: Thank you. The next question is from the line Nidhesh Jain from Investec. Please go ahead .

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Nidhesh Jain: Sir, in the current environment how should we think of margins going forward. I think there is a sequential decline in margins. So , in Q2 how should we think of margins in coming quarters?

Umesh Revankar: See, margins we are confident of maintaining it. Quarter -on-quarter, margins improved by 7 basis point. So , I think, we should be able to maintain that, see we always guide 7% +/- 20.

This is the broad guidance. So, that is the target we keep trying to achieve. There will be some movement because of the cost of liability going up and not have been able to immediately pass on to entire book. Because incremental only we can increase our lending rate not to the existing book. So, there will be some gap but otherwise, we should be able to maintain it around 7.

Nidhesh Jain: And sir, I missed out, if you can share the disbursement number in this quarter both in terms of new vehicles and used vehicles.

Umesh Revankar: Yes, we have already given the numbers, new disbursement Rs.1020 crores for this quarter against the previous quarter of Rs.784 crores on new disbursement.

Nidhesh Jain: And sir, used?

Umesh Revankar: Used is Rs.16,502 crores against 15,754 in t

he previous quarter.

Moderator: Thank you. The next question is from the line of Vikash Agarwal from Bank of America Merrill Lynch. Please go ahead.

Vikash Agarwal: Just couple of questions from my side. One is following up on the discussion on the NIM just now. Just want to understand a bit more in detail the impact as you said on the existing portfolio will probably stay longer and plus the cost of liability is also increasing. I know you are also normalizing the liquidity but this 20 -bits headroom is that something which is sufficient in the near term to maintain the margin NIM above 6.8 % , so that is my first question. And the second is on the offshore bond buyback which you are doing. Can you also share what sort of other offshore funding you are using and what is the term and borrowing cost for those funding?

Umesh Revankar: As far as, the net interest margin is concern we have a headroom to improve because we have higher liquidity and we had told in the previous quarter also that we would like to reduce the liquidity portion. Right now, we are carrying six months of liquidity which we would like to decrease to 5 and 4 and 3 gradually. So, that is where, we have an opportunity to improve the margins apart from increasing the lending rate for the new contracts.

Parag Sharma: On the offshore borrowings , we have a combination of bonds, we have loans from banks and loans from development institutions . Our total offshore debt is close to around Rs.25,000 crores now and the landed cost depends because some of the facilities are even 10 years what

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we have taken from development institutions and ECA. Bonds typically are 3 to 3.5 years. So, hedge cost will be accordingly different. It has been between 9.5% to 10% what we have done in the past but currently what we are borrowing what we have taken from development institutions at around 9%.

Vikas Agarwal: 9% all landed cost including the hedging?

Parag Sharma: Correct.

Moderator: Thank you. The next question is from the line of Nilanjan Karfa from No mura Group. Please go ahead.

Nilanjan Karfa: If you go back to this offshore bond. So, I understand there was excess liquidity but what tilted the favor in not doing buyback on the domestic and offshore and I heard, Parag, sort of giving the thing that he mentioned is giving comfort to investors. So, which investors are we talking about was there some kind of stipulation that something is not right.

Parag Sharma: No, nothing of that sort in fact largely if you see what we have bought back is October 2022 maturity only around 170 odd million what we have bought back is October. So, it was only very short duration and because we were carrying excess liquidity from April itself. So, instead of carrying that liquidity we thought we can look at buyback. When it comes to the long-term 2025 what we have bought back is because the secondaries were trading very high. We thought we should intervene in case any investor, is interested. In fact, it is only for bonds what we have bought back and offshore we really do not know because it keeps trading over the ultimate owners, we will not know. But secondaries were trading much wider, so we thought we should intervene and give comfort that in case anyone has got any concern, any stressors. We should be able to address it. It is very limited quantum, what is permitted as per RBI that is what we had done. It is only 80 million, not very significant. When it comes to onshore the secondaries are not trading anyway there, so that was there during the COVID period but post that everything is normalized so I do not feel any need, any investor is in any kind of distress. So, if there is a need as of now liquidity is there and in case there is a need to support domestic bond holders also, we will be happy to do it.

Nilanjan Karfa: Okay. Just a continuation when

we hedge a foreign bond for example, do we do it on an annualized basis or do we do it for the entire maturity?

Parag Sharma: We had a policy, always to do it for the full maturity.

Nilanjan Karfa: My second question is to Umesh sir, I know that we do not have sort of an outsource repossession but we can talk about in general how the environment is standing out on the repossessed vehicle and specifically if you want to comment a bit on the Shriram Automall how the business is doing?

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Umesh Ravenkar: Right now, the resale values are good customers would like to hold to their vehicle, they do not like to vehicle get repossessed. So, that is the tendency. So, the repossession increases when customer vehicle values drop and customer does not have the tendency to hold on to their vehicle. The vehicle is an earning asset and if it is not earning enough and vehicle value drops. Then the customer will allow the vehicle get repossessed or may be, we are forced to repossess because customer is not paying in time and currently the repossession is the minimum. I do not think there is any pressure for any of the NBFC industry organization, banking industry on repossession because resale values are good, earning is good. So, repossession has come down. In fact, even in the Automall business last two quarters, we have witnessed that repossession as a source for their business activity has come down. They are mostly doing the market business now. So, market business means, any one who wants to sell their vehicle on their own, they will come on the platform. So, Automall is doing and the focus is more on the market business rather than the repossessed vehicle from the NBFC or bank.

Nilanjan Karfa: Okay. Many NBFCs sort of went into a sell post that RBI Directive on Mahindra. So, you do not think something like that is impacting the platform business, regional repossessions.

Umesh Revankar: No man that is nothing to do with platform business repossession as I believe. Most of the industries they are capable of doing repossession on their own without depending on outsourced agents because that NBFCs which are there for traditionally long time but if there are new NBFCs which have just come up in the last few years without enough network and manpower they may depend outsourcing agent and that will be very significant number. So, I do not think that will make any change.

Nilanjan Karfa: And final in a small clarification and the point was also raised earlier, the improvement in the new vehicles is that something that came towards the quarter end and just because of the change in festival season is that what has led to this improvement on year-on-year basis?

Umesh Revankar: Yes, festival definitely will, there is an opportunity for customers to buy new vehicle. But

normally in the month of September, there will be more new vehicle sales during this Ganesha festival, then till Dussehra, the mood will be upbeat and positive for the people to buy new vehicle that is normal trend but what I am seeing is the viability of new vehicle operation has improved significantly in spite of increase in the vehicle value for even individual operator and for smaller vehicle e-commerce activity and the tier 2, tier 3 town business, the agricultural activity, everything is positive. So, people are now buying more new vehicles and the numbers are visible across the country. 38% increase on year-on-year is significant increase in new vehicle.

Nilanjan Karfa: Surely sir, so therefore the 15% guidance you are quite comfortable right?

Umesh Revankar: We are comfortable with 15% guidance for combined entity.

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Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services. Please go ahead.

Abhijit Tib

rewal: Sir, I had two or three questions. First one, was in the merger whilst we acknowledge that we are comfortable with a 15% kind of guidance on the merged entity. If you can help us understand that given that the final hearing in NCLT has happened and given that the order is expected in a week's time. What is the operational readiness in terms of working at one combined entity given that you have been running quite a few pilots across many of your branches and secondly from the merger just wanted to understand how will shares be issued. What I am trying to understand is will there be a period where there will be no trade in the stocks of Shriram Transport and Shriram City or will it be a scenario where there will be no disruption in the trading activity and Shriram City and Shriram Capital Shareholders will be issued shares of Shriram Transport and which will eventually kind of get renamed as Shriram Finance.

Umesh Revankar: As far as the merger is concerned, what we have done is geographically, we have put Geographical Head, Joint Managing Directors as the unit head and they are running both the business, Shriram Transport and Shriram City Union and even though respective company keep doing the business, the leadership is in place and then we had pilots. We had pilots only to understand the challenges of cross sells of each other products because the knowledge to be passed on to the staff, training them, reskilling them and all those things we have done in the pilot 1. Pilot 1 was done around 50 branches. Then, we scaled it up to 1200 branches across both the companies. So, pilot 1 and pilot 2 is completed. Now post-merger it will be for all the branches, so the high-ticket lending or high-ticket business like, SME and heavy commercial vehicle that is something which we will be doing more centrally but all other smaller tickets like two-wheeler, gold and the LCV and tractors all those things we should be able to do in all the branches, that is how it has been planned. So, the merger will be seamless and we should be able to scale up the business and achieve target which has been already guided.

As far as, the no trading period there will be no trading period for SCUF but not for STFC that will be may be 10-15 days depending upon the regulatory requirement and STFC shares will continue to be traded because STFC will be surviving company and that will be renamed as SFL post the completion of ROC formalities.

Abhijit Tibrewal: Sir, my last question that there are two questions, one is this new guidance that you gave of 7% +/- 20 basis points that kind of stands despite the rise in rate environment, right?

Umesh Revankar: Yes. I have given a rationale also that we have a higher liquidity which we can manage and around 7%.

Abhijit Tibrewal: And sir, lastly on this repossession ban which was recently there by the RBI, while you had clarified that Shriram Transport has no engagements with third party agencies for collections

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and repossession, just wanted to understand as an industry has RBI engaged with you in the past or after this recent ban and advised to improve some of the repossession processes.

Wanted to understand if the regulator is a little concerned with the industry as a whole when it comes to repositioning process or was it an isolated incident for a particular vehicle financial?

Umesh Revankar: No basically, in the past also on the collection part of it and the harassment of the borrower a part of it. RBI, did have an interaction with us but this incident is isolated one. It has nothing to do with the initial discretion we had with RBI. RBI wants us to have a proper standard on engaging outsourcing team and methods of either repossession or collection to be made properly guided and proper manual being there and training to be given even if it is outsourced, all those things

ngs are there. It is more of a discussion and we also had as a FIDC, we had come out with broad guidelines on repossession and handbook was released long back. Once again after this particular it is isolated and unfortunately incident, once again, we have given our broad outlook and broad guidelines on the same and that is shared with RBI and also seeking the appointment with RBI to further improve, if necessary, on the same. So, as an industry body, we are working on the same but there will be always some kind of some incidents which can go out of control.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kodak Securities. Please go ahead.

Nischint Chawathe : Just a couple of points. What is the target Gross Stage 2 will it come down in single digits. So, where do you think this kind of goals in existing stock or what is the level before COVID where you think it can go to?

Umesh Revankar: Stage 2 will remain range bond in between 10% -12% and we have significantly improved over the last 3 to 4 years. Once we have moved to the 90 days, right from that day it has been a continuous effort to bring it down because when we moved from 180 days to 90 days it was a gradual improvement. Customer had a bigger time for managing his NPA and we have been educating the customer. So, over the period, we have brought it down and we should remain at this level. I do not think it will significantly improve over it. Since most of our lending is asset back, we really need not get disturbed or perturbed with this and we are feeling that this is a good comfortable range.

Nischint Chawathe: What is the current IRR range having interest rate range that you are charging for used CVs and new CVs?

Umesh Revankar: Used CVs it ranges any way between 14 -18 it all depends upon the vintage of the vehicle and also ticket size. So, the simple principle, higher the vintage, lower the ticket size, higher the rate.

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Nischint Chawathe: Just a broad range for the Used versus the New, we know how much could be the weighted average differential.

Umesh Revankar: Weighted average differential between New and Used will be around 300 basis point.

Nischint Chawathe: And just the last one is on the possible dues on the liability side after the merger. Currently, we are kind of very close to the merger and I guess you would have evaluated the consolidated borrowing possession. So, what could be the dues left out there, probably borrowing, be paying some of the high -cost borrowings on the consolidated level and probably accessing cheaper ones or may be kind of just as more expensive ones get relieved, replacing with a cheaper one or probably looking at a consolidated liquidity possession. So, very roughly, some assessment on your side in terms of what you would have done and what could be the benefit.

Umesh Revankar: This is a continuous work and I think Parag would be able to explain better.

Parag Sharma: In fact, if you look at Shriram City Union and because you would have been looking at it very regularly. So, it is more going towards fixed deposits, retail deposits and bank borrowing there is not much of bonds, offshore is any way not there. So, looking at the total borrowing what they have from banks, I do not think that adds a very significantly to the overall bank borrowing. So, it should continue to at around 20% -21% of our liability. Post -merger and looking at whether we can reduce cost. I do not think, we will force that we will only look at borrowing fresh from the same bank at a lower rate. We will not go in for immediately paying off. It comes to the overall liquidity what will maintain I think policy will remain the same.

Three months of liability repayment would be in hard cash for the merge entity also is what we will look at. We did mention that around Rs.11,000 to Rs.12,000

crores is, what is required for

Shriram Transport if we add Shriram City Union liabilities also. It should be at around Rs.14,000 -Rs.15,000 crores of overall liquidity to be maintained that is what we will do post -merger.

Nischint Chawathe: And if I were to look at let's say facilities from the same bank is there a differential between what you are able to borrow and what they borrow.

Parag Sharma: Yes, definitely there is a differential, one there is a rating difference itself banks also have been tracing it differently. Capital market automatically goes by the rating in the public domain but banks also there are rate differentials.

Nischint Chawathe: But then that is something you kind of get negotiated immediately?

Parag Sharma: Correct. Immediately, I do not think banks will immediately reduce the rate but whatever fresh we borrow from the bank will definitely be at commercial level.

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Moderator: Thank you. The next question is from the line of Ajit Kumar from Goldman Sachs. Please go

ahead.

Ajit Kumar: First, on the OPEX side, despite increasing employee count by more than 1000 in this quarter. Why is employee expense down sequentially and how do you look at employee and branch addition going forward as disbursement picks up an impact on the cost to income ratio side that is one.

S. Sunder: Okay in the first quarter, we typically pay the annual incentive for certain grade of people and hence it was on the higher side and current quarter it was not there and hence it was lower compared to the previous quarter.

Umesh Revankar: And as far as, the employee count, we have not recruited more people in the last two years. During the COVID years, our recruitment drive had come down. Actually, our employee count also had come down from around 27,000 employees it had come down to less than 25,000 in the last 2.5 years because we did not do fresh recruitment which we started doing in the last six months. So, therefore the number of count is going up and for our business as we increase the volume we do need to add more number of people.

As far as, the branch is concern, we have not opened any branches in the last quarter. We did not add any branch. Going forward post-merger then we will look at this scope on opportunity to open more branch or using the existing network of combined entity. So, that we need to really work on. We already have blue print on the same but we will execute it over the period.

Ajit Kumar: And second coming back again on the liability side what could be the mix going forward or in other words on which funding mix, you will focus more on and how much increase in cost of fund, we expect in next 12 months or so?

Parag Sharma: Funding mix whatever is there for Shriram Transport that is equally distributed between deposit, offshore, bond, securitization, 20% each is what we will look at for the merge entity also. Borrowing cost as of now for the next quarter, I can definitely say, it will go up anywhere between 8-10 basis point. Going forward depends upon how much further rate increase is there. So, that kind of increase will be there. Banks have increased rate in line with or the capital market rates have also gone up in line with repo rate increase. We will have to only look at policy rate hikes and then factor in what would be the cost hike for us. It will be in line with whatever is available in the market but 8-10 basis point is what I can tell about the next quarter.

Moderator: Thank you. The next question is from the line of Chandra Shridhar from Fidelity Investments. Please go ahead.

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Chandra Shridhar: In the last quarter, we used Rs.200 crores of our buffer provision, we have used about Rs.100 crores of our buffer provisions in this quarter towards write-offs. We still have 17,000 c

rores

of buffer provisions and my understanding is that in the contracts for which we have made these provisions should be maturing before the year end given the tenure of your books. So, how are you thinking on what would eventually happen given sequentially the utilization also has come off.

Umesh Revankar: See these accounts will get matured over the next two years because typically average contract would be four years and over the two years. It will get adjusted. So, we have now last two quarters, we have seen the trend and we have Rs.17,000 crores. So, we expect may be another Rs.500 -Rs.600 crores by this year end then may be rest will be next financial year.

Chandra Shridhar: Sorry, my understanding was some of this was created because of the moratorium interest period and my understanding earlier, you have always said that contract should mature by the end of FY 2023. So, you will take a decision on writing back after then it seems that you have a different thought process now.

Parag Sharma: All these contracts were pre-COVID and which were closed prior to March 2020 and for all these customers maximum of the customers we had extended the moratorium approved by the government and these cases typically will have a tenure of 3-4 years and majority of the cases will come to an end by the end of this financial year and something will be spilled over to the next financial year that is what he was trying to indicate.

Chandra Shridhar: So, you do not expect any write-back at all from this.

Parag Sharma: Write-back is very difficult because in our segment of customers that we cater to they come in for some wavers at the end of the contract and these six months during the COVID period they had all been impacted and we had assessed that thing and had created this provision and we believe that it will go out as a waver and not much should come back as a write-back into our books.

Chandra Shridhar: Couple of questions were, there is a stamp duty if I am not wrong about Rs.200 -Rs.250 crores. I would presume that in this quarter that we should see that impact in the P&L number and second is that when the merger was announced there was about Rs. 68 crores as employee cost rationalization which had to be done across to instead of equalize various. I would presume

provisions for that also would be taken in this third quarter.

S. Sunder : Stamp duty will not be as high as Rs.200 crores. We had initially anticipated that the maximum amount that was prevailing in Tamil Nadu was around Rs.200 crores but I believe there has been some relaxation as far as that is concern and the amount involved would be much lower than that and coming to the cost rationalization, we are still working on it and it will take next
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2-3 quarters for that to really impact but we do not expect that to come in the next quarter immediately.

Moderator: Thank you. The next question is from the line Amit Jain from Axis Capital. Please go ahead.

Amit Jain: Sir, in this quarter, the credit costs have come -off as compared to Q1. So, just wanted to know your outlook for FY 2023 how are you looking at credit cost. I believe they will be on a declining trend but just wanted to know your thoughts on that.

Umesh Revankar: Yes, we have given guidance of 2% as the credit costs for the full year. We should be close to that.

Amit Jain: Right sir and in terms of excess liquidity what is excess liquidity currently on the balance sheet, sir?

Parag Sharma : Around Rs.5000 crores is what we have excess with one large maturity this month itself, we should be able to utilize that. So, around Rs.5000 -Rs.6000 crores is what is there excess.

Moderator: Thank you. The next question is from K C Bhuvana an individual investor. Please go ahead.

K C Bhuvana: I am shareholder as such you can expect my question easily. This question

is to Mr. Umesh,

last year in the September quarter meeting you had declared an interim dividend of 80%. This time there is no such declaration why is that?

Umesh Revankar: Yes, we will plan something in next two quarters. This quarter because of the merger we thought it is prudent to do it post the merger from the Shriram Finance that was the plan.

K C Bhuvana: That means we can expect any dividend only after the merger is completed, is that?

Umesh Revankar: Merger will be completed this month, that is November month. So, next two quarters you can expect.

Moderator : Thank you very much. Ladies and gentleman , as that was the last question for today. I would now like to hand the conference over to Mr. Umesh Revankar, Vice Chairman and Managing Director for closing comments.

Umesh Revankar: Thank you all for joining this call. Let me first wish you Happy Diwali and let us have this festival as the revival of Indian economy and being a leading economy in the world by growing the fastest and that should overwhelm for us and I expect next couple of quarters to be a much better quarter than this quarter as demand, collection, and customer business everything is looking very sound and good. Thank you, hope to see you all in the next quarter call. Thank you.

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Moderator: Thank you. On behalf of Shriram Transport Finance that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

SEC/FILING/BSE -NSE/22 -23/68A -B February 06, 2023

BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra -Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investor s earnin gs call for the third quarter ended December 31, 2022 .

Further to our letter dated 1st Feb ruary , 2023 , regarding the audio link of the investor s earnings call for the third quarter ended December 31, 2022 , we enclose herewith the transcript of the said call . The Transcript is also been uploaded on the Company website <https://www.shriramfinance.in/>

Thanking you,

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY

Encl.:a/a.

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“Shriram Finance Limited
Q3 FY '23 Earnings Conference Call ”
February 01, 202 3

MANAGEMENT :

MR. UMESH REVANKAR – EXECUTIVE VICE CHAIRMAN – SHRIRAM FINANCE LTD.

MR. Y. S. CHAKRAVARTI – MANAGING DIRECTOR AND CEO – SHRIRAM FINANCE LTD.

MR. PARAG SHARMA – JOINT MANAGING DIRECTOR & CFO – SHRIRAM FINANCE LTD.

MR. S. SUNDER - JOINT MANAGING DIRECTOR – SHRIRAM FINANCE LTD.

MR. SRIDHARAN P. - JOINT MANAGING DIRECTOR– SHRIRA M FINANCE LTD .

MR. SUDARSHAN B. HOLLA - JOINT MANAGING DIRECTOR– SHRIRAM FINANCE LTD.

MR. NILESH ODEDARA - JOINT MANAGING DIRECTOR– SHRIRAM FINANCE LTD .

MR. G. M. JILANI - JOINT MANAGING DIRECTOR– SHRIRAM FINANCE LTD .

MR. K. SRINIVAS - JOINT MANAGING DIRECTOR– SHRIRAM FINANCE LTD .

MR. RAVI SUBRAMANIAN – MANAGING DIRECTOR AND CEO – SHRIRAM HOUSING FINANCE LTD.

MR. SANJAY K. MUNDRA - PRESIDENT

Shriram Finance Limited
February 01 , 2023

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Moderator : Ladies and gentlemen, good morning, and welcome to Shriram Finance Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar, Executive Vice Chairman, Shriram Finance Limited for his opening remarks. Thank you, and over to you, sir.

Umesh Revankar: Yes. Thank you. Good morning friends from India and Asia, and warm welcome to everyone. Good evening to those who joined from the Western part of the world.

This is the first earnings call for the merged entity of Shriram Finance Limited.

We have with me Mr. Chakravarti, the Managing Director and CEO , Joint Managing Directors: Parag, Sunder, Jilani, Sudarshan, Sridharan, Nilesh and Srinivas. And we also have Mr. Ravi Subramanian who is the MD and CEO of our subsidiary, Shriram Housing Finance Limited and Sanjay Mundra, who is our IR Head.

First, let me go through the merger update. After nearly one year of the announcement of merger around 13 , December '21, we announced the merger. As per the planned timeline, what we have given one year, we could complete the total merger process. On 5 th of December, we officially announced our merger. In fact, we had received letter order from NCLT on 9th, but for us to complete the other formalities and announce, it took some time. For the shares and security trading, it started from December 28 th after necessary formalities with exchanges.

Meanwhile, we had prepared ourselves well from April itself, in the beginning of the financial year, we had planned the integration and we had put five Joint Managing Directors in respective geographies to manage the business as a combined entity. And that preparation has helped us well in running a few pilots for the various products.

Today, out of 2,900 branches, I can say that around 85% of the branches, we have at least run one additional product. Depending upon the geography, depending upon the local needs we have been trying to push one additional product of each other's companies, and that has been successfully done.

As far as the larger ticket lending on Commercial Vehicle and SME, we are taking a little more time because this needs to be done on more concentrated and better supervised way and underwriting part of it is done centrally in some of these locations. So we will be taking a little more time in rolling out large ticket products across India over the next one year.

Meanwhile, Indian economy is growing well. And last quarter, it recorded a 6.3% GDP growth. Overall, the first half, it is 9.7%. And as per the estimate, it is likely to be around 6.9%.

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Yesterday , the government economic survey has indicated that it will be a round 7% for this year and maybe 6.6% going forward for next year. That itself will make India the growth engine of the world, India will be growing the fastest among all the countries.

The inflation worry was there for some time, nearly six months now, mainly because of various commodity prices going up, fuel price going up and also the geopolitical tension. But now in India, the inflation numbers have come down significantly. December numbers, they're at 5.72%, which is below the 6% upper limit of RBI. And also, WPI has come down to 4.95%. And last December, it was 14.27%. So there is a substantial improvement in the WPI numbers.

So it should help us in moderating our liability cost.

The RBI monetary policy , also MPC had hiked the repo rate by 35 basis points. And at present, it is 6

.25%. And we expect maybe another rate hike, a modest rate hike or with inflation number being there, it may not increase, that is a possibility.

The GST collection is robust. In fact, today morning, if you have gone through, the GST January GST collection is Rs. 1.56 lakh crores . And with steady 1.45 lakh crores above collection for the last few months, we believe the government spend on infrastructure will continue. With the infrastructure spend continuing, our segments, especially Commercial Vehicle and construction - related activity will continue to grow, is what we strongly believe. The private capital is

something which is not coming the way we expected, but this financial year, government seems to be confident - yesterday's report on the government economic survey suggest that private capital is likely to come in, in a reasonable way in this financial year.

The agri and rural economy has been doing very well. If you look at India's agri growth for the last three years, India is blessed with good climate, good rain for the last three to four years. And that is really helping. With the various programs of government supporting the agri income growth and also direct credit to the farmers, that also is helping. There are some numbers which suggest the government has announced that totally 2.16 lakh crores has been deposited directly into the bank accounts of farmer under Pradhan Mantri Fasal Bima Yojana and 1.24 lakh crores has been given to farmers in lieu of crop loss.

So this augurs well for the rural economy and to the income of the rural area. And government also has announced its plans to convert around 3.25 lakh fertilizer shops across the country as Pradhan Mantri Kisan Samridhi Kendras. These measures will definitely help the rural economy to be steady and consumption in the rural economy to grow.

Coming to the auto industry, overall, Commercial Vehicle sales have gone up by 16.6% to 227,111 units in Q3 against 194,709 units in Q3 '22. The heavy vehicle sales out of it is 683,000, which is 46.4% higher for the nine months period compared to 466,760. So the heavy vehicles have been growing much faster at 33% over the previous quarter, and LCVs have been growing at 8.2%. Three-wheeler is showing a robust growth of 67%. I believe it is mainly because of the expansion of e-commerce activity. E-commerce is expected to grow 18% through 2025. That means e-commerce is likely to reach to Tier 2, Tier 3 towns including all pin codes that's

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available, maybe that is the way the e-commerce is going to play a major role in the last mile reach and the transportation part of it.

The earthmoving and construction equipments also are growing very healthy at 26%. Tractor sales have grown by 23% of 209,918 units in Q3 versus previous year same period of 169,835. So two-wheeler also has been growing at 38,59,030 units at 6.3% growth for the nine months period. So which indicates that overall, there is buoyancy demand in the urban and rural market. Now coming to the current quarter performance, I'll hand over the mic to Mr. Chakravarti, my colleague.

Y S Chakravarti: Thank you, and I welcome all to the first earnings call of Shriram Finance Limited for the third quarter of financial year '23. I trust you have had the opportunity to look at the investor presentation that we have put up. And as Mr. Revankar mentioned in his opening remarks, financial year '23 has been an eventful year for us because of the merger, and all credit to our business and back office teams that this merger has been concluded smoothly.

I would also request you to note that the corresponding previous year figures are not comparable as the merger effective date is 1, April 2022. On the operational metrics, we clocked a disbursement growth of Rs. 29,245.26 crores as against Rs. 22,931.70 crores in the same period of t

he previous year and as against Rs. 25,789.32 crores in Q2 financial year '23. Our Assets under Management stands at Rs. 1,77,498.17 crores as compared to Rs. 1,56,848.63 crores in the previous year, an increase by 13.17% as compared to Rs. 1,59,358.20 crores in quarter 2 FY '23. Net interest income stands at Rs. 4,427.88 crores as against Rs. 2,387.97 crores in the same period of previous year and as against 4,104.86 crores in Q2 FY '23.

Our net interest margin was 8.52% as against 6.65% in the same period of previous year and 8.26% in Q2 FY '23. Profit after tax stands at 1,776.97 crores in quarter 3 FY '23, compared to 680.62 crores in quarter 3 FY '22 and as against 1,555.11 crores in Q2 FY '23. Our earnings per share stood at 47.46 Rs. as against Rs. 25.26 in the quarter Q3 FY '22 and Rs. 41.53 in Q2 FY '23.

Gross Stage 3 declined by 2 basis points and Net Stage 3 declined by 12 basis points over Q2 FY 2023. And hence, Gross Stage 3 stood at 6.29% compared to 8.4% in Q3 FY '22 and 6.31% in Q2 FY '23. The Net Stage 3 stood at 3.2% compared to 4.36% of Q3 FY '22 and 3.32% in Q2 FY '23.

The credit cost for the current quarter stood at 1.75% as against 1.73% for Q2 FY '23. The cost-to-income ratio was 22.29% in this quarter as against 24.5% recorded in Q2 FY '23.

Now, I would like to move on to our subsidiary, Shriram Housing Finance Limited. They registered a disbursement growth of 30.33% to Rs. 1,001 crores as against 768 crores in the same period last year and as against 1,049 crores in Q2 FY '23. Shriram Housing's assets under management grew by 55.84% to 7,178.16 crores as compared to Rs. 4,606.15 crores the previous year and by 9.66% as compared to 6,545.92 crores in Q2 FY '23.

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Their net interest income increased by 86.26% to 79.61 crores as against Rs. 42.74 crores in the same period of previous year and as against 64.53 crores in Q2 FY '23. Profit after tax for Shriram Housing increased by 27.19% to Rs. 36.38 crores in Q3 FY '23 compared to 28.60 crores in Q3 FY '22 and as against Rs. 34.03 crores in Q2 FY '23.

Their earnings per share stood at Rs. 1.12 as against Rs. 0.88 in the quarter Q3 FY '22. Shriram Housing's Gross Stage 3 declined by 37 basis points and Net Stage 3 declined by 29 basis points over Q2 FY 2023, and accordingly, Gross Stage 3 stood at 1.15% compared to 2.47% in the Q3 FY '22 and 1.52% in Q2 FY '23. The Net Stage 3 stood at 0.87% compared to 1.99% of Q3 FY '22 and 1.16% in Q2 FY '23.

I shall now request our Whole-Time Director and CFO, Mr. Parag Sharma, to brief you on our fundraising activities and other liability-related matters. After that, our Joint Managing Director, Mr. Sunder, will talk about the accounting aspects. Thank you.

Parag Sharma: Hello, everyone. On the liabilities, total liabilities as of December stood at Rs. 1,53,228 crores, broken up into 27% through the term loan, bank loans route, around 23% from FD, retail FD, 24% is through the domestic bond market, capital market. Securitization is close to 13% and external commercial borrowing, including the bond and loan is at around 12%. That is the break-up of liabilities. The overall cost is at around 8.77% compared to 8.71% in the previous quarter, up by around 6 basis points.

Liability mix might change with more securitization to be done in the coming quarter and also some increase in the bond offering by the company. That would be the two changes. When it comes to mobilization for the quarter, we have mobilized in line with the previous quarters, close to around Rs. 12,200 -odd crores of borrowing with the securitization being the largest contributor at Rs. 4,400 crores followed by retail deposit, which was Rs. 4,093 crores.

On the ALM front, all buckets, as in past, has been positive with cumulative surplus up to 1 year being in excess of Rs. 30,000 crores. Our liquidity coverage

ratio is healthy. It is at around 240%.

The overall liquidity is Rs. 17,400 -odd crores, which is good for meeting our liability repayment for close to around five months of liabilities. The leverage ratio is down from 3.9 to 3.63 in the current quarter.

Rating agencies have reaffirmed rating of Shriram Finance Limited as AA+. All the four rating agencies, CRISIL, CARE, ICRA and India Ratings have reaffirmed the rating. So we are confident that this quarter, the cost may not go up. At 8.77, we should be able to reduce it, but we don't expect the cost to go up for sure for this quarter.

With this, I hand over to Sunder for his comments.

S. Sunder: Hi, everyone. A couple of data points. One is that the employees have, the count has increased by 3,536 numbers in the current quarter, with the closing employee count of 60,918. The cost-to-income ratio has stabilized at around 22.29% and we expect this to be the trend going forward in a broad band of 22% to 24%. And as you are aware that there was a one-time sales tax write-off - Shriram Finance Limited

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off, which happened in the previous quarter and hence, it was higher at 24.5% in September quarter. And most of the numbers have been already spoken by MD and CFO. And one additional data point is that the LGD for the current quarter of the combined entity is 42.39% and PD for Stage 1 is 7.17% and PD for Stage 2 is 17.4%.

And one more additional point, which I would like to clarify, is that the already reported numbers of STF C and SCUF in the previous two quarters have been restated to take into account some entries relating to the merger fair valuation accounting as per the Ind AS norms. So that may be a difference of around Rs. 100 crores in each quarter and which if any queries are there, we'll be happy to reply to it off-line through Mr. Sanjay Mundra.

With this, I would like to hand over the call back to the moderator and request the moderator to open the lines for Q&A. Thanks.

Moderator: The first question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: Just quickly, if you can give out the disbursements as per product? And sincere request if it can be part of the presentation going forward, sir. It will be slightly easier because we have so many products now. That's the only question I have.

S. Sunder: Okay. The disbursement for the quarter is Rs. 29,245 crores and as against the previous Q2 number of Rs. 25,789 crores. And coming to the segment-wise, the commercial vehicle segment, we had done Rs. 11,750 crores. The passenger vehicle was Rs. 5,057 crores, construction equipment was Rs. 1,808 crores, farm equipment Rs. 527 crores, MSME was Rs. 2,870 crores, two-wheeler Rs. 3,230 crores, gold loans Rs. 2,131 crores and personal loans contributed to Rs.

1,842 crores and others a round Rs. 17 crores. So this is the broad breakup of the segment wise disbursements, and we will definitely take your suggestion and then try to incorporate the same in the future presentation. Thanks.

Shubhanshu Mishra: Within CV, sir, what is used and new, sir?

S. Sunder: It will be roughly, say, around 10% will be new and the balance will be used.

Moderator : We have the next question from the line of Nischint from Kotak Mutual Fund.

Nischint: This is Nischint, from Kotak Securities. Just one question to Parag. What gives you confidence that cost of borrowing will not increase next quarter? You mentioned that we are at 8.4% and it will not go up from this quarter?

Parag Sharma: Nischint, I said, it is 8.77%. Currently, whatever we are borrowing is at much lower level. We are borrowing at between 8.5% to 8.6%. So I don't expect the cost to go up. It can only come down. We did repay some of the high -cost debt in the month of October end, towards October end. So I don't expect, because incremental cost is lower than the on-balance sheet

cost as of

now, that is the reason I am confident that it will not go up for this quarter.

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Nischint Chawathe: No, but I would assume that some of the bank borrowing, as you would see...

Parag Sharma: Bank borrowing is happening, Nischint, at the rate of around 8.5% to 8.65% range only, nothing beyond that. And overall liability cost is around 8.77%. That is why I'm confident it will not go up.

Nischint Chawathe: No, I understand that, but I'm saying that some of the bank borrowings that you're currently having, let's say, if something is like at this point of time, let's say, 7.5% or 7.7%, when it -- and I believe this is one year before repricing. So when it comes to repricing maybe next month or two, three months down the line, then it probably gets repriced at a higher rate, depending on what has been the rise in MCLR in the last 12 months?

Parag Sharma: Yes. So there is nothing called annual repricing, when it comes to the large borrowing which is from public sector banks, that is all MCLR-linked. And there was nothing, at around 7% level there is no borrowing. All the borrowings stood at around, MCLR at that point of time will be around 8% to 8.25% only. So I don't expect there will be a major change. We do expect to increase our securitization volumes. We do expect to increase our bond offerings. And even bonds what we are currently borrowing at are not at the levels which is the balance sheet cost as of now. That is why I'm confident about cost not going up.

Nischint Chawathe: Can you just remind last quarter, I mean, we can -- maybe let's look at standalone Shriram Transport, what would have been the cost of borrowing as against 8.77%?

Parag Sharma: The incremental was around 8.25% to 8.30% only.

Nischint Chawathe : Outstanding, if you are at 8.77% in December.

Parag Sharma: Yes, that includes Shriram City Union liabilities also. And also, whatever we have borrowed from the offshore, everything included was 8.77%. But incremental what we have borrowed is between 8.25% to 8.30% range only. That is why I'm saying it will not go up.

Nischint Chawathe: And outstanding last quarter only for standalone Shriram Transport would be how much?

Parag Sharma: That was at around 8.5%. 8.54% is what we reported for the September quarter.

Moderator : The next question is from the line of Mahrukh Adajania from Nuvama Wealth Management.

Mahrukh Adajania: So what is the quantum of one -off in operating expenses?

S. Sunder : This quarter, there was no one -off. The one -off was in the previous quarter of Rs. 65 crores, which was on account of write -off of the earlier litigations regarding the sales tax. There was an amnesty scheme launched by certain state governments, and we had availed of it. And whatever was the amount payable, we had paid and written -off in the books of accounts. That amounted to Rs. 65 crores in the previous quarter. And that was a one -off. Current quarter, there is nothing to this.

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Mahrukh Adajania: And the merger -related expenses, have they come in opex?

S. Sunder : Yes. The expense related to merger is around INR 19 crores, and it will be deferred over a period of five years. And whatever is pertaining to the current quarter has already been factored and it's not significant compared to our size of the expenses.

Mahrukh Adajania: So it will be deferred over five years?

S. Sunder : Yes, correct.

Mahrukh Adajania: Over every quarter, okay. And then just in terms of credit cost, so this is where it settles, is it? The Q3 level, is that where it settles now? Or how do we look at it going ahead?

S. Sunder : We have been -- yes.

Umesh Revankar : The credit cost, we always have given an indication that it will be around at 2%. So this current year, it is 1.94% as of -- for the nine

months period. And we should be around 2% at any point

of time, which is our long-term history if you go up 10 years back and also forward-looking also

we have always been indicating that it will be around 2% credit cost.

Mahrukh Adajania: And when you expense the intangibles of Rs. 100 crores every month, is it tax deductible or it's not?

S. Sunder : The intangibles we will be adjusting for impairment. And it's most likely that it will come maybe after a couple of years only, not before that. That is what is our estimation, but it's up to the independent valuer to take a call, but we'll be testing for impairment every year -end.

Mahrukh Adajania: But whatever is written-off through P&L or expense there, is that tax deductible or not?

S. Sunder : The goodwill is not tax deductible, but the intangibles, yes, it is tax deductible.

Moderator : The next question is from the line of Param Subramanian from Macquarie.

Param Subramanian : So my first question was on understanding this NII that you've reported on the merged basis, so if I just do an addition of the 2Q NII of Shriram Transport and Shriram City Union and compare with what you have reported for pro forma, there's a gap of -- or an incremental addition of about Rs. 180 crores. So could you explain what exactly is giving this delta?

S. Sunder : See, as I telling you in the opening remarks that as per the accounting standard, on merger, we have done some fair valuation of the liabilities, the loans that we have borrowed as well as loans that we have given. And roughly around Rs. 1,000 crores is the fair value that we have taken a hit at the time of, in the opening balance sheet. And the benefit will come over a period of three years; maximum will come in the current year. That's what we were indicating that it will be around INR 100 crores per quarter will be the addition to the NII in the next couple of quarters, three, four quarters, at least. Then it will come down.

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Param Subramanian : Rs. 100 crores per quarter for the next three, four quarters?

S. Sunder : Correct. Yes.

Param Subramanian : You said it is a hit to the balance sheet, so how is it giving you credit on the P&L?

S. Sunder : No, it is a credit to P&L and opening balance, we have taken a hit. It is adjusted against the reserves.

Param Subramanian : And what is the corresponding impact on net worth? Because even if I do a net worth comparison even adjusting for goodwill, is it also added to your net worth, this...

S. Sunder : See, the net worth, if you see the standalone STFC and standalone SCUF, as on 31st March and add your current nine months profit minus dividend what we already paid, and there will be difference of around INR 2,800 crores is on account of the goodwill and intangibles that we have created, which is kept as an asset. That is the difference.

Param Subramanian : So goodwill is 1,400 and the remaining 1,400 is also...

S. Sunder : 1,300 is the goodwill and 1,500 is the intangibles. And these primarily have been bifurcated to get a benefit of tax claim at least as far as this is concerned. And it is supported by independent valuer's assessment and all those things. And the charge to P&L may happen maybe after the next couple of years, not before that.

Param Subramanian : Sir, if I can just ask, so considering the one-offs you are seeing post-merger in the P&L currently, so what is the sustainable level of RoA and ROE. This time, you are reporting 3.4% ROA, but what is on a sustainable basis, what do you think where should these numbers stand?

Umesh Revankar : RoA is 3% on a long-term basis, and ROE will be anywhere between 16% to 18%, depending upon the environment.

Moderator : The next question is from the line of Umang Shah from Kotak Mahindra AMC.

Umang Shah : Congratulations on a good quarter and the merger. Sir

, a couple of questions. One is on the

merger-related expenses, just wanted to reconfirm the expenses which you mentioned were just about Rs. 19-odd crores, is it?

S. Sunder : Yes, Rs. 19 crores.

Umang Shah : And if I recall correctly, initially when the merger was announced, we were anticipating some merger-related costs to the tune of about anywhere between Rs. 200 crores to Rs.300-odd crores.

Does that still stand or has that number got on revised downwards?

S. Sunder : When we announced the merger at that time, there was a likelihood of an amendment in the Stamp Duty Act in Tamil Nadu. And foreseeing that we had indicated that it will be around 200 crores to INR 300 crores. However, as on date also the amendment has not taken place. And

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since our merger is already in place, so there's unlikely that there will be a retrospective impact of the same. And hence, the management is confident that no further expenses on account of stamp duty is applicable to the company.

Umang Shah : Sir, the other question was on the growth outlook. And ideally, how should we now look at our AUM mix shaping up progressively maybe a year or two years out from here. Should we assume that the share of vehicle finance business gradually just keeps coming off in the overall mix? Or how should we look at it? And what's broadly the growth outlook over the next 12 to 18 months?

Umesh Revankar : See, the overall AUM growth, which we had earlier indicated of 15% CAGR growth should continue is what we feel very confidently because Indian economy is growing. And with this growth, 15% CAGR growth is a possibility. We are leaders in commercial vehicle and two-wheeler. So our leadership will continue to remain. We are trying to reach out for SME business in the geographies which we have not been servicing till now. Earlier, the SME lending was focused mostly in the South and Western part. Rest of India, even though there is enough growth opportunity in the SME business, especially large states like UP, MP, Rajasthan and Punjab, Haryana, we had not been doing much. So with that network being available today across and having the experience and the expertise of both customers and the expertise of doing SME business in the Southern part, Southern and Western part, we would be expanding it.

There may not be a significant shift in overall ratios, but slowly and steadily, SME growth will be much faster than the CV and two-wheeler is what we feel. So it may not alter immediately in two years, but over the 10 years, you can expect because SME industry is so large and ability to reach out to these sectors and segments through the branch network is possible. So next two years, there may not be a big change, marginal change. But over the 10 years, there will be a significant change.

Umang Shah : And on the cost to income, just to reconfirm, in our opening comments, we mentioned that the steady state cost-to-income ratio should be close to about 22%, 23 %-odd. Did I hear that right? Currently, we are at about 26%, 27 %-odd?

Umesh Revankar : Yes, we had earlier said 26%, but this quarter, it has been 22.45%, but in the long run, it will be 24%, 25%.

Umang Shah : And just last one. On the housing finance side, now that the merger is behind us, how should we look at it? Will that continue to operate as a wholly owned subsidiary or at some point of time, we look at some value unlocking happening in via that subsidiary or a separate listing something, any plans on that front?

Umesh Revankar : No such plans. It will continue to run as a wholly owned subsidiary.

S. Sunder: So it is not wholly owned, it is 85% stake is with SFL.

Umesh Revankar : Yes, 85%, right.

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Moderator : The next question is from the line of Shweta from Elara Capital.

Shweta : Congratulations on

a great quarter. Sir, what cross-sell opportunities across products do you think that you can derive from the synergistic benefit due to merger?

Umesh Revankar : Okay. See, we have the two businesses, if you look at, the Shriram City Union businesses, they were mostly in the south and western part. They did not have reach across the country. Now with Shriram Transport branch and the experience in these geographies being available, you would be able to take the Shriram City Union product across all the geographies. So that loan products get expanded in the both sides. Even in Shriram City Union branches, you will be able to offer CV and construction equipment, on agriculture equipment lending. So we'll be expanding the loan product across all branches and all products depending upon the potential in each of the geographies. So that is the synergy benefit. Additionally, since we have a large customer base, we would be able to cross-sell insurance and other investment products. Apart from sourcing deposits, we would be able to cross-sell insurance and other investment products. That will give us additional fee income. So that is the total synergy.

Moderator : The next question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.

Abhijit Tibrewal: Sir, again, just going back to the merger-related opex, merger-related expenses. I was going through the call that we had hosted at the time when we announced the merger. That point in time, our expectation was including the stamp duty cost which is not there, something around Rs. 350 crores. So I mean, is it that, I mean, merger-related expenses have actually come in much lower than what we anticipated? You already said that we are not required to pay that stamp duty that we anticipated of about Rs. 190 crores, Rs. 200 crores. But other than that, I think we talked about HR integration cost of about Rs. 60 crores, Rs. 70 crores, branding and advertisement cost

of about Rs. 70 crores. So those expenses are not really coming or I mean, they are being capitalized now and they will be expensed over the next two years?

S. Sunder : When we guided one year back, we had expected a high stamp duty expenses which not there now, as I had mentioned to the previous caller. When it comes to the other expenses, the Rs. 19 crores that we are talking about is the advisors and immediate merger -related expenses, which has been deferred over a period of five years. And the advertisement and other charges will be on ongoing thing, which will be debited to the P&L as and when it is incurred. And the cost of advertising, which we had guided maybe around Rs. 50 crores to Rs. 100 crores, will be happening over a period of time, and it has not already happened.

Abhijit Tibrewal: And your guidance of 24%, 25% cost -to-income ratio takes that into account?

S. Sunder : Yes, it takes into account. Yes.

Abhijit Tibrewal; And sir, just one more question here. Just wanted to understand, I mean though it's one merged entity now, the branding is Shriram Finance. But wanted to understand, there are still employees who are part of either Shriram Transport or Shriram City and who are maybe people who

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understood the respective products a whole lot better . So I mean, what incentives have been put in place to kind of drive this cross -selling?

Umesh Revankar : See, incentive programs are , our business model, if you look at all our field and branch team is where the variable component is quite high. So both in Shriram Transport and Shriram City Union business model, that was factored in, and that's how we have been functioning. So same thing is continuing. The incentives would be given for own product and also in cross -selling products, whether it is insurance or whether it is investment product tomorrow or whether it is a multiproduct today, the variable

component will continue to play a major role in our business model.

Moderator : The next question is from the line of Uday Pai from Investec.

Uday Pai : Can you quantify the amount of interest expense saved on account of buyback done in October?

S. Sunder : Okay. We don't have the number right now. You can just touch this with Mr. Mundra. He will help you out offline.

Moderator ; The next question is from the line of Rahul Jain from Goldman Sachs.

Rahul Jain : Just two or three questions. Number one, on this cross -selling bit, can you give us an indicative sense as to how the loan book would look like a couple of years down the line? Would it be , would the CV proportion come down over a period of time as the other products we cross -sell to other customers?

Umesh Revankar : Rahul, I think I just answered it just five, 10 minutes before, See, we are leaders in CV and two -wheelers. So there, it will not change much. Overall ratio will remain. The SME focus, we will increase because SME business, which we are mostly doing in the southern part, we'll be taking to the rest of India. And scope and opportunity to grow will be faster. So we may grow there at around 20%, 25%, where in other businesses, we may still grow at 14%, 15%. So it will not...

Rahul Jain : The other question was on goodwill. So over how many years will this goodwill need to be written -off?

S. Sunder : Goodwill will be tested for impairment by an independent valuer and basis that it will be provided. But the management feels that at least for the next two years, there will not be any impairment on this count.

Rahul Jain : The other question was on cost of funds in Shriram City Union. Would there be any benefit if there's any rating upgrade. I mean, of course, now you'll borrow in Shriram Transport, but the incremental borrowing should be a lot lower on that portfolio also, right, as you do disbursements in the Shriram City Union portfolio, how much benefit can we get out of that?

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Parag Sharma: Shriram City Union was AA, and now the liabilities will get repriced to AA+ level. So there should be 25 to 30 basis point benefit, which will come out of repricing of Shriram City Union liabilities .

Rahul Jain : And then that's the reason why next year, you're saying cost of funds would not increase much. I mean some benefit will come from here as well. Is that a fair insight?

Parag Sharma: I said for the March quarter, it will not go up. But if RBI increases rate, that has to be adjusted for next year. But this quarter, it won't be up.

Rahul Jain : Just a last question in terms of the fair value that you were talking about earlier. Can you explain how do you arrive at this? Is there an element of NPV calculation also that goes in there and

that's why you had to sort of adjust the book by INR 1,000 crores or there is something else?

S. Sunder : See, the last quarter that is March quarter of '22, whatever was the loans disbursal and liabilities mobilized, the benchmark rate is considered, and it is restated for the earlier entire book. And basis that , based on the NPV calculation, the fair valuation arrived.

Moderator : The next question is from the line of Ankur Jain, an Individual Investor.

Ankur Jain : I have a question on capital allocation. So Shriram Finance has paid an interim dividend of Rs.

15. And in the past, both Shriram Transport and Shriram City Union have given healthy dividends. So my question is, has the management thought about the idea of doing a buyback with some part of the money, which could be more beneficial to the shareholders?

Umesh Revankar : See, finance companies or banks normally don't do any buybacks because the capital is always required in the business.

Ankur Jain : Even with the large amounts that you are paying, which are not required because ultimately, they have been paid to the share

holders?

Umesh Revankar : So dividend is an expectation. There are some shareholders who are invested for a steady dividend. So that is a different aspect altogether. So rewarding shareholders continuously with good dividend is part of a good governance and also appreciating the shareholders, that's all.

Moderator : The next question is from the line of Chandrasekhar Sridhar from Fidelity International.

Chandrasekhar Sridhar: I have a few questions. Parag, just how do you think of liquidity right now? So as I see, I think, on the merged entity also the excess liquidity has actually stayed constant as you've moved on and you actually cut it by one month. How do you see that over , on a sustainable basis, one?

Second ly, Shriram City Union had a liability duration, which had extended pretty reasonably over the last few years, longer , much longer than the asset duration. Now that we are working on a merged entity, how do you just think on liability durations given we have a merged balance sheet? For Mr. Sunder, I have a couple of questions. One is, even if I understand the fair

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valuation, but if I look at the GNPLs also on a combined basis, I mean, the pro forma numbers in the GNPLs also, there's a difference of 40, 50 bps. So what would explain the differential in the GNPLs? And for Mr. Ravi, just in Shriram Housing, was there any portfolio buyout done during the quarter?

Parag Sharma: On liquidity, we always had a stated policy of maintaining three months of liability repayment as a liquidity buffer, which we enhanced during the COVID period to six months. Now we are at around five months, but I think, we'll continue with the liquidity buffer of Rs. 17,000 crores until the March quarter and then based on market scenario, we will look at diluting it or continue to maintain slightly higher liquidity. But as of now, until March quarter, I think we'll continue to have Rs. 17,000 crores of liquidity.

When it comes to duration, I think duration in Shriram Transport also, the assets is not longer, that is, used vehicle is typically three to four years. So there's not too much of duration difference which comes because of Shriram City. And Shriram Transport also, the liability was longer than the assets. So that doesn't change. Sunder?

S. Sunder: Yes. Coming to the Gross Stage 3 numbers. If you recollect, the AUM of Shriram City Union Finance around 31 , March was Rs. 33,000 crores, and they were carrying an ECL provision of close to -- slightly more than Rs. 2,000 crores. So net Rs. 31,000 crores was acquired by Shriram Transport by way of the merger transaction. And this Rs. 31,000 crores was accounted as a loan outstanding from the customer. And hence, this amount is added to the Gross Stage 3. And you would find that the normalized, if you take one plus one, had it been taken at a gross level of Rs. 33,000 crores , the NPA would have been at around 25 bps higher than what we are reporting. And that explains the reduced number of the gross stage 3 of 6.29% in the current quarter. The same thing has been restated in the previous quarters also.

Ravi Subramanian : And on the housing finance side, out of Rs. 1,000 crores gross disbursement, we've ,the bought out portfolio was about Rs. 6 crores, hardly anything.

Chandrasekhar Sridhar: Sure. Maybe if I could just follow up with a couple of more questions, Umesh, one is just how do we think of just right pricing now, how much we're charging to the insurance business on a sustainable basis. This has stepped up like a couple of years back, but didn't seem to go anywhere after that? What's your thoughts on that?

And second is we are still carrying the COVID provision buffer at this point in time. Now the buffers were created in Q4 FY '20 and Q1 FY '21 and then some later. Now obviously, the contracts are , and our understanding was they'll be utilized over

a period of time once the

contracts mature. Given the duration of the book, the contract should be maturing by now, but they're still carrying a large buffer and we have utilized very little. So what do we think of some

of these provision buffers which you're carrying ?

Umesh Revankar; Yes. See, as far as the insurance is concerned, the insurance cross -sell is done to help the customers to get better claims and quicker claims. That is the main objective. The earnings out
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of it, the commission occurring out of the insurance, whatever is statutorily available or can be given, that we are getting from the insurance companies, both life and the general business. So our focus has been to provide better service to customers. For example, earlier, we used to get claims on accident at around 180 to 200 days , after 180 to 200 days, putting customer into a lot of difficulties. By providing the insurance service now in -house, we're able to get the claim in 20 days. So that's the benefit customer gets . And indirectly, company benefits because of quick settlement of the claim. So there is no NPA due to , or there's no delay due to the claim being delayed. So that is the biggest advantage. So the benefit will improve over the period as we penetrate more. Today, the penetration level of insurance cross -sell is much lower, both life and general. Once we increase it across, then benefit will get more pronounced , and then bottom line will reflect very healthy growth in the fee income.

S. Sunder: And on the COVID provisioning, we had created a provision of Rs. 2,850 crores in Shriram Transport books. And as we have been guiding everyone that it has been allocated to the respective contracts, and as and when the contracts settle, it will be written back or charged off is what we have been indicating. And as on 31 st December, an outstanding of Rs. 1,651 crores is available in the books. And we expect this to be cleared maybe in the next one year or so, by March '24, maximum will come out.

Chandrasekhar Sridhar: But I mean, that should actually extend beyond the contract duration, just given the duration of the book by now, that should have been flushed out, right? It was my understanding.

S. Sunder: No. See, if you recollect, we had also given a moratorium of six months and hence, entire book was postponed by six months. So in a normal scenario, it would have been maximum should come to an end by September '23. So that's likely to be pushed beyond close to March '24. So this I am saying, majority of the book, but still there can be some provision lying still.

Moderator: The next follow -up question is from the line of Nischint from Kotak Securities.

Nischint: Can you share what was the absolute valuation of Shriram City considered during the merger, if you can share the number of rupees in thousand crores.

S. Sunder: Yes. Nischint, I'll just take this question offline and give it to you.

Moderator : The next follow -up question is from the line of Mahrukh Adajania from Nuvama Wealth Management.

Mahrukh Adajania: Can you please quantify the fair value gains in NII and then through other line items of the P&L in this quarter?

S. Sunder: Fair valuation gains in the current quarter? Okay. I'll do one thing, I'll just send it across through Sanjay, both the impact on the PAT as well as the NII.

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Moderator : Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Umesh Revankar, Executive Vice Chairman, Shriram Finance Limited for his closing comments. Over to you, sir.

Umesh Revankar: Thank you. Thank you all for joining this call. We had a good set of numbers in this quarter. And going forward, we feel that fourth quarter should be equally good or maybe even larger, because demand seems

to be quite good in the fourth quarter. And going forward also, we feel that post , since all merge r-related integration issues are addressed , we should be able to continue to grow and do our business very comfortably and keep growing our bottom line and good progress. Thank you, everybody.

Moderator : Thank you, sir. Ladies and gentlemen, on behalf of Shriram Finance Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

SEC/FILING/BSE -NSE/2 3-24/68A -B May 0 2, 202 3

BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra -Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investor s earnin gs call for the fourth quarter and year ended March 31 , 2023.

Further to our letter dated April 28, 2023, regarding the audio link of the investor s earnings call for the fourth quarter and year ended March 31 , 2023, we enclose herewith the transcript of the said call . The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you,
Yours faithfully,
For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY

Encl.:a/a.

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"Shriram Finance Limited Q4 and Full Year FY '23
Earnings Conference Call "

April 27, 202 3

MANAGEMENT : MR. UMESH REVANKAR - EXECUTIVE VICE CHAIRMAN
MR Y. S. CHAKRAVARTI - MD AND CEO
MR. PARAG SHARMA - JOINT MANAGING DIRECTOR &
CFO
MR. S. SUNDER - JOINT MANAGING DIRECTOR
MR. SUDARSHAN HOLLA - JOINT MANAGING
DIRECTOR
MR. NILESH ODEDARA - JOINT MANAGING DIRECTOR
MR. G. M. JILANI - JOINT MANAGING DIRECTOR
MR. K. SRINIVAS - JOINT MANAGING DIRECTOR

MR. RAVI SUBRAMANIAN - MD AND CEO, SHRIRAM
HOUSING FINANCE
MR. SANJAY MUNDRA – IR HEAD

Shriram Finance Limited
April 27, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Shriram Finance Limited Earnings Conference Call for the fourth quarter and full year ending 31st March 2023.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar – Executive Vice Chairman for his initial remarks. Thank you, and over to you, sir.

Umesh Revankar: Thank you. Good evening, friends, from India and Asia and warm welcome to all of you who joined this call. Greetings to those who have joined the call from the western part of the world.

Today, with me we have Mr. Chakravarti – the Managing Director and CEO, the Joint Managing Director – Mr. Parag Sharma, Mr. Sunder, Mr. Sudarshan Holla, Nileshe, Jilani and Srinivas.

We also have Ravi Subramanian – MD and CEO of Shriram Housing Finance, and Sanjay Mundra, our IR Head.

Let me first give an update on the merger:

At the conclusion of Financial Year 2023, the merger of both Shriram Transport Finance and Shriram City Union Finance is complete.

On the operation front, the majority of the branches of Shriram Finance now offer at least one product more than they were handling before the merger. The IT and HR functions have fully integrated.

Let me come to the growth in Indian economy. At Shriram Finance, our activities are closely linked to economic activities, and I shall start with a brief commentary on the latest economic scenario.

The Indian economy grew at 4.4% in the quarter ended December '22. Recent report by ADB among others indicates that economy would have grown 6.4% for the full year '23. Now, while pace of growth may have somewhat moderated on account of easing of demand post-COVID, but still India would continue to grow and is likely to be the fastest growing major economy with expectation of GDP growth around 6.5% in coming years.

On the Union budget, which was presented on the 1st of February, the government has termed it as Saptarishi, the seven sages, in the name of seven sages. There are seven major announcements, which are - inclusive development, reaching the last mile, infrastructure and

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investment, unleashing the potential of the country, green growth, youth power, and development of financial sector.

These are the seven areas on which the government is focusing in the budget. And the budget also reiterated the importance of infrastructure with the investment plan of Rs. 75,000 crores on major, including Rs. 15,000 crores from private sector, on the major transport infrastructure projects for last mile connectivity, for port, coal, feed, fertilizer and food grain sectors that augurs good for our segments.

The government also revamped the credit guarantee scheme for MSME to take effect from 1st April '23 with inclusion of Rs. 9,000 crores in the Corpus. This scheme would enable an additional collateral-free guaranteed credit of around Rs. 2 lakh crore and reduce the cost of credit to MSME by around 1%.

The government also announced in the Budget that the entity DigiLocker is set up for exclusive use of MSME and the charitable trusts to store and share documents online for ensuring ease of credit flow.

On inflation, the CPI in India dropped to 15 months' low of 5.66% in the month of March as compared to 6.95% year ago. In March, rural inflation stood at 5.51%, while urban inflation stood at 5.89%.

RBI's Monetary Policy Committee, MPC, in its meeting on April 6th kept the repo rate unchanged.

The repo rate thus continues to be at 6.5%.

On agriculture and rural economy, agriculture for long has been one of the pivots of Indian

economy and Union budget for the financial year '24 has been cognizant of this in announcing the measures to bolster the Agri sector .

Some of the measures mentioned and taken in the budget are - setting up of Agricultural Accelerator Fund to encourage agri setup by young entrepreneurs in rural India , creating digital infrastructure for agri , developing massive, decentralized storage capacity to help farmers store their produce and realize remunerative price through the sale at appropriate time , promoting cultivation of high nutrition cereal such as millets , among others .

The government announced that total food grain production in the country is estimated for this crop year at 328 million , which is 4% more than the record food grain last crop year , that's '21 - '22. This is significant because the dependence of rural economy on agri and with increased MSP that augurs well for the rural economy , and it also helps in controlling the inflation for the overall country .

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As regards the monsoon production , the Indian Meteorological Department has forecasted normal Southwest Monsoon this year . This again , despite some doubts on El Nino impact, this announcement really gives relief .

On GST collection , it continues to be good for the financial '23. and in March , Rs. 1.6 lakh crore was collected , being the second highest GST collection ever . The total GST collections in the financial year '23 were to the extent of 18.1 lakh crore, a growth of 22 % over the previous year. Coming to the auto industry , the Jan to March quarter '23, the total CV sales grew by 11.6 % compared to Q4 . The quarter saw 2,78,878 units being sold against 2,49,806 units corresponding year last year .

For the full year , the overall growth was 34.3 over the financial year '22. The sale stood at 9,62,468 units against 7,16,566 units in the financial year '22. Sale of medium , M&HCV units in Q4 grew by 25.3 % with 1,17,710 units being sold against 93,974 units . For the full year , it grew by 49.2 % over the previous year with the sale of 3,59,003 against 2,40,577 units .

Sale of light commercial vehicle grew by 3.4 % over the previous quarter at 1,61,168 units compared to 1,55,832 units . For the full year LCV grew by 26.8 % over FY '22. It's 6,03,465 units against 4,75,989 units .

Two-wheeler sales grew by 6.3 % in Q4 versus the previous quarter . Sales amounted to 36,04,593 units against 33,89,792 units . For the full financial year, the two-wheeler sales grew by 16.9 % over FY '22 with 1,58,62,000 units against 1,35,70,008 units .

The domestic tractor sales grew by 8.1% in Q4 over Q4 '22. Quarterly sales aggregating 2,22,910 units against 2,06,263 units in the same quarter last year . For the full financial year, tractor sales recorded 9,45,318 units compared to 8,42,266 units in FY '22, a growth of 12.2 %.

The construction equipment sales in FY '23 grew by 25 % over the last year , again , because of the infrastructure spend and the road building activities .

The MSME sector comprises of nearly 63 million enterprises, which contributes 30 % of GDP , Indian GDP , and 45 % of manufacturing , and 40 % of export . It provides employment for 113 million people as per the government data , and also as per the IFC , the International Finance Corporation, the credit need of sector that is, the gap is Rs. 32.5 lakh crore . Despite this huge demand, less than 5 million MSMEs have access to formal credit.

I am very happy to say that all the segments which Shriram Finance represents as an industry leader and has significant presence have seen healthy growth, and we expect with the resale price of vehicle , equipment and property being robust ,

that will create a better credit demand plus which will also help in credit costs significantly .

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In this year , we also have gone through the , we have done this stress test , and the results will , since we have integrated the two companies , and we have multi-products , we also have gone through , done the stress test, and the results will also have that in fact or.

Now I hand over to Mr. Chakravarti to go through the operation performance . Thank you very much .

Y. S. Chakravarti: Thank you, Umesh . Welcome all to our Q4 and Financial Year '23 Earnings Call. We have declared our results for the quarter and year earlier today , and I trust you had an opportunity to look at the related Investor Presentation.

It gives us pleasure to report that the merger process has been concluded successfully , and as Mr. Revankar has already mentioned in his opening remarks , the process , IT and workforce

integration stands completed . The rolling out of additional products across integrated branches has commenced , and we are on track with regard to the introduction in phases of these products . Before I start my commentary on key performance areas , I would request you to note that the corresponding previous year figures are not comparable , as the effective date for the merger is 1st April 2022.

On the performance metrics , in Q4 FY '23, we have registered disbursement growth of 6.19 % over Q3 FY '23. Our disbursements in Q4 FY '23 were 31 ,054.10 crores as against 29,245.26 crores in Q3 FY '23. Our disbursements in Q4 FY '22 were 25 ,054.08 crores . For the full year '23 our disbursements were Rs. 1,11,848.44 crores , while in FY '22 we had disbursed 87 ,948.67 crores worth of loans .

Our AUM as on 31st March 2023 grew by 4.61% over Q3 FY '23, and it now stands at 1,85,682. 90 crores as against 1,27,040.80 crores at the end of FY '22.

Our net interest income in Q4 FY '23 grew by 0.41 % over Q3 FY '23. Our net interest income for the fourth quarter stands at 4,445.89 crores as against 4,427.88 crores in Q3 FY '23. For Q4 FY '22, we have registered a net interest income of 2 ,627.82 crores . For the full financial year '23, our net interest income was 16 ,963.07 crores . Our net interest margin was 8.55% against 8.52% in Q3 and 6.96 % in Q4 FY '22.

Profit after tax for the fourth quarter actually degrew a little over Q3 FY '23. Our PAT for Q4 FY '23 stands at 1,308.31 crores compared to 1 ,776.97 crores in Q3 FY '23. PAT for the full financial year was 5 ,979.34 crores , while in FY '22 it was 2 ,707.93 crores .

Our earnings per share stood at 34.94 as against 47.46 in Q3 FY '23 and 40.15 in Q4 FY '22.

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As regards asset quality , gross stage 3 in Q4 FY '23 declined by 8 basis points and net stage 3 decreased by 1 basis point over Q3 FY '23. Accordingly, gross stage 3 stood at 6.21 % compared to 6.29 % in Q3 , and net stage three stood at 3.19 % compared to 3.20 % in Q3 . Our gross and net stage 3 figures as of Q4 FY '22 were 7.07 % and 3.67% respectively .

The credit cost for the current quarter stood at 2.24 % as against 1.75% for Q3 FY '23. Our credit cost at the end of Q4 FY '22 stood at 2.03%.

Our cost to income ratio was 28.29 % in this quarter as against 22.23 % recorded in Q3 . The cost to income ratio at the end of Q4 FY '22 was 20 %.

Regarding our subsidiary Shriram Housing Finance , our subsidiary registered disbursement growth of 16.43 % year-on-year and 29.98 % over Q3 . Disbursements in Q4 FY '23 were 1,301.10 crore as against 1 ,117.60 crores in Q4 FY '22 and Rs. 1,001 crore in Q3 FY '23. For the full financial year 2023, disbursement growth was 51.36 % over FY '22. FY '23 disbursements aggregated to Rs. 4,145.96 crores versus Rs. 2,739.20 crores in FY '22.

Shriram Housing's Assets

Assets under Management as on 31st March 2023 grew by 50.26 % year-on-year and by 12.10% sequentially . AUM at the end of FY '23 stood at 8 ,046.60 crores as against 5,355 crores at the end of FY '22 and 7 ,178.20 crores as at Q3 FY '23.

Their net interest income in Q4 FY '23 showed a growth of 3.84 % year-on-year and 44.62 % quarter -on-quarter . Net interest income for Q4 FY '23 was Rs.105.30 crores as against Rs.72.80 crores in Q4 FY '22 and Rs. 101.40 crores in Q3 FY '23. Their net interest income for the full financial year of 2023 grew by 54.98 % over FY '22 having come in at Rs.387.70 crores in FY '23 versus 250 .10 crore in FY '22.

They have registered a profit after tax growth of 68.19% year -on-year and 2.10% quarter -on-quarter. PAT For Q4 FY '23 came in at 37.10 crore versus 22.10 crore in Q4 FY '22 and 36.30 crores in Q3 FY '23. PAT for the full financial year 2023 was higher by 71.45 % over FY '22, the figures being 137.70 crores and 80.30 crores respectively .

Their earnings per share stood at Rs. 1.14 against Rs. 0.78 in Q4 FY '22 and against 1.12 in Q3 FY '23. Shriram Housing's gross stage 3 for Q4 FY '23 stood at 0.93%, and their net stage 3 was at 0.69 % . These were 1.72 % on gross basis and 1.32 % on net basis in Q4 FY '22 and at 1.15% on gross basis and 0.87 % on net basis in Q3 FY '23.

The company is investing , Shriram Housing Finance is investing in the expansion of its distribution through the addition of cross identified key focus states. The company has added 19 branches to its network in the second half of FY '23 taking the total branch strength to 131 as on March '23.

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Shriram Housing Finance Limited is now a dominant player across southern states and Gujarat

and plans to expand distribution in selected focused geographies .

I shall now request our Whole Time Director and CFO Mr. Parag Sharma to brief you on our fundraising activities and other liability related matters as they have evolved in the quarter . After that, our Joint Managing Director Mr. Sunder will give his commentary on accounting and regulatory aspects . Over to you, Parag.

Parag Sharma: A few numbers on the liabilities side. Our total liabilities stand at Rs. 1,57,906 crores broken up into 23% through retail deposit , which is close to Rs. 26,140 crores ; capital market borrowings of Rs. 34,768 crores , which is close to 22 % of liabilities: bank loans and institution loans of Rs. 41,000 crores , which is close to 26 % of liability ; and securitization of Rs. 22,106 crores , which is 14 % of liability . Rest is offshore borrowing in the form of loan and bonds , which is close to around 14 % of liability .

The cost of funds have gone up from 8.77 % in the previous quarter to 8.82 % now. There was a RBI policy rate increase on the 8th of February by 25 basis points , which has led to increased borrowing costs , and borrowing for the quarter was Rs. 20,000 odd crores, and this is being borrowed at close to around 9% through different sources .

Liquidity on balance sheet is close to around Rs. 17,659 crores , which is good enough to take care of more than three months of our liability repayment , which is Rs. 16,000 crores , and LCR is at around Rs. 209 crores against regulatory requirement of 70 % accounts there , and debt equity is at 3.65 , which is previous quarter of 3.61 .

The ALM buckets have been positive and cumulative up to , ALM should be positive by Rs. 20,000 crore .

With this, I will hand it over to Sunder for his comments.

S. Sunder : Good evening everyone. The employee count as on 31st March was 64 ,052 as against 60,918.

The cost to income was higher at 28.29 % primarily because we are taking a hit of 302.58 crores on account of amortization of the intangibles , which we had created on account of the merger . And the PD of stage one was 8.04 % . PD

of stage two was 18 % , and LGD was 42.27 % for the quarter ended .

As Mr. Revankar had mentioned in his opening remarks , we had performed the stress testing on the entire portfolio post-merger . The stress testing was done by a Big Four and the impact of the same was Rs. 295 crores in the current quarter . It is a one -time hit which we have taken in the book, and hence the credit cost for the year has gone up about 2% , which is 2.01 , stands at 2.01%.

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And there will be some fair valuation differences when we , the standalone numbers of Shriram Finance and the standalone numbers of Shriram Housing, if you add 1 plus 1 will not be equal to 2. It will be slightly different . There is a difference of Rs. 23 crores on the PAT numbers for quarter four that is primarily on account of the fair valuation that we have done and for the entire , for the full year it is higher by Rs. 32 crores , again on account of fair valuation . It is more of an accounting comment. Nothing else.

With this, we open the floor for questions.

Moderator: Thank you. We will now begin the question -and-answer session . The first question is from the line of Avinash Singh from Emkay Global . Please go ahead.

Avinash Singh: Good evening . A few questions . The first one will be data keeping, if you can just provide segmental disbursement number for the quarter and for the year .

And the second question on your intangible amortization that you have taken for around 295 crore for the quarter , and it relates mostly to the branch asset and their useful life . So, now roughly around on 1 ,500 crores you have taken close to 300 crores . So, is it like going to be a first quarter run rate or is it like a kind of a 300 crore kind of an amortization run rate on an annual basis ?

And lastly , if you can explain the elevated credit cost , I mean , particularly considering that you have dipped 500 crores into management overlay and still that credit cost is on the higher side .

So, if you can explain . So, these are my three questions .

Y. S. Chakravarti: On the disbursement side this quarter , commercial vehicles was at Rs. 12,182.30 crores . Passenger vehicles at Rs. 5,592.10 crore . Construction equipment at Rs. 1,945.70 crores , Farm equipment at 623.30 crores , MSME 3,572.80 crores , Two-wheeler Rs. 2,339.50 crores . Gold Rs. 2523.30 crores . Personal loan Rs. 2,250.10 crore and a Rs. 25 crore others .

S. Sunder : And on the intangible , we had created an intangible of Rs. 1,513 crore during the merger on account of the network which we had acquired of SCUF , and we are amortizing it over a period of five years , and the hit for the current year has come to Rs. 302.58 crores . Going forward , in the next few years , four years , it will be Rs. 75 crores per quarter , meaning Rs. 300 crores per annum .

And coming to the credit cost, as we mentioned we had performed a stress testing on the entire portfolio, loan portfolio, and the additional hit on account of it comes to Rs. 295 crores. Consequently, due to this, the credit cost goes at 2.01 %, despite the fact that okay, we have reduced our COVID-related provisioning to Rs. 1,100 crores from the earlier Rs. 1,650 crores,
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and this as we have been guiding you earlier that this is being utilized for giving waivers to the customers who were impacted during COVID times.

Moderator: Thank you. The next question is from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.

Abhiram Iyer: I wanted to talk regarding your cost of funds. You mentioned that it was currently around 8.8 % with a potential 20 bps increase coming through. Given that your cost of funds all in would be somewhere around 9% right now, what are your fundraising plans going to be moving forward? You've done a rece

nt private placement of a USC bond. Is the gap between INR funding and onshore, offshore funding now sufficient enough for you to test the waters in the USC Market again?

Parag Sharma: Yes. So, incremental cost of fund has been slightly high. So, I don't expect the full 25 basis point RBI policy increase to be there for us for next quarter. There will be at least 10 basis point increase in the cost of fund for sure from the current level.

When it comes to the dollar bond, what we have done is loans as of now on one private placement of a bond, as of now we are not envisaging issuing a dollar bond in the immediate future. That is maybe not for sure in the next month or so, because the rates still continue to be, the landed cost will still continue to be higher than what we have done through the loan format. We will continue to look at opportunities at loan rather than looking at bond market which until and unless markets sufficiently rates come down, we will not be able to tap it. Onshore liquidity continues to be good, and that is what we will focus upon both in the form of retail deposit and the domestic capital market.

Abhiram Iyer: And just a quick clarification. This is more sort of a technical question. You have given in your presentation that the NIM on AUM has slightly increased to 8.55 % despite, you know, net interest income on an absolute terms being pretty much flat quarter-on-quarter and your AUM actually growing by about 4%, 5 % quarter-on-quarter. Am I understanding this correctly on how the NIM on AUM is calculated, because it seems that they should go down with the higher denominator?

S. Sunder: So, we do an averaging on a daily basis, and hence on an absolute number, it will be difficult for you to compute. So, just opening and closing by two will not work out. It will be a day-based averaging. And hence, there will be some difference by what we have written and what we will be getting.

Abhiram Iyer: So, suffice to say there was chunky disbursements, I mean, one or two days where disbursements are much higher towards the end of the month which ...?

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S. Sunder: Yes, it should be. Yes, end of the quarter, it will be.

Umesh Revankar: End of the quarter normally yes.

Moderator: Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: Thanks for the opportunity. So, just wanted to understand more about this one-time hit. What led to this higher PD on the portfolio? And how could one see credit costs for FY '24, especially when we have guided for a potential 3% plus kind of an ROA?

S. Sunder: So, the PD have been again recalculated based on the current year up to December, and we have removed the fifth year, which was we are using, and hence there will be some shifts. This is an yearly activity that we do, and because of that there has been some changes in the PD. And also the mixture of the mix of the portfolio also will have an impact on the PD and LGD numbers.

Umesh Revankar: See, basically, when we do these stress test, what happens is depending upon the inflation, the interest rate changes, overall liability cost changes, the people who prepare it, they also give a weightage to the kind of segment which you are lending to. And definitely, it will be little conservative in the way we account it.

So, the PDs will be normally little higher, elevated, but we take it in our stride because it is very conservative, and it's good for us to be conservative in this environment. Even though the economic activities are good, the credit cost has actually come down, but to be conservative and

having a stress test calculated and taking into account helps us in preparing for the worst.

Sameer Bhise: That is helpful . And secondly , on the MSME and personal lo

ans piece , just wanted to understand

given that SCUF historically probably did not grow as fast , but what gives us confidence that these two segments can meaningfully pick up th an SCUF h as historically grown , especially in these two segments ? That's it from my side .

Y. S. Chakravarti : See, the basic thing is MSME, we have been growing . It's not that we have not grown , but what gives us the confidence that we will be able to grow it faster is the availability of number one , network ; number two , availability of people with vintage within the group where we will be , the idea that we should be able to leverage on these two . So, that means since we have access to lot more locations and with MSME being a focused product for the organization , we feel confident that we will be able to grow it.

Moderator: Thank you. We have the next question from the line of Gaurav Kochar from Mirae Asset. Please go ahead .

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Gaurav Kochar: Thank you for taking my question . Few questions . Firstly, if I look at the credit cost for this quarter , while you mentioned you have changed the PD assumptions and all , the write-offs were elevated at Rs. 629 crore , if I just calculate the differential in provisions. So, going forward , what is the sort of steady state credit cost? Because 2 % is what you had always guided for . So, taking cues from that and given that we are in a kind of benign environment , does this PD assumptions change that and the overall guidance , I think Sameer alluded to earlier , at 3% ROA, does this have any bearing on that number ?

Umesh Revankar: The credit cost if you look at , it is 2% for the year ended March , for the full year . So, I think our guidance of credit cost at 2% will continue to remain .

Gaurav Kochar: So, going ahead also , the guidance is 2%, despite the PD?

Umesh Revankar: Yes, that will remain .

Gaurav Kochar: And for the margins , sir, if I look at this last quarter , there was a 138 crore , because of the accounting changes that we had done for acquisition or during merger , that related 138 crore was there on the NII line. In this quarter , was there a 109 crore , you know, positive impact on NII in this quarter ?

S. Sunder: It is 145 crores in the current quarter .

Gaurav Kochar: Sorry. How much is it ?

S. Sunder: 145.

Gaurav Kochar: 145, okay . So, just removing 145 crore from the current quarter and removing 138 crore from previous quarter , on a core NII, if I were to just compare the two , the NIMS have actually declined , and AUM has grown by around 8,000 crores . So, net-net, the NIM on AUM , on average AUM would have declined . So, what would explain that , sir?

S. Sunder: See, it is difficult to compare between the December quarter and the March quarter , primarily because in December quarter , you have two additional days , whereas in March quarter , you have 31 days in Jan and March , but 28 days in February . And hence there is an impact of two days , and it is substantial . So, that also you need to factor.

Gaurav Kochar: Sure. So, that would be , but still , I mean , the difference is even if I adjust for that , the difference is large , because you have grown , the AUM has grown by around Rs. 8,000 crores , unless the bulk of the growth came in the last week of March.

S. Sunder: Yes. We have the recent gain . You can contact Sanjay tomorrow , and then he will provide you.

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Umesh Revankar: Gaurav, you also understand in the last quarter and last few days , normally , the booking , loan booking is very high . So, that also need to be factored .

Gaurav Kochar: Okay. Probably , I will take this offline .

Umesh Revankar: The AUM growth will be very high because of that .

Gaurav Kochar: Sure, sir. I will take this offline probably . And lastly , on this goodwill

or the intangible write-off

that you have taken , can you tell me what is the outstanding balance of this intangible of which 300 crore or 295 crore has been marked down ? So, what is now the balance which is left ?

S. Sunder: See, we had that 1,513 minus 303. It is 1,210 is outstanding .

Umesh Revankar: See, 1,513 equally divided by 5 years.

Gaurav Kochar: So, this 300 odd crore gain will come every year?

Umesh Revankar: Every year. Correct.

S. Sunder: Correct. For the four years, it will come.

Gaurav Kochar: So, this will be like a Q4 phenomenon or it will be like Rs. 75 crores each quarter?

S. Sunder: No, no. See, it will be spread over each quarter. So that every quarter we will get 75 point something.

Umesh Revankar: The last quarter we did not take it in account. Therefore, it has come together.

S. Sunder: Full year. Full year it has come.

Umesh Revankar: Full year. So, full year we have to mark it now. So, the impact of the full year has come in this quarter. But next year onwards, every quarter it is 75.

Gaurav Kochar: Sure. And on the goodwill front, that impairment is still --

S. Sunder: See, that will be tested for impairment, but it should be done every year end, and it's unlikely to have an impact in the next few years at least. That's what we are continuing to guide.

Gaurav Kochar: So, what's different between a goodwill impairment versus the intangible impairment that we have done now? Sorry, I joined the call late. So, maybe if you would explain?

S. Sunder: No, the intangible is primarily has been created to get the benefit of tax. So, goodwill, as you are aware, it will be disallowed by the tax department, and there will be an impact of tax on that,

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whereas the intangible, you get a tax break. So, this can be claimed as an expenditure, and income tax allows that.

Gaurav Kochar: No, no, my question was the logic of writing this off and not writing goodwill off. Given that the entire acquisition was done and the...

S. Sunder: See, the intangible has been created for the usage of the network of Shriram City Union Finance branches, and we have taken an independent valuer's opinion, wherein we feel that the usage of these branches will be for five years, and it needs to be amortized over the life of the useful asset. That is the logic. And whereas the goodwill will be tested for impairment, and then again, this year also we tested for impairment. It was not impaired. So, next year again, we will go and test for impairment, and we need to take a call at that point of time. So, the accounting treatment for both are different.

Y. S. Chakravarti: So, basically as he's explained, goodwill, you don't get a tax break. Impairment on intangible, you get a tax break.

Gaurav Kochar: Sure. My question was more on the treatment, not on -- but I will take that also offline, I guess. And just final question, sir, on growth. This quarter, we saw a strong growth in AUM. So, for next, let's say, couple of years, while you have maintained 15% growth guidance, but given that the merger synergies will play through in the next two years and slowly and steadily we will see more and more branches, you know, doing more disbursements of each other's loans, Shriram City Union branches selling Transport loans and Transport branches selling SCUF loans. So, taking that cue, do you see any sort of improvement in the loan growth guidance that we have given at 15%?

Y. S. Chakravarti: No, right now we are committed to this 15%. The other point is Shriram City Union Finance branches may not be very accretive for the commercial vehicle business because, in fact, if you look at it, Shriram Transport has a much, much larger network than Shriram City Union Finance. So, it will be actually the retail side which will grow faster because of the erstwhile

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Transport branches.

Umesh Revankar: Gaurav, the focus will be to improve on the net profits bottom line rather than the top line growth.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from Philip Capital. Please go ahead.

Shubhranshu Mishra: Thank you for this opportunity. I just want to stress upon the liabilities again. Have you done any kind of repayment of ECBs and how is the bond market looking at us, and what kind of domestic bond experiences are we looking at in this fiscal? That is first.

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Second is, again, you mentioned on the growth and the growth guidance. So, are we to look at some amount of product mix change going forward in '24, '25, if retail is to be more dominant? That's the second.

And third is just a data keeping question. If you can just tell maybe two-wheeler disbursement again, sir?

Parag Sharma: On the buyback of offshore bonds, we have not done anything in the current quarter. We did it in the previous quarter, and in fact previous two quarters we did close to around 230 odd million,

which was well received by the investors . In fact, the secondaries also performed well . Current quarter, we have not done anything . We have maturities in the month of July and August , and that is what we are looking at . When it comes to the other data points, be it two -wheeler disbursement you wanted, and growth...

Y. S. Chakravarti : Two-wheeler disbursement, you know, current, actually that's one point that I missed out in my statement . We have disbursed nearly close to 1.2 million two -wheelers in the current financial year. So, we expect this to grow by about , see, we are actually more focused on the number of two-wheelers funded rather than on the amount . So, the targets to the team is also on the number of two -wheelers . So, we expect it to grow by about 10% to 12 % depending on how the industry is faring .

See, one thing in this is the South is not , I would say , the South markets , there is a d egrowth in the South markets . The growth is coming from Bihar , UP, Madhya Pradesh , Rajasthan, plus some of the North -eastern like West Bengal . These are the states that the market is growing at a faster phase . So, going forward , we will see the growth there .

Shubhranshu Mishra: And any bond issuances that we are looking in this fiscal year FY '24? What's the quantum, si r?

Parag Sharma: Domestic or offshore , we will look at the market opportunities . Domestic we do keep doing the regular private placement , which we will continue .

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services. Please go ahead .

Abhijit Tibrewal: Thanks for taking the question . So, again , going back to the margin question , sorry to bother you with it again , but, I mean , if we look at the reported margins , we have really not seen any compr ession in the reported margins . As a matter of fact, on a sequential basis , it's expanded by three basis points .

But if we look at the accretion to the interest income , again , I am just looking at the last three quarters from 2Q, 3Q and 4Q. I mean , last quarter also , we added close to , I would say , 8,100 crores in AUM. This quarter also broadly similar number . So, while we accreted 300 crores in Shriram Finance Limited

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interest income last quarter , we have not seen the same accretion in interest income this quarter .

So, are ther e any one -offs in the interest income in the form of any interest income reversals ?

S. Sunder: See, we will do one thing . Okay. You contact Mr . Sanjay . He will be able to provide it tomorrow morning . We don't have the number right now . We will provide it in the morning .

Abhijit Tibrewal: Sir, again, one last question. While we have done that stre

ss testing and like you suggested taking

a onetime hit of 295 crores, if you could help understand this onetime hit is in the nature of higher provisions driven b y higher PD s or these are in the nature of write -offs of about 295 crores that you have taken during the quarter ?

And also a related question . In which particular product segments , I mean , were these most pronounced ? This stress testing, I mean , what was the outcome of that ? And are there any particular product segments which were relatively more stressed than the others ?

S. Sunder: The stress testing, when it was performed , apart from the PD, LGD, what the company has been taking into account based on the historical data , the consultant also looked into macroeconomics factors like GDP , CPI and bank lending rate . And basis that he had performed this stress test, and the number was marginally elevated for almost all the products whatever we are into , and they had come out with a number , and whatever was the differential provision , see, we were , let us say , we were holding 11,000 crores of provision in our book , and they were saying that 11,295, the differential 295 was taken as a provision and not as a wri te-off. And in case you require the product wise PD , LGD, okay , maybe we will try to extract that and then try to give it, but as of now we don't have it right now .

Abhijit Tibrewal: Sir, again, squeezing in one last question in the interest of time , I mean , the effective tax rate that we see in this quarter was elevated . I mean , was it anything to do with this impairment of intangible assets ?

S. Sunder: No, not to do with it. It was more to do with the benefits that we had taken over the past few years . So, this tax rate will be elevated for the next couple of years . That is what we want to guide. We are disallowing the ECL provision , which we have already claimed in the previous year. So, that we are required to pay and he nce the impact is coming on the tax front.

Abhijit Tibrewal: So, sir, if I kind of , I mean , understand you right . We had taken some benefits on ECL provisions in the prior years .

S. Sunder: Yes, earlier it was , see, we used to maintain separate set of books few years back , and we used to claim it as an expenditure , and the department was allowing it . Once the Ind AS came into picture , then we started moving out of maintaining two sets of books for income tax and the shareholders , and whatever benefit we got in those years , now we are re quired to, it's more of a Shriram Finance Limited

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timing difference . So, it will be next couple of years at least that tax rate will be at around 30 %, I would say .

Abhijit Tibrewal: So, sir, I mean , essentially for the next few years , the effective tax rate is now going to be at 30%.

S. Sunder: Couple of years , Yes.

(THE MANAGEMENT CLARIFIED IN AN INTERACTION IMMEDIATELY FOLLOWING THIS EARNINGS CALL THAT THE INCOME TAX RATE FOR THE SUBSEQUENT YEARS WOULD BE AT APPROXIMATELY 26%)

Moderator: Thank you. The next question is from the line of Bunty Chawla from IDBI Capital . Please go ahead .

Bunty Chawla: Thank you for the opportunity . All my questions are answered . Just a data point if you can share write -offs for the full year and write -off for the Q4 FY '23?

S. Sunder: The write -off for the current quarter is 805 crores and for the full year is 2,615 crores. And the provision including the one -off provision of 295 crores is 379 crores , and for the full year the provision is 1 ,545 crore , and the credit cost for the quarter amount which is 805 plus 329 is 1,184 crore , and for the full year 2 ,615 plus 1 ,545 is 4 ,159 crores.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA . Please go ahead.

Piran Engineer: Just a couple on personal loans and g

old loan . So, you know, in personal loans , what really gives us the confidence to grow so fast in an unsecured product ? Can you give us some more color on this business in te rms of , you know, are these cross -sell customers ? What is the average ticket size, if there's any bureau data of these customers ?

And secondly on gold loans , you know, our plan was to scale it up in the last analyst meet when we met. Gold prices are also up, but if we look at the book , it's been flat in the last two , three quarters if you can throw some light on that.

Y. S. Chakravarti : Yes, on the personal loan , we are now almost done with our legacy book , which is a market , where we were doing personal loans in the market . Today , it's entirely the in -house database of our existing customers who have either completed a cycle or who have completed at least 75 % plus percent age of their loans . One.

Two, was average ticket size is around 55,000 t oday . This is also because there are also a lot of customers who have serviced these loans a couple of times , two, three times , and they are small businessmen where we give them up to 1 lakh loan . So, the average is about Rs. 55,000 today , and the average tenure is about 20 odd months .

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So, the confidence is that we have mined about close to 4.5%, 5 % of the eligible database of our customers so far . So, the idea is to go ahead and mine it a little more aggressively . Now as I said earlier , now that we also have the support of the erstwhile STFC team and the branch network , we will be able to service these customers . So, that's one .

The other point on the gold loan is , see, on the gold loan , yes, we will scale it . We are in the process of scaling it up . For starting or setting up gold loan s, one is , you need to set up the infrastructure and also train people . See, we do not have appraisers on a contract basis . We go with our own team . We train our people on appraisal , appraising the gold .

Second is we need to provide a secured room , you know, CCTV cameras , so all this infrastructure , which we are doing on a phase wise basis . So, probably by the end of the year , you will see the impact of all the new branches adding to the disbursement of g old. Does it answer your question ?

Moderator: Sir, the line for the current participant has disconnected . We will proceed with the next question from the line of Ashwin Kumar Balasubramanian from HSBC Asset Management . Please go ahead .

A. K. Balasubramanian: Just wanted to understand in terms of the liquidity policy , so prior to merger , you know, Shriram Transport used to carry about Rs. 17,000 crores - Rs. 18,000 crore of cash and bank balances and SCUF used to carry about 5 ,000 odd crores . Now the total curren tly are up about 16 ,000 crores . So, it's come down a little bit . So, just wanted to understand is there any thought process in terms of as a proportion of the balance sheet , what is the liquidity that you would like to maintain ?

Parag Sharma: I think we always had a policy of maintaining three months of liability repayment as liquid cash , and that has not been changed . Only during COVID period , we enhanced that liquidity buffer from three months to close to around six months . So, as of now what we have is 17,600 odd

crores . I said the debt which is maturing for the next three months is 16,000. So, that is good enough to take care of three months of liability repayment , and that policy has been there for last, I think , more than 15 years . So, that we are not going to dilute .

But there has been a constant demand that why we are carrying a higher liquidity buffer and not reduce it . So, we said , we will always maintain three months and that continues . So, as of now what we have is for three months of repayment , which is close to 17 ,000 crore , and in case

liabilities goes up , this will be further increased but not going to be diluted for three months of liability repayment.

Moderator: Thank you. As there are no further questions , I would now like to hand the conference over to Mr. Umesh Revankar for closing comments . Over to you , sir.

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Umesh Revankar: Thank you for participating in this call . As I was telling you , our economy is doing well , and our segment which we are in are growing , and we feel that the growth will continue . And as we have given guidance for three years 15 % AUM growth will continue , will be our focus . And also, the underlying focus will be to grow more on the bottom line and improve our profitability . Thank you very much for participating again . We will meet again in the next call . Thank you.

Moderator: Thank you. On behalf of Shriram Finance Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

SEC/FILING/BSE -NSE/23 -24/68A -B July 31 , 2023
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra - Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the first quarter ended June 30 , 2023.

Furth er to our letter dated 27th July 2023 , regarding the audio link of the investors earnings call for the first quarter ended June 30 2023 , we enclose herewith the transcript of the said call.

The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you,

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.:a/a.

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"Shriram Finance Limited
Q1 FY '2 4 Earnings Conference Call "
July 27, 202 3

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MANAGEMENT : MR. UMESH REVANKAR – EXECUTIVE VICE CHAIRMAN – SHRIRAM
FINANCE LIMITED

MR. Y S CHAKRAVARTI – MD & CEO– SHRIRAM FINANCE LIMITED

MR. PARAG SHARMA – JOINT MANAGING DIRECTOR & CFO

MR. S. SUNDER - JOINT MANAGING DIRECTOR

MR. P. SRIDHARAN - JOINT MANAGING DIRECTOR

MR. SUDARSHAN HOLLA - JOINT MANAGING DIRECTOR

MR. NILESH ODEDARA - JOINT MANAGING DIRECTOR

MR. G. M. JILANI - JOINT MANAGING DIRECTOR

MR. RAVI SUBRAMANIAN – MD & CEO – SHRIRAM HOUSING
FINANCE LIMITED

MR. SANJAY MUNDRA – INVESTOR RELATIONS HEAD – SHRIRAM
FINANCE LIMITED

Shriram Finance Limited
July 27, 202 3

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Moderator : Ladies and gentlemen, good day and welcome to the Shriram Finance Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Umesh Revankar , Executive Vice Chairman. Thank you and over to you, sir.

Umesh Revankar : Thank you. Good evening, friends from India and Asia. A warm welcome to all of you who have joined this call. Greetings also to those who have joined from the western part of the world.

To present our Q1 earning call today, I have with me Mr. Chakravarti, Managing Director, Joint Managing Director and CFO, Mr. Parag Sharma, and Joint Managing Director s, Mr. Sunder, Sridharan, Sudarshan, Nilesh and Mr. Jilani. We also have with us Mr. Ravi Subramanian: , MD & CEO of our Subsidiary, Shriram Housing Finance Limited and Sanjay Mundra, our Investor Relationship Head.

Financial year 2024 is also when Shriram Group is celebrating its Golden Jubilee. So this is the 50th year of our existence. I take this opportunity to thank all of our group customers, investors, deposit holders, team members, and all of the stakeholders for enabling our Group to reach this milestone of 50 years of existence. Thank you very much.

Coming to the economy, the performance of which is intertwined with our company's own performance, Indian economy grew at 7.2% in FY'23, exceeding government's projection. India was the fastest growing major economy in the world, and this performance underscored the country's resilience compared to general slowdown in Europe and other parts of the world. The GDP growth outlook for FY24 is currently expected more than 6%. With good monsoon, well-contained inflation, increasing consumption would likely boost the private capex. The government spend on logistics infrastructure would encourage international manufacturing to move to India. And that means Indian economy is likely to exceed the expectation.

On inflation, the CPI index has been reasonably benign in the first quarter of FY'24. The month of April it was 4.7, and it is the lowest since October 21. In following month, May 23, it came down further to 4.25. And in the month of June, it went up to 4.81, but still below the RBI's tolerance limit.

The wholesale inflation was in negative territory throughout the first quarter. Meanwhile, RBI in its MPC meeting retained the repo rate at 6.5 and guided for the inflation for the FY'24 at 5.1. So we can expect the repo rate to remain at current level if that is the overall guidance.

On the rural economy, after having faced some headwinds in the last 18 or so months, mainly caused by the inflation and higher commodity prices, Indian rural economy appears to be doing well now. It has reflected in higher FMCG consumption plus two wheeler sales. The crop yields are up, the MSP prices are up, and therefore, the agricultural income and non-agricultural income should be helping the rural economy to revive.

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As for the monsoon, southwest monsoon has covered entire country and we expect the kharif to be good. The kharif planting season is underway now. There is sufficient stocks of staple grains which are wheat and rice, the procurement of which has helped the agri-economy. While the official statistics on food grain production of FY'22-23 season are yet to be published, it is estimated to have been 324 million tons, which is 2.5% higher than the previous year estimate, and also represents record production levels for seventh year consecutively. Meanwhile, the government has set a target of 332 million foot grain

or this crop year, that is,

23-24, that is, July to June, which is 2.6% increase over the previous year. Overall, Kharif crop has been sown in around 53.6 million hectares till July 14, which is around 4.29% less than the previous year. But by the end of this month, it is likely to cover that deficit.

On GST collection, the Q1, 2024 has seen a robust GST collection. And April 23, we saw highest ever GST collection of 1.87 lakh crore. The strength of GST collection continued into May with 1.57 lakh crores and June at 1.61 lakh crore. This helps the government's planned infrastructure spend.

Now coming to the auto industry, the automobile industry has largely been doing good, despite the fact that first quarter normally is a dull one. The commercial vehicle, the CV sales aggregated 2,17,046 units, compared to 2,24,488 units. And within CV, M&HCV saw a growth of 2.5% year-on-year, that is 77,774 versus 75,854. Meanwhile LCV sales were slightly lower at 139,272 against 148,634 a year ago.

The passenger vehicle registered a growth of 9.4% with 9,95,974 units against 9,10,495 units previous year. Two Wheeler again has seen the growth with 11.2% in Q1, 2024 versus Q1 FY'23, which was 41,40,964 units compared to 37,24,533 units. Three wheelers have seen the maximum growth of 89.4% growth with 1,44,475 units against 76,293 units. Tractors have again seen growth of 19.23% over the previous year with 2,25,234 units, against 1,88,903 units.

India's construction equipment industry turned out a best ever performance in FY'23 with 26% year-on-year increase in sales with 24,806 units being sold against 21,299 units. India with this kind of consumption or the sales is likely to become third largest market for construction equipment overtaking Japan in the year 2024.

On the other prominent loan product that Shriram Finance offers is MSME. India has an estimated 63 million MSME units registered and Shriram largely caters to Micro and Small with average ticket size of around 1 million and with which the company has been nurturing for nearly two decades now and wanting to scale it across the country post-merger with large number of branches and the network being there.

The growth of formal retail credit demand in India is in upward trajectory overall. And we see a lot of involvement happening from urban and rural region also. The surge in demand is largely driven by digitally literate, tech savvy, younger generation who have embraced mobile technology for their daily transaction. Even the rural credit, which was dependent on local moneylenders, is now moving towards formal credit option with the JAM Trinity helping them become part of digital economy.

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Recognizing this opportunity, we have forged a strategic collaboration with pioneering mobile payment platform, Paytm, to extend financial services across the nation. As a prominent player in delivering financial solutions to unbanked populations, this partnership holds immense significance for Shriram Finance. Being the largest retail NBFC in the country, this alliance will facilitate issuance of loans to credit starved segment of the economy through a few taps of smartphones. With this new digital alliance, the company aims to reduce downtime for customers seeking instant credit, while retaining its position as trusted financial service partner. Paytm, a trailblazer in QR and mobile payment, has redefined the traditional loan distribution model with its focus on digital first credit distribution, ensuring access to users at the last mile. By combining Paytm's extensive reach and technological infrastructure with Shriram Finance's expertise in lending and underwriting, this partnership forms a potent force in financial services sector.

With sourcing, distribution, and servicing moving on to digital platforms, the cost of borrowing would certainly get reduced to

the customers over the period. This is going to be a game changer for small enterprises in improving business margins, increasing sales, and expanding their market.

We also are happy to inform that the S&P international rating agency upgraded our international ratings from BB minus to BB. On merger synergies, the synergies arising out of last year's amalgamation of Shriram Transport Finance and Shriram City Union Finance, we continue to expand our product suite in our combined network of branches in Shriram Finance Limited. The process of two companies coming together and working has been relatively seamless and a year down road, it appears to all of us at Shriram Finance, it has always been one entity.

Now, I request my colleague, Mr. Chakravarti, to take over and run through the operational performance. Thank you.

Y S Chakravarti : Thank you. Ladies and gentlemen, welcome to the earnings call for the first quarter of the new financial year.

We have declared our results for the quarter earlier today and I trust you had the opportunity to peruse them and the related investor presentation, which are available on the website of the stock exchanges.

Post the merger which came into effect last year, our combined efforts are reflected in the results of the first quarter, and we hope they will only grow stronger progressively. We registered disbursement growth of 21.26% Y-O-Y, our disbursements in the first quarter aggregated to INR30,454.80 crores versus INR25,114.78 crores in Q1 FY'23 and versus INR31,054.10 crores in Q4 FY '23.

Our asset under management as on 30th June 2023 has registered a growth of 18.56% over Q1 FY'23 and of 4.06% over Q4 FY'23. Our AUM stood at INR1,93,214.67 crores as against INR1,62,970.04 crores a year ago and INR1,85,682.86 crores a quarter ago.

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Our net interest income in Q1 FY'24 registered growth of 11.31% year-on-year to INR4,435.27 crores in the quarter as compared to INR3,984.44 crores in Q1 FY'23 and INR4,445.89 crores in Q4 FY'23.

Our net interest margin was 8.32% as against 8.12% in Q1 FY'23 and 8.55% in Q4 FY'23.

We registered a PAT growth of 25.13% to INR1,675.44 crores for the first quarter of FY'24 as

compared to INR1,338.95 crores in Q1 FY'23 and INR1,308.31 crores in Q4 FY'23.

Our earnings per share for the quarter stood at INR44.73 as against INR35.76 in Q1 FY'23 and INR34.94 in Q4 FY'23.

On our asset quality, Gross Stage 3 in Q1 FY'24 stood at 6.03%, and Net Stage 3 at 2.96% as against 6.27% Gross Stage 3 and 3.32% Net Stage 3 in Q1 FY'23, and 6.21% Gross Stage 3 and 3.19% Net Stage 3 in Q4 FY'23.

Our credit cost for Q1 FY'24 stood at 1.62% as against 2.34% for Q1 FY'23 and 2.24% for Q4 FY'23. Our cost -to-income ratio was 27.29% in the first quarter as against 23.18% in Q1 FY'23.

Our cost -to-income ratio in Q4 FY'23 was 28.29%.

Regarding our subsidiary, Shriram Housing Finance, they have registered a disbursement growth of 139.42% over Q1 FY'23. Disbursements in the first quarter of this year were 1,902.61 crores as against 794.68 crores in Q1 FY'23 and INR1,301.13 crores in Q4 FY'23.

The asset under management for Shriram Housing Finance as on 30th June 2023 has grown by 64.39% year -on-year to INR9,539.20 crores as against INR5,802.64 crores in Q1 FY'23 and INR8,046.60 crores in Q4 FY'23.

Their net interest income registered at growth of 41% in Q1 FY'24 to INR85.27 crores as compared to INR60.47 crores a year ago and INR66.63 crores a quarter ago. Shriram Housing Finance registered a profit after tax growth of 51.07% to INR45.64 crores as compared to INR30.21 crores for Q1 FY'23 and INR37.14 crores for Q4 FY'23.

Their EPS stood at INR1.40 against INR0.93 in Q1 FY'23 and against INR1.14 in Q4 FY'23.

Their Gross Stage 3 for the first quarter of this year stood at 1% and Net Stage 3 came in at 0.75% as compared to Gross Stage 3 at 1.56 and Net S

tage 3 at 1.19 in Q1 FY'23 and at 0.93

Gross Stage 3 and 0.69 at Net Stage 3 in quarter 4 FY'23.

I shall now request our Whole -Time Director and CFO, Mr. Parag Sharma, to highlight the activities centered around raising of resources and credit rating upgrades, after which our Joint Managing Director, Mr. Sunder will brief you about accounting and other aspects. Thank you. Parag?

Parag Sharma: Hello everyone, I am Parag. On the debt, we have total debt outstanding of INR1,61,931 as of the June quarter and the cost has gone up by around 7 basis points from 8.82 to 8.89. We are maintaining diversity of liability sources with the retail deposit at around 24%, external commercial borrowing both in the loan and bond format at close to 15%, the domestic capital

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market at 21%, bank borrowing at around 25%, and securitization, which is done for priority sector assets at around 15%.

The liquidity is close to around INR16,165 crores, and this will take care of our next three months of maturity, which is close to around INR15,790 crores. We always had a policy of maintaining three months of liability repayment into liquid assets, and that continues to be there. The LCR ratio is at 202.83% versus 209% in the previous quarter. The debt to equity has slightly come down from 3.65% to 3.6%. This is on account of utilization of the excess liquidity what we had. And the ALM buckets continue to be positive. And up to one year bucket the cumulative surplus will be in excess of INR26,000 crores.

We had taken an ECB loan of 200 million in the last quarter through – this is on the loan format through different banks. I'll hand over to Sunder for his comments.

S. Sunder: Hello everyone. The employee count as of 30th June 2023 was 66,343, an increase of 2,291 compared to the March number. And while on the ECL positioning, the stage 1 PD was 8.05%, and the stage 2 PD was 18.88%, and LGD was 42.32. As against the March number of 8.04 of stage 1 PD, 18% of stage 2 PD, and 42.27 of the LGD. And we continue to hold this COVID provision. The amount as of 30th June was INR1,008 crores and as against an opening balance of INR1,107 crores. We had utilized INR99 crores in the current quarter. And that's it from me and we would open the forum for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is in the line of Digant Haria from Green Edge Wealth. Please go ahead.

Digant Haria: Hi, congratulations on the good performance and thanks for this opportunity. So, two questions from my side. First is a little on the recent performance that, see our -- in the last 12 months we have seen fast growth in, the old SCUF portfolio, which is the personal loans and MSME loans. These are typically, these are higher yielding loans, but still, our margins this quarter has been under pressure. So, if you can just explain that like it's from the borrowing cost side or what is it?

S. Sunder: It's a combination of both on the yields as well as the cost. The interest cost has gone up marginally by around 7 basis point. And the yields have come down by 8 basis points to 9 basis

points and that has caused the pressure on the NIMs.

Digant Haria: Why would the yields come down because there is a faster growth in the SCUF portfolio ?

Y S Chakravarti: Digant, I am Chakravarti here. So, that's basically because in the last quarter, we have funded - the share of our new vehicles have gone up. Funding of new vehicles has gone up. That has primarily led to both passenger and commercial vehicles has gone up, which has led to a slight compression in yield.

Digant Haria: Okay, perfect, perfect. That's helpful. Thank you. And the second question is – maybe to both of you, Mr. Chakravarti and Revankar that, see when we look at this period of 2015 to 2020 both Shriram Transport and SCU

F had credit costs in excess of 3% if we look at the whole five -six

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year bucket. I understand we were migrating from 180 days to 90 days and there was ILFS and some economy itself was patchy but what has changed internally that we are now so confident of 2% kind of a credit cost. Is it our collections, our credit writing, or is it just that the vehicle prices are so high that even if we have to repossess, we'll not lose money? Is there any qualitative color you can give on this particular question?

Umesh Revankar: Yes. It's a combination of everything. One is the economy is really doing well, and the vehicle utilization levels have gone up and vehicle values or prices have gone up. All this matters a lot for the operator. When the vehicle prices go up, people would like to hold on to vehicle, not to default, because the moment they default they lose the value of the vehicle or rather they lose the increased value of the vehicle. That is one thing primarily making them work little extra hard to retain the vehicle and operate.

And second, their operating income has gone up. See, on an average, a vehicle used to operate around 19 days, 20 days earlier. And in the best of the days, it used to work for 22 days to 23 days in a month. But today, consistently in the last two years, if you see, vehicles run around 25 days, 26 days in a month because there is a good utilization, good demand for the vehicle. The number of vehicles have not increased in the last three years, even in spite of the economy growing because the vehicle prices have gone up steeply by 25% -30%.

Since the vehicle prices have gone up, the buying of a new vehicle has slowed down. That enabled us and also the operator to use the existing vehicle for longer time and also with the best profitability. All this has helped. It is not only in the vehicle department, whether it is a personal vehicle or a passenger vehicle or a commercial vehicle. Even in the business also, there is a significant improvement in the environment. Earlier, around 60%, 70% of our collection used to be in cash, where we have to go to the customer and collect the cash. But last four, five years, the cash component has come down. Most of them are digital transactions.

That saves a lot of time. And there is a substantial improvement in the productivity for both customer and the employee. That also helps the efficiency in the overall collection. So, all these things really matter a lot. So, the credit cost, as you rightly put it, from around 2.5% in the last couple of years back, it has come down below 2%. And we believe, this will continue to remain, and I don't see any further deterioration, and it should be below 2% in any point of time. One is environment, one is vehicle prices being up and the business overall operating levels have gone up. All this have resulted in this.

Digant Haria: Perfect, perfect. Sir, thank you. That was a detailed response. And just on the SCUF portfolio also, if you can just comment on the same because SCUF was usually 3.5% to 4% kind of credit cost in the past. And on the Shriram City Union portfolio also, you can give those comments.

Y S Chakravarti: That portfolio, Digant, as I was telling you, we were, you remember, that we have been working on both credit and collections for quite some time, and I think, plus added to that, the economy doing well, has resulted in what you see. I think this is not a flash in the pan, it's work across probably about five -six years of hard work.

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Digant Haria: Right, right. Of course, of course. Just one more thing if I can squeeze in that, whenever the environment deteriorates next, someday in the next 10 years, it is going to deteriorate again. But those days, we will have lesser credit cost than in the past because of all these operating

eficiencie s that you talked about

Y S Chakravarti: Exactly, exactly.

Digant Haria: Perfect. Thank you so much for clarifying . All the best. That's it from my side.

Moderator: The next question is from the line of Gaurav Kochar from Mirae Assets. Please go ahead. Gaurav your line is unmuted.

Gaurav Kochar: Yes, hi. Good evening sir. Thanks for taking my question. Firstly congratulation's on the quarter. Just three questions from my side. First, I'm just extending the question asked by the previous participant. It is o n the yield on loans. If I look at the mix today, gold loan, personal loan, MSME loans, all these are typically higher yielding loans. The share of these loans have been going up as the AUM mix is moving faster towards these loans. Going forward, sir, taki ng a slightly longer term view, maybe two, three years, what do you think would be the overall share of these products, gold, personal loan and MSME, all of this combined? Today, it's about 20% of the overall AUM. In two to three years, can we expect this to be at least 25% -26% of the overall loan? And if that is the case, then structurally, don't you think we can have better yields on the overall portfolio?

Umesh Revankar: Yes, see, as you rightly put it , there will be a small shift in the portfolio toward s high yielding. So, naturally the net interest margins will improve. We are aiming at around 8.5 level of net interest margin by the last quarter. So, that is one. And one of the reasons for the margin crease for this quarter was because normally during t he end of financial year, that is March, the demand for new vehicle goes up. So, many of our customers upgraded to new vehicle during the March and this quarter. So, what happens is when the new vehicle component goes up, the margins are a little lower in new vehicles.

So, this, normally you will see the demand coming up in the March, April, May. So these are the three months normally the new vehicle offtake is high for our customers. So, these are the two reasons. And as you rightly put it, by making sligh t changes in the overall portfolio, we'll be able to improve our margins as per the plan.

Gaurav Kochar: Sure, sure. Thanks. And then on AUM growth, this quarter we grew 19% Y -o-Y. Your overall guidance has been 15%. There is also a tie -up that you have do ne with, new FinTechs and you plan to do more tie -ups in the near term. So, taking that cue and, given that the growth and overall demand has been strong, do you see, upgrading your guidance of 15% AUM growth?

Umesh Revankar: See, as of now, we will stick to 15% guidance, but coming to the end of the second quarter, we'll be able to clearly say what is likely growth for the full year, because we would like to see the monsoon coverage fully and see how the rural economy shapes up and that will help us to giv e a concrete number. But as you indicated, this 18% -19% is something in the first quarter is a good sign and we can expect these numbers to be maintained for the full year.

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Gaurav Kochar: Understood. Understood. And sir, in that the FinTech partnerships th at you will be doing, any sort of cap that you would have internally decided what percentage of AUM would be attributable to these FinTechs or what percentage of your AUM can be sourced from these FinTechs? Any sort of cap or any sort of number that you ha ve in mind?

Umesh Revankar: Right now we are looking at around 5% of the total AUM. So, that should be the target. And we will be growing very slowly there. We are not in a hurry to grow because we have the branch network reach. And this will be additional sourcing for us. Plus, we'll be combining both to see that we are most ,very effective in our disbursement and collection. Because for us, the relationship and collection matters much more than the sourcing. But this will help us to reach out to new set of

customers who are young, who are tech savvy and who would like to do business on digital mode.

Gaurav Kochar: Sure, sure. Understood. And on the cost , coming to cost, this quarter cost to income was slightly elevated at 30% versus your guidance of 27%, 28% kind of cost to income steady state. So, on a full year basis, do you see any risk to that 27%, 28% kind of cost -to-income guidance or you believe we can still achieve 28% kind of cost -to-income ratio for four years?

Umesh Revankar: Yes, we should be a round 27 -28. I think we're very confident of managing it within that level.

Gaurav Kochar: Sure, and just last question, if I may squeeze in. If I look at the subsidiary, Shriram Housing, I mean, very strong performance in this quarter. AUM growth was 18%, Q-on-Q. Even margin expanded by 130 basis points sequentially. So, just wanted some color around where the growth is coming from. I see the share of LAP has gone up. So, any sort of color that you'd like to give on this portfolio? And secondly, if I look at the capital position, clearly it has, it's just a shade over 20% on the capital adequacy front . So, do you see any capital raising in the subsidiary in this financial year? And whether it will be Shriram Finance who will put in the capital or you're looking for some strategic partners?

Ravi Subramanian: So hi, this is Ravi Subramanian here. As far as the split of growth is concerned, given that we

are governed by NHB, there are certain , there is a certain mix that we have to maintain between HL and LAP to maintain our principal business criteria. And any origination that we do will actually be in line with that. We built a new team this quarter and that's the reason why you see the origination of LAP going up slightly higher than normal. That will stabilize and home loan will stay in the 62% to 65% range for us going forward.

As far as the capital position is concerned, I think statutorily we are required to be somewhere around 15% capital adequacy. We are still 7%, 7.5% away from that and as a subsidiary of a large NBFC, I think we are in a reasonably strong position to capitalize as and when required.

So, at this point in time, I don't see too much of a stress on that point at all.

Gaurav Kochar: Okay, understood. And on the profitability, the ROA for the subsidiary was at 2.2%. Steady state, what is the ROA and ROE you're looking at, let's say, by the end of this year?

Ravi Subramanian: For the subsidiary, given the leverage is high, my ROAs should be somewhere in the region of about 2.75 to 2.8 on a steady state basis. And at the leverage levels that I am at right now, I think

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we would be, for the full year, FY'24, we would be somewhere around 15.5% in terms of an ROE. Because we are also investing heavily in growth and as a result of that, we will be at about 15.5% ROE. The benefits of this growth will actually come in FY'25.

Gaurav Kochar: Understood. Great. Congratulations again and thanks for taking my question. Thank you.

Moderator: Thank you. Next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Yes, hi. Thanks for the opportunity. So, when I look at the overall auto portfolio of CVs, passenger vehicles, construction equipment, all of this cumulatively, that portfolio has grown by about 16%. And this is while it's good on a standalone basis, but when we compare to peers, the growth is lower. So, what would be the reason why we've been lagging our peers in terms of the overall growth as far as the auto finance portfolio is concerned? Should I take up my other question right now or should we go one by one?

Umesh Revankar: See, as far as the growth is concerned, please understand and appreciate that we are fairly large. If you add our commercial vehicle and passenger vehicle put together, we are INR1,32,000 crores. So, our growth rate

will be definitely , cannot be compared with the smaller companies' growth rate because of the sheer denominator. So, overall increase in AUM will be still one of the highest is what I believe.

Raghav Garg: Sure, sir. And sir, another thing which I wanted to ask is, so you've been pointing out since a few quarters that the vehicle prices, especially in the used vehicle market have gone up quite a bit, maybe in the range of 15%, 20%, even 25%. But then, what I wanted to understand is that, what is the growth in the number of vehicles that you would have financed in say Q1 or maybe even last year? Is there a growth in the number of vehicles financed by you?

Umesh Revankar: Number wise, I think around 6% to 7% growth would be there and the rest is because of the value growth.

Raghav Garg: Sure, sir. Thank you. And, sir, my last question is, so one of the large NBFCs, just yesterday highlighted some bit of caution on the rural personal loans. Since you are, present in that business segment or at least geographically, your presence is there. What is your sense about whether there's stress in the rural segments or not and the kind of leverage levels that they have and whether it is prudent to continue to lend to them and grow at the rate which we are growing in the personal loan segment. That will be all from my side. Thank you. Yes.

Y S Chakravarti: Yes. Hi, this is Chakravarti . The entire personal loan book, you see that is there is totally consists of our existing customers. right, number one . Number two, majority of these customers are , 100% of these customers are two -wheeler customers where either they would have completed 75% of their existing two -wheeler loan , or, and above, basically, tenure would have been completed and we would have offered them a personal loan. Two things we must note here is that our two -wheeler portfolio, about close to 70% is semi -urban and rural, as you pointed out , and again, about 70% of them have no prior credit history. That is , they have minus one score. So, their ability to leverage outside is very limited. And we do offer them credit basing on their performance , on their loan performance. So, we are not too , to be honest with you, I'm not

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worried about any stress on this portfolio. In fact, I'm very, very positive on this personal loan portfolio. We also make sure that the EMI for the customer does not cross the two -wheeler EMI

that he was paying us. So, we do take precautions before lending. It's not just that it's a blind lending. And since they are all prove n customer base, I don't find a reason to worry about this portfolio at all.

Raghav Garg: Sure. Thank you, sir. What I see is that in the personal loan segment, I think the gross Stage 3 may have gone up a little bit. I think it was 5.53% in the last quarter, gone up 5.6%, and that too we've seen a decent amount of growth in this quarter. So, but you think there's nothing really to worry about here?

Y S Chakravarti: Nothing to worry about.

Raghav Garg: Probably because it's a seasonally lean quarter, that could be one explanation right?

Y S Chakravarti: See, these small bumps happens, but it's not something that we really need to worry that the portfolio, about the portfolio.

Raghav Garg: Sure. Thanks a lot sir. Thanks

Moderator: Thank you. The next question is from the line of Bunty Chawla from IDBI. Please go ahead.

Bunty Chawla: Thank you, sir. Thank you for giving me the opportunity. Actually, I've joined late, so sorry for being repetitive. As you said, there has been an increase in the cost of funds by 7 bps. So, how one should see this cost of fund moving in next two quarters? And respectively, what will be the impact on the margins and margin guidance impact for the full year FY '24? And this was my first question.

Parag Sharma: Okay. As for the costs are concerned, there

could be some increase in the subsequent quarters. I

don't expect any significant increase in cost. Margins, as indicated, we are looking at the asset mix and looking at a better net interest margin in subsequent quarters. So, it will be able to pass off whatever additional cost will be there. So, I don't expect any significant increase in the cost of liability.

Bunty Chawla: So, can we say 8.3% could be sustainable for next two quarters?

Parag Sharma: Yes, until and unless there is some market event, some regulatory changes, I don't expect cost to go up. It should be in the same lines, flattish only.

Bunty Chawla: Okay. Sir, my second question is, are you seeing any impact on the asset quality? As sir said about the rains we are seeing some flooding in a few of the states. So, any negative impact on the asset quality front because of that reason?

Umesh Revankar: If you look at the Monsoon season, every year, there will be some geography, which will be flooded, and some geography where the rain is deficient. Both will be there. So, if we average this out across, I don't see any reason to be alarmed at this stage. And the loss of property or the

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discomfort on transportation has not been seen anywhere. We have not got any report on such big instances. So, I don't really see any challenge. Some of the, you would have seen some either video clipping or maybe news where larger cities like Delhi or maybe Hyderabad are flooded, and that doesn't impact overall business or transportation.

Bunty Chawla: Okay. Sir, thank you. Thank you, very much.

Moderator: Thank you. The next question is from the line of Uday Pai from Investec. Please go ahead.

Uday Pai: Hello. Thank you for the opportunity. I just wanted the disbursement number for the quarter.

Moderator: Uday please use the handset. Your voice is echoing.

Uday Pai: Hello, is it clear now?

S. Sunder: Disbursement for the quarter is INR30,454 crores.

Y S Chakravarti: Your voice is totally garbled.

Moderator: Thank you. The next question is from the line of Harsh from Flute Aura. Please go ahead.

Harsh: Hello, sir. You have given us the guidance for cost-to-income ratio already and a steady state margin, you would be maintaining around 27%, 28%. But when I see the breakup of other costs, the opex cost and the employee expenses, they are somewhat like fluctuating in every quarter.

So, can you also provide some guidance on these cost numbers?

S. Sunder: In the current quarter, the employee cost has gone up by INR100 crores, subsequently close to INR790 crores, primarily because of the revision that we did for the employees. And there was a rationalization of salary across both the companies at certain levels, and that has impacted the staff cost. And this will continue because it's a permanent increase and hence, this trend should continue for the future also.

And coming to the other point that you have raised regarding the other operating expenses, it is more or less similar to the previous quarter, except that previous quarter, we had taken a onetime or rather hit of INR302 crores on account of the impairment of intangibles, which was for the entire year. And current quarter, we have taken INR75 crores, which is for a single quarter.

Harsh: Okay, sir. And in terms of steady -state basis going forward, as you mentioned, the cost would continue on that level. So, what would be your expectation in terms of ROE? What percentage are we targeting?

S. Sunder : See ROE should be anywhere between 15% to 16% for the entire year, yes, full year.

Moderator: Sir you are not audible. Can you please use the handset ?

Harsh: I was asking for midterm ROE, what those targets are we looking at?

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Umesh Revankar: See, we are aiming at 16% ROE at the end of the year. So, mi

term we cannot say, but that's the target we have kept ourselves.

Harsh: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Chandrasekhar Sridhar from Fidelity International. Please go ahead.

Chandrasekhar Sridhar: Question for Mr. Chakravarti, sir where are we adding all of these employees ? The employee count is up pretty substantially. Just maybe could you spend some time on that. And during the merger, we had announced that with the salary rationalization between SCUF and Shriram Transport was a INR68 crores difference. I mean I'm looking at the numbers now, it seems that just salary rationalization looks to be a very large number.

So, maybe just if you could help me on that. And a couple of questions for Mr. Sunder. One is - so the tax rate now is started the issues. I mean we work with like a 25% tax rate. And second is just from the annual report, all along the investment in subsidiary, which is largely in Shriram Housing was carried at about 650 sort of odd crores. I see this quarter that, and in your published numbers, it's gone up to INR1,500 crores, so investments in subsidiaries. So, maybe just help me understand what's resulting in the increase in the investment in subsidiaries?

S. Sunder : Yes. The investment in subsidiary, which has been quoted at INR1,500 crores is on account of the fair valuation, which we had done at the time of merger. Hence, the INR1,500 crores have been arrived. And coming to the staff cost, what we had earlier guided of around INR60 crores, INR 65 crores. But this INR100 crores hit also includes the normal increment to all the employees which is done on a yearly basis. Added to that, there has been an increase of around INR2,000 -odd employees in the previous quarter as well as in the current quarter. And that also has an impact on the staff cost.

And the other question was ? Where are you adding the -- ?

Chandrasekhar Sridhar: So all the employees are basically --The rationalization all has happened only in this quarter ?

S. Sunder: Correct

Y S Chakravarti : Along with the increment exercise, we did the rationalization exercise Chandra. And these employees are getting added mostly in the erstwhile commercial vehicle branches where we are introducing gold loans, two -wheeler loans and SME loans. So, it's almost across the country, not specific to a geography.

Chandrasekhar Sridhar: My understanding was there are only 100 Shriram Transport branches or something, which are on the ground floor. So, there was limited capability to add people for gold loan .

Y S Chakravarti: No, not 100. I mean ground floor and first floor are okay. So, we have added , as of yesterday, we have added 498 commercial vehicle branches to gold loan.

Chandrasekhar Sridhar: So, what's the total number of branches where you're doing gold loans now?

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Y S Chakravarti: So, this is 498 of commercial vehicle and close to about 1,000.

S. Sunder: So, it should be 1,500 you can take. 1,500 combined

Chandrasekhar Sridhar: Okay. Sorry on the tax rate?

S. Sunder : Tax rate will continue at 25%.

Chandrasekhar Sridhar: Okay. Fine, thank you.

Moderator: The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: Yes. Hi, thanks for the opportunity. And congrats on the good quarter. The LCR is around 200%. Is this a desirable level? Or how does it move going forward?

Parag Sharma : No. Okay. So regulatory requirement, what you're saying is right, it's much lower. But since we always used to maintain higher liquidity, the LCR is looking at 200 -odd percent. But desirable level, I think, one, we will continue to maintain the liquidity of three months repayment that we're not going to dilute. But based on the larger overall size, it can be in the region of 150 to

200, but it will definitely be much, much

above than the regulatory requirement of 100%.

Sameer Bhise: Fair enough. That is helpful. Secondly, on this whole product -wise provisioning, would you want to keep a higher stage -3 coverage on the personal loan as a product? I see it is at 47% right now?

S. Sunder : Yes. The provision is done on ECL methodology. And we go based on whatever comes out for based on the last five years' data. And as of now, it is at 47%. Rightly said yes, because the other areas it is -- But we will bring it above 50% maybe in the next couple of quarters.

Sameer Bhise: Okay. Okay. That's all from my side. Thank you, sir and all the best.

Moderator: The next question is from the line of Cao Sichan from Counsel

Sichan : Thanks for the opportunity. Just coming back to cost of fund again , so, you w e're saying that going forward, ex pect some cost of fund increase but not material. So, should we expect the quarterly cost of fund increase to be smaller than what we have seen in this quarter or -- and is it the right way to understand it?

Parag Sharma : Yes. So we don't expect the cost of fund to go up. We should be able to maintain the cost of the book at the current level, that is what we are indicating. The incremental cost of fund is definitely not up. So, that is the reason which gives us confidence that the overall cost should not go up any further. But even if it's closer -- it will be very, very marginal.

Sichan : So, our debt book is entirely almost all re -priced already by now.

Parag Sharma : Yes. Correct.

Sichan : Okay. Got it. Thanks so much. That 's all from me.

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Moderator: Thank you. The next question is from the line of Manoj Oberoi from YES Securities. Please go ahead.

Rajeev : Yes, sir. Hi, this is Rajeev here. Sir, just one question on value growth in vehicle finance both in CV financing , and yo ur PV financing. So, we have seen significant value growth in the last two years. How much do you see value growth helping us in AUM growth in the current year?

Umesh Revankar: See, the value growth now will be a little lower year -on-year. So, whatever inc rease was there because moving from BS4 to BS6, there was a technology upgradation and value growth was there. And even this year, what happened is there was BS6 2.0. That's some more increased emission norm s that also helped the vehicle prices to go up by around 3%. So, last three years, there is a continuous value growth and it may be slowing down from the next year. So, therefore, the ticket size may not be growing at the same level. But the number of vehicles probably will go up as we get into deeper po ckets. So, it should be able to overall maintain what has been given the guidance of 12% growth in the CV portfolio.

Rajeev : Got it, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Punit from Macquarie. Please go ahead.

Punit: Yes. Just wanted one thing. You said that your cost of funds was up 7 bps and the yields declined 8 bps, right? If I'm right, could you -- or was the number different?

S. Sunder : Yes, the cost of fund increased by 7 basis points and yields came down by 8 basis points.

Punit: Okay. 8 bps. So that's it from my side. Thank you.

Moderator: Thank you. Next question is from Gaurav Sharma from HSBC Securities. Please go ahead.

Gaurav Sharma: Yes. Sir just a small data keeping question. Can you please provide the segmental breakup of disbursement in Q1?

S. Sunder : we will give you offline. You can contact Mundra. He'll help you out.

Gaurav Sharma: Okay, sure. Thank you that's it from my side.

Moderator: Thank you. The next question is from the line of Amit Jain from Axis Capital. Please go ahead.

Amit Jain: Yes, hi sir, thanks for taking my question. Sir just wanted to know your thoughts on the MSME and the two -wheeler segment. How was it growing? Any challenges you see in term

s of asset

quality or the pain is behind and how do you see the growth panning in these two segments, sir?

Y S Chakravarti: So, I don't see any worry about asset quality. In fact, honestly, I think we are seeing one of the best periods for me, actually, one of the best periods of asset qua lity in both the segments. As far as business growth is concerned, two -wheeler, we expect a growth of about , the OEMs are expecting a growth of anywhere between 10% to 12% this year. So , and if it grows at 10% to 12%, we are sure that our portfolio will gr ow upwards of 15% plus.

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In fact, after a long, long time, we have crossed the disbursement of more than 10 3,000 two-wheelers in the month of June. So, it looks like good. There is also, I mean, the known fact is that there is also a clear competition in the market. I mean in the two-wheeler space. So, let us see how it goes. But we are confident that on the growth of both MSME and two-wheeler.

Amit Jain: Sure, sir. This is helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to Mr. Umesh Revankar for closing comments. Thank you, and over to you, sir.

Umesh Revankar: Thank you all for joining the call. As some of you – and it's one of the good quarter, especially in the first quarter, which is a little challenging, is a good quarter for us, and the indication of the growth is the indication for the full year. And as we discussed, we'll definitely work on improving the margins. And we will come out with better numbers coming quarters. Thank you. Good day or good night.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Shriram Finance Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Oct 2023

SEC/FILING/BSE -NSE/23 -24/68A -B October 30, 2023
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra - Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the second quarter ended September 30, 2023.
Further to our letter dated 27th October 2023 , regarding the audio link of the investors earnings call for the second quarter ended September 30 2023 , we enclose herewith the transcript of the said call . The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you,

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.:a/a.

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“Shriram Finance Limited Q2 FY24 Earnings
Conference Call ”

October 26 , 202 3

MANAGEMENT : MR. UMESH REVANKAR – EXECUTIVE VICE
CHAIRMAN
MR. Y S CHAKRAVARTI – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. PARAG SHARMA – JOINT MANAGING DIRECTOR
& CHIEF FINANCIAL OFFICER
MR. S. SUNDER – JOINT MANAGING DIRECTOR
MR. P. SRIDHARAN – JOINT MANAGING DIRECTOR
MR. SUDARSHAN HOLLA - JOINT MANAGING
DIRECTOR
MR. NILESH ODEDARA – JOINT MANAGING DIRECTOR
MR. G. M. JILANI – JOINT MANAGING DIRECTOR
MR. SRINIVAS – JOINT MANAGING DIRECTOR
MR. RAVI SUBRAMANIAN – MANAGING DIRECTOR &
CEO, SHRIRAM HOUSING FINANCE LIMITED
MR. G. S. AGARWAL – CFO, SHRIRAM HOUSING
FINANCE LIMITED
MR. SANJAY MUND RA – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to S hriram Finance Limited Q2 FY24 Earnings Conference Call.

As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the confe rence over to Mr. Umesh R evankar - Executive Vice Chairman. Thank you and over to you, sir.

Umesh Revankar : Thank you. Good evening, friends from India and Asia, a warm welcome to you. Greetings and good morning to those who joined the call from western part of the world. I have with me today our M anaging Director and CEO - Mr. Chakravarti; Joint Managing Director and CFO - Parag Sharma ; Joint Managing Directors, Mr. Sund er, Sridharan, Sudarshan , Nilesch, Mr. Jilani and Srinivas . Also present with me are Ravi Subramanian - Managing Director and CEO of Shiram Housing Finance Limited and Mr. Agarwal and Sanjay Mundra, our Investor Relations hip Head. It has been an encouraging quarter and first half of the year for Shiram Finance. We are seeing an early dividend in our operations of recent merger on the back of introduction of more products across our network.

Let me first go to the Indian economy. India's economy expanded by robust 7.8% in the quarter ended June 23. The outlook for FY24 is a growth of 6 .5%. This is based on statistics indicating the strong pickup in consumer demand, good rural demand as well as steady capital expenditure by the government on infra , which in turn is seeing the private sector following suit. Manufacturing activity too is seeing a strong growth and II P for the month of August, registering 14-month high of 10.3% , PMI index for August coming to 58.6 . The economy is therefore seen to be holding up well. Economic activity appears to be gaining momentum despite global geopolitic al uncertainty. Consumer demand appears to be improving further and should be even stronger during the upcoming festival season.

The retail inflation in June increased to 7.4%, which was a 15 month high. Now, in the month of September, it has already co rrected to 5.02%. At the same time, wholesale inflation was negative in July at 1.4%, which is further , it is now is contracted to 0.26% in this month, which is 6 months in a row, which has reduced . RBI in its MP C meeting earlier in this month retained the repo rate at 6.5% but guided for higher inflation for F Y24 at 5.4% versus earlier indication of 5.1%. We are witnessing some increase in vegetable price and that could lead to some increase in inflation in this quarter or maybe next quarter . However, we fee l the economy will continue to grow based on the strong rural economy .

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The monsoon this year was erratic. There were excess rain s in July and September. There was also a deficit in June and August . However, long period average is , it is a near normal monsoon. The r eival of monsoon in September has raised the prospect of helping major Kharif crop and the total area under cultivation was 1107.16 lakh hectare s, which is 2.37 lakh hectare s more than the last year. Oil seeds in particular have benefited from September's rainfall.

The Cabinet Committee on Economic Affairs has increased MSP that is minimum support price for Rabi crops for the year 24 -25 recently, which includes wheat, pulses and oilseeds. So, the rural economy is likely to do muc h better in the coming quarters.

The GST collection continued to be robust for Q2 FY24. The GST revenue crossed Rs. 1.65 lakh crore in July, third highest since GS T was introduced and 11% higher year-on-year. In August, GST col

lection was Rs. 1.59 lakh cr ore and September Rs. 1.63 lakh crore which is fourth highest and 10% year-on-year.

Coming to the auto industry , the commercial vehicle sales have been quite robust. In this quarter, the total sales aggregated 2,47,929 units which was higher than the previous year quarter which was 2,31,991 units representing an increase of 6.9% year-on-year. Within CV, M&HCV grew fastest at 17.6% year-on-year, sales numbering 93 ,796 against 79 ,761 units. LC V sales were 1,54,133 units versus 1 ,52,230 units , a marginal increase .

Passenger vehicles increased by 4.7% with 10, 74,189 units against 10,26, 309 units. Within the passenger vehicle , the utility vehicles grew fastest at 23.5 % , indicating utility and the SUV vehicle demand being higher . The base model vehicles grew, or I should say degrew to some extent. Two-wheeler sales were flat at 45, 98,442 units against 46,73 ,931 units. Two -wheeler sales is gradually picking up. What is encouraging is the sale of electric two -wheeler which was 63,715 units in September compared to low of 45,806 in June post the reduction of subsidy.

Three -wheeler sales grew very strongly with 1,95,200 units being sold with a 62.2% increase

over the previous year. Tractors have continued to grow at 9.4% over the previous year with 2,19,106 units sold against 2,00,316 units in the Q2 of previous year.

Construction equipment, again, registering very good growth of 29.26% with 27,444 units against 21,231 units in the same period last year.

One significant event in this quarter is the launch of our Super App, which we have been talking about for the last year. The Super App named Shriram One is now available in both Google Play Store and iOS App Store. We have started onboarding, initially we started with our employees using it, then we have started onboarding our existing customers and slowly it will be introduced to large number of our customers, which gives them a solution including the loan repayment, investment, insurance, credit score checks and many other utility functions which will make them even to do a social networking, shopping and utility payments.

Now, I request Mr. Chakravarti to take forward the opening remarks.

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Y S Chakravarti : Good evening, ladies and gentlemen. Thank you, Umesh. I welcome all of you to our Q2 FY 24 Earnings Call. We declared our results for the quarter earlier today and I trust you have had the opportunity to peruse them and the related investor presentation which has been posted on the website of the stock exchanges. As our Executive Vice Chairman said despite Q2 traditionally being a quiet quarter, this quarter has been encouraging for us. We registered a disbursement growth of 30.91% year-on-year and of 13.63% quarter-on-quarter. Our disbursements in quarter 2 of this year aggregated to Rs. 34,605.61 crores versus Rs. 26,434.31 crores in Q2 FY 23 and versus Rs. 30,454.80 crores in Q1 FY 24. Our assets under management as on 30th September 2023 have registered a growth of 19.65% over Q2 FY 23 and of 4.88% sequentially. Our AUM stood at Rs. 2,02,640.96 crores as against Rs. 1,69,359.08 crores a year ago and Rs. 1,93,214.67 crores a quarter ago. Our net interest income in quarter 2 FY 24 registered growth of 17.38% year-on-year and 8.55% quarter-on-quarter. We earned a net interest income of Rs. 4,818.18 crores in Q2 this year as compared to Rs. 4,104.86 crores in Q2 FY23 and Rs. 4,438.68 crores in Q1 FY24. Our net interest margin was 8.93% as against 8.26% in Q2 FY 23 and 8.33% in Q1 FY24. Our profit after tax grew by 12.59% in quarter 2 FY24 over quarter 2 last year and by 4.5% over quarter 1 FY24. We registered PAT of Rs. 1,750.84 crores for Q2 FY24 as compared to Rs. 1,555.11 crores in Q2 FY 23 and Rs. 1,675.44 crores in Q1 FY24. Our earnings per share for the

quarter stood at Rs. 46.67 paise as against Rs. 41.53 in Q2 FY 23 and Rs. 44.73 in Q1 FY24. On our asset quality, the gross stage 3 in Q2 FY 24 stood at 5.79% and net stage 3 at 2.8%. These numbers show an improvement over the corresponding numbers of 6.31% gross and 3.32% net in Q2 FY 23 and over 6.03% gross and 2.96% net sequentially. Our credit cost for Q2 FY 24 stood at 2.02% as against 1.73% for Q2 FY23 and 1.62% for Q1 FY24. Our cost to income ratio was 25.68% in Q2 this year as against 24.2% recorded in Q2 FY23. Our cost to income ratio in Q1 FY24 was 27.34%.

Regarding our subsidiary, Shriram Housing Finance Limited, Shriram Housing Finance Limited registered a disbursement growth of 60.93% to Rs. 1,688.30 crores as against Rs. 1,049.10 crores in Q2 FY23. Shriram Housing's assets under management as on 30th September exhibited a growth of 65.23% year-on-year and 13.38% sequentially. Thus the AUM stood at Rs. 10,816.03 crores at the end of Q2 FY24 as against Rs. 6,545.92 crores in Q2 FY 23 and Rs. 9,539.20 crores in Q1 FY24. Shriram Housing's net interest income registered a growth of 51.98% in Q2 FY24 over Q2 FY 23 and 14.27% over Q1 FY24. Net interest income for quarter 2 FY 24 was Rs. 97.43 crores as compared to Rs. 64.11 crores a year ago and Rs. 85.27 crores a quarter ago. Shriram Housing Finance registered a profit after tax growth of 41.7% in Q2 FY24 over Q2 FY 23, and of 5.67% over Q1 FY24. PAT for the second quarter of this year was Rs. 48.21 crores as compared to Rs. 34.03 crores for Q2 FY 23 and Rs. 45.64 crores for Q1 FY24. The EPS stood at Rs. 1.48 against Rs. 1.05 in Q2 FY23 and against Rs. 1.40 in Q1 FY24. Shriram Housing's gross stage 3 for the Q2 FY 24 stood at 1.08% and their net stage 3 came in at 0.83%. In comparison, these numbers were 1.52% on a gross basis and 1.15% on net basis in Q2 FY23 and at 1% gross and 0.75% net in Q1 FY24.

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I shall now request our Wholtime Director and CFO, Mr. Parag Sharma to inform you about our resource raising activities, after which our Joint Managing Director, Mr. Sunder will brief you about our accounting aspects.

Parag Sharma : Hello, everyone. On the liabilities, total debt stands at Rs. 1,65,547 crores which is an increase of Rs. 3,500 crores from the previous quarter. The breakup of the debt is 25% coming from retail FDs, which is close to around Rs. 40,800 crores. The domestic capital market is 21%, which is

Rs. 35,000 crores. The ECB both in loan and bond format is around 13% of all liability which is Rs. 21,500 crores. Securitization, which is largely for priority sector assets, is 15% of our liabilities and quantum wise Rs. 25,000 crores. Term loan from banks and institutions is 26% of our liabilities at Rs. 43,170 crores. The cost of debt has marginally come down from 8.89 to 8.87 as of the period ended September 23. The incremental cost of the fund is around 8.7%. The liquidity as of September was Rs. 15,600 crores, which is more than the liabilities for the next 3 months, which is close to around Rs. 13,000 crores, will be close to around 3.5 months of liability repayment.

The LC R ratio stands at 219.57% against a regulatory requirement of 85% to be achieved by December '23. The overall borrowing for the quarter has been around Rs. 21,000 crores vis-à-vis Rs. 18,000 crores in the previous quarter. The debt to equity stands at 3.59% versus 3.6 for the previous quarter. A LM surplus, all buckets have been positive as in past and surplus up to one year is in excess of Rs. 28,000 crores versus close to around Rs. 27,000 crores in the previous quarter. We have been raising ECBs and in the calendar year till now we have done close to around 980 million ECB borrowing largely in the loan format. Recently, we have concluded 400 million of ECB loans. With this, I hand it over to Sunder for his comments.

S Sunder: The employee count as on 30th September was 71,373 against 66,343 in June quarter. We have increased our employee count by 5,030. The cost to income ratio for the quarter September was 25.68 as against 27.34 in the previous quarter, and coming to the ECL numbers, in Stage -1, PD was 7.89% as against 8.05% in the previous quarter and Stage -2 PD was 18.21% as against 18.88% in the previous quarter and the LGD was 41.39% in the September quarter as against 42.32% in the June quarter. The board also approved the declaration of dividend of Rs. 20 per share that is 200% dividend was declared in the meeting earlier today. With this, we hand it over to the forum open for any questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania: Sir, if you could talk us a bit through your margins, do you see this level sustaining? I know you called out the marginal cost of funds, do you see this level sustaining? And the share of CVs has come down so any explanation?

Umesh Revankar: See the net interest margins have improved. One is the liquidity which we are maintaining at 4-5 months, now it has got down to 3 months, that is negative carry is reduced. That is one of the Shriram Finance Limited
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reasons and also the certain products which gives higher yield, we have been able to increase it that also has given, so the product mix and reduction of the negative carry that is the reason for the expansion of the NIM. It should continue depending upon the product mix what we lend that is one. And on CV we have grown 12%. In fact, if you recall, we have been telling that CV will continue to grow between 12% and 15% and the other products will grow faster. That is the strategy we have adopted, and we are going as per the strategy. So, CV will continue to grow and continue to remain mainstay, but the other product will continue to grow faster, but here if you observe the passenger vehicle have grown faster, so it is between the passenger and CV, the passenger has taken a little faster growth because of the bigger demand coming from Tier 2 and 3 towns for passenger vehicles. So, overall, I feel the growth of all segments will continue to remain strong.

Mahrukh Adajania: And the share of new CVs?

Umesh Revankar: New CVs, we are taking a position on new CV. It has continued to remain reasonably strong. In fact, we started growing on new CV in the last quarter, then continued in the first quarter and now also it continued to grow, but it will not be a significant number in the overall scheme.

Mahrukh Adajania: But the share would have reduced this quarter?

Umesh Revankar: It would have marginally reduced because other products have grown faster, that is all. Otherwise, it is continuing to grow at same level.

Moderator: Thank you. Next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: A couple of questions, first one, if you can sort of again on yield side, so yield seems to have improved a bit, so of course there is some shift in product mix, so what sort of a product mix change is the sort of a new old composition or the other segment like your PL or gold loan, that had driven up the yield, so if you can just help us understand what has led to this sort of improvement in asset yields? That is one and second, in the credit cost close to Rs. 1,100 odd crores numbers, if you can help us understand what sort of write-off we need to adjust? Thanks.

Y S Chakravarti: This is Chakravarti here. So, if you look at the growth for the 6 months compared to last year, the outliers, in the sense the highest growth has come from passenger vehicles, MSME, gold and of course personal loan.

an also which are basically slightly higher yielding products compared to the commercial vehicle. Out of the total disbursement of commercial vehicles, probably about 12% would be new vehicles and rest of it is old vehicles. So, the yields I would say the overall yield growth has come because of increase in MSME, gold and the personal loan products. And as far as the credit cost is concerned

S Sunder : The write-off during the quarter was Rs. 839 crores and the provision was Rs. 289 crores totaling to Rs. 1,128 crores.

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Avinash Singh : Yes, you said Rs. 289 crore is the provision, 800....?

S Sunder : Rs. 839 crores of write-off and Rs. 289 crores of provision.

Avinash Singh : And that yield improvement, we are talking more from quarterly sequential, so even from Q1 to Q2 has also improved well, if I see CV has gone down, PV has gone up a bit and personal and others have largely been stable?

Y S Chakravarti : The numbers I gave you were over the last two quarters.

Moderator : Thank you. Next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi : Sir, my question was pertaining to yields again, could you please highlight the rate hikes that we would have taken in the last 3 to 6 months for CV and PV segment?

Y S Chakravarti : No, we have not taken any rate hike there. We have held our rates; it is just the change of mix of products that has helped us in the yield side.

Shreepal Doshi : So, sir, what is our pricing in the new CV and used CV and PV segment currently?

Y S Chakravarti : The new CV ranges, anywhere from 11% to 13% and old CVs would be again 13% to 16%.

Shreepal Doshi : And MSME?

Y S Chakravarti : MSME would be again same thing 14% to 20%. Range depending on the security, the customer profile, it is a range.

Shreepal Doshi : Sir, just on margin guidance front, so we were earlier anticipating that for the year end we would see 8.5% margin, but with this liquidity related change in approach like we brought down the liquidity on balance sheet as well as change in product mix, so where do we see the margin moving for the year end?

Umesh Revankar : We would like to continue with our guidance on 8.5, but yes, depending upon the market situation, it can vary a little. So, it should be anywhere between 8.5 and 9.

Shreepal Doshi : And sir, just last question, during this quarter we have added 5000 employees, so is that onboarding of new employees only or is there anything else?

Y S Chakravarti : It is onboarding of new employees only.

Shreepal Doshi : As in from the fresh employee?

Y S Chakravarti : Yes, mostly, majority of them 95%-97% of them are fresh on street.

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Shreepal Doshi : For sales role, got it.

Moderator : Thank you. Next question is from the line of Gaurav Kochar from Mirae Asset. Please go ahead.

Gaurav Kochar : Sir, three questions from my side, firstly, on again margins, here I think the level of liquidity today is around Rs. 10,000 crore which is 6.5% strictly of your borrowings, so going forward, do we expect a similar kind of liquidity now that we will maintain probably 6%-6.5% of borrowings, which is essentially the 3-month liquidity cover?

Y S Chakravarti : Yes, that is the policy of the Company, and we will strictly maintain it.

Gaurav Kochar : And just on this LCR ratio, I think you reported 219, last quarter it was 202, so despite the liquidity coming down, the LCR has remained or in fact improved, is it largely because of lower outflows in the next 30 days, the weight is calculated?

Parag Sharma : Yes, correct.

Gaurav Kochar : So, for a normalized outflow, maybe next 30 days outflow may not be significant, but for a normalized outflow, what could be the like-to-like liquidity coverage ratio?

Parag Sharma :

It will be around 150% of what we will maintain.

Gaurav Kochar : It will still be much above the required levels, sure.

Parag Sharma : Correct.

Gaurav Kochar : And coming to the cost of fund, sorry, I couldn't catch the stock cost of fund, I got the incremental cost of fund, which was 8.7, what is our stock cost of fund today?

Parag Sharma : 8.87.

Gaurav Kochar : So, going forward, the margin trajectory as we speak 8.9 is what you did in this quarter and if the incremental cost of fund is lower than your stock cost of fund, what should slow the margin from here? Are you seeing some bit of moderation on yields?

Parag Sharma : So, I think as of now, there has been some increase. The incremental funds what we have now

seen coming in next few months should be around 8.75 % to 9%, so I don't expect the cost to come down. It should continue to be at around this level, only between 8.8 % and 9% is what I foresee.

Gaurav Kochar : No, the reason I am asking is what is the reason for holding on to the guidance of 8.5 given that we have already levered 8.9? Is it more conservative because from the data, I don't see that margin falling from here?

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Umesh Revankar : No, it is basically seen in the last quarter, definitely more demand will be there for new vehicle, then definitely there will be some shift in the mix, so therefore we are giving a conservative guidance.

Gaurav Kochar : Sir, second question on credit cost, if I look at the Stage -1 ECL cover that has gone up 20 basis point from 2.9 to 3.1 and that has led to increasing credit cost of around Rs. 260 crores, I just calculated, any reason to increase the PCR or standard assets? I think most of the NBFC's work at 70 -80 basis points on standard assets, why are we keeping 3.1% kind of cover on our standard assets?

S Sunder : Based on the historical data and also, we keep doing a stress test on the portfolio and basis that and the stress test when we do it is also linked to the inflation and CPI of the country and basis that, there is a movement in the requirement of the LGD and PD.

Gaurav Kochar : Because 3% is significantly higher than what we used to keep earlier and it is higher than all other NBFCs, so you would like to keep this at 3% kind of a level?

S Sunder : Yes, around this level, that is what we expect.

Gaurav Kochar : Because if I look at the improvement in Stage -2 and stage 3 assets, that is also an outcome of strong macros again here, that is kind of counterintuitive because if you are

S Sunder : Yes, you are right, but the improvement in the quality of the assets will get reflected in the subsequent periods only. Since we are taking the last 5 years data, this data will get added and then when we are again rerunning for the next year, then this impact may be better.

Gaurav Kochar : And the final question, sir, on the AUM growth, today in this quarter, we have delivered 20% growth, YTD growth is around 9% and Umesh sir has always maintained that 2H is better than 1H in terms of disbursement broadly 60 -40, in that context your growth guidance of 17 -18%, can we not do 20 or more in this year, given that we have already done 20?

Umesh Revankar : We always would like to grow faster, but the economic condition and the GDP growth both will determine the credit demand. So, we don't want to push beyond what the economy needs. So, we are always giving a conservative number, but if there is a scope to grow, we will grow more than 20 also. So, we are not hesitating, but the economy has to take that kind of growth. So, we are, I should say, very conservatively giving you the estimation.

Moderator : Thank you. Next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Sir, first things, if you could just help me with two data keeping questions,

so first, if you could

just give the disbursement mix and if Sunder sir can he just repeat the LGD number that he gave out in his opening remarks?

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S Sunder : Yes, the PD for Stage -1 is 7.89% in the current quarter as against the 8.05% in the previous quarter, and the PD for Stage -2 is 18.21% in the current quarter as against 18.88% in the previous quarter, and LGD for the current quarter was 41.39% as against 42.32 in the previous quarter.

Abhijit Tibrewal : And the disbursement mix?

S Sunder : So, we have disbursed totally Rs. 34,605 crores in the current quarter, the CV was Rs. 12,782 crores, passenger vehicle Rs. 7,379 crores, construction equipment was Rs. 1,978 crores, farm equipment was Rs. 550 crores, MSME was Rs. 3,593 crores, two-wheeler contributed to Rs. 2,359 crores, gold Rs. 3,051 crores and personal loans Rs. 2,910 crores.

Abhijit Tibrewal : Sir, a lot of discussion has already happened on margins, you have already suggested that these kind of margins look sustainable, so just two questions here, one is, would you be able to kind of split this margin expansion of 60 basis points that we have seen sequentially into what came because there is now lower liquidity on the balance sheet and lower negative carry and what has been driven by increase in the proportion of high yielding products in the mix?

S Sunder : This we will take it offline. You can contact Mr. Mundra. He will help you out maybe tomorrow.

Abhijit Tibrewal : And any one-off from the merger accounting in the NII that we reported?

S Sunder : No, nothing. All of the one-offs are over. There is nothing in the current quarter.

Abhijit Tibrewal : And sir lastly, on credit costs, write-offs appear slightly higher in this quarter, anything to read into from, asset quality perspective, any disruption that you saw from this erratic monsoons that

we had?

S Sunder : Nothing , June quarter , the number of settlements were lower , and the current quarter the settlements are higher. It was close to the 15.00 ,000 contract we close d and with an average write off of around 5500, this has been the trend in the previous quarters also . We have been , per ticket write -off will be around 5000 to 6000 is the broad range that we have been observing in the last many years.

Abhijit Tibrewal : And sir, just o ne last question, Umesh sir s aid that we kind of remain conservative in guiding for margins as well as AUM growth , so currently what is our guidance on AUM growth ?

Umesh Revankar : See, our year beginning guidance of 15% will broadly hold good, but since we h ave already grown at around 18% -20% year -on-year, the second half also we should be able to grow at similar level, see i t also depends upon last year's growth. So, year-on-year wh en you compare the previous year comparable, we need to see. So, I feel 18 %-20% is something good indication for rest of the year.

Moderator : Thank you. Next question is from the line of Viral Shah from India Info line. Please go ahead .

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Viral Shah : Actually, I had a question in terms of the personal loan , so of course within the entire product suite that you have , the SCUF products, as you mentio ned, they are driving the g rowth at an overall level, but within that the share of personal loans is also increasing , so in that context, can you give us some more color on A, the kind of customers you are targeting , some flavor around or what is the avera ge ticket size like? And secondly, also what is the progress in terms of your partnership with Paytm and have you forged partnerships with any other Fintech platforms and like what is the share of those loans?

Y S Chakravarti : As far as personal loan is concerned , today it is 100% targeted at my existing customer who has finished at least one cy

cle of loan with me. So, if you look at the disbursement of the last quarter, which is 2009 crore out of which almost 35% of the customers were people who have alr eady taken a two -wheeler loan and the personal loan and now again come for a second personal loan, which is basically the y have close d two loan s, they have come for a third loan , repeat customers . The rest of it is to two-wheeler cu stomers who have finishe d a cycle, they have finished their loan, and they came for that. So, average ticket size and this is in the sense a two-wheeler customer who is coming for a personal loan for the first time would be around 45 ,000 to 50,000 . Customer who has serviced 2 -3 cycles would be around 65,000 to 70,000 . That is the average ticket size. On the yield side, it ranges again depending on the customer 's profile also , ranges from 20% to 26%. As far as Paytm is concerned, the tech integration is in the process , we should be able to complete the tech integration in the next 2 weeks and then start business , one. Second is, on the tie -up with f intech s, we do have a couple of ti e-ups with fintechs where we tied up with one fintech for extending credit to new to credit customers and a couple of fintechs for supply chain funding.

Viral Shah : Sir, can you give , basically what is the target you have in terms of scaling up these partnerships with this fintechs, whether be it Paytm or the other fintech that you mention ed?

Y S Chakravarti : As of now, w e have not put a target on this. We wanted to see how the business performs for at least 2 to 3 quarters and then we will take a call on the numbers.

Umesh Revankar : See, Viral here , as our customer base increases , the scope for us to give personal loan also increases. So, that is how the opportunity will keep coming up.

Viral Shah : And sir, one last question from my end over here , so while I can see the gross stage 3 numbers for personal loans, which has been around 5 %-5.5%, what is the kind of write -off policy over here and what is the write -off levels that you are seeing currently?

Y S Chakravarti: Policy is 100% write -off on.....

S Sunder : It is based on the ECL model only , so it depends upon the product. So, there is no set thing. It goes below the historical data.

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Viral Shah : So, what is the policy for personal loans? For write -offs and what is the level of write -offs that we see?

S Sunder : Yes, beyond 12 months, supposing if it is more t han 365 days then we fully write off those assets.

Moderator : Thank you. Next question is from the line of Shweta D aptardar from Elara Capital. Please go ahead.

Shweta Daptardar : Sir, just taking cue from the previous question , did I get it right, unique customers to S hriram ticket size and personal loans of Rs. 45,000 to Rs. 50,000 ?

Umesh Revankar : Correct.

Shweta Daptardar : So, then just on this, if you could dwell more because there have been concerns in ticket size below 50,000, I do understand you just mentioned that most of the customers are two-wheelers , but especially these first -time customers , how is your experience on ground in terms of quality?

Y S Chakravarti : Let me correct you again. They are not first-time customers ; they have already serviced us Rs. 60,000-Rs. 70,000 worth of two -wheeler loan. So, they are not first-time customers. Our experience with dealing with them is fine. I think the concern mostly in the market on the smaller ticket is on the BNPL loans and point number 2 is just to let you know , about 85% of my personal loan customers are either self-employed or small businessmen, so most of this money goes toward small working capital use . These are basically could be your milk vendor, could be your plumber, electrician, your vegetable , fruit seller, these kinds of small businessmen .

Shweta Daptardar : And then what is

the ticket size for the second cycle customer you mentioned?

Y S Chakravarti : That will be around 60 ,000 to 75,000.

Shweta Daptardar : Sir, then my next question is again on our new vehicle financing growth , so I remember somewhere last time you did mention that the new vehicle financing growth is also because used vehicle financing customers are getting upgraded, but there has been more than 3 quarters now that we have been seeing new vehicle financing growth sort of surpassing the used vehicle financing growth and if we look at the market, so most of the NBFC and other players have been vying for used vehicle financing market share , so somewhere we are facing the competitive heat or this is by demand ?

Umesh Revankar : See, first of all, our used vehicle market share, we are not losing. We are actually gaining market share in used vehicles . So, new vehicles , yes, people upgrade, there are some used vehicle owners upgrade, and we do finance and in the last quarter , in the previous year , normally in the last quarter more people opt for new vehicle . That is every year , if you see in the last quarter , more people opted for a new vehicle. So, that is the only thing we highlighted in the previous quarter that because of that new vehicle mix increased. It is not that we are losing used vehicle

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market share and therefore we are doing new. It is not correct. We are continuing to grow in our used vehicle and some customers are upgrading to new vehicle.

Shweta Daptardar : That exactly was my question and sir, one last question if I may squeeze in , any additional provisions you have made again due to stress test this particular quarter the way you did in Q1?

S Sunder : No, additional provision.

Moderator : Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : Firstly, again with respect to write -off, if you can highlight in terms of the segments wherein the write -offs would have been higher, is it more coming in from PL segment or this seems to be more of the vehicle segment itself , so how should we look and if I heard it right, is this run rate is something which is more kind of a normal run rate of Rs. 800-Rs. 900 crores going forward too?

S Sunder : We have been guiding a credit cost of between 1.5% and 2%. We still expect to be in those levels for the full year and coming to the segment wise write -off, that I would suggest that you contact Mr. Sanjay, he will be able to help you tomorrow.

Kunal Shah : No, just the sense of whether incremental, whatever was there, was it more of a PL?

Umesh Revankar : Now, Kunal, I would like to tell you , see, there is a newspaper item saying that the low ticket personal loan having higher risk is something which is playing on all of your mind. I would like to clarify here. We are not in the open market for selling our personal loan. We are offering a non additional loan for our existing customer who has already repaid our loan. That means a track record is established and we know the customer , so we are offering them a personal loan to these customers if at all they need any personal business needs . This is not for consumption , this is for business because 80% of our two -wheeler customers are business people, they need a business loan for working capital or any other business expansion purpose and therefore this is given. So, I would like to stress here that we are not in open market personal loan, just like any other player or any other platforms, we are not there and also, we are not in BNPL market.

Kunal Shah : And secondly, when we look at the provisioning difference now between maybe the overall ECL on Stage -1 and Stage -2, in fact, if you look at it like Stage -2 ECL has actually come up from 7.85 to 7.18, so no doubt you highlighted in terms of the LGD and PD assumptions, but what

is

actually driving that? Is it more of a quality maybe the history which you actually rely on for this calculation that has undergone some change, but at the same point in time Stage -1, we are seeing the increase of 15 bps out there ?

S Sunder : It is more of a mix of the product as well as the ECL model that we run , so it is interdependent upon all these things and also the historical data. All these factors contribute to that.

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Umesh Revankar : See Kunal, what happens is, if you go back to last 5 years, there has been stressful period in the last 5 years, so some of those also will play when we go into ECL model. So, if I drop the 5 years and go just for 2 years, then this one will be totally different. So, as Sunder said in the beginning, as we go forward in next year, definitely our calculation will undergo a change, ECL model calculation will undergo change and the provisioning requirement will come down.

Kunal Shah : One last question on Housing Finance - Stage -2 ECL provisioning in housing finance that has almost doubled from, say, 3.5 % odd to 7.3 % in one single quarter, if you look at slide 38 of the presentation, so I don't know maybe what has led to this, is it more of a change in PD assumption and how should one look at the buildup of this stress out there in this portfolio, you get the last line 3.5 to almost 7.3 in one single quarter?

Ravi Subramanian : Kunal, we haven't made any change in the ECL assumption, so I will check this and get back to you.

Moderator : Thank you. Next question is from the line of Piran Engineer from CLSA India. Please go ahead.

Piran Engineer : Firstly, just wanted to understand that we have added 5000 employees this quarter, but our employee opex is absolutely stable, so any one-offs either last quarter or this quarter?

S Sunder : See, the previous quarter had the change in the gratuity assumption and hence the cost was higher in the previous quarter. This is more or less normalized one.

Piran Engineer : Sir, can you remind us how much that amount was?

S Sunder : I don't have it right now. Maybe you can contact Sanjay. He will help you out tomorrow.

Piran Engineer : Secondly, just getting back to personal loans, wanted to understand whether we started cross selling it to Shriram Transport customers or still within the customer ecosystem?

Y S Chakravarti : Shriram Transport customers, typically if they need a loan for, say, buying a tire or a battery or fuel, we already have those products, so pure play consumption personal loan, we have not yet started.

Piran Engineer : But we intend to or that.....?

Y S Chakravarti : We intend to, but it will depend on the customer's earning and repayment ability. It will not be a pre-approved loan that we are going to push.

Piran Engineer : And just sir, lastly on the same thing, because a lot of our PL customers are ex-two-wheeler customers, but when I notice our PL, GNP As are higher than two-wheelers, so what would explain that like a repeat customer having a higher delinquency than new customer?

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Y S Chakravarti : Basically, it is just that on the two-wheeler loan, the people feel that it is a secured loan. They have an asset that they have to lose, they may lose, whether here it takes a lot of persuasion.

Once they start getting delinquent, it takes a lot of persuasion to collect the money.

Umesh Revankar : Basically, two-wheeler loan is average 18 months to 24 months. This personal loan will be around 12 months, so....,

Y S Chakravarti : So, basically it is just that it is the nature that is what is the reason why it is called personal loan. So, it is not a secured loan, so people also tend to take it a little easy, you need to work that much harder.

Moderator : Thank you. Next question is from the

line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta : Sir, first question is on very strong consistent growth in used passenger vehicle portfolio, and now can you reason the growth, or can you give more color with respect to what kind of vehicles in this portfolio, which models are growing faster? And secondly, what is the nature of demand? Is it more replacement in nature or is it fleet addition? And thirdly, if you can also call out the role of what is the value of growth versus volume growth in this portfolio?

Umesh Revankar : See as of now, the ticket size is definitely a larger one, so that is definitely helping in the vehicle portfolio growth, especially in the passenger vehicle, retail prices have gone up by 30 % to 40%.

So, that is really helping in the growth, but otherwise also, the reach has also increased for us.

The number of branches to offer the passenger vehicle and the commercial vehicle has increased, but passenger vehicle is easy sell for most of the erstwhile SCUF branches. Therefore, passenger vehicle growth is faster.

Rajiv Mehta : And sir, even MSME growth has been growing, the growth has been pretty strong, I know that we have been gradually, our strategy has been to take it to the erstwhile Shriram Transport branches for cross sell, so can you call out what has been the additional growth because of cross sell that we are starting to see that is number one? And whether is there any role of ticket size increase in this growth being reported?

Y S Chakravarti : So, ticket sizes have absolutely not grown, and we also monitor very closely the ticket sizes because we are very conscious of what we do, one. Second is, the growth is also because, as you said, you are right that we have taken it to places where the commercial vehicle branches are

also there. So, I would say an additional 10 %-12% growth has come in the loans because of the introduction of these loans in the commercial vehicle branches.

Rajiv Mehta : And sir, last question is on asset quality , again we have seen consistent improvement in our portfolio construct , Stage -1 and Stage -2 percentage have improved, which also means that collection efficiencies are going up , so going into second half, which is generally pretty strong, can we assume that the fresh delinquency creation and the forward flows can be even better and hence the credit cost would be well within the reach?

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S Sunder : Yes, we anticipate that it will be stable and definitely it should improve by a few more basis points .

Moderator : Thank you. Next question is from the line of Chandrasekhar Sridhar from Fidelity International.

Please go ahead.

Chandrasekhar Sridhar : If I were to look at your yields on advances over the last 12 months, this time last year you were carrying 5 months of liquidity , now down to 3 months of liquidity and obviously the businesses mix has shifted with some of these personal loans picking up pretty substantially , MSME, but it seems that adjusted for that there has been no, on the individual product basis basically you had not taken up yields in an environment where we have had a very substantial rate hike cycle in this entire period , on an individual product basis, are we finding it tougher now to take yields to where they were earlier or what we used to do earlier?

Y S Chakravarti : See, it is not a question of finding it tough or not. We feel the products are priced right. So, we don't find a reason why we should increase those rates, push the rates up and we also have to keep the market in mind, the other players of the market in the mind at what rate they are operating and what rates we operate . In fact, if you look at our offering of two -wheeler and MSME, we are actually at a slight premium compared to other player . Two-wheeler vehicle is a very competitive

product. We are at least 100 to 150 basis points more than what our competitors charge. I think we are rightly priced. Unless we have a pressure on the NIMs , we will not look at increasing the rates.

Chandrasekhar Sridhar : So, essentially it means that there is competitive pressure , competition is basically making you keep yields where they are like -for-like even in ?

Y S Chakravarti : No, I am sorry. I didn't say that. What I am trying to get at is I think the yields that we are getting are very comfortable yields and the NIMs are also comfortable. So, I think we are in a finance business where these yields are pretty good and the NIMs are pretty good. So, we are not looking at pushing this further.

Chandrasekhar Sridhar : And while the unsecured business has grown 10% quarter -on-quarter and you did speak earlier about thinking or contemplating what you would do with cross sell on PL for even may be Shriram customer , just wanted to be sure that you are keeping this within the ambit of capping unsecured at 5% of overall AUM, is that something or has that the guardrails which you put in internally have they shifted to maybe a higher unsecured ?

Y S Chakravarti : No, we have not changed. That policy has not changed.

Chandrasekhar Sridhar : So, this 4.3 goes to 5 eventually and then you cap it from there?

Y S Chakravarti : 4.3 by the time it reaches 5, the overall pie will become bigger. So, we hope that there will always be a gap .

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Chandrasekhar Sridhar : And can I just check on the opex , obviously you have added a lot of people in the last 8 to 12 months, just some sense on how many more are you going to add or the cross population across branches and for the gold loans, the number of people which you are adding, is that largely now done and on cost to income, we get some leverage at some point in time or this is what we should be thinking is the cost to income on a steady state basis ?

S Sunder : The cost to income will be around 26 % to 27% that we have been guiding and we continue to be sticking to the same number , and on the employee addition you can just

Y S Chakravarti : We may add another 1500 to 2000 people in the next 6 months because we are also opening up the collection centers, we have about 800 service centers, we are planning to convert some of these service centers into full -fledged branches , but also we have not yet fully exploited the network for both MSME as well as gold loan products. So, it could be an ongoing process, but I think it will be at least another 3-4 quarters before we look at capping manpower, pushing for

Chandrasekhar Sridhar : So, that the operating level basically is still somewhere in the middle of FY25, second -half of FY25 to 26 , the cost income starts coming off ?

Y S Chakravarti : Yes, but I think as Sunder said, we are actually looking at 26% cost to income, so it should stay there.

Moderator : Thank you. Next question is from the line of Ankur Jain, Individual Investor. Please go ahead.

Ankur Jain : I have a question on the ROE, so for the last 2 quarters, the company has been reporting ROEs of 15% plus, so my question is, is there any target of ROE that we have in mind, some range of ROE over 3 to 5 year period that we want to target?

Umesh Revankar : 16 to 18 is our target.

Ankur Jain : And what would be the road map for that if you could help?

Umesh Revankar : So, next year, we should touch 16, then it will improve to 18.

Ankur Jain : And does it include increasing the debt-to-equity ratio?

Umesh Revankar : Yes, as you grow, there will be an increase in debt-to-equity ratio.

Moderator : Thank you. Next follow up question is from the line of Punit from Macquarie Group. Please go ahead.

Punit : Just on the yield bit, what was the increase in yield and cost of funds this quarter

if you could

highlight that ?

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Parag Sharma : Cost of fund has not gone up, on the yield

S Sunder : Around 30 to 40 basis point increase in the yield and some decrease in the cost of funds and we also got an advantage of the negative carry being lower because of utilization of liquidity.

Punit : So, on that bit also, your incremental cost of fund was lower than your reported cost of fund, so you said that the product mix might drive a decline in margins, would it be that because the way we are calculating it looks like margin trajectory should be upwards even after the 3.9% you have reported, so any comments on that?

Y S Chakravarti : No, I think what Umesh mentioned was that in the third and fourth quarters, typically the new vehicle sales go up, so the new vehicle funding will go up. Basically, since the new vehicles are lower yield products, he says we stand by the guidance of 8.5% NIMs.

Punit : And could you highlight what was the used vehicle and new vehicle growth this quarter ?

Y S Chakravarti : That I think Sanjay will give you, I have CV as a whole has grown by about 14 -15%.

S Sunder: Tomorrow you can contact Mr. Sanjay. He will help you out.

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question. I now hand the conference over to Mr. Umesh Revankar for closing comments.

Umesh Revankar : Thank you. Thank you for participating in the call. We do expect the next second half of this year will be robust. Already the indication is that the festival demand combined with the cricket fever is creating reasonably good credit demand and with economy being strong and all other parameters remaining good, we should be able to grow faster in the second half of the year and come with a good set of results next quarter. See you again next quarter. Thank you very much.

Moderator : Thank you very much. On behalf of Shriram Finance Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

SEC/FILING/BSE -NSE/23 -24/68A -B February 1, 2024
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218

National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra - Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the third quarter ended December 31 , 2023.
Further to our letter dated 25 th January 2024 , regarding the audio link of the investors earnings call for the third quarter ended December 31 2023 , we enclose herewith the transcript of the said call . The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you,

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.:a/a.

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“Shriram Finance Limited Q3 FY'24
Earnings Conference Call”

January 25, 2024

MANAGEMENT : MR. UMESH G. REVANKAR – EXECUTIVE VICE CHAIRMAN

MR. Y S CHAKRAVARTI – MANAGING DIRECTOR & CHIEF EXECUTIVE
OFFICER

MR. PARAG AGARWAL – JOINT MANAGING DIRECTOR & CHIEF
FINANCIAL OFFICER

MR. S. SUNDER – JOINT MANAGING DIRECTOR – HEAD OF ACCOUNTS &
ADMIN

MR. SANJAY KUMAR MUND RA – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to the Shriram Finance Limited Q3 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Umesh Revankar – Executive Vice Chairman. Thank you and over to you, sir.

Umesh G. Revankar: Yes. Thank s, Sagar. Good evening, friends from India and Asia. A warm welcome to all of you . Greetings and good morning to those who are joining from the western part of the world .

To present Q3 call today , I have with me our, Mr. Y. S Chakra varti – Managing Director and CEO ; Mr. Parag Sharma – Joint Managing Director and CFO, Mr. Sunder – Joint Managing Director, Head of Accounts. We also have with us Mr. Agarwal from Shriram Housing . We also have Sanjay Kumar Mundra who is our Investor Relations Head.

It has been encouraging 3rd Quarter for the Shriram Finance. We are seeing fruitful dividend in our operation post-merger on the back of multi-products being offered across our branch network.

First, a quick look at the Indian Economy:

The Indian economy expanded by 7.6% growth in the 2nd Quarter , considerably higher than the consensus estimate. The surge was largely led by manufacturing sector. We jumped 13.9 % YoY in the 2nd Quarter , helped by a few favorable base and improved volume growth . With the latest number , GDP added 7.7 % during the first half of the year as compared to 9.5% a year ago. India's real GDP growth in '23-24 is estimated at 7.3 % compared to 7.2 % a year ago . As per the first advanced estimate released by NSO, which reckons the economy will outperform 7% , even endorsed by the RBI recently.

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On the Retail Inflation:

December increased to four months high at 5.69 % , slightly better than expected , but still rose mildly from 5.55 % in the month of November. The wholesale inflation also rose to the nine-month high to 0.73% for the month of December from 0.23% recorded in the month of November. RBI in its MPC Meeting on December 8 , 2023 has kept the key policy repo rate unchanged at 6.5% by unanimous decision. This is the fifth meeting on trot that MPC decided to maintain the status quo on repo rate. However , RBI raised GDP growth projection for FY'24 to 7% from 6.5 % earlier on domestic demand and higher capacity utilization in the manufacturing sector. CPI inflation is projected at 5.4% for FY'24 with Q3 at 5.6 % . We expect steady liquidity in the system with a stable interest rate environment.

The rural economy and monsoon, as per the Union Ministry Farmer s Data, rabi crop sown in the country was 4.4% higher to 620.62 lakh hectare as compared to 594.62 lakh hectare sown from the previous cropping season. Year -on-year increase is higher in all crops with wheat being highest indicating healthy rural economy going forward. The cabinet committee has increased the minimum support price for the rabi crops in between 2 % to 7% for the financial year '24 - 25 which includes wheat, pulses and oil seeds.

India's GST collection for the month of December '23 increased by 10.28 % to 1.65 lakh crore as against 1.50 lakh crore in December '22. The December '23 collection however was lower than 1.68 lakh crore collected in November and even down from 1.72 lakh crore from October. It is the seventh time the gross GST collection have crossed 1.60 lakh crore mark in FY'23 -24. The gross GST collection for the first nine months of FY '24 increased by 12% to 14.97 lakh crore is 12% higher than the GST collection in the year FY'22-23.

The government spend on infr

rastructure continues to remain strong with the strong GST collection . Government recently announced that textile s ministry

has mapped eight sanction s of PM Mitra Parks on PM Gati Shakti National Master Plan Portal, while pharmaceutical s department has reported successful completion of 129 pharma clusters and 23 medical device cluster s project . This
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in addition to other road and railway project helping better logistics to succeed the agenda of Make in India happen.

Coming to the "Auto Industry" :

The total CV sales in Q3 '24 were 2.35 lakh units against 2.27 lakh unit s in Q3'23 and for the nine months it was 6.99 lakh units again st 6.83 lakh units . MHCV sales recorded 91,370 units against 85,678 for the Q3'23 and for the nine months it registered 9% growth, which is a number of 2.63 lakh unit s against 2.41 units sold.

LCV sales in Q3'24 were 1.44 lakh unit s against 1.41 lakh unit s, and for nine months it was 4.36 lakh units against 4.42 units.

Passenger vehicle has registe red a growth of 8.3% with 10.12 lakh unit s being sold as against 9.35 lakh units in Q3 '23. For the nine months it's registered 7.3% with 30.83 lakh unit s sold as against 28 .72 lakh units sold in the same period last year.

Two-wheeler recorded robust a 22.6% with the sales of 47.31 lakh units in Q3'24 against 38.59 lakh units sold in Q3 FY'23. For the nine months it recorded a growth of 9.9% with 134.71 lakh units against 122.58 lakh units sold in the same period last year, indicating strong rural and semi -urban demand.

Three wheelers in FY'24 registered strong growth of 62.6% with 1.87 lakh units sold versus 1.39 lakh units sold in Q3 '23. For the nine month s it recorded 57.2% increase d sales of 5.27 lakh units as against 3.35 lakh units sold in the same period last year , which implies e -commerce and last mile delivery is going very fast.

Tractor sales stand at 2.03 lakh units as against 2.16 lakh units in Q3 '23 and for the nine months it recorded a growth of 6.8% with sales of 6.48 lakh unit s as again 6.06 lakh units in the same period last year . We believe both agri activity and income will continue to grow further and that will create increased demand for mechanized farming and better credit demand.

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On construction equipment, the Q3 'FY24 registered a str ong growth of 29.6 % with 33 ,121 units sold versus 25,565 units sold in Q3 FY'23, and for the nine months it recorded a growth of 26.8% with sales of 1,01,798 units as against 80,302 units sold in the same period last year, indicating continued strong infra-related spend and real estate activity.

Now , I shall ask my colleague – Mr. Chakravart i, to take through operational performance. Thank you.

Y S Chakravarti: Hello , all. This is Cha kravart i here. I welcome all of you to our Q3 FY '24 Earnings Call and I trust you have had the opportunity to p eruse our Results that are posted on the website of the stock exchange s.

We have registered a disbursement growth of 29.21% YoY and 9.2% QoQ.

Our disbursements in Q3 FY'24 this year aggregated to Rs.37,787.84 crores versus Rs.29,245 .26 crores in Q3 FY '23 and versus 34,605.60 crore s in Q2 FY'24.

Our A UM as on 31st December 2023 registered a growth of 20.70% over Q3 FY'23 and a 5.7% sequentially . Our AUM stood at 2,14,233.47 crores as against. 1,77,498. 02 crore s a year ago and Rs.2,02,640.96 crore s in Q2 FY '24.

Our net interest income in Q3 FY'24 registered a growth of 15.04% YoY and 5.72% QoQ. We earned a net interest income of Rs.5,093.93 crore s in Q3 FY'24 this year as compared to Rs.4,427.88 crore s in Q3 FY'23 and Rs.4,818.18 crores in Q2 FY '24. Our net interest margin was 8.99% as again st 8.52% in Q3 FY'23 and 8.93% in Q2 FY '24.

Profit after tax grew by 2.33% in Q3 FY'24 over Q3 FY'23 and by 3.8.6% over Q2 FY

'24. We registered a PAT of 1,818.34 crore s for Q3 FY'24 as compared to Rs.1,776.97 crore s in Q3 FY '23 and Rs.1,750.84 crore s in Q2 FY '24. Our

earnings per share for the quarter stood at Rs. 48.42 as against Rs.47.46 in Q3 FY'23 and Rs.46.67 in Q2 FY '24.

On our asset quality , our gross Stage -III in Q3 FY'24 stood at 5.66% and net stage 3 at 2.72% . These numbers th us show an improvement over the corresponding numbers of 6.29% gro ss and 3.2% net in Q3 FY '23 and 5.79%
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gross and 2.8% in Q2 FY'24. Our credit costs for Q3 FY'24 stood at 2.15% as against 1.75% for Q3 FY'2 3 and 2.02% for Q2 FY'2 4. Our cost -income ratio was 25.14% in Q3 FY'24 as agains t 22.23% recorded in Q3 FY '23. Our cost -income ratio for Q2 FY'24 was 25.68%.

Regarding our subsidiary , Shriram Housing Finance Li mited, they registered a disbursement growth of 69.64% over the same quarter last year . Disbursements in Q3 this year were Rs.1,698.16 crore s as against Rs.1,001.05 crores in Q3 FY'23.

Shriram Housing's AUM as on 31st December 2023 exhibited a growth of 67.53% YoY and 11.18% sequentially . AUM stood at 12,025.24 crore s at the end of Q3 FY'24 as again st Rs.7,178.16 crore s in Q3 FY'23 and Rs.10,816.03 crore s in Q2 FY'24.

The net interest income re gistered a growth of 33.44% in Q3 FY'24 over Q3 FY'23 and 6.3% over Q2 FY'24. Net interest income for Q3 FY '24 was Rs.103.57 crore s as compared to Rs.77.62 crore s in Q3 FY'23 and Rs.97.43 crore s in Q2 FY'24.

Shriram Housing Finance has also registered a profit after tax growth of 69.08% in Q3 FY'24 over Q3 FY'23 and 2 7.57% over Q2 F Y'24. PAT for the 3rd Quarter of this year was Rs.61.52 crores as compared to Rs.36.38 crores for Q3 FY '23 and Rs.48.22 crore s for Q2 FY '24. The EPS stood at Rs. 1.88 as again st Rs.1.12 in Q3 FY'23 and again st Rs.1.48 in Q2 FY'24.

Shriram Housing's gross Stage -III for Q3 FY'24 stood at 1.01% and their net Stage -III came in at 0.75%. In comparison, these numbers were 1.15 % gross basis and 0.87% on net base in Q3 FY'23 and at 1.08% gross and 0.82% net in Q2 FY '24.

I shall now request our Whole -Time Direc tor and CFO, Mr. Parag Sharma, to talk to you about our resource raising activities, after which our J MD, Mr. Sund er, will brief you about accounting and regulatory aspects.

One thing I'm very happy to tell you is that the board has declared an interim dividend of 100% in the just concluded board meeting. Thank you.

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Parag Sharma: Good evening, everyone. I'm Parag here.

In the liabilities front, total liabilities stands at 1,77,000 crores which is up by 12,000 crores from the previous quarter. We continue to maintain diversity in our liabilities with 24% coming from retail deposits. The capital market is 21% of the overall liabilit ies. Securitization continues at 14%. The external commercial borrowing is at 13% and th e term borrowing from banks and institution s is around 28%.

The total cost of debt is 8.96 % as of December, which has gone up by around nine basis points from the September '23 period .

We continue to maintain three months of liability repayment into liquid assets which was Rs.17,453 crores , which is good enough to meet the liabilities for January, February, March. However, we have raised a substantial portion of external commercial borrowing in January, which is 750 million at 6.625 coupon, and this will en hance our liquidity to the four months of liability repayment. So , that money came in last week. The liquidity coverage ratio stands at 256.25% and the overall borrowing for the quarter September to December was Rs.24,337 crores. The ALM surplus up to one year, all buckets being positive and surplus up to one year is Rs.29,646 crores. The incremental cost of borrowing has slightly gone up to 8.95% now, which was around 8.

7 %

in the previous quarter. The leverage ratio stands at 3.77 x versus 3.59 x in the previous period ended September '23.

With this. I hand over to Sund er.

S. Sunder: Good evening, everyone.

The employee count as on 31st December was 73,485 as against 71,373 as on September 2023, a net increase of 2,112 employees. Stage -III as on December was 5.66 as against 5.79 in September. The Stage -I PD was 7.89% as against 7.89% in the previous quarter. The Stage -II PD was at 18.25% as against 18.21% in the previous quarter, and the L GD was at 41.45% in December as against 41.39% in the previous quarter.

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And with this, I would like to hand it over to the moderator for opening the forum for a question -and-answer session.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, my first question is on margins. It has already surpassed your guidance and it has been very strong for the last two quarters, and the growth in interest expenses is also on the lower side. So, how do we look at margins from here on? I know that an increase in the liquidity cover was mentioned earlier, but just in terms of margins, what range of margins do we now look at?

Umesh G. Revankar: So, I think we are actually hopeful that we will be able to hold the margins at around 8.9% going forward.

Mahrukh Adajania: So, you can hold it here with changing mix even though cost will rise or -?

Y S Chakravarti: The interest costs we don't believe that they'll rise any further as of now, I mean, we are hoping that it's not right. But even then as you put it, since the mix is also slightly altering, we are actually very confident that we will be able to hold it at 8.9%.

Umesh G. Revankar: Both the mix and our ability to pass on the increased cost will give us the confidence of keeping this margin intact.

Mahrukh Adajania: My next question is on AUM. I mean specially outlook for CV growth, how it gets, I mean, especially for your CV financing, not so much for the sector, how it could or if it at all would be impacted in elections and how do we look at it from like say a one-year perspective because the share of CVs has been coming down?

Umesh G. Revankar: If you look at the guidance, we gave the guidance of 12% to 15% growth in CV in the beginning even during the merger and we are maintaining that. If you look at the AUM growth, CV is growing at 13%. So, that is something we are maintaining, and we know that in economic ups and down CV can go up and down, therefore we are very steady in our CV, whereas high margin, high yielding businesses, we are increasing which are shorter tenors and better

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visibility because shorter tenors visibility will be better, margins are better. So, in our gold loan, two-wheeler and passenger vehicles we are focusing on, these are the products which can be done from all the 3,000 branches. So, that's how we have been able to manage. And the election will not have a big impact because CV demand mostly depends on infrastructure activity and overall economic activity. Both are being good, and we expect there is a very steady growth for CV and plus since the CV cycle has just started two years back and the used CV demand will come at a lag, so we expect the CV demand to continue to remain good for the next couple of years. And as I was telling you, we will maintain a 12% to 15% growth in CV, which is very steady.

Mahrukh Adajania: Even in FY'25? And what would be the overall AUM growth you would look at in FY'25?

Umesh G. Revankar: We will give guidance of 15% only because in the beginning we had given 15% guidance for three years and this year economic activity being quite good, we grew

at 20%, but in the long run or maybe even in the next financial year, we would like to give a guidance of 15%.

Moderator: The next question is from the line of Vikram Raghavan from Moon Capital. Please go ahead.

Vikram Raghavan: I just have two questions. One is, what are your disbursements for the quarter, and second, the guidance on credit costs?

S. Sunder: Disbursements for the quarter were 37,787 crores as against 34,605 crores in

the previous quarter.

Umesh G. Revankar: The credit cost guidance will be 2% for the full year. For the quarter it was 2.15%.

Moderator: The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: My question is on credit cost. I recall you explained some changes into the PD and LGD. I mean, this quarter has seen increased credit cost, and you are still maintaining 2% guidance. So, which product segment particularly has sort of

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led to or rather you are seeing your PD, LDG changing more and despite this increase you are still guiding for 2%, so I mean where do you sort of see that, okay this will moderate? The second one again related would be now on your personal loan segment, your overall GS3 PCR is 53%-odd whereas I mean in the personal loan that's largely unsecured and of course you are still kind of keeping it around 50%-odd, so what is sort of leading to that having a personal loan PCR being lower than your overall PCR?

S. Sunder: The quarter-on-quarter PD movement has not been significant. As you see the Stage -I PD was stable at 7.89, which was similar to what was there in the previous quarter and the Stage -II PD was 18.25, a marginal increase of four basis points compared to the previous quarter. And LGD also if you see it is six basis points increase compared to the previous quarter. Again, there is a combination of various factors of the mix and all those things which drives this number. Coming to your other question of personal loan, the coverage which we maintain is based on the ECL norms, which is based on the historical track record. So, as of now, the personal loan has been behaving pretty stable. And as we have also indicated in the previous calls that we extend these personal loans to customers who have already demonstrated by paying off the full two-wheeler loans and hence the default is comparatively lesser compared to the certain other segments.

Avinash Singh: On Shriram Housing, your subsidiary, also the growth is pretty strong and particularly on the core lending B S side. So, if you can help us understand, I mean who are your kind of a key partner among the banks, and also I mean there has been a sort of reporting of your plan to divest this, so I mean, what's going on there?

G S Agarwal: In terms of co-lending, we are basically doing co-lending with one PSU bank and one private bank and DA we are doing mostly with all the private banks and PSU banks and our total DA and co-lending volume is close to 20%, 21% of our total AUM.

Umesh G. Revankar: We are looking at capital infusion for the Shriram Housing because it is growing. So, we are looking at the various options and any one of the options

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that suits, we will take the call. It is basically to give growth capital. We are looking at the various options.

Moderator: The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: I have two questions. If you could throw light on the write-off trends this quarter vis-à-vis the previous quarter and also a bit on asset quality. I think you partially answered this in the previous question. So, what has changed besides in terms of across products or asset classes wherein certain products would have put up benign asset quality trend and others

some swings there, which has

led to such market improvement in G NPA and credit cost?

G S Agarwal: The breakup of the credit cost for the current quarter is write-offs are 725 crores and provisions are 525 crores totaling to 1,250 crores. This compares with the previous quarter write-off being 839 crores and provisions being 289 crores totaling to 1,128 crores. And the other question as regards the asset quality, it has been fairly holding up and then there has been a marginal reduction in the Stage -III asset and Stage -II assets also are more or less holding up compared to the previous quarter.

Umesh G. Revankar: The economic environment has been quite positive for all the businesses which

we are in, whether it is infrastructure, whether it's logistics, whether it is a demand for a two-wheeler, that is the rural economy or semi-urban economy. So, we are quite confident that our asset quality will hold good in the coming quarters, even though the elections are likely to be there in the next financial year. Typically, in election time the diversion of mind or business activity is for 15, 20 days it will not have a bigger impact for the full year or maybe for a full quarter.

Shweta Daptardar: Does anything change on the goal post on growth outlook now that you're at 20%-plus?

Umesh G. Revankar: No. See, this year we definitely will be looking at 20% AUM growth, but for the longer period we have given 15% guidance during the merger announcement and post that. So, that will continue to remain.

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Moderator: The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Just one clarification. Did I hear the incremental borrowing for -?

Parag Agarwal: If your question is regarding the incremental cost of borrowing, yes, I mentioned it at 8.95%.

Piran Engineer: And up 25 bps QoQ, is it?

Parag Agarwal: Correct.

Piran Engineer: So, this is because of the risk weight guidelines or what has caused this jump?

Parag Agarwal: In fact, there will be factors regarding mix of liabilities what we have borrowed. We have also increased our retail deposit rates. We have a higher duration of capital market borrowing. With the longer duration, the cost is generally up and also the other term borrowing for the bank, there has been a slight increase in cost.

Piran Engineer: So, this ECB rate, what would be the fully hedged cost?

Parag Agarwal: So, on fully hedged, what we have raised will be around 9.5%, but there is the withholding tax, which has to be grossed up, will be closer to around 10%.

Piran Engineer: Secondly, on Shriram Housing Finance, I just wanted to understand whether our distribution is from all our 1,800-odd branches or what is the distribution for the HFC subsidiary?

Y S Chakravarti: No, the HFC is focusing only on eight states, they're not present across the country, their focus area is eight states and probably we'll be adding one more state in this fiscal, but only here and their offices are exclusive, 149 offices and all of them are exclusive to the SFL network.

Piran Engineer: At this scale, we are at 12,000 crores and when we've looked at other affordable housing financials, we don't see players of this size growing at 60%, 70%. So, I just wanted to understand what's giving us this edge on growth versus some of the other players that are actually listed?

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Y S Chakravarti: I think one is basically as I said strategy of focusing and going deep into territories. So, we have identified those eight, nine states I mean about 70% of the business is there and with the conscious strategy of going deep in those territories. For example, the southern states of Tamil Nadu, Karnataka, Andhra Pradesh, Telangana and Maharashtra, Gujarat, we actually have

one into it

very deep. So, that actually is one. The other point is of course the team makes a difference. Then, third is they're coming off a small base. So, don't read that 66% growth, but because that's come from a small base. Probably going forward they may not grow at that 60%, 70% growth, probably they will grow at 25%, 30% growth.

Piran Engineer: How many employees do we have, sir, if you could just help me with that in the HFC subsidiary?

S. Sunder: In Shriram Housing, we have around 3,500 employees.

Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, the question was maybe when we look at your three segments like two-wheeler, SMEs as well as PL, no doubt that there is a substantial increase on a QoQ basis in the AUM which is showing relatively lower Stage -III, but

otherwise there is an absolute increase which is there in the GNPA. And in fact, the Stage -I provisions out there, they have also increased, okay, I think we have raised it across some most of this product segment. So, looking at this how comfortable we would be in terms of sustaining such a strong growth in these three products?

Y S Chakravarti: See, on this two-wheeler, I think this is like bread-and-butter product for the team. They've been doing it for the last 23, 24 years. We don't see any big risk there. And we are pretty confident that we'll be able to hold both GNPA's and the net at these rates.

S. Sunder: And replying to your other query on the provision, we have taken a hit of Rs.525 crores as incremental provision in the current quarter. That has mainly come out of the Stage -I asset which has increased by Rs.351 crores which is primarily again driven by the growth which is close to 11,200 crores of increase
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in stage -I assets and in Stage -II assets we had taken a hit of 30 crores and the balance 143 crores in stage III.

Kunal Shah: If I have to look at it in terms of the percentage as well going up from 3.06 to 3.11, and if I broadly the split in terms of the segments wherein the Stage -I provision has gone up, it is largely MSME, two-wheeler and PL wherein again in each of these segments, the Stage -I provisions have gone by almost like 40, 50-odd basis points?

S. Sunder: Yes, correct. So, as I was explaining to the previous caller also, the provision requirement depends on the LGD and the PD rate and hence it is difficult to off-hand comment on that. So, I would request that you contact Mr. Mundra who will be able to give those finer details.

Kunal Shah: And in two-wheeler, no doubt it's a main stay, but if we look at the sequential momentum again like 16% QoQ growth in AUM, so that's again quite strong, so, obviously there would have been some increase in the market share and the positioning. But how much is coming on account of any synergy? So, if we look at the growth in some of these segments, can you highlight what is coming out of really the synergies post the merger?

Y S Chakravarti: See, two-wheeler largely has been mapped earlier also by the erstwhile SCUF team. So, basically all the dealers are already mapped. But one portion of the country where this new growth is coming from in two-wheelers is Odisha, West Bengal and the Northeast, and portions of UP and MP where the SCUF did not have a strong network. The other point is also basically QoQ quarter growth bound to be there because any quarter that has Diwali and Dussehra, Dhanteras coming in, the growth will be strong. The numbers would normally be about more than two times of what we do normally in any given month, particularly in November. So, that also is the reason for QoQ growth. But yes, because of the synergy, as I said, these states actually are giving us extra numbers.

Kunal Shah: And lastly, slightly revising the guidance earlier

on the credit cost, we were at somewhere around 1.5% to 1%, now maybe this quarter also credit cost continues to be 2.4% not coming off and we are now saying that it will be like
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around about 2%-odd. So, any worries in any of the segments that we are doing with this kind of growth?

Y S Chakravarti: To be honest with you, no, because each of these segments we operate as an individual. Each of the business teams have responsibility for a product and they operate within their known environment, so there's no worries on any specific segment as of today.

Moderator: The next question is from the line of Viral Shah from IIFL Securities. Please go ahead.

Viral Shah: So, I have three or four questions. First is on the PL book. So, you mentioned that the provisioning on that is based on the historical track record. So, is this the SCUF track record that you are referring to?

Y S Chakravarti: Yes.

Viral Shah: Is the incremental book that is being sourced in this segment, the customer

profile of it , is it similar to what the SCUF customers were ?

Y S Chakravarti: It is exactly the same , because this is basically 99% of this incremental book is coming from mostly two-wheeler customers or customers who have finished one, also, customers who have finished one cycle of two-wheeler and the PL and coming back for another PL.

Umesh G. Revankar: Two-wheeler is a short-term tenure, 18 months, 24 months. So , it's very easy to offer to them and keep them in our books.

Viral Shah: The second is basically if I look at the slippages trend, so that has been actually inching up ; in last quarter it increased by 30 basis points and in this quarter it has again increased by now 45 basis points. So , what is driving this?

Umesh G. Revankar: Which segment you are saying?

Viral Shah: On an overall basis, the net slippages?

Umesh G. Revankar: Stage -III has actually come down from 6.2 to 5.6.

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Viral Shah: So, if you add back the write-off, right , then basically that slippages number is inching up ?

S. Sunder: Correct. See , if you see the overall Stage -III number of absolute amounts , in percentage terms it is coming down absolute amount, there is an increase , there is no denying of the fact. And similarly , the Stage -I and Stage -II assets also are going up because the overall book size itself is going up.

Viral Shah: In terms of the growth driver, right, so now primarily we see that the growth for the SCUF segments is coming from the expanded distribution that we are now enjoying. So, how much more juice is left in terms of being able to scale up these products in the erstwhile Shriram Transport branches , and how much should we expect going ahead , because these products are growing at 30 % , 35%?

Y S Chakravarti: I'll do it this way. If you look at the overall growth of the company itself, where we have guided for about 15% growth at the beginning of the year, I think the growth is also largely a factor, or in some of these products as you said, expanded network . For example , gold, we have actually introduced in about 600 of the CV branches. There is still work-in-progress and these branches have also started producing results , but they have not yet reached the full potential , #1. #2, then gold probably we will introduce in another 600 branches going forward in the next year. So, this is a work-in-progress . We'll have to keep on introducing this. Similarly, the MSME loans, basically we need a people trade. So , it's not that I recruit and deploy people at one go. It's a stage-by-stage process that we're doing. So , we do feel that gold and MSME will continue to grow strongly. The reason again on the personal loan growing so strongly also is major factor is the distribution. Because earlier we were in SCUF , w

e were struggling to reach these customers because we had close to 3 million eligible customers and we were struggling to reach them. Now , with that expanded network, we were able to reach them and service them. So , that's why you see that 60 % , 65% growth in personal loans.

Viral Shah: And if I have to ask you to ascribe a number at what potential are these products reached from these new branches so as to just get a sense.

Y S Chakravarti: Sorry , I didn't get your question properly .

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Viral Shah: Like for example, the gold loan of 600 branches where you have already rolled it out , so in those 600 branches, what's the gold loan AUM and how is it compared to your erstwhile SCUF gold loan in those branches?

Y S Chakravarti: I don't have the number off-hand, but I think, if you can reach out to Sanjay, he can give you those numbers.

Viral Shah: On the status of the fintech partnerships on the PL and the MSME piece, if you can talk on that, what's the status of the progress?

Y S Chakravarti: See, we are only working with one partner , that is only a sourcing partner. We've been working with them for the last six, seven years. So , we are not pushing that. Basically, it's happening about 4, 5 crores per month is what we're doing with them . Now, on the MSME side, we have only tied up with Paytm to do only merchant loans . But that is we are still finding our way around. So ,

it's not a full-fledged operation as that. We are actually exploring the area, so probably we will only see how we will be able to guide you how much we will do probably down a quarter.

Viral Shah: Lastly, basically, in terms of the share of the personal loans, last quarter, you had said that we will probably be capping it at around 4.5%, 5%. We have now reached around 4.5%. So, should we now expect that the growth going ahead will be in line with the overall loan book growth?

Y S Chakravarti: Yes. Though we have an 8% cap authorized by the board, we would like to keep it below 6%.

Viral Shah: Below 6%?

Y S Chakravarti: Yes. 4.45% now.

Viral Shah: So, you'll probably take this up to 6%?

Y S Chakravarti: It's not a question of taking it up to 6%. As I told you, we have a 3 million eligible customer's database, eligible customers in the sense basically basing on their payment factor and basing on their income sources, we have a 3 million database. It is available there and those customers are our existing customers, they are not market customers. It's not that I'm consciously pushing it since we
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have the data, CV branches are also involved, it has grown, but going forward, it should grow at about 20%, 25%.

Viral Shah: I would say a bit of data keeping question. So, the cost of funds you mentioned has sequentially gone up. But when I look at the calculated funding cost that is actually showing a 20-bps decline QoQ. Is that the intra-quarter adjustment averaging effect?

S. Sunder: That has been mainly driven by the liquidity. Okay, that reconciliation anyway, Sanjay can help you out offline.

Moderator: The next question is from the line of Nilesh Jethani from Bank of India Mutual Fund. Please go ahead.

Nilesh Jethani: My first question is in line with the previous participant only. So, on this 20% - odd AUM growth, wanted to understand what you would attribute to branch expansion, cross-selling, etc., via the Shriram Transport branches, and what could be the actual growth which you ascribe to this 20%, a)? Second question is on the passenger vehicle's growth. So, growth seems to be higher for us. So, what you would ascribe to pricing and volume? And how do you see this phase of high growth to continue over the next two-to-three-year period, what is your sense on that? And third is on the credit cost. So,

directionally as the share of

SCUF product increases, do we attribute from a two to three-year perspective, credit cost can actually go up to 2.5, 3, which is normal for a two-wheeler and a personal loan business?

Y S Chakravarti: Answer to your last question is, no, we don't anticipate the credit cost to go beyond 2%. Basically, they're holding pretty steady there, and in fact, if you look at the two-wheeler credit cost, it's slightly lower than the personal loan, which is expected. The other question on the growth ascribed to the product expansion to branches, as we said in the beginning of the merger time, we have guided for a 15% and today we are at 20%. I think you can expect the growth in gold loan, personal loan and to some extent MSME and passenger vehicles to the merger effect also, expanded network effect also. Commercial vehicles, not so much from the erstwhile Shriram City branches, but mostly the existing CV branches because it's difficult to actually evaluate those vehicles source customers from these branches. Because, again, most of the cities and branches
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are situated in the center of the city or a town, whereas for this business, you need branches in peripheries.

Nilesh Jethani: In the passenger vehicle's piece, in volume versus price growth what you're seeing, if any can you attribute and how to look at growth from two to three-year perspective for us?

Y S Chakravarti: We hope the demand will continue to be there. Two things; one is personal mobility vehicles and the other one is your commercial passenger vehicles. Both are growing. And with the improved infrastructure, I think that will keep

growing. There's also a lot of upgradations from a two-wheeler customer to used car .

Umesh G. Revankar: Aspirational demand is coming to passenger vehicles, that is really helping us, and the previous track record of a two-wheeler customer who wants to upgrade, that helps us to grow faster in passenger vehicles. So, that is really helping us to grow faster in passenger vehicles where we are growing around 30% YoY .

Nilesh Jethani: Our branch count from 2,900 has only increased to 3,137. Wanted to understand what is our strategy -- maybe this year or next year are we focusing on cross-selling and probably start on the branch expansion from a year or a two later, what's the thought process of the branch expansion?

Umesh G. Revankar: Most of these branch expansions are happening where we are having rural centers. We're converting that into a branch after reaching a certain growth. So, that is the main addition into the branches. And also, there are some locations where we feel we can offer gold loan to the customer in the residential area.

There, we are putting the branches. So, totally we have added 136 branches in the last one year if you look at last year same period to now. So, our guidance was that we would be opening around 100 to 150 branches, which is a combination of conversion of rural center and the new branches.

Moderator: The next question is from the line of Chandrasekhar from Fidelity. Please go ahead.

Chandrasekhar: I had a few questions. One, could you please remind us within this how large is the used bus segment? Then maybe how large is our fleet operators within

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this segment? And what is the average ticket size right now on the passenger vehicles segment?

Umesh G. Revankar: We don't have a large bus segment which is financed, because tourist bus we don't lend much, and the normal transportation buses where the government has the monopoly, we don't lend. So, most of our lending will be for the four wheelers and the local transportation.

Chandrasekhar: Sorry. I meant school buses.

Umesh G. Revankar: School buses, we have a reasonably large portfolio, but se

e, post-COVID it has

not really grown big, during the COVID it came to a standstill, and after that it has not really grown big. But that's a least credit cost portfolio, it is one of the good portfolios which we may consider growing as the business picks up.

Chandrasekhar: So, is the delta coming in from people upgrading their fleets over here like the fleet operators, Ubers and OLAs are upgrading their fleets because I mean my understanding is that the entire used PV segment is like 100,000 crores market size and our book is already 35,000 crores over here. So, I'm just trying to get some sense around the market sizing and then this how large we are related to the bus?

Umesh G. Revankar: See, normally what happens is, you can't just have a strict monitoring of a passenger vehicle. Thumb rule is one-third, two-third. One-third is used for what we call commercial use, two-third is for personal use. Even the vehicles registered in a personal use, used in the commercial activity in the semi-urban and rural area, not in the urban area, urban area is strictly monitored. So, many of the customers would be having a vehicle which is registered as a personal vehicle but using for commercial purpose in the smaller towns. So, the business in the semi-urban, rural area, that is where we are very active, and many of them are SUVs or NUVs or a car and not much in buses, we don't have large bus portfolio.

Chandrasekhar: Is it safe to say that the average ticket size will be about 150,000 approximately?

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Y S Chakravarti: Chandra, it's about 2.5 -3 lakhs. The used car sizes have also gone up substantially.

Chandrasekhar: On the MSME segment, are there any changes in the ticket sizes of tenures which we have done? I mean, we used to have 8 to 10, it came down to 6 to 8.

Is it going up towards 8 to 10 again?

Y S Chakravarti: No, it's still the same; it's still about 8 to 10 only and no change in tenors.

Chandrasekhar: There was 100 bps of capital consumption in the quarter, tier-1 down to 20. So, maybe just help me understand where this 100 bps get consumed within one quarter itself?

S. Sunder: This is mainly because of the growth, and some 20 basis points increased due to the risk weight attributed to the personal loans.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: If you can provide the product-wise split of your disbursements?

S. Sunder: The CV 14,449, passenger vehicles 6,092, construction equipment 2,780, farm equipment 464, MSME 4,328, two-wheeler 3,699, gold 3,120, personal loans 2,853, totaling 37,787.

Abhijit Tibrewal: The second question I had was on the liabilities. Obviously, there were multiple questions on where the cost of borrowings have moved up, where the incremental cost of borrowings are. I wanted to understand, I mean, the impacts from this RBI risk weight circular where it has increased risk weight on bank loans to NBFCs. Is that impact already there in cost of borrowings or do you think that last part of our borrowings or as PSL they will not be impacted by the increase in this circular? Broadly, what I'm trying to understand is, how are the banks posturing on the liability side? And the other thing is from what I understand, given the deficit liquidity in the system, short-term rates have actually spiked up. Will it not have any impact on your cost of borrowing because somewhere I remember hearing that you're saying that we don't expect cost of borrowings to go up further?

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Parag Agarwal: I think two, three things. One, what you said right was immediately after RBI notification on the higher risk weight for lending to NBFC, two, three banks have actually increased the overall rate of

or us. Most of the other banks have

only said that on incremental lending they will increase the rates. As I mentioned, the incremental cost of fund for us for the quarter was 8.95% which previously the banks were lending at around 8.60% to 8.75%. That is why we don't expect even at higher lending rates this to breach beyond 8.95% is something which is not foreseen. So, that we don't look at any substantial increase because of the incremental borrowing from the banks be at a higher cost, that is not foreseen. Any other your liquidity related concerns, whether there will be a further spike, I think that liquidity tightness is there for some time. The capital market rates had gone up. And that is all factored in. We are not seeing any further increase in the capital market rates. So, beyond this, as of now we don't foresee any substantial increase in the liability cost.

Abhijit Tibrewal: My last question was again kind of circling back to Shriram Housing. While I understand you have already partly answered that we'll be looking for capital infusion in your housing subsidiary. So, from what I recall earlier, the discourse used to be that we will maybe look to get an external investor in the housing subsidiary for maybe primary equity infusion. I mean, what recent media articles are suggesting is that you yourself acknowledge that you are looking at various options. The articles have even gone to the extent of stating that you are even looking at completely selling down the HFC subsidiary rather than I mean doing an IPO of the subsidiary at some point in time. So, if you could just briefly elaborate on that?

Umesh G. Revankar: At the time being, we're looking at all the options with the open mind. We're not either choosing anything right now. So, we will not be able to give you a very specific answer because we are still looking at all the options or various options.

Moderator: We would take that as our last question for today. I would now like to hand the conference over to Mr. Umesh Revankar for closing comments.

Umesh G. Revankar: Thank you very much for joining this call. As you are aware, the last quarter will be always the biggest quarter and we all are looking at the final quarter for

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this financial year as going to be a very large quarter and also a busy quarter. And we also have interim budget even though, which gives some indication on

government 's plan on the infra spen d, which is actually giving in the last couple of years big boost for most of the demand for commercial vehicle and the construction equipment . We all hope that will continue to remain as the primary objective of the government of building infrastructure for M ake in India and therefore we expect a busy quarter and also a good set of numbers. Thank you very much for calling. We' ll meet you again in the next call.

Moderator: On behalf of S hriram Finance Limited, that concludes the conference call. Thank you for joining us. You may now disconnect your line s.

Call: Apr 2024

SEC/FILING/BSE -NSE/24 -25/68A -B April 30, 2024

BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra - Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the fourth quarter and financial year ended March 31, 2024 .

Further to our letter dated 27th April 2024, regarding the audio link of the investors earnings call for the fourth quarter and financial year ended March 31 2024 , we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you,
Yours faithfully,
For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.:a/a.

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"Shriram Finance Limited Q4 FY '24 Earnings Conference Call"

April 26, 2024

MANAGEMENT : MR. UMESH G. REVANKAR – EXECUTIVE VICE CHAIRMAN , SHRIRAM FINANCE LTD
MR. Y. S. CHAKRAVARTI – MANAGING DIRECTOR & CEO , SHRIRAM FINANCE LTD.
MR. PARAG SHARMA– JOINT MANAGING DIRECTOR & CFO , SHRIRAM FINANCE LTD.
MR. S. SUNDER – JOINT MANAGING DIRECTOR , SHRIRAM FINANCE LTD
MR. RAVI SUBRAMANIAN – MD & CEO , SHRIRAM HOUSING
MR. G.S. AGARWAL – CFO , SHRIRAM HOUSING
MR. SANJAY KUMAR MUNDRA – INVESTOR RELATION HEAD, SHRIRAM FINANCE LTD.

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Moderator : Ladies and gentlemen, good day, and welcome to the Shriram Finance Limited Q4 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch -tone phone.

I now hand the conference over to Mr. Umesh G. Revankar – Executive Vice Chairman, Shriram Finance Limited. Thank you, and over to you, sir.

Umesh G. Revankar: Yes. Thank you. Good evening, friends from India and Asia, and a warm welcome to all of you who are listening today. Greetings also to those who have joined the call from the western part of the world.

To present our Q4 Earnings Call today, I have with me our Managing Director and CEO – Mr. Y.S. Chakravarti; Joint Managing Director and CFO – Mr. Parag Sharma; Mr. S. Sunder – Joint Managing Director; and also present are Ravi Subramanian – MD and CEO of our subsidiary Shriram Housing. And G.S. Agarwal – CFO. We also have Mr. Sanjay Kumar Mundra – our Investor Relation Head.

It has been a very encouraging 4th Quarter for us and also for a full year. We are seeing the fruitful dividend in our business model at the end of a full financial year post merger.

Let me first go through the economy :

Indian GDP expanded 8.4% in the October to December quarter, far exceeding economist 's expectation, thanks to brisk manufacturing and construction. The third quarter GDP numbers was highest in 6 quarters on the back of 11.6% rise in manufacturing activity and 9.5% expansion of construction sector. Government also revised up its GDP growth forecast for the full year ending in March 2024 to 7.6% from January projection of 7.3%.

Early in February, Government presented an interim budget that sought to slow the pace of infrastructure growth while aiming for fiscal consolidation. Under Shriram Finance Limited
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the planned capital expenditure effect for an annual rise of 11% to Rs. 11.11 trillion for the year ended March 2025, that is a little down compared to the 33% increase in the previous year.

On inflation :

India 's annual retail inflation rate is to 4.85% in March from 5.09% in February to 5 months low, helped by the drop in fuel price. Food inflation, which accounts for nearly half of overall consumer price basket rose 8.52% in March compared with 8.66% in February. The wholesale price -based inflation inched up a 3 -month high of 0.53% in March from 0.2% in February.

RBI in its MPC meeting held in April 5, 2024, has kept the key positive repo rate unchanged at 6.5% as the retail inflation continues to be above the target of 4%. This is the seventh meeting on t rot that MPC has maintained the status quo on the repo rate. According to RBI, India 's GDP is projected to grow at 7% for FY '25, while retail inflation is likely to be 4.5%.

On the rural economy :

The Indian IMD, that the metrological depart ment has predicted above normal monsoon rains at 106% of long period average in 2024 raising the hopes in farm sector after erratic weather last year, which clipped the summer harvest. Private weather agency, Skymet has predicted that India will have a normal southwest monsoon in 2024 with 102% of long period average. The RBI 's latest survey on consumer confidence for the current period has been on a path of sustained recovery. Consumer confidence for the year ahead also has improved further. As pointed out that rural demand which was lagging the urban demand earlier has picked up since Q2 FY '24. The estimates of rabi crop production being higher, there was a robust 20% rise in agricultural credit growth.

Strong uptick in 2 -wheeler and tractor sales has been seen in the rural segment.

A normal monsoon is an importantly prerequisite for broader economic growth. Also, stronger rural and aggregate consumption will spur the capacity

utilization level that has been a flat lined lately around 75%. Importantly, it will be a critical input for RBI to move decisively towards interest rate cuts,
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given the role of food inflation, in queering the pitch for a long now. But while rural consumption may see cyclical recovery, broader consumption will continue to play a secondary role as government continues to lead on CAPEX-led growth strategy.

On GST collection :

The GST collection for the month March '24 rose 11.5% on annual basis to Rs. 1.78 lakh crores, second highest since the GST regime came into force. GST collection for the full year saw an increase of 11.7% at Rs. 20.1 lakh crores.

Coming to the auto industry :

This quarter has been generally good for automobile industry. On commercial vehicles, the total CV sales for the Q4 was 2.68 lakh against 2.79 lakh. This is in anticipation because normally, when we come to the election year, just preceding the election year, the commercial vehicle sales slowdown in anticipation of lower activity during the election period.

For the full year, the total commercial vehicle sales stood at 9.68 lakh against 9.62 lakh units sold in FY '23, that is a flattish growth. Within the CV, M&HCV sales in Q4 '24 slowed down to 1.10 lakh units against 1.18 lakh units in Q4 FY '23. And for the full year, it registered a growth of 4%, with sales number of 3.73 lakh against 3.59 lakh.

LCV sales were 1.58 lakh units versus 1.61 lakh units in Q4 '23. And for the full year, sales number was 5.95 lakh units against 6.03 lakh, again, a flat for the year. Passenger vehicle has seen a significant growth. The growth was 11.50% with 11.36 lakh units being sold against 10.18 lakh units in Q4 '23. And for the full year, it registered the growth of 8.40%, with 42.19 lakh units against 38.90 lakh units for the same period last year. Two-wheeler has seen a robust growth of 24.9% with sales of 45.04 lakh units in Q4 FY '24 against 36.05 lakh units sold in Q4 FY '23. And for the full year, it registered a growth of 13.30% in sales of 179.74 lakh units against 158.63 lakh units sold in the same period last year.

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Three-wheeler registered a growth of 7.30% with 1.65 lakhs units sold versus 1.54 lakhs units sold in Q4 '23. For the full year, it recorded strong growth of 41.50% sales with the sales of 6.92 lakh units as against 4.89 lakh units sold in the same period of last year. Tractor sales again registered growth into Q4 with 9.12% with 2.44 lakh units against 2.23 lakh units in Q4 '23. And for the full year recorded 7.47% with sales of 8.91 lakh units against 8.29 lakh units sold in the same period last year.

Construction Equipment, again, registered a good healthy growth of 20.35% with 38,079 units sold versus 31,640 units sold in Q4 '23. For the full year, it recorded a growth of 23.77% sales with 123,443 units against 99,735 units sold in the same period last year.

Now I request my colleague, Chakravarti, to take us through the operational performance. Thank you.

Y. Chakravarti : Thank you, Umesh. I welcome all of you to our Q4 FY '24 Earnings Call. And I hope you have had the opportunity to pursue our investor presentation, which has been posted on website and the stock exchanges.

We have registered disbursement growth of 26.64% year-on-year and of 4.07% quarter-on-quarter. Our disbursement in quarter 4 FY '24 this year aggregated Rs. 39,326.86 crores versus Rs. 31,054.08 crores in quarter 4 FY '23 versus Rs. 37,787.84 crores in quarter 3 FY '24. Our AUM as on 31st March 2024 registered a growth of 21.1% over Q4 FY '23 of 4.96% sequentially. Our AUM stood at Rs. 2,24,861.98 crores as against

Rs. 1,85,682.86 crores a year ago

and Rs. 2,14,233.47 crores in Q3 FY '24. Our net interest income in Q4 FY '24 registered a growth of 20.02% year-on-year, and of 4.75% quarter-on-quarter. We earned a net interest income of Rs. 5,336.06 crores in Q4 FY '24

this year, as compared to Rs. 4,445.89 crores in Q4 FY '23 and Rs. 5,093.93 crore in Q3 FY '24.

Our net interest margin was 9.02% as against 8.55% in Q4 FY '23 and 8.99% in Q3 FY '24. Our profit after tax grew by 48.73% in Q4 FY '24 over Q4 FY '23 and by 7.01% over Q3 FY '24. We registered PAT of Rs. 1,945.87 crores for Q4 FY '24 as compared to Rs. 1,308.31 crores in Q4 FY '23 and Rs.

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1,818.33 crores in Q3 FY '24. Our earnings per share for the quarter stood at Rs. 51.79 as against Rs. 34.94 in Q4 FY '23 and INR 48.42 in Q3 FY '24.

Our asset quality :

Our asset quality gross Stage -3 in Q4 FY '24 stood at 5.45% and net stage at 2.70%. These numbers will show an improvement over the corresponding numbers of 6.21% gross and 3.1% net in Q4 FY '23 and 5.66% gross and 2.72% net in Q3 FY '24. Our credit cost for Q4 FY '24 stood at 2.06% as against 2.24% for Q4 FY '23 and 2.15% for Q3 FY '24. Our cost-to-income ratio was 26.68% in Q4 FY '24 as against 30.15% recorded in Q4 FY '23. Our cost-to-income ratio in quarter 3 FY '24 was 27.08%.

Regarding our subsidiary Shriram Housing Finance Limited, our subsidiary Shriram Housing Finance Limited registered a disbursement growth of 76.88% over the same quarter last year. Disbursement in Q4 this year were Rs. 2,301.49 crores as against Rs. 1,301.13 crores in Q4 FY '23. Shriram Housing's assets under management as on 31st March 2024 exhibited a growth of 71.02% year-on-year and 14.44% sequentially. AUM stood at Rs. 13,761.68 crores at the end of Q4 FY '24 as against Rs. 8,046.60 crores in Q4 FY '23 and Rs. 12,025.14 crores in Q3 FY '24.

Shriram Housing Finance's net interest income registered a growth of 44.12% in Q4 FY '24 over Q4 FY '23. Net interest income for Q4 FY '24 was Rs.

96.02 crores as compared to Rs. 66.63 crores in Q4 FY '23 and Rs. 103.57

crores in Q3 FY '24. Shriram Housing Finance registered a profit after tax growth of 67.1% in Q4 FY '24 over Q4 FY '23. PAT for the 4th Quarter of this year was Rs. 62.06 crores as compared to Rs. 37.14 crores for FY '23 and Rs. 61.52 crores for Q3 FY '24. The EPS stood at Rs. 1.42 against Rs. 1.14 in Q4 FY '23 and against INR 1.88 in Q3 FY '24.

Shriram Housing with gross Stage -3 for Q4 FY '24 stood at 1.03% and the net Stage -3 came in at 0.79%. In comparison, the numbers were 0.93% on a gross basis and 0.69% on a net basis. In Q4 FY '23 and at 1.01% gross and 0.75% net in Q3 FY '24.

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I shall now request our Whole-time Director and CFO – Mr. Parag Sharma, to inform you about our resource-raising activities, after which our Joint Managing Director, Mr. Sunder, will brief you about accounting and regulatory aspects. Thank you.

Parag Sharma : Thank you, and hello, everyone.

The total debt as of March '24 stands at Rs. 1,85,845 crores, broken up into term loans, which is 24% securitization, which is 15.5%. External commercial borrowings, both from the bond and the loan rate at around 14%. The capital market borrowing at 20% and fixed deposit at 24%. The cost of debt has gone up by 5 basis points in the current quarter. And year-on-year basis, it has gone up by 19 basis points.

Liquidity :

We continue to maintain the 3 months liabilities of liquidity, which has been like case in the past also. The leverage ratio stands at 3.83 times versus 3.65 times which was last year. All ALM buckets continue to be positive and the cumulative surplus up to 1 year is Rs. 38,490 crores. The LCR ratio is at 195.55%, and this is compared to 209.86% in the last year. The overall ECB borrowing in the current

year has been around Rs. 13,950 crores versus Rs.

6,600 crores in the last financial year. The incremental cost of fund has also gone up by around 6 basis points in the current quarter.

I hand over to Mr. Sunder.

S. Sunder : A couple of data points. One is the employee count as on March 31 was 74,645 as against 73,485 in the December quarter. And the PD LGD numbers, PD for stage 1 was 8.85% as against 7.89% in the previous quarter. And Stage -2 PD was 20.12% as against 18.25% in the previous quarter. And the LGD was at 38.08% as against 41.45% in the previous quarter.

With these numbers, we hand the floor for the Q&A.

Moderator: We will now begin the question and answer session. The first question is from the line of Gaurav Kochar from Mirae Asset. Please go ahead.

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Gaurav Kochar : Three questions. I think in the end you mentioned regarding the PD and LGD assumptions that have gone up in this quarter, and maybe that is the reason why Stage 1 ECL has gone up from 3% to 3.3% quarter-on-quarter. Can you just highlight is this because of the COVID data that has come into your ECL model assumptions? And by when do you think this will normalize?

S. Sunder : Every year March, we do a reassessment of our PD and LGD rates asset per se, and this year also, we have taken the last 5 years data and done the thing, and we have also factored the economic parameters also into these considerations .

And moreover, why the PD rates have marginally gone up is that we are also factoring that day stamping, which we started doing 1.5 years back. So, because of that, the inflow into the other buckets tend to go up as compared to the earlier regime where in the day stamping was not done. And that has led to marginal increases in the PD, which we have started factoring from the current quarter onwards. And the LGD has come down compared to the previous quarter, again, primarily because of the reassessment of the historical data.

Gaurav Kochar : So, based on these assumptions and the changes you've made, do you believe this can stabilize at 3.3% currently where we are? Or you believe this can move up further?

S. Sunder : No, it should stabilize around these levels. Maybe give or take a couple of basis points.

Gaurav Kochar : Sir, my second question is you mentioned the incremental cost of fund has gone up in line with the overall cost of funds. So, in that context for, let us say, next year based on that the difference between your stock cost and incremental cost is negligible, assuming no rate cuts, do you believe we can sustain this cost of funds at current levels for next year?

Parag Sharma : Yes. We can definitely have the current incremental cost of fund to be maintained and not go up any further because we're currently at around 9%.

And I don't foresee any reason why it will further go up.

Gaurav Kochar : And in this context, if I look at our product mix has been shifting towards the higher yielding assets, the non -CV proportion has gone up. And I'm assuming

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that will continue in the next couple of years also. So, in that case, are we confident of maintaining this 9% margin that we have delivered in this quarter?

Umesh G. Revankar: Yes. Our intent is to maintain 9%, and the product mix definitely will continue to have a focus on high -yielding assets.

Gaurav Kochar : That's great to know. And just last question is with respect to the AUM growth guidance for maybe FY '25 and maybe slightly longer. While you have always called out aspirationally 15% is something that you would want to do. But if I look at this year, I mean, you've already delivered 21%. And if I look at a couple of factors. One is the branch productivity will improve as the cross -sell rate increases, and you will add more branches to the fold for cross -sell. So, taking

all these things into consideration, why can't we do 20%?

Umesh G. Revankar: See, there are a couple of factors. One is this financial year, the first 2 months election will slow down the credit demand to some extent because, see, this is a CAPEX -driven growth, our Indian economy. And when the government machinery are involved in election duty, there is likely to be some slowdown in the CAPEX activity of the government, infrastructure activity. So, we therefore expect a little slower growth in the first quarter. That's first. And the second is we would like to be as granular as possible, not focused on top line growth. Because if we go for big ticket loan, our new vehicle or

equipment loan, our big ticket SME loan, we can always grow faster. We will be focusing more on high -yielding products, more granular. So, our aim is to grow the bottom line larger than the top line. That is the idea. So, our focus will be more on a granular small ticket and high -yielding products. So, the entire energy will be on growing the bottom line faster than the top line.

Gaurav Kochar : And sir, the credit cost, I mean, now that ECL, even on Stage 1 will stabilize at these levels, what kind of credit cost do you like to guide for fiscal year '25?

Umesh G. Revankar: See, credit cost, we have been giving a long -term guidance of around 2%. And this year, we have ended up with 2.06% against the previous year, we ended up with 1.97% for the full year. And we should be able to maintain that around that level for the full year.

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Moderator : The next question is from the line of Renish from ICICI. Please go ahead.

Renish: So, just circling back to what Gaurav was trying to highlight on both side. So, just wanted to know that in terms of the merged entity, where do we stand in terms of the product integration? So, as we speak today, roughly 3,000 -odd branches. So, are all these branches equipped with all products? Or where do we stand in terms of the product integration today? And actually, if we have not reached the maximum level, so despite being the metro for not supporting these segments, specifically vehicle segment in first half due to election. Does the merger benefit drive the growth?

Y. Chakravarti : Yes. This is Chakravarti here. As far as branches are concerned, no, we are doing it in stages. So, all the products are not available in all the 3,000 branches and may not be available in future also. Because it depends on where the branches are located and the feasibility, we will be introducing. As we already mentioned, we have added some like close to between 800 to 900 branches for gold loan, SME in another 600 branches. So, this is an ongoing process. Probably it will take about a year or so for us to fully take these products to all the feasible locations.

The SME may not be available in all the branches because we will be operating on a hub -and-spoke model, where the spokes would be the lead generators and the hub will be the processing and underwriting office. Similarly, gold may not be available in certain commercial vehicle branches because these branches are located outskirts of the city. So, we will not be opening that. So, it's depending on feasibility. But as I told you, all the products may not be available in all the branches, one.

Second is on the growth side, the Commercial Vehicle segment is the largest of the portfolio. And if it is growing at a lower pace, obviously, the other products will have to grow at a higher pace. We expect commercial vehicles to grow around 11%, 12%, okay? And that means if we have to reach the 15% AUM growth, the other products have to grow at 20% or more. So, that's how they will balance it out.

Renish : And just a last question from my side. This is a bit on a qualitative side. So, we have recently seen a vehicle financing company with a single large product

of

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roughly Rs. 1.8 billion. So, now given the merged entity, we will be having one of the largest distribution networks physically on the industry space a bit more than 3,000 branches, more than 70,000 odd employees. So, how we will ensure that no such events happening at Shriram?

S. Sunder : We have a robust internal audit department and there are also controls and checks and balances at various levels. And we are confident that the frauds of a very big nature will not occur. So, here and there are smaller frauds keep happening, the customer related for, but it's restricted to say Rs. 1 crore or INR 2 crores, but nothing significant will be against. We have the confidence in our audit and the control mechanisms.

Renish : So, would you like to give some, let us say, 2, 3 important points to highlight, let us say, how frequently we do the audit, or do we have external audit structure, et cetera?

S. Sunder : We have around 150 -odd member internal audit team who visits around 2,300

branches. That is the audit plan for the year '24-'25. And to support this, we also have a 200 -member operational audit team, who also parallelly visit all the branches and then ensure that no fraud as such happens. We have market intelligence also.

Moderator : The next question is from the line of the Adarsh Parasrampuria from ENAM Holdings. Please go ahead.

Adarsh Parasrampuria : Sir, since you mentioned that the focus will be on profitability. Can you kind of indicate what kind of ROEs you expect? You are at 16% this year. You 've created a lot of buffers in provisions. So, any ROEs that you would target over FY '25 and '26?

Umesh G. Revankar: See, we have given guidance of 16% to 18% as the range. And we are already at 16 -plus. I think this financial year, we should be able to cross 17%. So, that is the target. And definitely, by '26 we will be 18%.

A. Parasrampuria : And sir, the other question was on the housing subsidiary. The subsidiary has grown well, profitability is strong. A lot of media articles we were, and you have indicated that probably by the end of this quarter, you all can speak a little

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bit more about what kind of plans you have for that subsidiary. So, if you can just talk about that.

Umesh G. Revankar: See, our housing subsidiary is growing very fast, and we need to add capital to that for further growth. So, the entire thinking is on providing the growth capital. So, we are looking at various options of providing the growth capital. So, the discussion internally is on nothing, so status quo remains. There 's nothing decided on that.

A. Parasrampuria : Okay. But you would want to get growth capital, and which means that you won't look to like media articles talk about lock, stock, barrel sales. So, is that option also one of the options.

Umesh G. Revankar: All the options are open .

Moderator : The next question is from the line of Meghna Luthra from InCred Equities. Please go ahead.

Meghna Luthra : Sir, I just have 2 questions. One is that since 2 -wheeler sales have been good, the book has still been slow in terms of growth. And the second question is a bookkeeping question. I just wanted some breakup of disbursement according to the segment.

Parag Sharma : See, 2 -wheeler disbursements have definitely grown. But as you know, it 's a 20-month product. If you look at it year -on-year, there is a 14% growth on disbursement. So, even the number of units also have grown. AUM wouldn 't have grown significantly because of the tenor being, so the churn is higher there.

Meghna Luthra : And sir, can I please have the breakup of disbursement?

S. Sunder : Yes. Maybe we have done Rs. 15,425 crores. Passenger vehicle, Rs. 6,706 crores for Q4, I 'm calling out for Q4. Construction Equipment, Rs. 2,354 crores; Farm Equipment, Rs. 894

crores; MSME Rs. 6,372 crores; 2 -wheeler, Rs. 2,602 crores; gold Rs. 3,249 crores; personal loans Rs. 1,722 crores, totaling to Rs. 39,326 crores.

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Moderator : The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar : Sir, I might be harping on growth all over again. But then we do understand that the near -term election driven phenomenon would anchor the growth prospects. But sir, 1 year down the line, say, as we move towards FY '26 and also given the fact that you mentioned in the beginning that the growth will be more coming from lower yielding products, which today also are potentially or have potential to grow at 30% rate. Then why still our growth targets remain around 15%, 16%? So, what is the expectation 2 years down the line?

Umesh G. Revankar: See, I think I already explained. We would like to have a more granular growth. We'll be focusing on our niche area of small ticket lending, where high -yielding assets will be given a little higher weightage, and we are already a large base. And the growth will be calibrated, and we will be focusing on

improving the bottom line. So, the entire focus is to bring efficiency and profitability, not the top line growth.

Shweta Daptardar : Sure, sir. Sir, secondly on the credit quality. So, in terms of Stage -3 and so also similar trends in Stage -2. Sir, we have seen drastic improvement there, which wherein even our credit cost guidance of 2% is coming. So, do you see further improvement in GNPA's of Stage -3 going forward, given that the credit cost which you are guiding is expected to drastically come down to 2% odd levels from 2.3% to 2.4%?

Umesh G. Revankar: See, our target is as the economy improves and our target of Stage -3 is we are at 5.45% now. We will be moving towards 5% by the end of the financial year. So, that is the target we have. And net will be around 2.5%. And credit cost, by and large, will remain on a similar line, maybe around 10 basis points plus or minus.

Moderator : The next question is from the line of Chandrasekhar Sridhar from Fidelity International. Please go ahead.

Chandrasekhar Sridhar : I have few questions. One for Parag, you sort of mentioned that interest cost would be causally flat. I do notice though you have increased FD rates recently.

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So, just far and given that it's a reasonable chunk of our borrowings, maybe just some thoughts on how did it result in interest cost being constant?

Second, another question for Sunder. Maybe could you share the write-off number for the quarter? And then for Umesh. Can you share a few thoughts around price versus volume in the CV segment. How has been that this year? How do we see that moving into the next couple of years in terms of the CV business? And because at some point in time, the BS-VI vehicles will start coming into our portfolio, which should result in some level of step-up in pricing. So, just curious to see why you are still guiding for 11%, 12% only because my understanding is that BS-VI eventually starts getting into our portfolio by the latter half of this year?

Parag Sharma : What you're saying is right. We have increased our deposit rate not very significantly, between 5 to 10 basis points, what we have increased. And only in one bucket, we have increased by around 20 basis points. But overall, that deposit portfolio until it substantially goes up, then only there can be increase in costs. Otherwise, that there's only on the incremental borrowing that rate is applicable and not on the existing book. So, that is one part.

On the other piece is, which is largely the domestic borrowing that are what we are focusing upon now, we have done large ECB borrowing in the January to March quarter. We don't foresee substantially going to the off

shore market

again for a further raise. Domestic rates are holding up. There is no increase there. So, that is the reason I'm saying that cost may not go up substantially. It may be a few basis points here and there can be there, but I don't foresee any substantial increase in cost.

S. Sunder : And on the breakup of rate costs for the quarter, bad debts, which was written off was Rs. 805 crores, and the incremental provisioning was Rs. 456 crores, totaling to Rs. 1,266 crores.

Umesh G. Revankar: Coming to CV. See, used vehicle price increase was witnessed in the last financial year, there is an increase of around 25% for all the used vehicle, whether it is BS-II or BS-VI, we can get repriced almost on similar rate depending upon the vintage, the price is going up because of the new vehicle

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price goes up. So, this increase has already come into the factor, hence we have guided 12%. Actually, we have grown 14.6% on CV in this financial year.

Going forward, you are right, the prices of the used vehicle will remain strong and further up. Therefore, there is a scope for us to increase our used vehicle portfolio. The supply of used vehicle right now is restricted because the new vehicle sale was less in the 4 years back or 5 years back. So, for 2019 to '22, the sale of new vehicle was depressed. So, there are not enough supply per se. And the current new vehicle that's the last year and this year's new vehicle will be available in the market, maybe a couple of years from now. That means

there will be a robust supply of used vehicle for the next 4 to 5 years. That 's what we feel confident that our CV portfolio will keep growing, but at a steady pace, maybe between 12% to 15%, it will be growing very steadily. But there will not be a big increase or big numbers in the immediate future, it will happen over the next 3 to 5 years.

Chandrasekhar Sridhar : Is it fair to say that the volumes actually were down this year. Basically, the growth is largely utilized in them because if you say being a 25% increase in price over the last couple of years, it means that bulk of the AUM growth essentials is pricing, which is coming of the vehicle?

Umesh G. Revankar: It is around 5% factor. As I say, a 15% growth, 5% is due to the price increase. And 10% is due to the new addition.

Chandrasekhar Sridhar : Right. Okay. Then a couple of projects, personal loans, we have seen a pretty reasonable sequential decline, your thoughts around that. And then lastly, on OpEx, obviously, the last year, 1.5 years, we have been adding people through the franchise, but the sort of later employee addition now slowed down a little bit. How should we think of new employee addition OpEx over the next year or 2?

Y. Chakravarti : Chandra, this is Chakravarti here. I think on the employee side, you will see that slowdown. We wouldn 't be adding much. Probably we will be adding people when people are on notice period, we will be picking up some people. So, basically, we have created a small bench. So, small recruitment will continue, but nothing substantial will be added, one. On your personal loan, yes, we just tightened our.... slowed down of the business because of the Shriram Finance Limited

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concerns that the market is expressing over it, though we are pretty confident about the portfolio quality.

Moderator : I now hand the conference over to Mr. Umesh G. Revankar for closing comments. Please go ahead.

Umesh G. Revankar: Thank you. Thank you for joining this call. And this quarter has been one of the best quarters for us on stability, improvement in asset quality and growth.

Even though the growth may be a little slow in the first quarter of this financial year, with the IMD prediction being positive on monsoon, IMD and Skymet, we expect good demand that will come from the rural area in the

second

quarter. And expecting that, I think the first half of the year we should be able to see very steady growth and with the new government coming in and a lot of new projects may be announced and also will give impetus to existing infrastructure project. All in all, next quarter when we meet, we will have a lot of good things to talk about and a good performance. Thank you very much.

Moderator : Thank you. On behalf of Shriram Finance Limited, that concludes the conference call. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

SEC/FILING/BSE -NSE/24 -25/68A -B July 30, 2024

BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra - Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the first quarter ended June 30, 2024 .

Further to our letter dated 26th July 2024, regarding the audio link of the investors earnings call for the first quarter ended June 30 2024 , we enclose herewith the transcript of the said call.

The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you,

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.:a/a.

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"Shriram Finance Limited
Q1 FY25 Earnings Conference Call"
July 26 , 202 4

MANAGEMENT

Mr. Umesh G Revankar, Executive Vice Chairman
Mr. Y S Chakravarti, Managing Director and CEO
Mr. Parag Sharma, Managing Director & CFO
Mr. S. Sunder, Joint Managing Director
Mr.Ravi Subramanian, Managing Director and CEO, SHFL
Mr. Sanjay K umar Mundra, Executive Director

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Moderator: Ladies and gentlemen, good day and welcome to S hriram Finance Ltd Q1 FY25 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confe rence call, please signal an operator by pressing star then zero on a touch -tone phone.

I now hand the conference over to Mr. Umesh Revankar , Executive Vice -Chairman. Thank you and over to you, sir.

Umesh Revankar: Thank you. Good evening friends from India and Asia and warm welcome to all of you. Greetings also to those who have joined the call from the western part of the world. To present our Q1 FY25 earnings call today, I have with me Managing Director and CEO, Mr. Chakravarti, Managing Director and CFO; Mr. Parag Sharma, Mr. S. Sunder, Joint Managing Director; and also present are Mr. Ravi Subramanian, MD CEO of our subsidiary, Shriram Housing Finance Limited. And Sanjay Mundra who is our Investor Relations head. It has been a good first quarter for the year -- for the Shriram Finance Limited.

Before going to the quarter results, I would like to go to other factors that have helped us. First look at our Indian economy that has performed quite well in the last financial year. India GDP growth rate in the quarter ending March 31st grew by 7.8%. These figures surpassed the RBI estimate of 7% according to the projection made in April monthly policy review.

GDP growth stands at 8.2% for the full financial year FY24 as compared to the growth rate of 7% in the FY23. Earlier the government estimation was at 7.6%. The real GDP growth is expected to grow at 7.2% for FY25. India's CPI inflation in June '24 stood at 5.08 on the back of higher food prices. The retail inflation in June is the highest in last four months. Inflation in the food basket rose to 9.36% in June compared with 8.69% in the month of May. While food inflation risk will continue to remain in the near term, we expect better sowing pattern and spatial distribution of rain to ease the price pressure beyond those volatile months.

The wholesale price index inflation for June '24 touched 16 months high of 3.36% after scaling 2.61% in the previous month. In fact, since February '24, WPI inflation has surged from 0.2% to 3.36% largely on back of the spike in wholesale food inflation and manufacturing inflation. It is turning negative to positive.

RBI in its MPC meeting held on April 5, '24, kept the repo rate unchanged at 6.5 and decided to hold key positive rate for 8 consecutive times in June '24. The Rural Economy, this year, IMD has forecast an abnormal rainfall during June -September. The seasonal rainfall is expected to be 106% of long-period average.

July rainfall looks promising as the country is expected to continue to receive widespread rainfall in the next 10 days. Rainfall during July /August accounts for nearly 70% of India's seasonal rainfall. In the Southern Peninsula, monsoon rainfall has been 23.7% more than the benchmark so far. At 70.4 mn hectares or 64% of normal sown area, the combined sown area of key crops such as paddy, pulses, oilseeds and sugarcane was up by 3.5% year-on-year till last week. This

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is very good progress in the backdrop of GVA, which is Gross Value Added for Agriculture and Allied Activities in the crop year 2023-2024, which grew just 1.4%, the slowest since 2018-19. Even the estimated agriculture output in the last crop year was minus 6.2% and on looking at that, we should be having very good agriculture output due to good monsoon crop year. S&P Global Rating on May 29 upgraded India's Sovereign Rating Outlook to Positive from Stable, while retaining the rating at BBB - on Robust Growth and Improved Quality of Go

vernment Expenditure. On the GST, as per the news report going forward, the Finance Ministry will not release monthly detailed GST collection data on 1st day of every month. But as per media report, the monthly GST collection is 7.7% greater than the collections made in June 2023 and stands approximately at INR1.74 lakh crore s. Average GST collection from April to June '24 was up to INR1.86 lakh crore s. Recently we had a budget announced and highlight of the budgets are as follows. The Finance Minister highlighted on Navaratna, the 9 areas where sustained efforts are needed to take country on path of strong development and all-round prosperity to achieve the vision of Viksit Bharat. The highlights of which is of direct impact to us in our business are as follows. One is the focus on agricultural productivity and employment generation. That will help us in our rural and MSME lending business and we expect maximum traction here. The budget also provides INR11.11 lakh crore s of capital expenditure to improve infrastructure with special focus being announced with additional facilitation for Eastern part of India i.e. Purvodaya plan and also some additional financial support for building capital in Andhra Pradesh to the extent of INR15,000 crores.

There is also additional provision of INR1.5 lakh crore s long-term interest-free loan to state governments which should help in rural and urban infrastructure. Ultimately this will benefit transportation, manufacturing and the MSME business.

Coming to the Auto industry, on OEM sales this quarter has been reasonably good in the first quarter of the financial year. The commercial vehicle has seen a growth of 3.5% to 2.24 lakh units against 2.17 lakh units in the Q1 previous year and within the CVE, M&S CVE has grown 9.7% in Q1 which stands at 85,421 units against 77,829 units in the previous year same quarter. LCV sales has been flat at 1.39 lakh units with same number of units in the previous financial

year first quarter. Passenger vehicle has seen continuous growth which has registered 3% growth with 10.26 lakh units against 9.97 lakh units in the year -on-year. The two -wheeler has recorded robust growth of 20.4 % with sales of 49.86 lakh units , against 41.41 lakh units sold in Q1 '24. The three -wheeler again has registered good growth with 14.2% which is 1.65 lakh units against 1.45 lakh units. Tractor has de -grown mainly because of the lesser output in the last year in the agricultural side.

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But we expect with good monsoon this year to improve in the Q2. The numbers were 1.98 lakh units against 2.25 lakh units in the previous year. Construction equipment has registered a growth of 4.6% with 26,010 units against 24,856 units sold in the previous year.

With this, now I will ask my colleague Mr. Chakravarti to take us through the operational performance. Thank you.

Y S Chakravarti : Thank you, Umesh . Good evening. I welcome all of you to our Q1 FY '25 Earnings Call. And I trust you have had the opportunity to review them and the related investor presentation which have been posted on the website of the Stock Exchanges. We have registered a disbursement growth of 23.82 % Y-o-Y. Our disbursement in Q1 FY '25 this year aggregated to INR37,709.79 crores versus INR30,454.81 crores in Q1 FY '24 . Our asset under management as on 30th June 2024 registered a growth of 20.82% over Q1 FY '24 and 3.82% sequentially. Our A UM stood at INR2,33,443.63 crores as against INR1,93,214.67 crores a year ago and INR2,24,861.98 crores in Q4 FY '24 . Our net interest income in Q1 FY '25 registered a growth of 20.63% year -on-year. We earned a net interest income of INR 5,354.47 crores in Q1 FY '25 this year as compared to INR4,438.68 crores in Q1 FY '24 . Our net interest margin was 8.79% as against 8.33% in Q1 FY '24 and 9.02% in Q4 FY '24 . Our PAT grew by 18.

21% in Q1 FY '25 over Q1 FY '24 and by 1.78% over Q4 FY '24 . We have registered a PAT of INR1,980. 59 crores for Q1 FY '25 as compared to INR1,675.44 crores in Q1 FY '24 and INR 1,945.87 crores in Q4 FY '24 . Our earnings share for the quarter stood at INR52.70 as against INR44.73 in Q1 FY '24 and INR51.79 in Q4 FY '24 . On our asset quality, our gross Stage 3 in current quarter stood at 5.39% and net Stage 3 at 2.71%. These numbers show an improvement over the corresponding period of 6.03% gross and 2.96% net in Q1 FY '24 and 5.45% gross and 2.70% net in Q4 FY '24 .

Our credit cost for the quarter stood at 1.87% as against 1.62% for Q1 FY '24 and 2.06% for Q4 FY '24 . Our cost to income ratio was 27.45% in Q1 FY '25 as against 28.85% recorded in Q1 FY '24 . Our cost to income ratio in Q4 FY '24 was 26.61%. Regarding our subsidiary Shriram Housing Finance, as you all know the Board of Directors of the company in its meeting held on May 13, 2024 had approved the proposal for disinvestment of the company's entire stake in Shriram Housing Finance Limited, a debt listed non -material subsidiary of the company. In this regard, the company has entered into a share purchase agreement with Mango Crush Investment Limited, an affiliate of Warburg Pincus.

The company's investment in Shriram Housing Finance Limited has been classified as assets held for sale and disclosed as discontinued operations in the financial results. However, Shriram Housing's Asset under Management as on 30th June 2024 exhibited a growth of 50.93% and stands at INR14,397.30 crores as against INR9,539.37 crores in Q1 FY '24 . The net interest income of Shriram Housing Finance Limited registered a growth of 40.62% in Q1 FY '25 over Q1 FY '24 .

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Net interest income for Q1 FY '25 was INR119.91 crores as compared to INR85.27 crores in Q1 FY '24 . Shriram Housing Finance has registered a PAT growth of 5.85% in Q1 FY '25 over Q1 FY '24 . PAT for the quarter of this year was INR48.31 crores as compared to INR45.64 crores . The EPS stood at INR1.34 against INR1.40 in Q1 FY '24 . Shriram Housing's gross Stage 3 for Q1 FY '25 stood at 1.24% and their net Stage 3 came in at 0.94% . In comparison these numbers were 1% on gross basis and 0.75% on net basis in Q1 FY '24 .

I shall now request our MD and CFO Mr. Parag Sharma to take you through our resource raising activities after which our Joint Managing Director Mr. Sundar will brief you about our accounting and regulatory aspects.

Parag Sharma: Hello everyone. The total debt as of June quarter end was INR1,91,745 crores broken up into retail deposits at 24%. Capital market instruments NCDs at 20%. ECB, External Commercial Borrowing, both in the loan and the bond formats stood at 14%. Securitization outstanding is at

15% and term borrowing from bank and institution is at 26%.

Total cost of debt has marginally come down from March end numbers which was 9.01 to 8.96 now. The leverage ratio stands at 3.79 versus 3.83 as of March end. The liquidity coverage ratio is 225.19 marginally up from 195.55 as of March. Overall liquidity, we continue to maintain 3 months of liability repayment for liquid assets and that continues to be the case with INR15,229 crores of liquidity as of June end.

Incremental cost of fund is at around 8.8 which is slightly down from the previous quarter which was at 9%. ALM buckets, all buckets continue to be positive. Short term buckets up to 1 year continues to be positive. The 6 months cumulative surplus will be INR20,000 crores plus. That handed over to Sundar.

S. Sunder: The employee count as on 30th June was INR75,813 as compared to INR74,645 in March. Stage 1 PD in case of ECL was 9.02, Stage 2 PD was 20.39 and LJD was 38.42. Segment wise disbursement, commercial vehicle contributed to INR14,024 crores, passenger vehicle INR7,406 crores, construction eq

uipment INR1850 crores, farm equipment was INR820 crores, MSME INR6,207 crores, two wheeler was INR2,732 crores, gold was INR2,652 crores and PL was INR2,014 crores totalling INR37,709 crores. The breakup of the credit cost was INR599 crores on account of bad debts and INR588 crores of impairment loss. With this I hand over the mic to the moderator.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi : Thank you. Can I ask a question on cost of funds? How do you expect it to develop over the next few quarters? And on a medium -term view, what strategy are you following to get a credit rating upgrade?

Parag Sharma: On the cost front, as of now it looks to be quite stable and we don't expect much change from the current level which was close to around 8%. We are well diversified when it comes to sources

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and the diversity will continue to be there. The focus is there on retail deposit, securitization which is one of the cheapest source of fund for us. We also have large offshore borrowing program and that will continue to be tapped as and when opportunities arise.

Rating, the dialogue is on with all the rating agencies. Other than continuous improvement in our overall business numbers, I don't think there are any factors which rating agencies are concerned about when it comes to diversity of assets, diversity of liabilities, overall merger process, how smoothly it has gone. And seamlessly, we have been able to increase businesses across all asset classes.

I don't think there is anything further when it comes to the performance indicators from the company. The dialogue will be on. Let us see what is the ultimate timeframe rating agencies have in mind.

Chintan Joshi : Thank you. And the second question is how should we expect the mix of AUM to develop over the next one to three years?

Y S Chakravarti: There could be a percentage point up and down but I think it is largely, because of the predominance of the vehicle portfolio. And since it is also growing we don't see much of a, there will not be any major change. Though we are focusing on gold loans and MSME loans to grow that book. But at the same time, vehicle loans are also growing. So there would be probably a 2%-3% plus or minus here and there, but nothing major change.

Chintan Joshi : So should we not expect the old SCUF businesses to grow a little faster?

Y S Chakravarti: No. We are looking at the truck business to grow at around 12%.

Chintan Joshi : Sorry, can you repeat that?

Y S Chakravarti: The old truck business, we are expecting it to grow around 12%.

Chintan Joshi : Okay.

Y S Chakravarti: So the other products will grow at a faster pace. For example, MSME we are looking at growing the book by about 20% plus, two-wheeler about 15% to 18%. So they will grow, I mean the growth rate will be faster but the base is smaller.

Umesh Revankar: Chintan, to add to that, there will be some upsurge in used commercial vehicle and even passenger vehicle maybe in the next fiscal, '27 because the new vehicle cycle has started in '22.

And that to come into the market and having a larger market will take a little time. So right now we are growing at around 12% to 15%. But maybe in a year or two that growth rate can further improve as the market expands.

Chintan Joshi : Thank you.

Moderator: Next question is from the line of Kamal from Investec. Please go ahead.

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Kamal: Hello sir. I just wanted to ask that in this quarter, the gold prices have increased by around 10 % to 12% quarter -on-quarter. However, our gold AUM is still declining quarter -on-quarter. So can you please help us with the reason on that?

Y S Chakravarti: So basically,

the impact was in this quarter. It has gone down. We have not increased our per gram rates, we have kept them at what we were doing. It is not that every increase in gold loan price we increase the lending amount per gram. So one reason.

Second is there was also a slight slowdown because of the adjustment from more than INR20,000 cash disbursement. So there was a little impact of that. And on top of that, we were also -- our legacy branches we were doing gold loan. We actually had to undertake a total revamp of the strong rooms and security measures. So all this has contributed to a little slowdown. But we feel that this quarter and the next quarter should see a good growth.

Kamal: Okay. So can you please quantify what is the percentage of the gold loan disbursed to bank channels? And what is the percentage you guys have been disbursing by cash which has affected?

Y S Chakravarti: See anything above INR20,000 will go through bank. So loans up to INR20,000 is in cash. Rest of it will be through bank. So our average ticket size is around today about INR70,000 - INR75,000.

Umesh Revankar: See it is not affected I should say. It is basically adjustment time, because industry is undergoing some adjustment. And maybe temporarily customers may go into a pawn broker for raising money, which is temporary. But everything will come back because all the industry is adjusting. And everyone has been the same wicket. So that will help actually.

I feel the industry will go faster post this adjustment. So that will be helpful. And also we are adding more branches to gold lending, because as Chakravarti rightly put it, each of the branches need a certain kind of security requirement to start gold loan. As we add more number of branches, the growth will come back.

Kamal: Thank you sir. I just want to ask if you could just guide what is the AUM growth guidance for FY'25. And how do we see the disbursement in the next few quarters?

Umesh Revankar: Our guidance will remain at 15. But this quarter has been good. Because we were expecting some kind of slowdown in activity, overall credit uptake because of the election. But we did not see any impact. Because the election was very smooth and spread across so many states. So it had no negative impact. So credit uptake was good. So we expect momentum is good. So it will continue to be good for the rest of the year. We don't want to change the guidance now. But we can expect to do much better than the guidance.

Kamal: Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Natraj Shankar from DSP Mutual Fund. Please go ahead.

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Natraj Shankar: Hi. Thanks for the opportunity. Two questions. One is on the MSME part and the non-vehicle finance part. As we look forward, I am not looking at quarter -on-quarter over the next two to three -year period of time, how are you managing risk? How are you growing differently compared to what others are doing?

Can you just show some -- can you help us understand better the nature of the growth that you are doing compared to what others are offering? That will be helpful to understand the quality of the business growth. And secondly, over the next two to three years as we grow, how is the leadership positioned today? Is it sorted, all well settled? That will be helpful. Thanks.

Umesh Revankar: MSME business basically, we are lending to customers against the mortgage of property, typically all the larger tickets and most of the loans. That's the way our, what you call, we are playing it very safe now. And the every cash flow, every business, lending Decision is taken on a cash flow basis only.

Natraj Shankar: Is it also possible to share. If it takes the top three industries within MSME. That would be lending. What would those top three industries be?

?

Y S Chakravarti: Yes. See basically our major. 70 % of our lending goes to small businesses. Basically in the service sector and trading sector. So manufacturing would be less than 70 %. Less than 30 % of our total portfolio. Majority of it is towards trading and service industry and the average ticket size here is about INR10 lakhs.

Natraj Shankar: Okay. And South versus non-South. Just a quick follow up before I move.

Y S Chakravarti: Non-South for MSME will be 60 -40. 60 South. 40 Non -South.

Natraj Shankar : And as we transition to next two to three years. Would the mix be remain the same or it will be different?

Y S Chakravarti: Both markets are growi ng. So , difficult to say but the North. I mean. Non -South is a much larger market for SMEs. And that is where we are focusing on actually. So we will have to see.

Umesh Revankar: As we create more reach automatically the proportion will change. So but it will take time it will take three, four, five years. To make that kind of a change so m ost of the other markets. We are relatively new. In the SME segment even though in other segments. We are there for quite a long time.

Natraj Shankar : And secondly. On t he leadership part as we build these new businesses and scale up. Is the structure in place. For leadership across channels. Is there any gap that exists. That we want to plug. Both at the top and the middle. Can you just show some. Thanks.

Umesh Revankar: In the segment we are in. We are I think leaders. Because most of the SME lending. If you look at they are either focusing on the medium size of around. 40 -50 lakh ticket size. We are in a small ticket. So number of loan and what we call micro entities enterprises. We are one of the largest. We do not know the banks. But among the SBFCs. We are the largest in our segment.

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Natraj Shankar : I meant leadership in terms of internal capacity.

Y S Chakravarti: I am coming there. So it is pretty. The succession lines are pretty. Pretty much there. For every position. We have people. In fact. We have multiple people competing that way. So the succession planning is on , on a continuous basis. At every level. There is no gap. As far as leadership is concerned there are no gaps even from levels as low as a branch manager.

Natraj Shankar : Thanks. That is it for me.

Moderator: Thank you. Next question is from the line of Bunty Chawla from IDBI. Please go ahead.

Bunty Chawla: Thank you sir. Thank you for giving me the opportunity. In the opening remarks , as you said. There has been in fact. Incremental cost of funds has been lower. As compared to on the books. So what has resulted in 20% decline in sequential margins.

Parag Sharma: One is. Last factor is the Liabilitie s which were. The cost of those liabilities which have matured was higher. That has really helped. Incremental cost is mix of securitization. What to do with. And also the capital market instrument. That also has slightly come down. Both those actors are helping for the incremental cost being slightly lower. Some of the. Borrowing also which is done in the don't format is cheaper compared to what we were doing. On format earlier. Which was costlier. That is Incremental cost and on the balance shее t cost be ing lower High -cost debt getting mature.

Bunty Chawla: So my question was that. As we have seen. Incremental cost of borrowing coming down. So there should be improvement in the margins. But oppositely we have seen there is a decline in the margins. By 20 bits on a Q1 basis. So it's because there has been a decline in the yields. And what is the reason behind ?

Umesh Revankar: Basically what happens is , you have to compare Q1. With the Q1. The Q4. Normally towards the end of March. There will be more disburs ement on new vehicles. That is a little low yield ing.

That is one thing. Second in our portfolio. The gold and personal loan portfolio there was some decline was there. So our product mix also changed a little. This contributed to a little lower yield on Lending. This is typical of Q1.

Bunty Chawla: So going forward we can see there could be an improvement in the yields which should support the improvement in the margins. Because the cost of an increment is almost stable as we said ?

Umesh Revankar: Margin is dependent on multiple factors. It also depends on liability cost and other factors. So overall we can say that definitely there is some improvement. We can't quantify it.

Bunty Chawla: Okay sir. One. In provisioning analysis, you have shared at this sta ge. There has been improvement in cross test 3. On a Q1, Q4 and all these things. But what we have just -- so the provisioning for stage 1. Has continuously increased 2.91 to 3.28 and now 3.42. So what is the reason behind that? Because we have seen the im provement in the asset quality. There should be a stability in the UCL provision as far as stage . There has been a decline in coverage ratio.

For stage 3. But there has been an increase in stage 1 ?

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S. Sunder: No, that is primarily because of the product mi x that has been happening over a period of 5 years. So there will be some dip or increase quarter -on-quarter . But nothing to do with the product wise composition.

Bunty Chawla: Okay. And sir, lastly data point, if you can share what was the write-off for this quarter as it is last year -- last quarter, same year write-offs?

S. Sunder: One second. Write-off for the current quarter was INR599 crores and for the March quarter was INR805 crores. And the Q1 FY '24 was INR573 crores.

Bunty Chawla: Okay. That was very helpful, sir. Thank you.

S. Sunder: Do you want the provision amount also?

Bunty Chawla: Provision amount?

S. Sunder: Do you want it?

Bunty Chawla: Yes sir please.

S. Sunder: Okay. Provision for the current quarter of INR588 crores. March was INR456 crores. And June '23 was INR305 crores.

Bunty Chawla: Okay. Okay. That was very helpful sir. Thank you and best of luck.

Moderator: Thank you. Next question is from the line of Renish from ICICI Securities. Please go ahead.

Renish: Yes, hi sir and congrats on a good set of numbers. So, sir, just two things from my side. One on the growth side, so during Q4 call, you have elected that Q1 should be muted because of the election and some sort of seasonality. But Q1 turn out to be a better than expectation and still we are sort of maintaining the same guidance. So do -- does it -- does that mean that let's say Q2, Q3 might see some pressure or maybe, you know, we will exceed the guidance?

Umesh Revankar: See, definitely, when we start well, we should expect -- you can expect to us to exceed the guidance. But there are multiple factor. See, AUM growth has -- the AUM growth and the bottom line growth, there are two different things. We are focusing on bottom line, even last year also I maintained, we will be focusing on improving the product mix in such a way that will be improvement in the bottom line.

And also we will be focusing on the new geographies where we feel that there is lot of growth opportunities. And the smaller ticket loan will not add to the AU. So if you are looking at answer on AUM growth, we cannot give the number right now because the small ticket loan, the matures faster like gold loan is six months on average ticket size and the personal loans will be average of 18 months, two wheeler will be 21, 22 months.

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So these are all small ticket loan which comes into -- so that means you are on a treadmill, keep doing more businesses. So what will result in the AUM growth may not result in the bottom line. So we are

efocusing on bottom line, so that bottom line grows much faster than the top line. So I should say that we will definitely exceed the guidance, but I can't quantify the same.

Renish: Got it, got it. And, sir, second question is on farm equipment, so when we look at the gross Stage 3 touching 9% and despite that we saw there is an almost 6% -10% sequential growth on the AUM side. So how once you read this two different data points, I mean growth in a segment wherein we have the highest gross Stage 3?

Umesh Revankar: See, one thing is in the tractor, the biggest advantage is the -- most of the customers or the asset will remain within the village limit, it doesn't move out. So the credit cost in the tractor portfolio is as good as any other portfolio. It's around 2%, even though that Stage 3 is a little higher and maybe provision is a little higher. But there is also a write back because credit cost is not higher. So and also it is a high yielding, the portfolio is high yielding. So net-to-net that portfolio is as good as any other portfolio. So we would like to grow there because it also gives a reach to us in the rural market.

Renish: Got it. And sir, would you like to share the asset yield for personal loan and gold loan?

Umesh Revankar: We don't have it right now. You can contact Mr. Mundra, he'll help you out.

Renish: Okay. Thank you sir and best of luck, sir.

Moderator: Thank you. Next question is from the line of Gaurav Kochar from Mirae Asset. Please proceed.

Gaurav Kochar: Hi. Good evening team. Congrats on the quarter. Three questions from my side. Firstly, I think it's less talked about, but I think you have done a fabulous job on the deposit franchise. I think even in this quarter there was a decent traction net 3000 crores kind of an accretion is commendable in the current context. So just wanted to understand some dynamics here. What is your sourcing mix?

How much of it comes through branches? How much of it comes through the DSA? What is the overall sort of cost of acquisition? I am not talking about deposit cost. I am talking about cost of acquisition. You may be paying through agents, third party agents who might be sourcing it for you. Just wanted to understand some numbers around this?

Umesh Revankar: The corporate channel which we have which is basically broker channel that is around 35%. Rest of it comes from the branch and our own direct intermediaries. We have direct intermediaries which is directly linked to the company right from the beginning. So overall cost should be 75 basis point.

Gaurav Kochar: Okay this 75 basis point is spread over the tenure of the deposit?

S. Sunder: Yes correct.

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Gaurav Kochar: What would be the weighted average cost and weighted average duration of these deposits?

S. Sunder: Average tenure of the deposit will be around 40 months.

Gaurav Kochar: And cost interest cost?

S. Sunder: 8.3, 8.4 will be the interest cost.

Gaurav Kochar: All right understood. My second question is on the MSME product and just wanted to understand how many branches have we covered doing this product and let's say by end of FY25 or FY26, any sort of target that you have of the number of branches that we would be doing MSME?

Y S Chakravarti: See even earlier in the erstwhile Shriram City Indian Finance branches also out of close to 1000 branches we were doing MSME only in about 550, 600 branches. So in these two years we would have added about 50 of those, 50-55 of those Shriram City's erstwhile branches and in about 120 of commercial vehicle branches. So, close to about 170 branches is what we have added now.

Gaurav Kochar: Okay so that 550 would have become 720 out of the 3000 odd branches. So let's say by next year or maybe slightly longer FY26 what would be the target?

Y S Chakravarti: See next two years probably we would

be adding another 250 branches.

Gaurav Kochar: In the next two years?

Y S Chakravarti: Yes.

Gaurav Kochar: Okay, understood. And just to understand this a little more what would be the ballpark throughput of these branches in terms of just to understand when do these branches break even and where do these branches typically cap in terms of disbursement per month or disbursement per annum any number that you might...

Y S Chakravarti: There is no clarity sorry voice was not very clear.

Gaurav Kochar: Is it better now?

Y S Chakravarti: Yes.

Gaurav Kochar: Yes so I was asking sir at what in terms of disbursement per month or disbursement per annum at what level does it breakeven on the MSME branches and when do you expect to reach that level for the branches that you added 170 you added?

Y S Chakravarti: See the branches are not standalone MSME branches. So these are branches which are already in existence which are doing other products where we add a couple of people for doing MSME business.

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Gaurav Kochar: Right. But at a product level ROA when you calculate for these branches ballpark is it like 18 months, 24 months by when these branches breakeven a proportioning the cost of the branch according to the mix the AUM mix of that branch?

Y S Chakravarti: See typically obviously if you look at MSME, if you look at the cost structure it's the two-wheeler which will cost us give us the most I mean which will be the most expensive product versus SME which is actually because of the ticket sizes. Two-wheeler is a 75,000 ticket size whereas your MSME average ticket size is about 10 lakhs.

So the break even I mean we don't do -- right now we have not, we don't track the product level profitability, but at a branch level we look at what AUM level the branch breaks even or makes a profit.

Gaurav Kochar: Sure got it. And just last question again regarding I think earlier it was asked about rating. If I look at the overall balance sheet, I mean, on the asset side it's largely secured and well diversified. On the liability side probably you have one of the most diversified liability profiles.

On the asset quality front you have the strongest ECL cover even at an aggregate 6.2 or even at stage one of 3.3. Capital position is strong at 20%. Now what is left to be done for a rating upgrade, anything that the rating agencies are talking about? What has been the dialogue with the rating agencies?

Umesh Revankar: I think whatever the rating agencies' expectation as you rightly put it everything we have met and macroeconomic situation also is reasonably stable. I think they wanted to wait for one full financial year which we completed in this year March. And we expect any time in this financial year that they'll come back to us if at all they are looking at any other data points.

Right now they are quite happy with whatever the progress we have made including the progress made in the what you call integration of merger. So I don't really see anything that is further

pending or expected from us, but still they would like to have their own committee and their own expectation and they may be looking for better macro and micro environment for announcement.

Gaurav Kochar: And how big is having a parent or having a corporate structure as a shareholder? How big is that as a factor? Does that come in the discussion often when you discuss this with the rating agencies?

Umesh Revankar: Directly they don't discuss on that, but if you look at the pattern of their rating they have been giving favour to the corporates especially with a parentage having a good brand, a good name a big large corporate. That is what we observe, but it is not in the discussion.

Gaurav Kochar: Perfect. Got it, sir. Great quarter again and all the very best.

Umesh Revankar: Thank you.

Moderator: Thank you. Next question

Question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

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Rajiv Mehta: Hi. Good evening. Many congratulations on a very strong set of numbers. I have a few questions. Firstly, are we seeing used vehicle prices, both used CVs and used PVs, somewhat flattering out?

Umesh Revankar: Right now, we don't see. In fact, we have initiated something called Shriram Mobility Bulletin where we are trying to track the prices. And that is available on the website and in the media. So you can look at it. But still what we feel is that used vehicle prices have been reasonably strong year-on-year. The growth looks to be around double digit, around 10 % to 12 %. And we don't really see it is flattening. So as long as it is more than the inflation, that means the prices are increasing. That's how we look at it. But yes, it is not as strong as the previous year where we saw 20 %-25% increase in the resale prices.

Rajiv Mehta: Correct. And this momentum in used passenger vehicle financing which has been very strong over the past many quarters, I mean, which segments, which products are driving this momentum? Anything from a strategy perspective which has changed in terms of distribution, tie-ups? So what is driving this strong growth?

Umesh Revankar: Basically, see what has happened is, if you look at the pattern, the state undertaking investment in the public transportation has come down over the last 5 -6 years. And that is creating a gap in the semi -urban and rural transportation. Especially in the semi -urban to urban, where state undertaking used to put lot of new buses every year. And that's missing. And therefore, there is a lot of scope for private transportation using it for public. That's one.

And second also, the ownership of vehicle is increasing among the semi -urban and middle - income group people. And they also would like to own their own vehicle. And that is second.

Third one is, we are the largest player in the two -wheeler financing. Many of them are upgrading to four -wheeler. And when they upgrade to four -wheeler, typically they buy second -hand four -wheeler.

So these are all factors are helping us to increase. We expect this will continue to remain because this is a systematic change where public sector or the government not investing on the public transportation. And that is definitely there will be gap and vacuum. And definitely there will be more demand for transportation. Both for public use and also for private purpose.

Rajiv Mehta: One last thing. While the model L DD is 38%, but in your recent settlements with NPA -- with NPL cases, is the principal recovery or is the L DD loss lesser than what is the ECL model at right now?

S. Sunder: Typically in a seized vehicle, the ECL, it will be slightly higher than the ECL. Because what happens is, once the vehicle gets seized, there is also a possibility that the borrower can replace the tires and batteries. So it will be difficult to compare ECL number with the seized vehicle.

Rajiv Mehta: Okay . Yes, that's it from my side. Thank you.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citi Group. Please go ahead.

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Kunal Shah: Yes, so maybe just out of curiosity, just want to understand in terms of the improvement which has been there in GS3, GS2. What we are hearing from the other players is the higher stress, maybe because of hit wave election disruption, while our trend has been quite different. Would you attribute it more towards lower slippages, maybe because the utilization of fleet was better, cash flows of the operators have improved, or would it be more towards the recovery efforts which is leading to this kind of an improvement?

Umesh Revankar: See, I can say all three have helped. And more than everything, Ku

nal, recovery efforts and also

less disturbance in the election. This time, election has been, you know, for the two months, without really impacting any one of the geography at any particular point of time. Even when there are state level elections, it has been staged in two or three different days. So, we did not see any kind of business as usual. It never got impacted.

And the recovery efforts have been improving over the period. And last 30 months, if you see, there has been continuous improvement in our asset quality. And final point, you can always see that whenever the asset price goes up, people don't want to give up the asset. So, repo has come down to all players. You take into account of all the banks or all the NBFC, you will see that repo efforts are much lower or no repo at all. So, that itself is an indication that people are wanting to retain the assets and they would like to pay.

So, the repayment has been quite good. And to give credit to our team, team has also been working hard in spite of heat waves, which did not really impact us much because most of the collection efforts are completed in the first 15 days. So, one or two days of heat waves doesn't really impact the collection efforts.

Kunal Shah: Okay. And secondly, in terms of particularly on the vehicle side as well as the MSME, what proportion of customers would be utilizing the other lending facility from our end? And would that proportion would have gone up? Are we seeing more synergies coming through customers coming and taking further loans?

Umesh Revankar: No, it has been improving, but absolute numbers we may not have right now. But it has been improving because we are able to give the total product basket to the customers. So, we are able to interact customers and able to retain the customers who otherwise would have gone for, imagine, two-wheeler customer going for some other product or maybe same time truck customer wanting a two-wheeler. All those customers we are able to retain. So, that is the biggest positive. But in the absolute number and all, probably we will be able to give the numbers in the later period.

Kunal Shah: Okay. Yes. Thanks and all the best.

Moderator: Thank you. We will take our last question from the line of Sonal from Asian Market Securities. Please go ahead.

Sonal: Yes. Congrats on the good quarter, sir. I just have two or three questions. One is the clarification that I wanted. So, you said that you will be adding about 250 branches in MSME over the next

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two years. So, that is basically reaching about 30% of total branches will be MSME. Is that correct?

Y S Chakravarti: Can you repeat your question, please? Your voice was a little mumbled.

Management: Sir, you will be adding 250 branches for MSME. Next two years, yes, about no. This is about 125 plus 50, about 175 branches.

Sonal: So, 175 branches will be added next two years?

Moderator: Sorry to interrupt, Ms. Sonal. Your voice is breaking now.

Sonal: One second. Is that better now?

Moderator: Yes, please proceed.

Y S Chakravarti: So, we will be adding the product in about 175 existing branches. They are not greenfield branches. These are branches which are already there for quite some time and they are selling other products.

Sonal: Yes, sir. I understand. So, basically, we will be reaching about 900 branches in two years' time. Is that correct?

Y S Chakravarti: Yes, that's right.

Sonal: Okay.

Y S Chakravarti: That's right.

Sonal: Similar number in gold loans, if you could give how many branches are we doing at the moment and what would be the branch count, say, at the end of two years, next two years?

Y S Chakravarti: Gold loan, we already have in about close to 1500 branches. So, we should be adding another 500 branches in the next two years.

Sonal: Okay. Sir, one more question was on

ECM provisions. So, we are carrying 6.2%, 6.3% kind of

a number. So, are we carrying any macro provisions or overlay provisions in this number, 6.2%?

S. Sunder: Yes, it includes everything.

Sonal: So, would you be able to quantify that number?

S. Sunder: No. See, the model runs in such a way that everything is factored and we don't have any bifurcation of the same. It's factored.

Sonal: Okay. And any guidance? I mean, do you want to maintain it at 6% or, you know, there is no scope to take it down further? I mean, to take it down further to kick it down?

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S. Sunder: No, no. It is primarily based on the model that we run. And it depends on the product mix also. So, it can vary by a couple of business points.

Sonal: Okay. That's it from me. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Umesh Revankar for the closing comments.

Umesh Revankar: Thank you all for joining the call. The first quarter was really good for us. And we expect with the good monsoon being there, the second quarter and second half would be much better. Once again, thank you. Meet you again.

Moderator: Thank you. On behalf of Shriram Finance Limited, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines.

Call: Oct 2024

SEC/FILING/BSE-NSE/24-25/68A-B

BSE Limited

P. J. Towers,

Dalal Street, Fort,

Mumbai — 400 001.

Scrip Code: 511218 October 30, 2024

National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor,

Plot no. C/1, G- Block,

Bandra- Kurla Complex,

Mumbai — 400 051.

NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the second quarter ended September 30, 2024.

Further to our letter dated October 25 th 2024, regarding the audio link of the investors earnings call for the second quarter ended September 30 2024, we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website

www.shriramfinance.in

Thanking you,

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO

COMPANY SECRETARY & COMPLIANCE OFFICER

End.:a/a.

Shriram Finance Limited (Formerly known as Shrtrarn Transport Finance Company Limited)

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SEC/FILING/BSE -NSE/24 -25/68A -B October 30, 2024

BSE Limited

P. J. Towers,

Dalal Street, Fort,

Mumbai – 400 001.

Scrip Code: 511218

National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor,

Plot no. C/1, G - Block,

Bandra - Kurla Complex,

Mumbai – 400 051.

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Thanking you,

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl.:a/a.

*SHRIRAM Finance
"Shriram Finance Limited Q2 FY25 Earnings
Conference Call"
October 25, 2024
SHRIRAM Finance
MANAGEMENT: MR. UMESH REVANICAR - EXECUTIVE VICE
CHAIRMAN, SHRIRAM FINANCE LIMITED
MR. Y S CHAKRAVARTI - MD & CEO, SHRIRAM
FINANCE LIMITED
MR. PARAG SHARMA -MANAGING DIRECTOR & CFO,
SHRIRAM FINANCE LIMITED
MR. S. SUNDER - JOINT MANAGING DIRECTOR,
SHRIRAM FINANCE LIMITED
MR. SANJAY KUMAR MUNDRA - INVESTOR
RELATIONSHIP HEAD, SHRIRAM FINANCE LIMITED
Page 1 of 12
Page 1 of 12

"Shriram Finance Limited Q2 FY25 Earnings
Conference Call"

October 25, 2024

MANAGEMENT : MR. UMESH REVANKAR – EXECUTIVE VICE
CHAIRMAN , SHRIRAM FINANCE LIMITED
MR. Y S CHAKRAVARTI – MD & CEO, SHRIRAM
FINANCE LIMITED
MR. PARAG SHARMA –MANAGING DIRECTOR & CFO,
SHRIRAM FINANCE LIMITED
MR. S. SUNDER – JOINT MANAGING DIRECTOR ,
SHRIRAM FINANCE LIMITED
MR. SANJAY KUMAR MUNDRA – INVESTOR
RELATIONSHIP HEAD, SHRIRAM FINANCE LIMIT ED

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October 25, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Shriram Finance Limited Q2FY25 Earnings
Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing "*" then "0" on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar — Executive Vice Chairman. Thank
you, and over to you, sir.

Umesh Revankar: Good evening, friends from India and Asia. A warm welcome to all of you. Greetings also to
those who have joined the call from the western part of the world.

To present our Q2 FY25 Earnings Call today, I have with me our Managing Director and CEO
— Mr. Y.S. Chakravarti; Managing Director & CFO, — Mr. Parag Sharma; Mr. S.Sunder — Joint
Managing Director and Mr. Sanjay Kumar Mundra — our Investor Relationship Head. It has been
a good second quarter of the year for Shriram Finance.
Let me first look at how Indian economy has performed:

India's economy grew at 6.7% in the April-June quarter FY25 over the growth rate of 8.2% in Q1 of FY23-24. This figure reflects a deceleration from 7.8% growth seen in the previous quarter of FY24 and 8.2% in the corresponding period last year. It was the slowest expansion in the last five quarter due to a sharp slowdown in government spending as the long-awaited general elections drove several usual government activities to some halt.

On the inflation, India's retail inflation CPI rose to 5.49% to 9 months high in September, higher than 3.65% in August. This is highest retail inflation rate since December 2023, when it was 5.69%. Food inflation, a persistent challenge, rose 9.24% annually compared to a 5.66% rise in August. The wholesale price index inflation for June 2024 touched 16 month high of 3.36%, after scaling 2.61% in the previous month of May '24. In fact, since February '24, the WPI inflation has surged from 0.2% to 3.36, largely on the back of spike in wholesale food inflation and manufacturing inflation turning around from negative to positive. On RBI policy, RBI in its MPC meeting held on October 9, '24, decided to keep policy repo rate unchanged at 6.5% for the 10th consecutive time. However, RBI changes stance of monetary policy to neutral from withdrawal of accommodation. The MPC has projected real GDP growth for 2024-25 to 7.2%. This number remains unchanged from last projection. Also, taking various factors into consideration, the CPI inflation for 2024-25 has been projected at 4.5%, the same as projected in the previous policy.

On the rural economy and monsoon:

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Moderator : Ladies and gentlemen, good day and welcome to the Shriram Finance Limited Q2F Y25 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar – Executive Vice Chairman. Thank you, and over to you, sir .

Umesh Revankar: Good evening, friends from India and Asia. A warm welcome to all of you. Greetings also to those who have joined the call from the western part of the world.

To present our Q2 F Y25 Earnings Call today, I have with me our Managing Director and CEO – Mr. Y.S. Chakravarti; Managing Director & CFO, – Mr. Parag Sharma ; Mr. S.Sunder – Joint Managing Director and Mr. Sanjay Kumar Mundra – our Investor Relationship Head . It has been a good second quarter of the year for

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On the rural economy and monsoon :

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Y.S. Chakravarti: Shriram Finance Limited

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As per IMD, the southwest monsoon this year was 8% over its long-term average. However, the rainfall is likely to continue in October and November with above normal monsoon rainfall expected. About 35% of the country received excess rainfall and slightly over the half, that is around 54% receiving normal rainfall. Despite a slow start, rainfall picked up in pace helping the farmers with sowing.

Overall, farm productivity is expected to be higher, which should help tame year-long rising trend in food inflation. The good rain in June to September has pushed up Kharif sowing to almost 111 million hectares against normal acreage of 109.6 million hectares according to the latest data released on September '27. On GST collection, the GST collection for the month of September grew 6.5% year-on-year at Rs. 1.73 lakh crores while it witnessed a dip compared to Rs. 1.74 lakh crores in August 24.

On the OEM sales side:

The quarter has been soft for automobile industry. Commercial vehicle total CV sales in Q2 FY25 declined by 11% to 2.21 lakhs, which is against 2.48 lakhs in Q2 FY24. However, the half H1 FY25 is declined by 4.2% to 4.45 lakhs unit as against 4.64 lakhs unit in H1 FY24. Within CVs, M&HCV sales recorded a decline of 12.2% in Q2FY25 and stands at 82,409 units as against 93,874 units in Q2FY24. LCV sales too recorded a decline of 11% in Q2FY25 and stands at 1.38 lakhs unit versus 1.54 lakhs unit in Q2FY24. Passenger vehicle sales in Q2FY25 recorded a decline of 1.8% in Q2 with 10.55 lakh units being sold against 10.74 lakh unit in Q2 FY24. Two-wheeler recorded a growth of 12.6% with sales of 51.79 lakhs unit in Q2FY25 as against 45.98 lakh units sold in Q2FY24. Three-wheeler registered a growth of 6.6% with 2.09 lakh units sold versus 1.6 lakh units sold in Q2FY24. Tractors marginally declined with 2.08 lakh units as against 2.19 lakh units in Q2FY24. Construction equipment remained flat with 27,382 units sold versus 27,478 units sold in Q2FY24.

In the board meeting, we also had two major decisions by the board. One, we have gone ahead with stocks split where in the face value is now Rs. 2 instead Rs. 10. That will be 5X. That's

split

into 5. And the board has declared a dividend of 220%, that stood at Rs. 22 per share for the first half of the year.

Now, I request Y.S. Chakravarti to take through the "Operational Performance". Thank you.

Thank you, Umesh. Good morning and good evening to all the participants in the call. I welcome all of you to our Quarter 2 Financial Year '25 Earnings Call and I trust you had the opportunity to peruse the Results and related "Investor Presentation" which has been posted on the website of the stock exchanges.

We have registered a disbursement growth of 15.51% year-on-year. Our disbursements in Q2 FY25 this year aggregated Rs. 39,974.09 crores versus Rs. 34,605.61 crores in Q2 FY24. Our asset under management as of 30th September registered a growth of 19.94% for Q2FY24 and 4.11% sequentially. Our AUM stood at Rs. 2,43,042.55 crores as again as Rs. 2,02,640.96 crores

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Parag Sharma: Shriram Finance Limited

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a year ago and Rs. 2,33,443.63 crores in Q1FY25. Our net interest income has registered a growth of 16.37% year-on-year in quarter 2 FY25. We have earned a net interest income of 5606.74 crores in Q2FY25 this year as compared to 4818.18 crores in Q2FY24.

Our net interest margin was 8.74% as against 8.93% in Q2FY24 and 8.79% in Q1FY25. Our profit after tax grew by 18.30% in Q2FY25 over Q2FY24 and by 4.58% over Q1FY25. We have registered profit after tax of 2,071.26 crores for Q2FY25 as compared to 1,750.84 crores in Q2FY24 Rs. 1,980.59 in Quarter 1 FY25.

Our earnings per share for the quarter stood at Rs. 55.09 as against Rs. 44.67 in Q2FY24 and Rs. 52.70 in Q1 FY25. On our asset quality gross stage 3 in Q2 FY25 stood at 5.32% and net stage 3 at 2.64% These numbers thus show an improvement over the corresponding period of 5.79% gross and 2.80% net in Q2FY24 and 5.39% gross and 2.71% in Q1FY25. Our credit cost for Q2FY25 stood at 1.84% as against 2.02% for Q2FY24 and 1.87% for Q1FY25. Our cost to income ratio is 27.95% in the Q2 FY25 as against 27.34% recorded in Q2FY24. Our cost to income ratio in Q1 FY25 was 27.45%.

Regarding our subsidiary Shriram Housing Finance Limited, as you all know, the board of directors of the company in its meeting held on May 13, 2024 had approved the proposal for disinvestment of the company's entire stake in Shriram Housing Finance Limited. This is a debt listed non-material subsidy of the company and in this regard the company has entered into the share purchase agreement, inter alia with Mango Crest Investments Ltd., an affiliate of Warburg Pincus. The company's investment in Sriram Housing Finance Limited has been classified as non-current assets held for sale and disclosed as discontinued operations in the financial results. However, Shriram Housing's AUM as on Q2FY25 exhibited a growth of 40.87% and stands at Rs. 15,236.26 crores against Rs. 10,816.03 crores in Q2FY24. Net Interest Income registered a growth of 15.50% in Q2FY25 over Q2FY24. Net Interest Income for Q2FY25 was Rs. 112.46 crores as compared to Rs. 97.43 crores in Q2FY24.

Shriram Housing Finance registered a profit after tax growth of 36.87% in Q2FY25 over Q2FY24. PAT for the quarter of this year was Rs. 66 crores as compared to Rs. 48.22 crores. Their EPS stood at Rs. 1.83 against Rs. 1.48 in Q2FY24. Sriram housing's gross stage 3 for Q2 FY25 stood at 1.22% and their net stage 3 came in at 0.93%. In comparison, these numbers were 1.08% on gross basis and 0.83% on net basis in Q2FY24.

I shall now request our Managing Director and CFO — Mr. Parag Sharma to inform you about our "Resource Raising Activities". After which, our Joint Managing Director — Mr. Sunder will brief you about accounting and regulatory aspects. Thank you.

The total debt outstanding as of September '24 is Rs. 2,07,820 crores, broken up into term loans of Rs. 51,123 crores, which is 24% of our liabilities. Securitization is Rs. 34,467, which is 16% of our liabilities. External commercial borrowing both from loan and the bond route is Rs. 31,752, which is 15% of our liability.

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Domestic capital markets, bonds, sub debt constitute Rs. 40,281 crores, which is 19% of our liability. And retail deposits, which is Rs. 50,196, which is 24% of our liability. So, very diversified liability mix. And that mix has been in line with the previous quarter and also as of March 24. We also do direct assignment transaction for some of our asset classes and that outstanding is close to around 3,000 crores which would be an off balance sheet item.

The cost of liabilities is 8.97, 1 basis point up from the June 24 quarter and slightly down from the March '24 number. The leverage ratio stands at 3.99, which was 3.79 in June, and as of March it was 3.83. The liquidity coverage ratio is healthy at 234. June it was 225.19%. We always maintain more than three months of liability repayment into liquid assets and that is slightly more than Rs. 17,000 crores and three months liability is around Rs. 16,700 which includes the retail liabilities also. The incremental cost of fund has been in line and slightly lower than the liabilities cost on the balance sheet. So, that indicates that we can maintain the liability cost of debt or maybe slightly can improve over a period of time.

The ALM buckets continue to be positive and up to six months, the cumulative surplus will be around mo

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With this, I hand over to Sunder for his comment.

S. Sunder: Thank you, Parag.

The employee count as on 30th September was 77,764, as against 75,813 in June quarter, and net increase of 1,951 employees. Some data points on the ECL, the stage 1 PD was 9.06% and the stage 2 PD was 20.98%. and the LGD stood at 38.59.

Coming to the disbursements segment wise:

The CV disbursements were Rs. 15,004 crores, passenger vehicles was Rs. 7,595 crore, construction equipment was Rs. 2,267 crores, farm equipment was Rs. 899 crores, MSME was Rs. 6,875 crores, two-wheeler was Rs. 2,555 crores, gold was Rs. 2,697 crores and personal loan was Rs. 2,081 crores, totaling to Rs. 39,974 crores.

With this, we will just open up for the questions and we will be happy to answer your questions.

Thanks.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Chintan Joshi from Autonomous. Please go ahead.

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Chintan Joshi:

Umesh Revankar:

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Umesh Revankar: Can I ask on a few different areas? So, first question would be that we are seeing slippages and gross stage 3 loans increasing kind of for multiple players in the sector. What would you say is the reason that you haven't seen a similar deterioration?

This slippage has actually improved as a percentage. It is a 5.3%.

Just trying to understand why it has improved, but everybody else is seeing a deterioration.

As an industry, if you look at, there is deterioration in certain geographies and certain segments.

Mostly, as RBI has been talking, unsecured loans, MFI loans, and that too in certain geography, there has been higher slippage. I feel it is basically the local economic activity being a little weaker. That could be the reason.

Chintan Joshi: Secondly, can I check operating expenses have increased 8% quarter-on-quarter? Is there some reason for that, any one-offs in there to flag?

Parag Sharma:

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Umesh Revankar: There were some fees paid in the current quarter due to increased two-wheeler and other loans wherein which was sourced through the direct sourcing agents. And there were also some costs incurred on our branding front, so apart from these it was a normal increase.

Do you think we shouldn't expect similar increases in the next few quarters?

Yeah, it will not be to this level, but there will be some increase, no doubt.

Some inflation, okay. And then finally, a quick one, how do you think asset quality and cost of risk trends develop over the next 6 to 12 months? What do you see in your portfolio that gives you reasons to what are the risks that you see and what are the trends that you see in your portfolio?

We don't really see any further improvement in our asset quality. There may not be anything

adverse now because the economic activity being very strong, the foundation of the country is very strong and government spend on infrastructure is likely to improve in the next 2 quarters. That will help the economic activity to improve. And the festive period with good monsoon and good kharif crop, better MSB price, all are likely to be very positive for next two quarters. I don't really see any possibility of deterioration. So, we are targeting to improve our stage three to around 5% level.

Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: So, a couple of questions. The one would be on, again, continuing on the stress part. So, I mean, like the MFI and a few other segments. But the personal loan segment also is seeing a bit of a rise in stress. Now in this backdrop, your portfolio seems to be doing fine. Now, the thing is that, I mean, what kind of growth are you seeing there and if at all any sort of a color on future

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Chintan Joshi: Can I ask on a few different areas? So, first question would be that we are seeing slippages and gross stage 3 loans increasing kind of for multiple players in the sector. What would you say is the reason that you haven't seen a similar deterioration?

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Chintan Joshi: Just trying to understand why it has improved, but everybody else is seeing a deterioration.

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Chintan Joshi: Do you think we shouldn't expect similar increases in the next few quarters?

Parag Sharma: Yeah, it will not be to this level, but there will be some increase, no doubt.

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delinquencies in this PL segment? So, that was the first question. And if you can just help us with kind of growth in this use CV segment or other CV segment, how do you see growth panning out for the rest of the year in that segment? Thanks.

Hi, this is Chakravarti here. On the PL side, most of the stress that is visible in the market today is in your BNPL and the small ticket personal loan space. See, even within the industry players where you have a larger ticket personal loans basically for prime and super prime segment of customers, the stress is there is the portfolio is performing well. And as far as Shriram Finance is concerned, 97%-98% of my disbursement goes to my existing customer. Either he is a two-wheeler customer who has finished 75% of his loan tenure or a personal loan customer who has finished repayment of his one loan and coming for a second loan. The quality of the portfolio is not the reason why we have slowed down, but it is also just to give a comfort. So, since there is a lot of concern around on the portfolio, on personal loan. What we did was we have further tightened our criteria for giving a loan to our existing customer and that's one of the reasons why

you see that slowdown. But going forward, we will wait for a couple of quarters before the industry and regulator gets comfort and then we will increase this portfolio. And as far as growth in CV is concerned, I think we should grow our CV portfolio, next 2 quarters should grow at 17%-18% comfortably.

Moderator: Thank you. The next question is from the line of Gopinath Reddy from PNR Investments. Please go ahead.

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Gopinath Reddy:

Umesh Revankar: Sir, is there any area where we have noticed any pain points that are coming up? I mean, I'm asking this question given the current situation in other companies where everywhere we can see the stress. Is there any area where either tractors or anything else where there is an increase in problem areas?

None of the asset backed loans we see any issues. And as I was telling you, there is a geography specific and segment specific challenges. See one of the area which is little where you see the challenges are where people are over-leveraged. That individuals are over-leveraged and there is excessive lending to them. That is in a few location there are challenges.

Gopinath Reddy: I'm asking for our company, sir.

Umesh Revankar: Our company, no. We don't see any.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhilipCapital. Please go ahead.

Shubhranshu Mishra: Two quick questions. The first one is we've got the number of customers on slide #13, which is around 90 lakh customers. But I guess that is the outstanding number of customers. How many customers do we bank on a monthly basis? And of those bank customers, how many customers would have more than two trade lines, not necessarily with us, but a Bureau report which would be accessing for these customers. So, how many of these monthly bank customers would have

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delinquencies in this PL segment? So, that was the first question. And if you can just help us with kind of growth in this use CV segment or other CV segment, how do you see growth panning out for the rest of the year in that segment? Thanks.

Y.S. Chakravarti: Hi, this is Chakravarti here. On the PL side, most of the stress that is visible in the market today is in your BNPL and the small ticket personal loan space. See, even within the industry players where you have a larger ticket personal loans basically for prime and super prime segment of customers, the stress is there is the portfolio is performing well. And as far as Shriram Finance is concerned, 97%-98% of my disbursement goes to my existing customer. Either he is a two-wheeler customer who has finished 75% of his loan tenure or a personal loan customer who has finished repayment of his one loan and coming for a second loan. The quality of the portfolio is not the reason why we have slowed down, but it is also just to give a comfort. So, since there is a lot of concern around on the portfolio, on personal loan. What we did was we have further tightened our criteria for giving a loan to our existing customer and that's one of the reasons why you see that slowdown. But going forward, we will wait for a couple of quarters before the industry and regulator gets comfort and then we will increase this portfolio. And as far as growth in CV is concerned, I think we should grow our CV portfolio, next 2 quarters should grow at 17%-18% comfortably.

Moderator: Thank you. The next question is from the line of Gopinath Reddy from PNR Investments. Please go ahead.

Gopinath Reddy: Sir, is there any area where we have noticed any pain points that are coming up? I mean, I'm asking this question given the current situation in other companies where everywhere we can see the stress. Is there any area where either tractors or anything else where there is an increase in problem areas?

Umesh Revankar: None of the asset backed loans we see any issues. And as I was telling you, there is a geography specific and segment specific challenges. See one of the area which is little where you see the challenges are where people are over-leveraged. That individuals are over-leveraged and there is excessive lending to them. That is in a few location there are challenges.

Gopinath Reddy: I'm asking for our company, sir.

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S. Sunder:

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Y. S. Chakravarti:

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Y. S. Chakravarti:

Moderator:

Siddarth:

Y. S. Chakravarti: Shriram Finance Limited

October 25, 2024

more than two trade lines? That's my first question. The second one is given the fact that we have a lot of customers in rural areas and semi urban areas. These are areas where we are seeing certain levels of stress, whether unsecured credit cards, personal loans, MFI, or one of the other exposures. It sounds a little out of whack that our customer segment is absolutely immune to this. So, wanted your qualitative views on this. And the third part is that we can just repeat the disbursement mix. So, that's just a data keeping question. Thanks.

As far as the disbursements are concerned, I will just repeat it. Commercial vehicles Rs. 15,004 crores, passenger vehicles Rs. 7,595 crores, construction equipment Rs. 2,267 crores, farm equipment Rs. 899 crores, MSME Rs. 6,876 crores, two wheelers Rs. 2,555 crores, gold Rs. 2697 crores, personal loan Rs. 2081 crores, totaling to Rs. 39,974 crores. And as regards your first question regarding that cohorts and all those things, so that I would suggest that you contact Mr. Mundra offline, so he will be able to help you out.

Sir, 2 wheeler, gold and total if you can repeat sir, it was a little fast one.

Two-wheeler was Rs. 2555 crores gold 2697, personal loan 2081.

And total sir?

Rs. 39,974 crores.

Thank you. The next question is from the line of Siddarth from Vitae Financial Services. Please go ahead.

Good evening sir, I'm very glad to connect with you. Thanks for this opportunity. So, my main doubt I had was that you would be focusing more on short-tenure products like personal loans and 2-wheelers for improving the bottomline growth rather than the AUM mix. So, I would just like to have your views on the personal loan because it has declined and on previous quarters it was mentioned that this would be the last quarter of decline in personal loans. So, could you just let me know your views on that?

No, as I told you, once we are able to give the comfort to the market and the regulator that our portfolio is doing well, we will grow. So, these two quarters we should improve the disbursement.

How the margins are expected to improve for personal loan?

See margins, personal loan portfolio, entire portfolio is around 3.4%. So, even if I improve the margin by 100% also, it is not going to create a big dent on the overall. But as a standalone thing, I think we should be able to maintain our average yield. I mean we have a product going from 12%, up to 27%-28%. So, basically the mix will remain the same. Siddarth:

Y. S. Chakravarti:

Moderator: Thank you. Next question is from the line of Chintan Joshi from Autonomous. Please go ahead.

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October 25, 2024

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Chintan Joshi:

Umesh Revankar: Shriram Finance Limited

October 25, 2024

Hi, sorry, I thought there would be more questions. Can I come back on your expectations for your net interest margin over the next year? And also, how do you think, with the RBI rate cuts, how do you think your margins will behave?

The net interest margin should remain at present level. As far as the RBI rate cut, that is something very subjective. So, it depends upon when exactly RBI will look for a rate cut. So, as of now, we feel that it is unlikely to be before February. So, only then will we be able to address that. So, I don't really see any immediate improvement in our funding cost.

Chintan Joshi: And if we get a 50 basis points rate cut, what would your sensitivity be to your NIMs?

Umesh Revankar: See, obviously when there is a rate cut, when the banks start passing on that benefit to us, that benefit will accrue to us. So, it will come as a lag. So, we can't be telling it in advance.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: So, on yields, have we seen improvement actually in this particular quarter? Maybe is it because of the mix change or something, because on a calculated basis, it seems to be an improvement?

Umesh Revankar: The yield remains same. I don't think there is any improvement. Overall, yield remains same.

Kunal Shah: So, there is no maybe either in terms of the pass on benefit or reprising of fixed rate book that has happened because cost of funds are just stable. So, just wanted to check on the yield side?

S. Sunder: No, it

is more or less same, not much of a change.

Kunal Shah: And secondly in terms of an update on Maybe the interactions with the rating agencies, maybe in terms of the upgrades or something?

Parag Sharma:

Kunal Shah:

Moderator:

Raghav Garg:

Y. S. Chakravarti: Yes, I think the dialogue is continuously on with them. We are pressing upon the improvement in asset quality and the diversity of our mix on assets and liabilities both, but as of now I think we will keep our fingers crossed and keep the dialogue on. Let us see when we are able to develop on them.

Yes, because it has been quite a consistent performance all through. So, I am not sure in terms of maybe when does that happen with respect to the rating upgrade.

Thank you. The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

My first question is on the Gold loan portfolio. Why has the growth come down again in this quarter? It seems to be at 12% Y-on-Y, there seems to be a decline?

Primarily it has come down because we have reduced our LTVs on gold to around 60%-65%.

So, that is one of the primary reasons why the disbursement has come down.

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Shriram Finance Limited

October 25, 2024

Raghav Garg: As opposed to what before?

Y. S. Chakravarti: About 70%-73%.

Raghav Garg: And what was the reason for that, sir?

Y. S. Chakravarti: What is happening is, since most of the gold is a bullet payment, there is principal and interest to be repaid. What is happening is, they are reaching the 75% LTV norms within a short period of time. And we are actually providing. The moment it breaches the 75% LTV norm, we are actually classifying it as an NPA, but the regulator advised us that since a lot of cases it is happening, they have advised us it is better to reduce rather than provide. So, we have done that.

Raghav Garg:

Y. S. Chakravarti: Sir, I am sorry. Why is it that they are breaching the LTV norms of 75%? I did not get that?

See basically, your exit LTV, your LTV, the norm is 75% of the loan to value of the gold. That is an exit LTV that is prescribed, not entry. So, your accumulated interest plus principal cannot cross 75%. It is an exit time and if it crosses, you need to classify it as an NPA and call the customer or try to auction of the gold. So, since it is happening, because your LTV is about 72% and it is touching 75% quite fast, the regulator has advised actually instead of providing, why don't you reduce the LTV. So, we took that advice and did this.

Raghav Garg: Sir, just to clarify, you mentioned the 75 LTV norm for NBFC, that is the exit LTV when you close the loan?

Y. S. Chakravarti:

Raghav Garg:

Y. S. Chakravarti:

Raghav Garg: No, even for banks, it is the same for NBFCs and banks.

And sir, another question on the vehicle finance bit, the other two large auto-NBFCs, we have seen slippages increase quite a bit. It has happened for you also, but I think this increase in slippage is a bit lower. Is it something that you are doing on the ground to push your branch people to collect or just to perform better on collections versus what the other auto-NBFCs are doing or the trends that they are seeing?

I don't know about the other NBFCs, but I think the majority of the portfolio would be new vehicles whereas for us, the majority of the portfolio is used vehicles, one. Two, basically what we see on the ground is basically better, improved utilization of the vehicle because lesser turnaround time and improved load. Typically, per day running kilometers has increased for most of these vehicles. So, cash flows also have improved. So, that is also one of the reasons why we are able to manage the delinquency that is there, like at these numbers.

But sir, I think at the start of the call, there was a comment that the government spending has reduced and generally what we see is that it tends to impact the operators as well, so you are

saying despite that the cash flows and the general load carrying momentum has been good for the operators on the ground is it?

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Umesh Revankar: Shriram Finance Limited

October 25, 2024

No, see the comment was aimed at when we are talking about the new vehicle sales, right?

MHCVs particularly for medium and heavy vehicles and also LCVs, but that is for new vehicle sales. I think the one factor that is going on positive is for used vehicle sales there is today excess capacity is not coming into the market. The existing capacity is being utilized better and in fact used vehicle prices are holding very steady.

What happens is when the government is spending on infrastructure, the additional demand comes for new vehicle sales and therefore the additional demand did not come because government has spent less. But otherwise the existing portfolio, existing what you call the customers have sufficient business and it is quite profitable, therefore the asset quality also is improving better.

Moderator: Thank you. The next question is from the line of Gopinath Reddy from PNR Investments. Please go ahead.

Gopinath Reddy:

Umesh Revankar:

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Umesh Revankar: Sir, we have been giving consistent results out late from the time the companies are merged and become Shriram Finance. Is the improvement and consistency in the performance attribute, how much is it attributable to the economic situation that is right now? And how much is it for any changes made in the way we are executing things? What are all the changes that we have done that are giving this consistency?

See basically, when economy is doing good, all the parameters of any company which is dependent on economy will do well. So, that is a natural linkage you can establish. Otherwise,

company has been there as an entity for nearly 50 years being Shriram in the financing. So, we have our own DNA, our own strong culture, and that has been helping us to understand the environment, understand the customer, and respond to the customer much better. So, we have been improving over the period, and we will continue to

improve.

The next question is, somebody already asked, when it comes to rating agencies, what is it that they are expecting us to improve upon for rating upgrade? Is there anything specific or is it just we don't know?

There is nothing specific. They would like to see overall progress. They waited for one year to complete post-merger, whether this merger will go through smoothly and efficiently, which we have now demonstrated. Probably, they would also like to see this macroeconomic advantage to continue for some more time before they consent to further improvement.

Gopinath Reddy: Sir, one last question. Do you see that the merger benefits is it all played already or we have some more steam left in cross selling kind of things?

Umesh Revankar: See, we have not reached all the branches with the products. The MSME Gold has not reached to all the geography, all the branches. There is some more scope for improvement.

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October 25, 2024

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Moderator:

Umesh

Revankar: Shriram Finance Limited
October 25, 2024

Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session. I now hand the conference over to Mr. Umesh Revankar — Executive Vice Chairman for closing comments.

Thank you all for joining. As you know, second quarter is normally a tricky quarter because excess rain or shortfall in rain makes big difference in Indian economy and the overall credit demand. With good rainfall and good output in the rural agri output, I think we can expect a

better half in the October to March. So, with the hope that things will further improve, credit demand will further improve, we would like to say bye and catch-up next time. Thank you very much.

Moderator: Thank you. On behalf of Shriram Finance Limited, that concludes this conference. Thanks for joining us, you may now disconnect your lines.

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October 25, 2024

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Call: Jan 2025

SEC/FILING/BSE -NSE/24 -25/68A -B January 28, 2025

BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218
National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra - Kurla Complex,
Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the third quarter ended December 31, 2024 .

Further to our letter dated 24th January 2025 , regarding the audio link of the investors earnings call for the third quarter ended December 31 2024 , we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you,
Yours faithfully,
For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.:a/a.

Page 1 of 17

"Shriram Finance Limited
Q3 FY25 Earnings Conference Call"
January 24, 202 5

MANAGEMENT : MR. UMESH REVANKAR – EXECUTIVE VICE CHAIRMAN
– SHRIRAM FINANCE LIMITED

MR. Y S CHAKRAVARTI –MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SHRIRAM FINANCE
LIMITED

MR. PARAG SHARMA – MANAGING DIRECTOR AND
CHIEF FINANCIAL OFFICER – SHRIRAM FINANCE
LIMITED

MR. S. SUNDER – JOINT MANAGING DIRECTOR –
SHRIRAM FINANCE LIMITED

MR. SANJAY MUNDRA – INVESTOR RELATIONS HEAD –
SHRIRAM FINANCE LIMITED

Shriram Finance Limited
January 24, 202 5

Moderator: Ladies and gentlemen, good day, and welcome to the Shriram Finance Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. If you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone.

I now hand the conference over to Mr. Umesh G. Revankar, Executive Vice -Chairman, Shriram Finance Limited. Thank you, and over to you, sir.

Umesh Revankar : Yes. Thank you. Good evening, friends from India and Asia, and a warm welcome to all of you. Greetings also to those who joined from Western part of the world. To present our Q3 FY '25 earnings call today, I have with me our Managing Director and CEO, Mr. Y.S. Chakravarti; Managing Director and CFO, Mr. Parag Sharma; Mr. Sunder, Joint Managing Director; and Mr. Sanjay, our Investor Relations Head.

It has been good 3rd -quarter of the year for Shriram Finance under current circumstances. Let us look at the broad economic indicators that has direct or indirect impact on our business. The Indian GDP expanded little slowly to 5.4% from previous year in the quarter of September '24 from 6.7 % and much below the market expectation of around 6.5 %. On inflation, India's inflation eased to 5.22 % in December from 5.48 % in November, whereas the wholesale price index has surged to 2.37 % in December compared to 1.89 % in November, indicating likely long-term pressure on the wholesale prices.

As far as the RBI policy is concerned, it has remained unchanged for 11th consecutive time. And however, the RBI cut the cash reserve ratio by 50 basis -point to 4% to improve the liquidity in the system. The good rainfall monsoon and the Kharif and Rabi crop is giving some positive indicator for the rural market. And we do see good credit demand coming from the rural and also overall economy improving in the rural market for us.

On GST collection, it has been growing at 7.3% year -on-year to INR1.77 lakh crores in the month of December. This reflects little slowdown and also it has some impact on government spend is what we believe. However, we expect as the budget session is coming, government has already started announcing new projects and implementation of the existing projects. So I believe that it should give some boost.

Now coming to the auto industry, overall market looked flat as far as M&HCV is concerned.

There was a small decline in the heavy vehicle to 1.3% up from 90,929 units as against 91,440 units. LCD sales recorded a marginal increase of 2.7% in Q3 '25, which stands at 1.48 lacs unit against 1.44 units. The passenger vehicle recorded a good growth of 4.5% in Q3 with 10.58 lakh units against 10.12 lakh units.

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Two-wheelers again recorded a good growth of 3% or with sales of INR48.75 lakhs units against 47.31 lacs unit. Three -wheeler continued to grow decently. However, the numbers remained flat for the quarter with 1.89 lacs unit against 1.88 lacs unit. Tractors recorded a robust growth of 20.15 % with 2.44 lakh units against 2.03 lakh unit in Q3 FY '24.

Construction equipment again showed a positive growth with 8% increase or with 35,768 units against 33,121 units. With the continuing good results, the Board has declared interim dividend of 125% that is 2.5 per share. The record date for the entitlement thereof has been fixed as January 31, 2025.

I shall now ask my colleague, Mr. Chakravarti to take through the operational performance.

Y. S. Chakravarti: Thank you. I welcome all of you to our Q3 FY '25 earnings call. And I hope you had the opportunity to have a look at the investor presentation which has been posted on the website and of the stock

exchanges. We have registered disbursement growth of 15.82% year -on-year. Our disbursements in Q3 FY '25 this year aggregated to INR43,766.27 crores versus INR37,787.84 crores in Q3 FY '24.

Our AUM as on 31st December 2024 registered a growth of 18.78% over Q3 FY '24 and a 4.70% sequentially. Our AUM stood at INR2,54,469.69 crores as against INR2,14,233.47 crores a year -ago and INR2,43,042.55 crores in Q2 FY '25. Our net interest income in Q3 FY '25 registered a growth of 14.31% year -on-year. We have earned a net interest income of INR5,822.69 crores in Q3 FY '25 this year as compared to INR5,093.93 crores in Q3 FY '24.

Our NIMs was 8.48% as against 8.99% in Q3 FY '24 and 8.74% in Q2 FY '25. Our PAT grew

by 96.32% in Q3 FY '25, including one -time gain of INR1,489.39 crores (net of tax) for-sale of our stake in subsidiary, Shriram Housing Finance Limited. It stands at INR3,569.76 crores as against INR1,818.33 crores recorded in the same -period of the previous year. However, excluding one -time gain of INR1,489.39 crores which is (net of tax) for-sale of our stake in the subsidiary, the profit -after-tax increased by 14.41% and stands at INR2,080.37 crores as against INR1,818.33 crores in the same -period of the previous year. Our earnings per share for the quarter stood at INR18.99, including one -time gain as against INR9.68 in Q3 FY '24 and 11.02 in Q2 FY '25. The earnings per share increased by 14.36% and stands at Rs 11.07 against Rs 9.68 recorded in the same -period of the previous year. On our asset quality, gross Stage 3 in Q3 FY '25 stood at 5.38% and net Stage 3 at 2.68% as against 5.66% gross and 2.72% net in Q3 FY '24 and 5.32% gross and 2.64% in Q2 FY '25. Our credit cost for Q 3 FY '25 stood at 1.85% as against 2.15% for Q3 FY '24 and 1.84% for Q2 FY '25.

Our cost -to-income ratio was 28.59% in the Q3 FY '25 as against 27.04% recorded in Q3 FY '24. Our cost -to-income ratio in Q2 FY '25 was 27.95%. I shall now request our Managing Director and CFO, Mr. Parag Sharma to inform you about our resource raising activities.

Parag Sharma: Hello, everyone. On the liability side, total debt outstanding as of December was INR2,00,023 up from INR2,07,000 in the September quarter. The liabilities are broken into several sources

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equally spread almost with retail deposit being at 24%, the bank borrowing at around 21% the offshore borrowing both loan and bond at around 19%. This has increased substantially because of the large loan transaction what we have done in the current quarter, which was 1.22 billion. And the securitization is at 17% and the capital market is around 17%. This is more or less a similar to the previous quarter, but for the ECB slightly being up and banks being slightly lower. The cost of liability is at 8.95% which is marginally down from the previous quarter which was 8.97%. The incremental cost of fund continues to be at around 8.9 versus a similar number in the previous quarter.

The leverage ratio is at 4.06 up from 3.99% in the previous quarter. The LCR is at 265 up from 234 in the previous quarter. Because of the last transaction of ECB, the liquidity has shot up from INR17,000 crores to INR27,000 crores which is almost equivalent to our next 6 months liability. This excess liquidity will be moderated over next two quarters and we'll go back to our earlier policy of 3 months of liability to be in liquid assets.

The ALM buckets have been positive and up to 6 months the cumulative surplus is in excess of INR65,000 crores. Overall, fund mobilization continues to be strong and we have been able to maintain or slightly reduce the cost of fund for us. I make the forum open for Q&A, you can ask your questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Chintan Joshi

from Autonomous. Please go ahead.

Chintan Joshi: Yes. Hi, good evening. Can I start with a few questions on NII? NIMs have come down this quarter. I can see that you've had an increase in ECB loans and borrowings and there is an increase in cash balance. Could you give us some sense of yields on these so that we can kind of think about how much of this might reverse in the next quarter as you deploy that cash? And then also if I could understand on securitization which was up 14% quarter -on-quarter, what are the P&L effects of this? It will depress your NII, but increase the other income. Just trying to understand what the impact of that securitization is?

S. Sunder: As regards the NIMs it has been mainly because of the negative carry that has happened because we are carrying excess liquidity. So once as Mr Parag was mentioning in the previous thing, once it normalizes back to the earlier levels of INR17,000 crores, INR18,000 crores, so it should come back to normalcy.

And when it comes to the income booked on securitization in NBFC since we follow the India's norms, even though we securitize we defer the income over a period of time and only the assignment income is booked up front and that is a small component.

Chintan Joshi: Okay. So on the NIM, how much of the NIM fall is due to excess liquidity or how much should we expect it to recover next quarter?

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S. Sunder: Roughly around 20 basis -points is on account of fall in the -- because of the negative carry that we had to bear. And marginally it should improve depending upon the liquidity position as on the current quarter.

Chintan Joshi: So that would still imply like a 6 basis -point underlying NIM deterioration in the quarter. So what is driving kind of that incremental -- apart from the excess liquidity, are there other drivers of the NIM deterioration or is that grounding error and we should expect that much volatility?

Umesh Revankar: It also depends upon asset mix because normally in the fourth quarter, we do have demand for new vehicle alone and new vehicle loan will be at a lower yield. So that also has a bearing. So it all depends upon how much we end -up with a new vehicle to used vehicle ratio. So we cannot really predict, but as Sunder rightly put it, the liquidity will be used, the excess liquidity will be used so that there will be some improvement in the -- or is what we call net interest margin.

Chintan Joshi: Okay, excellent. And then I have one other area to ask about on kind of asset quality. So we've seen values of vehicles, commercial vehicles, passenger vehicles, generally vehicles valuations have gone up in the last few years. Does that mean that for you or the industry that LTVs have gone up or there has been higher disbursements against the higher valuations or do you kind of look at it on historical valuations? I just want to understand your practices, industry practices given that we've had this increase in valuations?

Umesh Revankar: No, I'm not able to get it fully. Can you phrase it?

Chintan Joshi: So we have seen an increase in the prices of CVs, passenger vehicles. Generally all vehicle prices have gone up post COVID. Are you dispersing more loans against that higher valuation?

Y. S. Chakravarti: Yes, see what is happening is on overall commercial vehicle if you look at the overall sales, especially on second -hand vehicle transactions have been little flattish. So number of transactions, number of loan wise it has not gone up, but ticket size has gone up. But we have increased the passenger vehicle.

Passenger vehicle is where we have added a lot of new numbers and we are growing both in numbers and in volume as far as the passenger vehicle is concerned. Similarly with the construction equipment is concerned, we are able to grow there. So the other segments, we are adding new customers.

Chintan Joshi

: Sir the LTV thresholds have not been increased because of the increasing valuations. We are basically keeping LTV constant?

Y. S. Chakravarti: The LTV has remained same, but price has gone up. The average increase in the price of vehicle is around 30% over the last 3 years. So that has gone up, but LTV has not gone up. LTV remains 70% on used vehicle.

Chintan Joshi: Thank you.

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Moderator: Thank you. The next question comes from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Sir, hi, good evening and thanks for the opportunity. Just to harp on this again, so what levels would you bring back the liquidity? So when I look at the cash and investments share percentage of assets, it's been increasing for last couple of quarters and it seems more in -line with historical trends that you've had. So if you can guide to a number as to how much can it come down? Will it be a significant number?

Parag Sharma: No, so I think two things there. One is we always maintain 3 months of future liabilities into liquid assets and when the size goes up, overall cash and bank balance will go up. This quarter because of this one -off large mobilization, the overall liquidity is high. When it will come down, I think largely we will moderate our borrowing in this quarter and next quarter. So to go back to 3 months of liquidity I think it will take us one or two quarters and this quarter onwards, there will be some improvement here. The liquidity will be down.

Raghav Garg: Understood. My next question is with respect to asset quality. So what has seen in since the commercial vehicle segment is that the quarter -on-quarter increase in stage 3 assets has been significant, it's about 5%, 6% compared to the run -rate that you had in previous quarters it's about 1% to 2%. Why is it that the increase has been so sharp in this quarter? Any specific reasons that you can point to?

Umesh Revankar: No, normally we focus on credit cost. If you look at the credit cost, it has remained at 1.85%. So gross stage 3 or net small improvement -- increase or less it's basically because the -- how the economy functions. So we are happy to maintain credit cost less than 2% at any point of time. And I believe our overall asset quality is reasonably strong and continue to remain strong. And normally fourth quarter, there will be some month back. Whatever the cash -flow mismatches of the customers, they'll pay -off.

Raghav Garg: Understood. Sir, another question with respect to asset quality only, especially in the MSME piece, there also when I look at the quarter -on-quarter increase in stage 2 or say the stage 3 assets, that's about 10% to 12% and it's been fairly high -- it was fairly high even in last quarter, whereas the incremental addition to the overall portfolio seems to be coming down. I'm talking about the MSME portfolio. Again, what is happening, why are we seeing such high

forward -flows in the MSME book?

Parag Sharma: See once again in this segment or which we are in, we are into small -ticket MSME lending, where there are some cash -flow mismatches temporary for the customers, but it normally gets improved. So as I was telling you normally fourth quarter everyone tries to improve. So I believe whatever small aberration are there, that gets corrected in the fourth quarter, but I don't really see a structural what you call decline in the asset quality. I feel it is temporary, mainly because of seasonal and cash -flow mismatches.

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Raghav Garg: Understood. Sir, do I have time for one more question, one last question please?

Umesh Revankar: Yes.

Raghav Garg: Sir, if you can just comment, we've been hearing from a lot of other lenders that have reported Q3 earnings so far that there is some pain in the commercial vehicle segment.

Some have cited

that probably there is some lesser spending on infra by the government, something that we also alluded to. FMCG companies have stated that the consumption continues to moderate. So in light of these two trends, how do you see the operator profitability or fleet utilization?

I know you've put out some data in your monthly bulletin, but just some qualitative commentary from your side in terms of how the operator profitability is doing right now will really help.

Thanks and that's all from my side?

Umesh Revankar: Yes. See, basically what happens is when the large number of new entrants come into the business and when the economy slows down and that's the time there is a less demand for vehicle utilization and the revenue comes down. And this time around if you see, the new entrant in two vehicle ownership is much slower. And therefore there is sufficient demand for existing owners.

So I don't really see what you call the idling of a vehicle in any part of the country. There is a full utilization. And also because of the other measures like good roads and GST, toll fee, all the operating economics of vehicles have improved significantly in the last 2 years. That continues to be advantage and less number of new entrants being there in the business because vehicle price has gone up and also the -- what I call say used vehicle prices are very strong.

So overall, I feel that is a very positive for the existing owners and that will remain positive maybe for another couple of years unless the lot of new players come and the revenue generation comes down or economy slows down significantly impacting them. So I don't really see both a possibility.

Neither a lot of new players will come in nor there is a slowdown in the economy. So I think the vehicle operators do enjoy good operational economics and the repayment have been reasonably good all the time without much of a fluctuation in the last three quarters or four quarters.

Raghav Garg: Okay. And sir one last question. How much -- how much of your business say would be coming from or how many of your customers would have deployed vehicles in Karnataka mines or what would be your exposure to Karnataka mines?

Umesh Revankar: Karnataka mines is now negligible maybe if you had asked me in 2008, it was quite a significant number. But from then, when they have -- all this mining issue came, most of the customers have exited from that activity and we also reduced our lending to mining to very minimum possible. So I can tell you that Karnataka we have barely any exposure in mining activity.

Raghav Garg: Understood. Thanks a lot sir. Thank you.

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Moderator: Thank you. The next question comes from Bhumin Shah from Sameeksha Capital. Please go ahead.

Bhumin Shah: Hi, sir. Good evening. Congratulations on good set of numbers. So my question is on gold loan. So sequentially AUM has declined and asset quality has also worsened in this portfolio. So can you give some colour on this portfolio?

Y. S. Chakravarti: Basically, there was a sequential two quarters of degrowth in the AUM, but we should see an uptake in the next -- this quarter, I mean the fourth quarter and also going -forward the next financial year. As far as asset quality is concerned, gold is really.

S. Sunder: The stage 3 has been more or less flat, I would say in terms of amount which is the Q2 number it was INR118 crores and now in fact it has come down to INR112 crores. Since the denominator has come down, it is looking slightly percentage has been going up, but for that nothing and anyway, the portfolio is so small, we need not be unduly concerned.

Y. S. Chakravarti: Again, as far as gold is concerned see NPA is not a concern because it's basically the credit cost is virtually zero there. As far as AUM is concerned, we should see some -- we should start seeing

growth from this q

uarter onwards.

Bhumin Shah: So can we expect double -digit growth from this quarter or we are -- we will go slow on this product?

Y. S. Chakravarti: No, we are pushi ng. We are pushing. We would ideally like to grow, double -digit only we want to grow. We are pushing.

Bhumin Shah: Okay. And sir another question was on opex. So sequentially also it has increased. So what can be the range where we will operate in the -- going-forward or will it remain elevated also?

Parag Sharma: See we had added around 1,641 employees in the current quarter and the staff cost has increased by around INR64 crores and there were other overheads which has gone up by INR62 crores, totalling t o INR126 crores of opex increase. And no doubt compared to the previous quarter, there has been some increase in the cost -to-income ratio, which we are confident that in the quarters to come, it should come around 28%.

Bhumin Shah: Okay. Thank you so much. That's it from my side.

Moderator: Thank you. The next question comes from Keyur G Desai from Girish Yarn. Please go ahead.

Management: Not audible Keyur.

Moderator: Mr. Desai your line is unmated. Please proceed with your question. As there is no respons e from the line of current participant, we'll move on to the next question. The next question comes from the line of Aditi Nawal from RSPN Ventures. Please go ahead.

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Aditi Nawal: Yes, hi, sir. Thanks for taking my question. So I have two questions. One is if -- one is more of a data keeping question. Is it -- have you called out the yield in the cost of borrowings for the quarter and second I'll ask once you answer the first question?

Parag Sharma : Yes. So we did mention about incremental cost of borrowing being at around 8.9% only and the overall cost of liabilities at 8.95%.

Aditi Nawal: And yield should be...

S.Sunder: Yields in the same range as the previous quarter.

Aditi Nawal : Okay. And secondly sir I just wanted to understand, so from June quarter to until now 9 months, the borrowings have actually sharply increased. Again, I understand that if the ECB borrowings that you've done. So any reason why are we going so sharply on in creasing our borrowings? Again, just correlating it with the fact that our opex has also increased. So is it something like we are trying to get into some new product or new territories and also the fact that HFC is now being sold, so is it something to r ead into or it?

Parag Sharma: No. Is it the other sources of fund, the domestic sources of fund being in be it deposits, term - loan, securitization, that can be done on a monthly basis. But when it comes to offshore borrowing, this will be once in six month s and larger quantum. That is the only reason this quarter suddenly looks that there has been an increase in overall funds borrowed and the liabilities and liquidity. But that will be once in six months event, which is not a monthly event. The regular sou rces for us will continue to be the domestic borrowing, which be it term -loan securitization or FD, which will not be very significantly higher quarter -on-quarter. ECBs, whenever we do, it will be slightly bulky, but that will be once or twice a year.

Adit i Naval: Got it. But any new product that we are trying to enter into or anything that we are sort of going to go aggressively in terms of the product segment?

Umesh Revankar: Nothing. No new product. However, we have announced a EV lending vertical, that is green financing. So focus is trying to build a separate vertical and focus on building the business there so that there is a focus and also there is separate what supervision and credit policy for that. So that is something which you are trying, but it will be gradual growth. We don't intend to grow very quickly there.

Aditi Naval: So any -- what is the outstanding book of the green financing or is negligible?

Umesh Revankar: Well, it just started December 20th, we announced. So it is this quarter will be the first -quarter for that particular vertical. However, we have been doing some EV financing as normal -course of business, but this vertical will create separate what we call credit policy and supervision.

Moderator: Thank you. The next question comes from the line of Kunal Shah from Citigroup.

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Kunal Shah: Yeah. Thanks and congratulations. So firstly, there maybe quite a contradictory remark coming in from the industry participants with respect to the fleet utilization and the operators cash -flow.

So no doubt you alluded to the fact that maybe it's sustaining, but even when we look at your ability over past couple of months, it's clearly indicating that fleet utilization has remained subdued.

In fact, even in some of the major routes, truck rentals rise have not been that high and not much of an increase year-to-date. So how is this entire operators cash-flow getting managed and maybe at least in terms of the delinquency levels, we are seeing it holding up pretty well.

Umesh Revankar: So Kunal, that particular statement was given by one of the association head and that has been just no -- reprinted there. So it has nothing to do with the general utilization of vehicles. So when we look at individual operator and the operation economics across the country, it has been quite good. Utilization levels are very good and there is not much of complaints. There may be some temporary in certain geography that should not become that the all-India numbers as far as the utilization is concerned.

And as I was telling you, since there are less entrants, the existing players have a good play. In the sense their economics are better, operational economics are better and they have good demand. You would not see probably you just travel on highway, you will never see idling of a vehicle anywhere. In the past, whenever economy slowdown was there, you could see hundreds of vehicle being parked, waiting for something and that kind of a scenario.

But today you will never see any of the highway, busy highway you travel, you will never see.

So I'm happy to take you to some of these busy highways so that you can watch by yourself.

Kunal Shah: Yeah, absolutely. But any segment wherein you would be worried about in terms of either where the operations are or maybe particularly with respect to our customer segment, any segments, be it in terms of first-time users, small fleet operators or even in terms of with respect to utilization on construction side, anything that would worry you?

Umesh Revankar: See right now when I looked at some of what we call -- in the August or September when there were heavy rains, the infrastructure activity and mining activity came to some kind of a slowdown. And that's a every year phenomenon. It's not that it happens only in this year. Every year when there are heavy rains or extended heavy rains, there is a slowdown. And that time, if you ask anyone, they'll say, I have no business because that particular sector or segment is -- always behaves that way.

So -- but if you ask now, November or December, you will see that utilization levels are very high and mining today is getting a renewed what you call demand. Many of the larger conglomerates like JSW or Tata, everyone are in the full swing. If you see the mining and both iron, aluminium and coal. So I don't really see anywhere that kind of a situation where less utilization or less payment and everywhere things are becoming much better.

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And also after Supreme Court giving a verdict on the state government's stake in the leasing of mines, even state government has also become active now. In the past, they were dormant because the -- since it is the court, they were

not really taking a lot of interest. Today, both central and state are working on activating the mines. So I think going ahead things will become much better.

Kunal Shah: And you would be confident on the overall credit cost guidance.

Umesh Revankar: Yes, yes, credit cost has been all-time best, Kunal. We are less than 2% consistently for two quarters.

Kunal Shah: Sure. And lastly, in terms of MSME, so on a growing book, again, I think last-time also the Chakravarti sir highlighted that obviously it's being rolled-out across most of the branches and that is leading to the growth. And most of the deployment is also towards the service and the trading in industry. So that's not posing a lot of worry.

But when we still look at it on a growing book of more than 50 odd % GS2 plus GS3 is almost 12%. So if we look at the lag book, then it seems to be slightly higher. So any concerns out there on the MSME side or maybe the unsecured business side.

Y S Chakravarti: See, basically here in MSME, we've been seeing it for the last 15, 20 years that the same pattern there. What happens is your Stage 2, and Stage 1, there should be -- it will be higher slippages, but when it comes to Stage 3, it gets correct -- gets corrected. So I mean, it's -- I think it's part for the cost. There is nothing extraordinary that is moved this quarter or this year. So not really a big worry there, Kunal.

Because if you look at the gross Stage 3, it's almost -- normally it's typically under control, not much of a movement there. So, and this is how do you put this? I think it's the segment that we operate in, the segment that we lend to, the slippages from Stage 1, Stage 2 is normal. At the Stage 3 level is where I think our team becomes active and the customer also becomes active in trying to payback.

So that's not a -- we have come to accept this as normal or over the years.

Kunal Shah: And lastly, just data points on PD LGD and disbursement breakup?

Y S Chakravarti: Yes, I'll ask Sunder to give you that.

S. Sunder: Yeah the Stage 1 PD was 9.05 as against 9.06 in the previous quarter. Stage -2 PD was 20.74 as against 20.98 and the LGD was 38.75 as against 38.59% and the disbursements you can be in touch with Sanjay, he will help you out.

Moderator: The next question comes from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar: Sir, just one question. On your opex, should we assume this level of cost to asset to remain or is there scope for operating leverage in the next year?

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Umesh Revankar: We expect it to moderate going forward.

Saurabh Kumar: Like just in terms of like Y-o-Y, should it be higher than AUM growth or lower?

Umesh Revankar: No, we would see, we will be able to maintain at around 28% because always have given a forward guidance between 27% to 28%. So maybe this year it will be around 28%. Going forward, it will moderate further.

Saurabh Kumar: So this cost-income, basically, if there is a rate cut you could basically benefit a bit from NII on your margins. So I just want to know just in terms of absolute cost growth, how should we think about it? Is it since it's linked to how your assets grow or should it be slightly lower? Like that's the question?

S. Sunder: It will be slightly lower than the other growth.

Moderator: The next question comes from Rajiv Mehta from YES Securities.

Rajiv Mehta: Sir, this degrowth in gold loan book, while you had explained something before, but is it also related to any change of practices on-the-ground in the business? I mean, because in the very same quarter, the regulator had also highlighted a few things for the industry which warranted correction. So is this degrowth related to any operational adjustment being done in the model or in the practices?

Y S Chakravarti: Nothing to do with the operational thing. Basically, our

traditionally major lot of our portfolio

is also referral business and our customers. So and festival season typically we have -- it happens in our -- particularly our portfolio, festival season, people redeem and then come back and pledge it later. So we think we'll see this pickup. That's why I said we'll see it picking up in the fourth quarter. Operationally there is nothing, no changes.

Rajiv Mehta: And sir, on the personal loans, we were -- the book was degrowing in the preceding three quarter and in this quarter again there is some growth while also in this quarter you have seen some material increase in Stage 2 also. So is there any change of growth approach here and what is making us comfortable to grow it again?

Y S Chakravarti: See, as I said initially itself that our -- the delinquencies have nothing to do with this slowing down. We are okay with the -- I mean, it's improving over a period of time. So one quarter plus 10-15 basis points plus or minus is not something that really worries us. The reason why we want -- I mean, since the lot of noise in the market, we went slow, again, as I also explained earlier also last call also that 95% of this book is from our customers.

So we -- our existing customers, we have -- and we continue to grow it. It's just that there is so much of noise, we slowed down the business for a couple of quarters. But then there is also a lot of demand and we found that we also realized that when we are not giving the money, the customer is going somewhere else and taking the money and we are losing the customer. So we again initiated this exercise of reaching out to the customer, we will continue to grow this book.

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Rajiv Mehta: And just one clarification. When I look at the employee cost growth, it is growing much higher than the employee count. So you have a large business team. So is it because of good AUM growth, higher amount of variables and incentives are being distributed or is there any underlying change in the incentive structure, which has been raised and which is why the actual employee cost is going way ahead of employee number?

Y S Chakravarti: The disbursement also higher compared to last quarter to this quarter, right. So obviously the variable pay also goes up. Plus we added about 1,600 people plus basically incentives also a lot of incentives were the reason why it has gone up.

Moderator: The next question comes from Abhishek Jain from Alfa Accurate. Please go ahead.

Abhishek Jain: Congrats for a strong set of numbers. Sir, as you mentioned that fleet utilization is high, these vehicle prices are also firm, which is favourable for the new CV demand. But MSCV demand remains sluggish in past 9 months. So how do you see recovery in the fourth quarter and FY '26?

Umesh Revankar: The M&HCV number, it has been more flattish. You're right. It's mainly because as I was explaining to you, the infra spend by the government has slowed down. One is because of the election, then the re's heavy rainfall. And again, there were the state level election in the month of October, November, this together had a slowdown overall the government spend.

But if you look at December and November, December, it has picked up. There are new projects have been activated. And I believe the last quarter now is going to be a bigger quarter, and there will be demand coming back. So M&HCV basically, all these infra projects consume a lot of new vehicles because of steel and cement movement and also the earthwork that goes on. So I think this quarter, you can see good demand for heavy vehicle. And that should continue if the government spend continue over the period.

Abhishek Jain: So any benefit do you see due to the scrappage policy that will be implemented by the government in the coming quarters?

Umesh Revankar: No scrappage policy. Government has already

announced policy, which is the voluntary scrappage, it's not compulsory scrappage. So there will not be any change in the policy. I don't think that has anything to do with the sales of vehicles.

Abhishek Jain: Okay, sir. And my last question on the passenger vehicle side that in this quarter, we have seen a very strong numbers in retail side. And that's why inventory has come down. So how do you see growth in the passenger vehicle in the coming quarter or in FY '26?

Umesh Revankar: The passenger vehicle will continue to grow. There is an unmet demand, I should say, mainly because the government spend, especially state government, state undertaking spend on the public transportation is coming down. Last 6 to 7 years, you would not have noticed any new buses on the road.

So that is really creating the demand by the private players. So private players, both for their personal mobility and also for public transportation is going up, especially the demand is coming

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from the semi urban market and also slowly moving into rural markets. So I feel the passenger vehicle growth will continue to be there for next maybe 3 years to 4 years because of the same.

Abhishek Jain: And what are your strategies to gain the market share in the passenger vehicle finance segment?

Umesh Revankar: Sir, we are gaining the market share. We are a very small player when it comes to passenger vehicle financing. And the market is very, very large. So I think we'll continue to grow. We are growing year-on-year by more than 20%, and that will continue to remain for a long time.

Moderator: Next question comes from Preethi RS from UTI AMC. Please go ahead.

Preethi RS : So can you explain the difference in trends that you're observing in used vehicles, commercial vehicles and new CV? And what could be the possible reasons, one, on asset quality, and two, on demand?

Umesh Revankar: See, the used vehicle numbers have not really gone up mainly because there are not enough supply of used vehicle in the transaction in the market. The number of vehicles sold were less from 2020 onwards. And there is 1 year prior to COVID, then COVID came. So there are enough -- not enough vehicles in the market. And therefore, the market is very tight and resale prices are very high.

So a number of transactions are limited. Therefore, actually, our growth is mainly because of higher ticket size, and that has helped us to grow. But going forward, as last 2 years, vehicle sales have been good. I believe next 4, 5 years, there will be a much higher transaction on used vehicle. That will help us to keep growing.

So I believe next 3 years to 5 years will be really good for us in used vehicle financing because number of transactions will go up significantly. And with addition, new vehicle sales also will go up if the GDP growth continues to remain robust.

Preethi RS : Got it. And on the asset quality trend, sir?

Umesh Revankar: Asset quality, it has been all-time good, mainly because resale values being very strong. We don't really have much loss on sale of any repossessed asset, and therefore, it has been good. So I think that will continue to remain strong. We are below 2%. That has been the long-term average for us for more than 10 years. And I think that is a good signal for us.

Preethi RS : Sir, my question was in the short to medium term, are you seeing stress in used vehicles lower than that of new vehicles?

Umesh Revankar: No. See, that, I don't say less or more. It all depends on the application. Used vehicles are mostly used for secondary application, last mile reach. And new vehicles are used for long-distance transportation. Both are linked to each other. There will not be a big difference between 2.

Moderator: The next question comes from Suraj Das from Sundaram Mutual Fund. Please go ahead.

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Suraj Das: I have joined a bit late, so I don't know if the question has been asked already or not so pardon me for that thing. Sir, the question is on the 2-wheeler side. So the growth has been pretty robust. And then even this quarter on a Q-o-Q basis, the growth has been very strong at 18%. So I mean, what is the outlook here?

Because if I see, let us say, the bank are truing the 2-wheeler segment, citing asset quality problems and all that thing. But your growth has been very robust, while there has been some slight uptick in the Q2 numbers in terms of asset quality also. But how do you see that this growth rate has been shaping up in FY '26 over the next 2 quarters to 3 quarters? So that would be my first question. And then I have a follow-up.

Y.S. Chakravarti : So on the 2-wheelers, the target is that the market is growing at 5%. Typically, what we target is double the market growth plus 2% minimum. So if it's growing at 5%, we look at 12% growth.

Because typically, what happens is that it is still the finance versus cash is still a 50-50.

Maybe in a couple of states, it is 70-30, which is basically 70% finance and 30% cash but rest of the country, it is 50-50. So the scope is there because the cash customers can become your customers. So we actually aspire for double-digit growth, one.

So as far as asset quality is concerned, see, it's a typical festival season, the small blips are -- we are used to a small blip and then they become normal in the following quarters. That is not really a concern. As for other players coming in and going out, if you look at the evolution of 2-wheeler finance in this country, there are a lot of players who have come, started business, went out, again trying to come back after a few years.

It's quite normal in the 2-wheeler business. There are players who are coming and going out.

And when people see -- other point is low -- I mean the small ticket businesses are basically, it is a collection business and not a lending business.

So unless you have your strategies, very strong collection mechanism and teams in place, it is difficult over a period of long period of time to sustain. I think what we have been able to do is get it, I think, got it right. So that's the reason why I think we are there for the last 25 years in this business and continue to be in the business and lead the business.

Suraj Das: Sure, sir. Got it. And sir, I mean, is this already -- I know our repeat customer whom we are lending to and hence, probably we are more comfortable or these are customers new to company type of customers which we are acquiring in this segment?

Y.S. Chakravarti : Typical 2-wheeler replacement is 5 years minimum. Particularly, we fund most of our bikes are commuter bikes and what we fund to it is basically a lot of small businessmen, self-employed people. So repeat customers would not much, probably about 5% would be repeat customers.

Suraj Das: Okay. So rest of the 95% customers are new to Shriram customers?

Y.S. Chakravarti : New to Shriram.

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Suraj Das: Okay. And sir, I mean, what kind of CIBIL score they would typically have?

Y.S. Chakravarti : Typically, I'll go at the CIBIL score, I'm not a big fan of CIBIL score, but we start at 550 minimum. And if we start at 550, to just give you an indication, 60% of my customers have minus -- I mean, which is no longer there, but earlier it used to be minus 1, which means they do not have adequate credit history. That is basically new to credit.

Suraj Das: Okay. Sure. Got it. And the last question would be on the, let's say, overall provisioning side. So while -- I mean, there has been slight uptick, but still we are maintaining something like 2% type of credit cost. But if I see the overall coverage, ECL coverage on Stage 1, Stage 2, Stage 3, that is as a per

centage is still increasing?

So do you think this number will continue to inch up and asset quality performance will be overall stable or at some point of time, maybe you would rationalize this number to, let's say, earlier levels because some of your Stage 1 and Stage 2 and Stage 3 coverage ratios are probably would be highest in the last many quarters?

S. Sunder: Yes. On the Stage 3 provisioning, it will be more or less in the similar line. And coming to the Stage 1 and Stage 2, yearly, we run that last 5 years data. So the current year data gets added up. Based on that, whatever is the PD LGD, then we will start in the next quarter onward. So we need to wait and see.

Suraj Das: Sure. And this, sir, PD LGD reset, I mean, when does it happen. Every quarter or...

S. Sunder: Once in a year. In March quarter, we do that.

Moderator: The next question comes from Sharat Dua from Amundi. Please go ahead.

Sharat Dua: Can I just ask back to the NIM, net interest margin and just clarify that you -- given the seasonality, you would expect that NIM just to be weaker in Q4 than we've seen in the third

quarter even if we use up some of the liquidity?

Umesh Revankar: No. See, as we said the higher liquidity, which is built up will get utilized. So NIM will improve.

Sharat Dua: Even with the seasonality of new vehicle sales being greater in the fourth quarter?

Umesh Revankar: Yes, there is more new vehicles and therefore, there will be some mix. But how that mix will turn out, we are not very clear in the beginning of the quarter because new vehicle demand comes only in the March. So that will have some impact, but it will not have -we have more impact in the first quarter of next year, not in the fourth quarter because most of these new vehicles get booked in the end of quarter. So we should not have a major impact in the fourth quarter.

Sharat Dua: Okay. And just on the big picture. I mean, obviously, you've gone through some detail about what you're seeing in different product lines and asset quality-wise. A lot of other players in the financial space are obviously slowing down given the cycle that they are seeing and the

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experiences they're getting right now. So the message is you will not be doing that. Is that clear?

You expect to continue to grow at sort of mid-teens level for the next financial year, at least?

Umesh Revankar: Yes. Currently, I'm quite positive on the same because there is still an expectation that Indian GDP on an average, it will grow more than 6.5%. If that is the case, definitely, we'll be growing at mid-teen levels.

Sharat Dua: Okay. And last one, maybe just on the staff numbers. So you mentioned you've hired like 5,000 or so this year so far. So will we still be seeing significant increases in employee numbers?

Umesh Revankar: No. We are trying to have some freeze on this. We'll be reworking the productivity levels and trying to focus on productivity. And also our digital app is helping us to some extent in giving some of the customer services across digital platform. As and when more adoption of digital platform by the customer, we should be able to really slow down on hiring.

Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I now hand the conference over to the management for closing comments.

Umesh Revankar: Thank you all. It is a good set of numbers and result, I believe, under the current circumstances. And we look forward for the busiest quarter in the next quarter, typically in India, this last quarter being then to March is a large quarter, and typically, all the numbers improve. So we would like to meet you again with a good set of numbers next quarter. Thank you very much.

Moderator: On behalf of Shriram Finance Limited, that concludes this conference. Thank you for joining us. You may now disconnect y

our lines.

Call: Apr 2025

SEC/FILING/BSE -NSE/2 5-26/68A -B April 29, 2025

BSE Limited
P. J. Towers, Dalal
Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218 National Stock Exchange of India Limited
Listing Department Exchange
Plaza, 5th Floor, Plot no. C/1,
G- Block, Bandra - Kurla
Complex, Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the fourth quarter ended March 31, 2025.
Further to our letter dated 25th April 2025, regarding the audio link of the investors earnings call for the fourth quarter ended March 31 202 5, we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you .
Yours faithfully,
For SHRIRAM FINANCE LIMITED

U BALASUNDARAO
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl.:a/a.

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“Shriram Finance Limited Q4 FY'25 Earnings
Conference Call”

April 25, 202 5

MANAGEMENT : MR. UMESH G. REVANKAR - EXECUTIVE VICE
CHAIRMAN , SHRIRAM FINANCE LIMITED
MR. Y S CHAKRAVARTI - MANAGING DIRECTOR AND
CEO, SHRIRAM FINANCE LIMITED
MR. PARAG SHARMA - MANAGING DIRECTOR AND
CFO, SHRIRAM FINANCE LIMITED
MR. S. SUNDER - JOINT MANAGING DIRECTOR ,
SHRIRAM FINANCE LIMITED
MR. SANJAY KUMAR MUNDRA - INVESTOR RELATIONS
HEAD, SHRIRAM FINANCE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Shriram Finance Limited Q4 FY' 25 Earnings Conference Call .

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh G. Revankar – Executive Vice Chairman, Shriram Finance Limited.

Umesh G. Revankar: Thank you, and over to you, sir. Yes, thank you. Good evening, friends from India and Asia, and warm welcome to all of you . Greetings to those who have joined the call from the Western part of the world .

To present our Q4 FY' 25 Earning Call today, I have with me Managing Director and CEO – Mr. Chakravarti; Managing Director and CFO – Parag Sharma ; S Sunder – Joint Managing Director ; Mr. Sanjay Kumar Mundra – our Investor Relations Head .

It has been a good 4th quarter for the Shriram Finance under the current circumstances. Let me first go through the broad economic indicators that impact our business directly or indirectly. India's GDP growth grew by 6.2% in October, December quarter. This marks improvement from the previous quarter, which was at 5.6%. The government has revised its forecast for the full fiscal year 25 to 6.5 %.

On inflation, the inflation has been declining marginally . In the month of March , it was 3.34 % . It has come down from 3.61 in February . India's annual wholesale inflation slowed to 2.05 % in March, down from 2.38, giving a broad indication of indicators for the inflation . And coupled with that, RBI policy has been positive. The RBI slashed the repo rate by 25 basis point to 6% on April 9, 2025 with this monetary policy committee voting anonymously to reduce the policy rate in the bid to support the growth. This is the second time in a row MPC has cut the repo rate . We believe that this will help in reducing the borrowing cost over the period and the transmission should happen in 3 to 6 months.

The rural economy in monsoon, our constituency is mostly in the rural area and despite the global economic challenge and fluctuation in the industrial growth, India's agricultural sector emerged as a key driver of stability in 2024 -25. According to the advanced estimate of GDP for 2025, agriculture and allied activities recorded a 3.8% growth in real gross value added, a notable improvement from 1.4 in the previous year, 23 -24. This augurs well for us going forward also because the IMD prediction and Skymet prediction for the monsoon have been above average for this in the crop year and hopefully that will help the credit demand from the rural area to go up further and also help us in the credit quality. The GST collection has been growing at 7.3% year-on-year at Rs. 1.77 lakh crore. Hopefully , we should see revival in government spend on the infrastructure activities.

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Coming to the overall auto industry and OEM sales side :

Commercial vehicle, the M&HCV have grown last year at 3.9 % for Q4, which stands at 1.15 lakh unit against 1.11 unit in Q4 '24. And for the full year, it remained flat at 3.74 against the same unit in the last financial year. LC V recorded a flat sale for the Q4 which stands at 1.58 lakh unit versus same number in the previous year and for the full year it declined by 2% to 5.83 lakh unit against 5.95 lakh unit sold in the year 2023 -24. The total CV sales has declined for the full year by 1.2%, which stands at 9.57 lakh unit against 9.6 lakh unit sold in the 2023 -24. Passenger vehicle has recorded a growth of 2.4%, which stands at 11.63 lakh unit against 11.36 lakh unit in Q4 '24

4. And for the full year, it increased by 2% to 43.02 lakhs against 42.19 lakh unit sold in the previous year.

Two wheeler has recorded a growth of 1.4% for the quarter with 45.68 lakh unit in Q4 '25 against 45.04 lakh unit sold in the previous quarter and for the full year it has increased by 9.1% to 196.07 lakh unit against 179.74 lakh unit sold in the previous year. Three -wheeler has recorded a growth of 7.7% with 1.7 lakh unit against 1.66. And for the full year, it increased by 6.7% to 7.41 lakh unit against 6.95.

Tractors recorded a decline in the quarter with 2.33 lakh unit against 2.44 lakh unit in the Q4 and for the full year it declined by marginally by 1%, 8.83 lakh unit against 8.91 lakh unit.

Construction equipment recorded a decline of 8.4% with 34,876 units against 38,079 units within Q4 '24 and for the full year it remained flat with 1.24 lakh unit against 1.23 lakh unit sold the previous year.

The Board of Directors have recommended a final dividend of Rs. 3 per equity share of nominal

face value of 2, each fully paid up 150% for the Financial Year 2024-'25. With this, total dividend for the Financial Year 2024-25 will be 9.9 per share of 2 each after adjusting for the split.

Now I shall ask my colleague – Mr. Chakravarti to take you through operational performance. Mr. Chakravarti.

Y.S. Chakravarti: Thank you. Good evening, ladies and gentlemen. I welcome you all to our Q4 FY '25 Earnings Call. And I hope that you have produced the results and the related Investor Presentation which is posted on the Website of the Stock Exchanges.

We have registered disbursement growth of 14.04% year-on-year. Our disbursements for the quarter aggregated to Rs. 44,847.93 crores versus Rs. 39,326.86 crores in Q4 FY24.

Our AUM has registered a growth of 17.05% over Q4 FY '24 and of 3.43 % sequentially. Our AUM stood at Rs. 263,190.27 crores as against Rs. 224,861.98 crores a year ago and Rs. 254,469.69 crores in Q3 FY '25. Our net interest income for the quarter registered a growth of 13.4% year-on-year. We earned a net interest income of Rs. 6051.19 crores in Q4 FY '25 this year as compared to Rs. 5336.06 crores in Q4 FY '24. Our net interest margin was 8.25% as Shriram Finance Limited

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against 9.02% in Q4 FY '24 and 8.48% in Q3 FY '25. The decline in the NIM is mainly attributed to the excess liquidity maintained on the balance sheet, which will get rectified in the coming quarters.

Our profit after tax increased by 9.95% and stands at Rs. 2,139.39 crores as against Rs. 1,945.87 crores in the same period of the previous year. Our earnings per share increased by 9.85% and stands at Rs. 11.38 as against Rs. 10.36 recorded in the same period of the previous year. Our asset quality, gross Stage -3 in Q4 FY '25 stood at 4.55% and net Stage -3 at 2.64% as against 5.45% gross and 2.7% net in Q4 FY '24 and 5.38% gross and 2.68% net in Q3 FY '25. The reduction in GNPA is primarily on account of technical write-off of Rs. 2,345.10 crore assets which were fully provided for earlier.

Our credit cost for Q4 FY '25 stood at 2.07% as against 2.06% for Q4 FY '24 and 1.85% for Q3 FY '25. Our cost-to-income ratio was 27.65% in Q4 FY '25 as against 26.61% recorded in Q4 FY '24. Our cost-to-income ratio in Q3 FY '25 was 28.59%.

I shall now request our Managing Director and CFO, Mr. Parag Sharma to inform you about our resource raising activities, after which our Joint Managing Director, Mr. Sunder will brief you about accounting and regulatory aspects. Thank you.

Parag Sharma: Hello everyone. On the liability side, total debt outstanding as of March '25 was Rs. 2,34,459 crores, which was up from Rs. 1,85,845 crores as of March '24. These liabilities are broken into securitization, which is close to 16% at Rs. 38,000. The domestic capital market at 17%, which is close to Rs. 40,800 crores. Retail deposit,

which is close to 23% at Rs. 56,000 crores. The term loans from bank and institution stands at 21%. And the external commercial borrowing, which is in bond format at 6.77% and loan at 14%. We also have off balance sheet of DA transaction of Rs. 3,200 crores. The DA transaction number was almost similar in the previous year.

The cost of liability as of March is 8.95, which is almost similar to the previous quarter. As of March '24, it was 9.01 marginal reduction, but what we are seeing is the incremental cost of borrowing is coming down. For the December quarter, it was 8.92 and for the March quarter it is 8.86. So that will translate into some cost reduction. As mentioned earlier, there is sufficient excess liquidity what we are carrying as of March. This was the case as of December also where we had close to around Rs. 27,000 crores of liquidity, which is now close to around Rs. 31,000 crore, largely on account of two large transactions of external commercial borrowing, one we did in December end, which was Rs. 1.28 billion, and Rs. 800 million what we did in the March quarter. These are long-term facilities what we have taken from development institution, one and other one is from export credit agency. So this transaction happens once in a while, not a regular feature. And that has resulted in excess liquidity. The quantum in rupee terms, what we have borrowed in March quarter is Rs. 7,716 crores. That is the reason why the liquidity continues to be slightly higher.

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We always guide around 3 months of liability repayment to be in our liquid assets, but it is now close to around 6 months. We do expect this will come down in next 2 quarters to the earlier level of 3 months of liability repayment. The overall leverage stands at 4.16, which was as of March '24 at 3.83. So not a marginal increase, but not very significant. And the ALM buckets, all buckets continue to be positive with up to 6 months, we will be a surplus of close to around

Rs. 48,000 crores, which was a case in December quarter also.

And total fund mobilized for this quarter, March quarter, other than the ECBs is slightly lower compared to December quarter because of excess liquidity what we are carrying.

With this, I hand it over to Sunde r for..

S. Sunde r: Thank you, Parag. As you are aware that on the Stage -3 provisioning, we have been carrying a coverage of more than 50% for the past 5, 6 years. The company deliberated on this at length and we decided to technically write -off cases which were having a provision of 100%. The written -off amount amounting to Rs. 2345 crores was already provided in the books of account and even after this write -off, there is no impact on the P&L per se. But there is a reduction in the gross NPA, gross Stage -3 which was 5.38% in the previous quarter. It has come down to 4.55% in the current quarter. And the net Stage -3, which was around 2.68% in the previous quarter, it is now currently at 2.64%.

This does not have any impact on the P&L but the gross NPA is brought down correspondingly.

And as far as the Stage -1 PD is concerned for March quarter, it is 8.79% as against December number of 9.05 and Stage -2 PD was 20.69 as on March as against 20.74 in the December quarter.

The LGD was 39.05% as on March as against 38.75 % in the previous quarter.

Giving a breakup of the disbursements done product wise, Mr. Chakravarti anyway spoke about the total disbursement during the quarter of Rs. 44,847 crores. The product wise break up is commercial vehicles contributed to Rs. 16,777 crores, passenger vehicles Rs. 8,256 crores, construction equipment Rs. 2,180 crores, farm equipment Rs. 1,060 crores, MSME Rs. 7,660 crores, two wheeler Rs. 2,919 crores, gold Rs. 3,105 crores and personal loan Rs. 2,890 crores totaling to Rs. 44,848 crores.

I would request the moderator to open the l

ines for we will be happy to take the questions. Thank you.

Moderator : Thank you. Ladies and gentlemen, if you wish to ask a question, please press "*" and "1" on your touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use their handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi: Hi, thank you. Can I start with your provisioning cost this quarter slightly higher than consensus was expecting? Could you tell us how do you see the asset quality trends playing out over the Shriram Finance Limited April 25, 2025

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next year? And what kind of seasonal patterns do you expect next year? If you could give us some comprehensive comments on that asset quality, that would be helpful. And then I've got one more.

Umesh G. Revankar : Yes, thank you. See, basically, Chintan, the last 2 quarters, you would have seen or you would have heard that Indian economy is slowing down a little and had certain pockets of stress building up. Even though for us, most of our loans are secured assets, we did not have any of such an impact. There were certain geographies, remote areas, where it had built up. So that's a temporary one. And I believe it is figured out by this time. And we don't really see, because the rural economy is doing well. Back to back, if you have observed that even this IMD prediction for this in this year also, the rains are likely to be above normal. So we expect the rural stress whatever building will get addressed because of a better economic situation in the rural area. Urban areas have slowed down a little because government spent on infrastructure has slowed down and therefore not creating enough opportunity for credit growth in the urban. So overall we feel that the credit cost of what, 2.07 in the last quarter and the overall for the full year it is 1.91 is reasonably good and well managed. I don't really see any further increased stress or increased credit cost for the next financial year because the rural is playing out well and we expect the infrastructure spent by government to come back and even the credit demand and the overall credit situation to improve further.

Chintan Joshi: Okay, so and if the economic slowdown continues to be if economic activity continues to be weak, would you think there could be some impact on your operations or are you making this assumption that the real rural economy being better will buffer you against any urban slowdown?

Umesh G. Revankar : Yes, rural economy will definitely buffer because most of our operations is in the rural. If you look at our branch network, nearly 85% of our branch network is in semi -urban and rural, which has some kind of what to call linking to the rural and the agricultural economy. So we are very confident that we should not have broader challenges.

Chintan Joshi: Okay. And my second question then is on the NII. Could you help us understand, how do you take the financial decision between direct assignment and keeping the loans on balance sheet?

If I think from an investor point of view, they obviously value the NII stream better than the trading income from direct assignment, even though you show it in the NII line in the management presentations. From an investor perspective, the NII is more valuable. So I was

wondering if you could kind of, this quarter you did a lot more direct assignment. What was the financial rationale for doing that? If you could help us understand that ?

Parag Sharma: No, we have not done any large direct assignment transaction. The outstanding I was mentioning as of March '24 was Rs. 3,200 crore s and that is a similar number as of this March '25 also. So no large tra

nsaction of DA done during the year itself.

Chintan Joshi: Okay, this quarter you have a meaningfully better, higher income, Rs. 1,694 million. So I was just wondering how you take these decisions. What is the thought process behind it?

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S. Sunder : No, the rationale behind doing securitization or direct assignment is nothing to do with the NI I. It is more of a mobilization plan that we carry forward. As regards to your question of that 1690, whatever number you mentioned. So that, I would suggest we will provide a reconciliation to you maybe through Mr. Mundra after this call.

Chintan Joshi: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Thanks for the opportunity. My first question is on the CV portfolio growth which has come down to about 10 % to 11 %. In this few quarters , it was around 13 %-14%. What is the reason for that?

Umesh G Revankar: If you look at the C V sales, you'll see that the sale has been flat year -on-year this year. So overall, expansion of the C V segment was not there this year because infrastructure spent by the government was much lesser than the anticipated. That's one reason. And second, there are not enough transactions in the used vehicle market because number of vehicles available for transactions are less . As last 4 years, the sales have been much lower. Right from 2019 to 2021, the CV sales have been less. So what we anticipate is, since the sales have improved from 2022 onwards, the number of used vehicle transactions will go up in the subsequent year. That is 26, 27, 28. So our focus being used vehicle financing, we expect that to grow much faster. Whatever the growth what you are seeing now is because of the ticket size being higher as the resell values of each of the asset class have gone up. So we expect the growth to come in the subsequent year, next 3 years. But right now we feel that 10% growth is quite good considering the lack of transactions or lesser number of transactions as number of vehicles in the market is much lower.

Raghav Garg: Sir, for FY '26, would you say that this number will still be around 10%, 10.5% or it could be higher, say 12%, 13 % or 14%?

Umesh G Revankar: We are looking at 12 % to 15% growth in the next financial year.

Raghav Garg: And on the MSME piece, what kind of growth do you expect that this one piece which has grown pretty strongly for you last few quarters, even this time? Do you expect that this growth rate would continue and grow at 30% by FY'25?

Y.S. Chakravarti: Sorry, this is Chakravarti here. I think our guidance on MSME would be between 18 %-20% of growth for the financial year.

Umesh G Revankar: See this 30% growth was mainly due to lower base and also we have activated more number of branches post merger for MSME. So it has given a growth of around 30% in the last year. For next financial year , it will be moderated to around 20% plus.

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Raghav Garg: And for last question, I understand there have been slippages in this quarter, even the gross Stage -2 numbers have increased by about 20 basis points . I know you partly answered that this is where the credit cost is likely to peak, but any expectation that the credit cost at this level could remain at this level, or do you think that it can come down substantially?

Umesh G Revankar: We are working for credit cost to come down because we feel that the rural economy doing well should help us to bring down the credit cost. So we always give a guidance that we will try to maintain around 2% and hopefully we should be able to bring it below 2% of credit cost.

Raghav Garg: And just sorry last question . You are still expecting other guidance on growth would still be about 15% right? 15 % o

r higher?

Umesh G Revankar: Yes.

Moderator: Thank you. The next question comes from the line of Zhixuan Gao from Schonfeld . Please go ahead.

Zhixuan Gao : Thank for the opportunity . Can I have the total write -off number for the 4th quarter and the 3rd quarter as well please ? Including your the total write -off for this quarter, the 4th quarter and 3rd quarter ?

Y.S. Chakravarti: Hold on for a second . Yes, we will just give you the number.

S.Sunder : Yes, write -off for the current quarter is Rs. 3,162 crores and the write -back of the provision was Rs. 1,603 crores. The total provisions in credit cost number is Rs. 1,559 crores for the current quarter. For the previous quarter, the write -off number was Rs. 501 crores and the provision was Rs. 825 crores totaling to Rs. 1,326 hit to the P&L .

Zhixuan Gao : So the 4th quarter write -off was Rs. 3,164 crores?

S.Sunder : Rs. 3,162 crores.

Zhixuan Gao : And it seems that the net slippages were increasing quarter -on-quarter, right? So do you mind sharing with us what segment is largely causing this net slippage increase?

S.Sunder : Okay, so what I would suggest is we will give these numbers to Mr. Mundra. He will be in touch with you. We will provide the number s.

Zhixuan Gao : Which segment is driving the Q-on-Q increase in the slippages?

Parag Sharma: Yes, we have the numbers. So Mr. Sanjay will send across to you, reach out to you and then provide the numbers.

Moderator: Thank you. The next question comes from the line of Rajiv Mehta from YES Securities. Please go ahead.

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Rajiv Mehta: Hi, good evening. Thank you for taking my questions. Firstly, what triggered this technical write -off division of Rs. 24 billion? Is it in some way related to your PD and LGD reset annually, which you do in March quarter? And also, can you help us with the composition of this write -off so that we can look at the growth at the product level in the right context?

S.Sunder : This is Rs. 2,345 crores was nothing to do with the PD and LGD which we have assessed for the current quarter. It is mainly a decision taken based on the coverage being continued for the last 5 to 6 years just before the COVID we started having a coverage of more than 50%. And we used to continue with that. To achieve that , we used to maintain 100% provision on certain assets and those assets we technically wrote off in the current quarter after deliberation at the board and that was the basis on the background for technically writing off those assets. In the investor update itself, the breakup of Rs. 2,345 crores product wise has been given.

Rajiv Mehta: Okay. Now, see, we have also seen some increase or I would say a material increase in the Stage -2 for passenger vehicles and MSME segments in 4Q. But you also spoke about the stress peaking now. But how do you contain the forward flow of these accounts because see Q1 is typically weak in terms of collections and even recoveries of NPA. Hence, can we see an increase in NPA in Q1 or will we be able to contain the flow of these accounts which are mistakes too?

Y.S. Chakravarti: We are very certain that you will not see much of a forward flow in the Q1 of these accounts into Stage -3. See the kind of a segment of customers that we deal with we have been seeing this for a period of last few years that they keep moving between Stage -1 and Stage -2. We do not see any stress points as of today. The stress point is basically, the worry would be will they slip into Stage -3, but that I will be assure that the feedback that we got from the ground is that, that will not happen. Some of this flow back or stay where they are .

Rajiv Mehta: Okay . And this gold loan portfolio has been continuously shrinking. I mean, Q4 had a benefit of much higher gold prices as well. I mean, previous quarter, I think we spoke about higher pledge release

s, but in Q4, we have seen further shrinkage in the portfolio despite much higher gold prices entail when submit. So can you explain what is happening in the gold loan portfolio despite the fact that we are adding distribution there as well ?

Y.S. Chakravarti: Not only distribution, in fact disbursements also were up Q -on-Q, quarter -on-quarter , but the redemptions have outpaced the disbursement. So that is the reason why you see a drop in the AUM. But we think we are on a growing curve in terms of disbursement and this year you will see an addition to the AUM. To be honest with you, there is nothing specific . It's more of a pressure on redemption .

Rajiv Mehta: Okay . And on the business team count number, it has been flattish or it has been growing very slowly in the last 2-3 quarters . So, I mean, is it the productivity coming through or are there some challenges related to attrition?

Y.S. Chakravarti: No. Attrition has been steady . It is the same. It has not increased or I would say it has also not decreased . It is basically a reason of better productivity.

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Rajiv Mehta: Thank you and best of luck sir.

Moderator: Thank you. The next question comes from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes, thanks for taking my question and congrats on the quarter. Firstly, just a clarification on

one of the previous questions. You had mentioned 12 % to 15 % growth for some segment. Was that used commercial vehicles?

Umesh G. Revankar: Yes, it is overall for CV, commercial vehicles. Passenger vehicle, we are growing at 20 % and we are confident of growing at 20 %. Commercial vehicle will be between 12 to 15. MSME will be around 20, 20 plus, I can say. And other segments also will be growing at around 20%. The CV will be growing gradually.

Piran Engineer: But sir, my question here then is, if the new CV sales are weak, will that impact used CV sales because typically people exchange their truck. So they will buy a new truck and they will sell that old truck. But if they are not going to buy a new truck, they will not sell their old truck. So how does that work? Let's assume a new CV sales don't grow. This is just an assumption. How will that play out?

Umesh G. Revankar: Basically, what happens is you are right in the sense the new vehicle sales is also dependent on used vehicle transaction. But the number of new vehicle sold between 19 to 21 was very low. So there is not enough supply of used vehicle in the market. The used vehicle market did not grow in the last year and maybe previous last year, which is expected to grow because supply will come into the market. So there is one is replacement of a vehicle and second one is additional growth because of the economic activity. What I am saying to say is, replacement demand will continue to remain. When there is a flat sales, replacement demand will come. The extra vehicle that is required for higher economic growth, that will not happen.

Piran Engineer: Fair enough. Sir, just on personal loans, are we getting confidence back now to start growing? Because we were de-growing for few quarters. Now, last 1 or 2 quarters, we pushed the pedal on growth. Just wanted to get a sense of what we are seeing to get this confidence?

Y.S. Chakravarti: No, to be honest with you, I think last 2 calls, last 2 investor calls also, I made it very clear that the slowing down is not because we are worried about the quality. It is also because the regulator was expressing concern on the personal loan growth in the industry and we thought it is better to be on the safe side so we slowed it down. And the reason why we are back on the pedal now is we have not seen any reason to be concerned in the last two quarters, number one. Number two, the industry as a whole I think looks like that the delinquency is

also peaked. And primarily,

we did not find any reason to be worried and so we are pushing it back.

Umesh G. Revankar: And adding to that, we are not really looking for personal loan growth from the market or outsourcing. It is existing customer, mostly two wheeler customer who have repaid us back.

There we are offering the personal loan. So most of the customer whom we will be giving

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personal loan will be our existing customers. So we are not really exposing ourselves to the market. And as Chakravarti rightly said, we had slowed down because there was a concern and we had tightened the credit requirement which we have now feel more comfortable in lending.

Piran Engineer: Understood. And sir, just last thing, maybe an accounting thing, but our employee cost is down quite meaningfully by about Rs. 70 crores quarter-on-quarter. Was there a one-off last quarter or is there some sort of provision reversal this quarter?

S.Sunder: The last quarter was on the higher side because during the festival scheme for two wheelers and other retail products, we were running some incentive schemes for the employees which got accrued and paid in the previous quarter itself and that component is not there in the current quarter and hence compared to the previous quarter it is on the lower side.

Piran Engineer: Okay, fair enough. Because usually we don't see that between 3Q and 4Q. Like if I look at the past few years, this was like a one-off scheme, is it?

S.Sunder: Yes, one-off scheme.

Piran Engineer: Got it, got it. Okay, this is useful. Thank you so much and wish you all the best.

S.Sunder: Thank you.

Moderator: Thank you. The next question comes from the line of Shweta from Elara Capital. Please go ahead.

Shweta: Thank you sir. So a couple of questions. So on the passenger vehicles front, the Stage -2 continues to spike pretty materially. Now that you've mentioned that there is this movement keeps happening between Stage -2, Stage -3. But in this quarter in particular, we also saw write off amounts for passenger vehicles slightly on the higher side. Of course the Stage -3 improvement could be attributed to that, but what could be the reason for a continued material spike in passenger vehicles Stage -2?

Umesh G. Revankar: See basically most of the passenger vehicle which we are financing has been in the rural segment and certain rural segment had some impact because of the slowdown in the economy and that too in the central part of India. Now that things are back to the normal, I don't really see any further deterioration. When I say central part of India, it is basically around Chhattisgarh, MP and some part of Bihar. So, now things are much better. I don't really see any scope for increase.

Shweta: Sure. That's helpful. Secondly, how has been the repossession activity panning out for this

quarter in particular?

Umesh G. Revankar: The repossession has not really increased because what has happened is the customer's repayment has been good in the sense they have been bouncing back and paying. So we don't

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really see a higher repossession anywhere in the industry for that matter. So most of the vehicular segment, the repossession has been at very low.

Shweta: Sure. And just one last clarification on growth. So are we now guiding 15% kind of the growth because we were pretty confident on 18%. We have also been building a strong liability profile despite putting margins on the pressure. So why, I mean, did I get it right? Why grow that 15 % only?

Umesh G. Revankar: We have been giving a 15% growth as a medium term growth. And the last 2 years also we had given 15% , but if the economy is growing well and if it can absorb and there is better demand , then it will grow faster. So as of now I feel 15% growth

at current projection of the government

where the government itself is talking about 6.5% GDP growth and the other economists are talking about 6% GDP growth. 15% is a fair growth we are expecting but if the growth is faster and the credit growth is better , then we will grow faster.

Shweta: Sure. And sir, just bookkeeping question. Sorry, sir. What are the IRRs for two -wheeler loans?

Y.S. Chakravarti : Between 16% to 22%.

Shweta: Okay. That's very helpful, sir. Best of luck. Thank you.

Moderator: Thank you. The next question comes from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi: Hi sir, thank you for giving me the opportunity. My question is on margin size. So you highlighted in the earlier comment that because of high liquidity on balance sheet that they impacted our margins. So what is the normalized liquidity as a percentage in balance sheet that we want to maintain going ahead and what basis point of impact was there in margin for this call?

Y.S. Chakravarti: Yes, the liquidity what we used to always tell was that 3 months of future liabilities to be maintained as liquid assets and the number wise it used to be close to around Rs. 19,000 crores.

That number is now around Rs. 31,000 crores. That is up from 19 to 31. This is close to around 6 months of our future liabilities that has to normalize to 3 months over a period of next 2 quarters. An impact on NIM is because of higher liquidity.

Parag Sharma: The current quarter will be around 20, 25 basis points.

Shreepal Doshi: So basically going ahead in the next couple of quarters, this 20 -25 basis point will flow in and the benefit of the repo rate cut will also sort of flow in. So what is the kind of NIM that we are looking at for exit of 1H FY'26?

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Y.S. Chakravarti : See, we are guiding for an 8.45, 8.5, 8.6 kind of a NIM. Again, obviously if I get a rate benefit, some of it I would like to pass it on to my customer also. We would like to peg our NIM at about 8.6.

Shreepal Doshi: Thank you sir.

Moderator: Thank you. The next question comes from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: My question is on MSME. Can you give some color on MSME, what percentage of the book is secured and what is the nature of security, what is the average ticket size and what is the average yield that we are earning on that portfolio?

Y.S. Chakravarti: Book is secured, majority of the book is secured, more than I think it will be between 70 % to 80% of the book is secured . As far as security is concerned, most of the time, I mean most of the security would be either a house property or a commercial property, either a shop or something like that. So it is basically, most of it is immobile assets. And sorry your follow up was you wanted to know the IRR?

Nidhesh: Yes sir, IRR and the average ticket size of this book .

Y.S. Chakravarti: Average ticket size is about 7 lakhs , sorry it will be between 5 to 6 lakhs and IRRs range anywhere between again 16% to 24% .

Nidhesh: Okay. So in this book also we have seen quite sharp increase in Stage -2 over last quarter. Till Q2, Stage -2 was consistently improving. Suddenly in last 2 quarters , we have seen a sharp increase in Stage -2. And that too on a base when the book is growing at 40 % . So on a let's say 1 year or 2 year lagged basis, the increase in Stage -2 is quite sharp. So any comment on that and how do we see this?

Y.S. Chakravarti: If you look at it on a year -on-year basis, I think the gross Stage -2 has gone up by about 98 basis points. Sorry, it is at 7.43 to 7.5, 7 basis points. So on a quarter -on-quarter , there will be a

fluctuation because as I was saying the kind of segment of customers that we work with, it's natural that they move between Stage -1 and Stage -2. They keep moving.

Nidhesh: Have you seen any d

ifferences in terms geography in term s of Stage -2, Stage -3 movement?

Y.S. Chakravarti: See, it is basically nothing specific. I mean, it is not specific to a particular geography but to certain extent I would say it is borders of UP, Bihar, MP. The border villages got affected. The border areas got affected.

Parag Sharma: And if you compare between the previous quarter, the Stage -2 in fact, even though percentage terms it has gone up, the movement has come from the Stage -3 to Stage -2, not from Stage -1 to Stage -2. The previous quarter Stage -3 was 4.75, which is now 4.08. So obviously that differential has moved up to either Stage -2 or Stage -1.

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Moderator: Thank you. The next question comes from the line of Kunal Shah from Citigroup . Please go ahead .

Kunal Shah: Yes, a couple of questions. So firstly, on the overall post the write offs, now coverage is almost 43% odd. So how we would like to maintain maybe we would like to maintain it around these levels or would there be any plan to take it any further? How we would look at it on the next stage? And related question is on the tax benefit. Has there been the tax benefit? Has it entirely accrued in this quarter or we will see tax benefit in the coming quarter?

Umesh G. Revankar: See, basically we had a provisioning cover of around 51% that has come down to 43 because of the numerator impact. If you look at our provisioning prior to COVID, it used to be around 36 % to 40 %. And during the COVID, we increased the provisioning. Then we were guided to maintain at 50 because the COVID impact or post -COVID impact was unknown. Now, since the business is as usual and economy is doing good, we feel that we can manage with the current provision coverage and I don't really see any reason to increase the provisioning from here . And the overall tax benefit is one time.

Kunal Shah: It has already come through in this quarter ?

Umesh G. Revankar: Yes, it has come through in this quarter.

Kunal Shah: Okay. Secondly, when we look at it in terms of the interest expenses over last couple of quarters, no doubt we indicated that pressure on margins has been due to excess liquidity, but interest expense somehow has been rising quite significantly. Is there any one -off some cost related to raising of the Forex which is getting booked over there or maybe hedging cost which is getting involved on this Forex borrowing which is leading to higher interest expenses ?

Parag Sharma : Nothing of one -off. As I mentioned , overall cost of labor , it remains the same . It is only the overall quantum of debt which has gone up because and that has translated to higher liquidity also over quantum of debt which has gone up which is leading to higher interest costs .

Kunal Shah: No, the only thing was like it is up like 10 %-11% quarter -on-quarter . Last quarter also , it was up like 8%-9%. If you look at the movement on the debt on the borrowing side that has been relatively low . So here we get to know that at least in terms of the overall cost of funds, it is remaining stable at 8.95, 8.97, not much up movement, but still like interest expense s are growing at a pace faster than the borrowing growth. So just wanted to check on that, yes. Because that is also another element which is leading to some pressure on margins ?

Parag Sharma : No, it is only because of higher debt and higher liquidity, because of which there is higher debt only because of which there is a higher interest expense.

Kunal Shah: There is no interest or maybe no cost of raising the money or any hedging cost or something which is getting booked?

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Parag Sharma : No.

Kunal Shah: Yes. Okay. And this would be 100% hedged, the entire borrowing which has been raised ?

Parag Sharma : Correct. Everything hedged for both principal

interest for full duration.

Kunal Shah: Okay. Thank you. Thanks and all the best.

Moderator: Thank you. The next question comes from the line of Shailesh Kanani from Centrum Broking . Please go ahead .

Shailesh Kanani: Good evening and thanks for the opportunity . Other questions have been answered. Just one question. With respect to fee and commission income, there is a quarter -on-quarter spike.

Anything one -off over there?

S.Sunder : So we have done certain assignment deals in the past. Okay, we will ask Mr. Mundra to connect with you off line and then give this number.

Shailesh Kanani: Okay, and can you just repeat the disbursement product wise number, repeat of the same?

S.Sunder : Yes. Segment wise you are wanting?

Shailesh Kanani: Product wise.

S.Sunder : CV is Rs. 16,777 crore ; passenger vehicles Rs. 8,256 crore ; construction equipment Rs. 2,180 crore ; farm equipment Rs. 1,061 crore ; MSME Rs. 7,660 crore ; two wheelers Rs. 2,919 crore ; gold loan Rs. 3,105 crore ; person loan Rs. 2,890 crore totaling to Rs. 44,848 .

Shailesh Kanani: Thanks a lot sir.

Moderator: Thank you. The next question comes from the line of Renish from ICICI. Please go ahead.

Renish: Hi sir. Just one question again. Sorry for the subtle impact to the credit cost part . But as you highlighted that the write -off in this quarter was 100% provided and hence there was no penal impact. But when we look at the credit cost for this quarter, you know, sort of moving up to 2.4, much higher than our guidance range . Obviously, this must be due to higher Stage -2 or higher power close . So what has actually led to this kind of a higher provision in Q4 specifically? And what sort of lead indicators you see that confidence that in Q1, Q2, credit cost will not be elevated and we will be able to retrospect to our guidance ?

S.Sunder : In the current quarter, even though the impact of the Rs. 2,345 crore one -time technical writ e-off which was anyway provided, there is no impact in the P&L. But having said that, compared to the previous quarter, there has been an increase in the debit to the P&L to the extent of Rs. 233 crores . This primarily has occurred because of there has been some increase in the Stage -3 even though when you compare between the previous quarter 5.38 % to 4.55 , there is no increase .

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But if you remove this one -time write -off, had we followed the earlier quarter same policy it would have been 5.41, so there has been an increase of 3 basis point in Stage -3 and obviously on that increase d portfolio , we need to maintain that provision . And in Stage -1 and Stage -2 also, there has been an increase in asset size contribu ting to higher provisioning requirement. This total cost is comparatively when you compare with Q3, it is higher but not materially higher.

Renish: Yes sir, got it. So my question is what has led to an increase in Stage -3? Obviously there has to be higher power close which has resulted in this kind of credit cost. But is there any particular product which is going through a stress and if that is the case , then what are the lead indicators which gives you that confidence that okay Q1, Q2 will be able to reco ver that?

Umesh G. Revankar: No, it is not particular, I think we answered it already, it is not a particular segment. Particular geographies had issues because of slower economy and also because of the local economy there not really doing well . We had told you that central part of India, that border of MP, Bihar, Chhattisgarh, there has been little slower growth in the economy and that had impacted the cash flow of the local business people and the transporters and that's the main reason , but now the rural economy has picked up to some extent because Rabi crop has been bumper and we believe that Rabi crop cash flow will help the cu

stomers to bounce back and this year again the monsoon production has been above normal . And back to back to ab ove normal monsoo n should help the rural economy and even the central India's geography to bounce back and we are confident that things will improve. There is nothing very unusual which has happened or nothing really pertaining to certain segments.

Renish: Okay, got it. And sir just a clarification. So your answer to Kunal about PCR. So is it fair to assume that going ahead, we will sort of maintain PCR rate 40 %-42% and there is sort of no intention at least in near term to increase to 50 %?

Umesh G . Revankar : No, there's nothing because see, we are all doing asset backed lending and asset values have remain ed firm. There is no reason for us to increase it beyond this level. And in fact, I was telling you that prior to COVID, most of these assets, we were prov iding between 30 % to 40 %, 36% to 40%.

Renish: Got it. And hence will be a sticking towards to our guidance of 2% ?

Umesh G . Revankar: Yes.

Renish: Okay . Thank you so much, sir. And best of luck.

Moderator: Thank you. T he next question comes from the line of Adarsh from Enam Asset Management Company. Please go ahead.

Adarsh: Hello . Hi, sir . So quick question is on the recoverability since these are all fixed assets, these are all proper assets that you would have written off . Just understanding the recoverability of the

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technically written -off accounts and how old are these accounts? Like have you been carrying these for many years or these are like fresh, like very old which you can't recover or?

S. Sunder : No, it is a combina tion of old as well as maybe around a couple of years old assets also. So it's

not very old assets. And if you see our bad assets recovery quarter -on-quarter, it has been in the range of Rs. 100, Rs. 150 crores in few quarters. And the current quarter, in fact, it is 209. So out of this, there will be definitely some recoverability will definitely happen.

Adarsh: Is it fair to think that since you have written -off a lot more, the chances you will recover more is not there, is it because ideally

S. Sunder : Yes, that is what. See, the entire amount may not be recovered, but there will be some component of recovery . The industry will be getting back to the customers and then also there will be a legal recovery. All those options are always open, but it is a long-run process.

Adarsh: Understood. Okay , this is good , thanks.

Moderator: Thank you. The next question comes from the line of Harshit from Premji Invest. Please go ahead.

Harshit: Yes. Sir, actually, just to one of the previous questions itself, that if we look at our calculated cost of funds, that number comes up 25, 30 basis points higher than last quarter. I get that there might be some difference in the average?

S. Sunder : Yes, that is primarily because of the average. The 1.2 billion worth is borrowing which happened in the last week of December. Even though it was, if you calculate that closing balances, it reduces the cost of funds for the particular quarter. But for the entire quarter, we had to provide for that interest. And hence, if you compare ..

Harshit: I am just wondering that if you have borrowed it at the last week, shouldn't it lead to a lower calculated cost of funds?

S. Sunder : Last week of December. And hence December, the rates might have been, whatever calculation you might have applied, it might have been lower . And if you take that into consideration and apply the same thing in the current quarter, you may find that around 20 -25 basis point, it's higher than the December. But in actual, there is no , as Parag was mentioning, the average cost of borrowing on the book as on 31st December and as on 31st March continues to be the same. Not much of a decrease or increase.

Harshit:

Sir, you said that incremental cost of funds is 8.96 %?

Parag Sharma : No, I said incremental cost of fund is 8.86.

Harshit: 8.86%. And can you let me know that whatever is the on -book cost of funds?

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Parag Sharma : 8.95.

S. Sunder : It's 8.95 in the current quarter and this number was same in the previous quarter also .

Harshit: Got it. Sir, if you can just help us that given the rate cut possibilities, how should we build that reduction in the sense that what percent of your book will get repriced relatively or if you can help us with the guidance as to how should we look at the cost to fund trajectory ?

Parag Sharma : Because roughly 30% of the book will mature, that is, will reprice this year. And this will have different components of bank borrowing, the retail borrowing, and also the capital market borrowing. The capital market will adjust much faster, which is close to around 20% of the liability . The bank will take some time. And the retail, we have announced reduction , but that is around 20 basis point which will have a benefit over next 2-2.5 years. So I will say gradually we will see the cost coming down one on the count of the borrowing cost itself and other is on the account of liquidity coming down. So I will say around overall for the year , we will target close to around 15 to 20 basis point benefit in the cost.

Harshit: Okay, got it. And if I look at the CV versus non -CV mix, should we assume that a good part of this will be taken away because of the mix change towards non -CV segments? I think it will be similar yields, IRRs will be similar in both segments for us ?

S.Sunder : Yes, there may not be a significant mix going forward. It may be more less in the similar pattern, there may be shift between maybe one product to the other, but not significant. And the rate benefit, some component will be passed on. So the NIM guided by Mr. Chakravarti, it will be in the range for the entire year between 8.5 % to 8.6%.

Harshit: Okay , got it. Sure, sir. Thanks a lot.

Moderator: Thank you. The next question we take from the line of Abhishek from HSBC. Please go ahead.

Abhishek: Good evening. So most of my questions have been answered. Just one. I think last quarter or couple of quarters, you have been saying that cost to income would trend around 29 %-30% slightly elevated maybe because of the investments you are making. Do you see that coming off in the next year or so 3, 4 quarters, or it's likely to trend at 30, 31, 29, that range ?

S.Sunder : Yes, it should be hovering around between 27 % to 28 %.

Abhishek: From the current level , do you expect some improvement or basically?

S.Sunder : Yes, correct. Some improvement will be there.

Abhishek: And this is over what time? One year, is it?

S.Sunder : Yes, it is one year period.

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Abhishek: All right, so thank you. Rest of my questions have been answered. All the best. Thank you .

Moderator: Thank you. The next question comes from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Thanks for the opportunity again. Just one last question from my side. So I heard you say that repossessions have not happened, right? But when I look at Shriram Automall's revenue for last 2 quarters, they have been up 12 % and 27 % YoY, 12% in this quarter, 27 % in the 3rd quarter, compared to a decline in the quarters preceding to that. This trend also coincides with the increasing stress in the CD loan, the curve system. Can you please explain why the Automall revenues have been growing if repossessions are not happening?

Umesh G. Revankar: See, Auto mall, the Shriram's portfolio or Shriram's repossessed asset in the Auto mall is not really significant. They have tie up with all the banks and all the NBFCs. So overall, if you look at the repossession

rate, it is still at a lower rate. And in Shriram portfolio, it is much lower. So, Automall growth is also due to the direct customer putting the vehicle on the platform, not the 100% of the vehicle that is on the platform of the Automall is not repossessed. It is also direct customer putting their vehicle for exchange of vehicle. So, they are increasing their presence and as they add more number of Automall and increase their presence, their business volume will keep growing up.

Raghav Garg: That is all from my side.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question and we conclude the question and answer session. I now hand the conference over to Mr. Umesh G. Revankar for his closing comments.

Umesh G. Revankar: Thank you for joining the call. As we said in the meeting, last quarter was not very high number quarter, but a good quarter for us. We had decent growth and good quality collection. But the indication of a better economy, especially in the rural economy, due to better monsoon prediction, we are expecting next couple of quarters to be good for us as far as the demand and the credit quality is concerned. And overall for the next financial year, we expect to grow as the guidance given of 15% with better credit quality. Thank you very much.

Moderator: Thank you. On behalf of Shriram Finance, this concludes the conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

SEC/FILING/BSE -NSE/25 -26/68A -B July 28, 2025

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Scrip Code: 511218 National Stock Exchange of India Limited
Listing Department Exchange Plaza,
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Bandra - Kurla Complex, Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the first quarter ended June 30, 2025.

Further to our letter dated 25th July 2025, regarding the audio link of the investor's earnings call for the first quarter ended June 30 2025, we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in .

Thanki ng you.

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl.:a/a.

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“Shriram Finance Limited Q1 FY'25 -'26 Results
Earnings Conference Call ”

July 25, 2025

MANAGEMENT : MR. UMESH G. REVANKAR - EXECUTIVE VICE-CHAIRMAN .
MR. Y. CHAKRAVARTI - MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER .
MR. PARAG SHARMA - MANAGING DIRECTOR & CHIEF
FINANCIAL OFFICER .
MR. S. SUNDER - JOINT MANAGING DIRECTOR .
MR. SANJAY KUMAR MUNDRA - HEAD OF INVESTOR
RELATIONS .

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Moderator : Ladies and gentlemen, good day and welcome to S hriram Finance Limited Q1 FY '25-'26 Re sults
Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance
during the conference call, please signal an operator by pressing '*' then '0' on your touchtone

phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh G. Revankar – Executive Vice -Chairman, Shriram Finance Ltd. Thank you and over to you, sir.

Umesh G. Revankar: Thank you. Good evening, friends from India and Asia and warm welcome to all of you.

Greetings also to those who have joined the call from the western part of the world.

To present our Q1 FY26 Earnings Call today, I have with me our Managing Director & CEO – Mr. Chakravarti; Managing Director & CFO – Mr. Parag Sharma; S. Sunder – Joint Managing Director and Mr. Sanjay Kumar Mundra, who is our Investor Relationship Head.

It has been good first quarter for the year for Shriram Finance under current circumstances. Let us first look at broad economic indicator that has a direct or indirect impact on our business: First is the GDP:

GDP for the full financial year was 6.5%, making India world's largest major economy. And we are expected to grow on similar growth rate during this financial year. On the inflation, the consumer inflation continues to ease in June hitting a lower than expected 2.10% against 3.34% in March. We have reached this level lowest after 6 years driven by falling prices of vegetables and food items. India's annual inflation fell to 20 months low, wholesale inflation to minus 0.13% against 3.43% in June '24.

Now, let us go to RBI Policy:

The key takeaway from June 2025 RBI monetary policy are repo rate cut by 50 bps to 5.50% Policy stance changed to neutral, CRR cut by 100 bps to 3%, GDP forecast for FY '26 at 6.5%, CPI inflation estimates reduced to 3.7% from 4% earlier. The rural economy and monsoon, the southwest monsoon has been forecasted 9% above normal across India. Overall, monsoon has been normal to excess in nearly 80% of country's meteorological subdivisions. The Department of Agriculture and Farmer Welfare has released latest data on Kharif crop. The data shows area of coverage reached is 597.86 lakh hectare as on 11th July, marking an increase of 37.27 lakh hectare compared to the same period previous year.

The rural consumption is poised to remain a bright spot in Indian economy supporting growth in ongoing fiscal year. The inflation adjusted consumption growth of 7.1% outpaced the broader economic expansion of 6.5% reflecting a rural consumption recovery. The GST collection has

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shown a good growth of 6.2% to Rs. 1.85 lakh crore compared to 1.74 in the previous year. It is a slump in June due to back-to-back months above Rs. 2 lakh crore in April and May. The GST revenue dropped to low single digit in June primarily due to low mop-up from domestic transaction indicating moderation in economic activity which could be possibly due to early onset of monsoon.

And the auto industry, if you look at the sales side, the total series sales declined by 0.6% in Q1 '26, which stands at 2.23 lakh against 2.25 lakh units. Within CV, amended CV sales recorded de-growth of 2.3%. The number stands 83,638 against 85,590. LCV sales recorded flat sales which stand at 1.40 lakh unit against 1.39 lakh. Passenger vehicle recorded a de-growth of 1.4% which stands at 10.12 lakh unit against 10.26 lakh unit.

Two-wheeler sales recorded de-growth of 6.2% with sales of 46.75 lakh unit against 49.86 lakh. Three-wheeler sales recorded a flat sales of 1.65 against 1.

65 in the previous year. Tractors have

recorded a growth of 6.3% with 2.10 lakh unit against 1.98 lakh unit. Construction equipment marginally declined with 28,687 units being sold against 28,902 units.

I shall now ask my colleague Mr. Chakravarti to take through the operational performance.

Y. Chakravarti: Thank you. Good evening. I welcome all of you to our Q1 FY'26 Earnings Call and I hope you had the opportunity to peruse our Earnings and the related Investor Presentation which has been posted on the website of the Stock Exchanges.

We have registered a disbursement growth of 13.01% year-on-year. Our disbursements in Q1 FY'26 this year aggregated Rs. 41,816.75 crores versus Rs. 37,001.65 crores in Q1 FY'25. Our asset under management as on 30th June 2025 registered a growth of 16.62% over Q1 FY'25 and of 3.44% sequentially. Our AUM stood at Rs. 2,72,249.01 crores as against Rs. 2,33,443.66 crores a year ago and Rs. 2,63,190.27 crores in Q4 FY'25.

Our net interest income in Q1 FY'26 registered a growth of 12.55% year-on-year. We earned a net interest income of Rs. 6,026.43 crores in Q1 FY'26 this year compared to Rs. 5,354.47 crores in Q1 FY'25. Our net interest margin was 8.11% as against 8.79% in Q1 FY'25 and 8.25% in Q4 FY'25. Our profit after tax grew by 8.84% in Q1 FY'26 over Q1 FY'25 and by over 0.76% over Q4 FY'25. We have registered a PAT of Rs. 2,155.73 crores for Q1 FY'26 as compared to Rs. 1,980.59 crores in Q1 FY'25 and Rs. 2,139.39 crores in Q4 FY'25. Our earnings per share for the quarter stood at Rs. 11.46 as against Rs. 10.54 in Q1 FY'25 and Rs. 11.38 in Q4 FY'25.

On our asset quality, gross Stage-3 in Q1 FY'26 stood at 4.53% and net stage 3 at 2.57%. These numbers show an improvement over the corresponding period of 5.39% gross and 2.71% net in

Q1 FY'25 and 4.55% gross and 2.64% net in Q4 FY'25.

Our credit cost on total assets for Q1 FY'26 stood at 1.64% as against 1.87% for Q1 FY'25 and 2.07% for Q4 FY'25. Our cost to income ratio was 29.29% in Q1 FY'26 as against 27.45% recorded in Q1 FY'25. Our cost -to-income ratio in Q4 FY'25 was 27.65%.

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I shall now request our Managing Director & CF – Mr. Parag Sharma to inform you about our resource raising activities after which our Joint Managing Director Mr. Sunde r will brief you about accounting and regulatory aspects.

Parag Sharma: Thank you and good evening , everyone.

On the total liabilities we have close to around Rs. 2,42,900 crores of liabilities broken up into the ECB loans at 13.92% and ECB bonds at 6.48%. Overall securitization outstanding is close to around 16% of our liabilities.

The domestic capital market at 17.33% and retail deposit has shown a positive uptick at 25.95% and the bank and the institutional term loans at 21% of our liabilities. The cost of liabilities have come down by 7 basis points in the current quarter from 8.95% to 8.88% now and we do expect this to further come down. The leverage stands at 4.15 times versus 4.16 as of March end number. The liquidity coverage ratio is at 268.74% versus 286.12% as of March.

Overall liquidity continues to be slightly on the higher side which is covering 5 months of our liability repayment. We will work towards reducing this liquidity and this has some negative carry that will come down in next 4 to 5 months ' time.

The fund mobilization for the quarter was slightly muted. The only big inflow was the retail deposit. The incremental cost of fund has come down substantially from March quarter which was 8.86% it has come down to 8.37% and we do expect this to further come down. The incremental cost and the overall cost will definitely be reflected. The ALM buckets continue to be positive across all the buckets and up to 1 year we will have a cumulative surplus of more than Rs. 59,000 crores odd.

With this I handover to Mr. Sunde r.

S. Sun

der: Good evening , everyone. The employee count as on 30th June was 79,186 as against 79,872 in the March quarter. The Stage -3 was at 4.53% and the Stage -1 probability of default was 8.82% and Stage -2 PD was 21.35% and the segment wise disbursement was commercial vehicles we did Rs. 16,917 crores, passenger vehicles we did Rs. 8,162 crores, construction equipment we did Rs. 526 crores, farm equipment we did Rs. 1,273 crores, MSME Rs. 6,358 crores, 2 wheelers Rs. 3,081 crores, gold Rs. 3,291 crores, personal loan Rs. 2,205 crores totaling to Rs. 41,816 crores.

With this we open the floor for the questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi, thank you for taking my questions. My first one is on asset quality. There is a 40 basis point increase in GS2 assets. Could you throw some color on where this is coming from? Whether this

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is seasonal in nature or something we should worry about? And how do you expect that to evolve? And related to that, if you could also talk about your cost of risk guidance. What do you think about that for the full year? And then I have got one more on the NII.

Umesh G. Revankar: As you rightly put it, it is more of a seasonal. This time the onset of monsoon was little early than they expected. Typically, monsoon arrives in the mid -June. This time it was in the last week of May in many parts of the country. So, there were some business disruptions here and there.

That is the reason Stage -2 went up. But it is very marginal. Our customers normally move between Stage -1 and Stage -2 and they have cash flow mismatches whenever cash flow mismatches. But what is important is the credit cost. The credit cost did not go up. The credit cost has actually improved. So, we did not really read too much into the movement of Stage -2 increase.

Chintan: And the guidance on credit cost?

Umesh G. Revankar: Overall, it will remain under 2% for us for the full year.

Chintan: Under 2% on AUM plus cash and investments?

Umesh G. Revankar: Total assets.

Chintan: Okay, total assets. And the second question was on NII. Is there any kind of fair value gains from parking liquidity with mutual funds? Your peer reported one. I am just wondering if your reported NII, not the presentation one, but the reported NII, if it is understated for any specific factors, for example, this fair value gain, that would be one question on NII. And the second one

would be, there is no direct assignment income in your management NII this quarter. So, I am just wondering if you could call out one or two main items between the difference between reported and management NII, just for the benefit of investors ?

S. S. Sunder: The net gain on the fair value changes was mainly on account of the profit that we earned on the mutual fund investments. For the current quarter, it is Rs. 134.66 crores. The similar figure for the previous quarter was Rs. 111.27 crores. And as far as the assignment income is concerned, since we have not done any assignment deals in the current quarter, no income was recognized. Similar figure in the previous quarter was Rs. 13.60 crores. And apart from that, the interest income only is performing part and the other operating income is also grouped for the purpose of net interest income.

Chintan: So, the NII is understated by the difference between Rs. 134.6 crores and Rs. 111.2 crores. Is that how I should think about the reported NII?

S. S. Sunder: The reported NII includes Rs. 134.66 crores for the current quarter. And 111.22 crores...

Chintan: In your presentation, not in the release. I am talking about the reported number, the released number.

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S. S. Sunder: It is

included, yes. What I would suggest is, you can reach out to Mr. Mundra, pose this call, and he will give the reconsideration.

Chintan: Okay, and no other one-off factors in NII to think about, right?

S. S. Sunder: No, nothing.

Chintan: Okay, thank you.

Moderator: Thank you. Our next question comes from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Sir, hi, good evening. I had some three-four questions. First is on the MSME growth plan. I see that your quarter-on-quarter growth has come down to 3.5 %-4%. And there is a sudden moderation in MSME business accretion this quarter. You've been guiding for around 15% growth overall. So, my first question is, why is there sudden accretion? Why is there sudden slowdown in the MSME growth this quarter? And then the other question is, assuming that or analyzing this quarter, the run rate on MSME growth, do you see a risk to your full year AUM growth estimates, on an overall basis?

Y. Chakravarti: This is Chakravarti here. So, we are focused on growing this book. The only reason why it is slowed down, actually there was a slowdown in the demand for, in the first quarter, because, see, the fourth quarter, festival season, third and fourth quarter festival season, typically the demand picks up from the second quarter, in preparation for the third quarter festival season. First quarter is normally slow, but you will see the pickup in the next two quarters. We are still, on the course, for the guidance, to meet the guidance numbers.

Raghav Garg: Sir, if I compare this to the quarter-on-quarter accretion, in say 1Q FY'25, at that time it was about 10% in this book, and this time it's 4%. And hence the question, because the growth rate, sequential accretion has more than halved.

Umesh G. Revankar: If you look at year-on-year, sequentially, normally 3 and 4 quarter are big. You can't compare. You have to see only year-on-year.

Raghav Garg: Sir, I was looking at 1Q FY'25, which is around 10% sequential accretion.

Y. Chakravarti: As I explained to you, there is a slowdown in the first quarter, but we are confident that we will make up for the slack in the second and third quarters.

Raghav Garg: Understood. The other question is that, you mentioned that there is some moderation in economic activity, but I think you partly answered that, when you said that your credit cost will be under 2%. But I will still go ahead. How is the trucking activity doing on the ground? Our operator cash flow is improving, how is the situation at the ground level?

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Umesh G. Revankar: The trucking activity is quite healthy, I should say. See, one of the biggest advantage or disadvantage is, since the cost has gone up in the last three years, the new customer walking into trucking business have come down. So, the existing players have a reasonably good business.

Their revenue is good, the freight rates are good, and their overall utilization levels are good.

So, the situation has not changed for truckers at all. Normally what happens is, when there is excess capacity, and economy slowed down, then there is a challenge. But this time around, even though there is little slowdown in the economy, since there is no excess capacity, the trucking activities are going on smoothly. Temporarily, as I was telling you, if there is seasonality, because of excess rains in certain locations, there could be some disruption and some delay. And that doesn't really create the credit cost. There may be some movement into Stage -2, because of

the delay or mismatch in cash flow. But that doesn't end up with credit cost. So, we believe the demand is good, because for us the disbursement growth was good in CV, in the first quarter. And I expect the same to come. Because the demand from the rural segment is, rural market is really growing.

Raghav Garg: Understood.

Those were all my questions. Thank you.

Moderator: Thank you. Our next question comes from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: Thank you, sir, for the opportunity. Couple of questions. Just taking further the previous participant's question. Sir, while you mentioned that the operator economics remains undisrupted, but how about the operator cash flows? How are they faring, especially on the used CV segment side?

Umesh G. Revankar: See, used CV segment has been doing quite well. In fact, our growth, disbursement growth in used CV is quite good. The resale values have not dropped anywhere across the country. So, the value of the asset remaining strong, that helps the customer to, not only to earn and also to encash, after repaying the loan. And he will retain the vehicle throughout with him. So, these are all the advantages. So, we are not seeing any weaknesses in the trucking market value or in the revenue earning for second hand or new. Both are doing quite good.

Shweta Daptardar: Okay. And sir, just taking it further, how has been the color on repossession side or movement quarter-on-quarter?

Umesh G. Revankar: There is no change in the repossession. Most of the companies in the last couple of years have slowed down or have not repossessed many vehicles, mainly because the resale value being higher, the customers are not defaulting. That is the scenario. So, repossession numbers have not gone up. There could be in one or two geographies, it would have gone up marginally, but it is insignificant considering the all India position.

Shweta Daptardar: Sir, third question is on MSME. While you did elaborate on the growth momentum, which will be retained, but one of the peers has highlighted pertinent concerns on asset quality on MSME

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and also banks have been highlighting regional challenges. So, what has been your experience on the ground as far as delinquency/ asset quality is concerned from the MSME side?

Umesh G. Revankar: See, our focus has been a smaller ticket and to trading sector and services sector. We are not really lending into manufacturing sector in the MSME. Therefore, the businesses remain reasonably steady because especially if wholesalers, shopkeepers, that kind of a segment we are addressing. And we have not really seen much fluctuation in their earning or cash flow mismatches. So, we are looking at it as a very steady business and we believe that this will continue to grow as we create more reach. Now, MSME lending is there in around two-third of our branches. Rest one-third of the branches we are yet to reach. We are creating that reach and as we create a reach, we will keep expanding our business.

Shweta Daptardar: Sure. And sir, one book-keeping question on your disbursement number. Thank you.

Umesh G. Revankar: Can we give it offline?

Shweta Daptardar: Sure. Thank you so much, sir, for the answers.

Moderator: Thank you. Our next question comes from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi. Good evening. So, how are we looking at the car market, especially at the entry level? What are the various demand drivers we see through the year during the festive season as well? Given the fact that we are more rural and semi-urban focused, are we seeing inventory build-up and entry-level cars? Also, in terms of SPVs, LCVs, are we seeing asset quality spikes, any transition of customers to E3 wheelers or any other type of vehicle or any cash flow challenges there? The third question is around gold finance. Given the fact that regulators have now allowed equity gold loans for banks, which can be unsecured as well, are we seeing some kind of a transition back of agri gold loan customers who came to our fold and will go back to banks?

Umesh G. Revankar: See, basically,

on entry-level cars, as you rightly put it, the entry-level car demand, especially new vehicle sales, are on the lower side. But the demand for used cars is increasing. The entry-level car demand used to be mostly in the semi-urban and rural market. Now, we are seeing there is a shift to a higher vehicle, which is compact SUVs. So, people are preferring second-hand compact SUVs or new compact SUVs. So, the aspiration class are wanting to move up to the next-level cars. So, the entry-level car demand has come down. And people who are seeking to buy entry-level cars typically go for second-hand cars. So, the entry-level car demand or sales have come down and likely to remain because India is moving for more compact SUVs and medium-sized SUVs is what we understood from the preference by the buyer. As far as the LCVs and SUVs are concerned, last year LCV did not really grow much because the previous year the

rural economy was not really expanding or the demand from the rural economy was little less. But since last six months, the rural economy is doing well, we expect the LCV sales to go up. That's one thing. And also, the e-commerce activities are now spreading into tier 2 and 3 towns. And therefore, I believe LCV and SUV demand will go up. It will grow faster than heavy vehicle

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is my belief. And the resale value remains very strong in this market. As far as the gold loan is concerned, we believe more business will flow in from informal sector to formal sector because there has been little the RBI new guidelines have been little liberal for small-ticket loans. So, we believe that there is an opportunity for NBFC and banks to grow faster because more gold loan proposals will move from informal sector like pawnbroker and moneylender to the formal sector. Shubhranshu Mishra: Just two more questions. One is still unanswered. What will be our driver of car growth in the next 2-3 quarters? And in terms of MSME, how many of our customers have more than 3 loans? Any kind of loans. When we do a PD, they might have a hand loan as well. Some of them might have a personal loan. A few might have a credit card. So, what percentage of our MSME customers would have 3-plus loans?

Umesh G. Revankar: We rarely see a our customer base having more than 2 loans. Maximum, he will have one loan with us. Another loan is the gold loan. We have not really seen people having, of course, hand loan is something which we will not know. But personal loan or unsecured loan is not known because we do the our scrub in the credit agencies. We don't come across. So, that's one thing. And you asked on the ...?

Shubhranshu Mishra: Drivers of growth for our cars?

Umesh G. Revankar: Basically, we believe the major drivers for car especially in the same urban rural area is the state governments have not invested in public transportation in the last 5-6 years. And therefore, it is making more people buying either their own car or the operators buying the car and operating in the same urban rural area. So, that is creating bigger demand for the passenger vehicle in the smaller towns and we are able to grow in that market consistently over the period. Even though last quarter, the growth rate was little lesser compared to the previous year. But we feel that growth will come back because there is unmet demand of public transportation not being available for the large population.

Shubhranshu Mishra: Right. And if you can spell out the disbursement split, please?

S. S. Sunder: Okay. The total disbursement for the quarter was Rs. 41,816 crores. The split between the segments were CV, it was Rs. 16,917 crores. Passenger vehicles Rs. 8,162 crores. Construction equipment Rs. 526 crores. Farm equipment Rs. 1,273 crores. MSME Rs. 6,357 crores. Two wheelers Rs. 3,081 crores. Gold loan Rs. 3,291 crores and personal loan

Rs. 2,205 crores.

Shubhranshu Mishra: Can you repeat the farm loan?

S. S. Sunder: Farm loan was Rs. 1,273 crores.

Shubhranshu Mishra: Thank you.

Moderator: Thank you. Our next question comes from the line of Abhishek Kumar Jain from AlfAccurate. Please go ahead.

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Abhishek Kumar Jain: Thanks for the opportunity. My first question on the NIM fund. So, in this quarter, it declined 14 bps quarter-on-quarter. How do you expect margin to behave in the rest of the quarter, say FY26, with falling cost of the funds?

Umesh G. Revankar: There is a multiple factor which we feel confident of improving our NIM. First, our incremental borrowing cost is at 8.36% and our cost in the book is 8.86%. So, there is significantly lower cost we are able to raise resources. We also have reduced our deposit rate from the first week of August. The deposit rates will come down by around 40 basis points. So, across, we feel that the 40 basis point reduction in incremental borrowing will bring down the cost to us over the period. Even though we have 85% of our borrowing in fixed terms and 15% floating, so that transition will take some time because the 15% floating, the bank will pass on immediately whenever there is a reduction in rate. But 85% will take time. So, over the six months to one year, we would be able to bring down our borrowing cost and that will be able to improve our net interest margin. We are confident that we will reach to 8.5% net interest margin for the full financial year by the end of the year.

Abhishek Kumar Jain: And my second question on the credit cost, the guidance is 2.2 to 2.4 and in this quarter basically it is around 2%. So, I just wanted to understand what is the full year guidance? Will you lower down the guidance post this number?

Umesh G. Revankar: The credit cost will remain around 2% for the total assets.

Abhishek Kumar Jain: Okay, 2% for the full year?

Umesh G. Revankar: Yes, full year.

Abhishek Kumar Jain: Okay, and my next question on the CV side that the AUM growth was 12.3%. So, how was the growth used CV versus the new CV and what is the guidance for the full year?

Umesh G. Revankar: See, we have a reasonably good demand coming for CV, especially in the rural market for used vehicle. Even the new vehicle demand had gone up in the Q4 for us and also there was some follow-up demand coming in April. We believe that again the demand will come back for new CV during Ganesh Chaturthi and that will keep continuing. But the used vehicle demand will continue to remain because of our strong reach. Since we have 3,220 branches across the country and we have a reach and in the used vehicle many transactions would come to us directly because we have built that brand over the period for more than 40 years.

Abhishek Kumar Jain: Okay, and my last question on that in the passenger vehicle side, in this quarter the industry decline despite that your growth was very much strong and impressive of around 23%. So, just one thing to understand, what is the reason behind this? Is it because of the premiumization and the higher ASP because of the change in the mix in the passenger vehicle or you are gaining market share in this particular segment?

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Umesh G. Revankar: No, we are obviously gaining, I don't say gaining market share, this market is virtually unattended. There are not many players in second hand car financing especially in the suburban rural area and we are able to really grow on that and also as I was telling you there is an increased demand coming from the semi-urban and rural market because of lack of transportation, public transportation available to them. So, we are able to grow and also there is one big advantage for us that many of our customers who are, who bought two-wheeler from us, they migrate to

become car owners over the period. They have aspiration and that is a customer which is an in-house customer for us. So, there will be certain percentage of customers, aspirational class will move from two-wheeler to four-wheeler. So, I think that is a ready-made customer within the house for us to grow the business. So, we should be able to grow healthy rate in the passenger vehicle especially in the car segment over the period.

Abhishek Kumar Jain: Thank you sir. That's all from my side.

Moderator: Thank you. Our next question comes from the line of Vansh Solanki from RSPN Ventures.

Please go ahead.

Vansh Solanki: Hello sir. Very good numbers. I have two questions mainly. The first is that you have also told that there is excess liquidity in Quarter 4 and also you have also said that there is a five month excess liquidity as of now. So, what are the planning if you say in the Quarter 2 or 3 that this will be continued or not and what about the additional borrowing you will take on a Quarter 2 or 3 if you can just guide us?

Umesh G. Revankar: Now we will be definitely utilizing the excess liquidity that is available by slowing down the further borrowing for this quarter and we will bring down from five months to three months maybe in three to four months from now. But further plan, Parag, can you elaborate on further plans?

Parag Sharma: In fact that is it. We will bring down our borrowing plan in next three to four months and in fact looking at options of higher costing debt to be repaid that is what we will focus upon. But I think nothing much to add there. We will look at the opportunities wherever the cost of fund is lower, those only sources will be looked at and the borrowing will be moderated and overall liquidity, we always had the objective of maintaining three months of liability repayment to liquid asset that will continue. But as of now yes, it has to be come down from five to three.

Vansh Solanki: Okay. And the second question is about yield if you can specify for each segment for Quarter 4?

S.Sunder: You can be in touch with Mr. Mundra and he will be able to help you out offline.

Vansh Solanki: Okay. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Abhishek M. from HSBC. Please go ahead.

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Abhishek M.: Yes, thank you. So, the first question is on cash position again. If I look at the total outflows in your ALM statement, your three months liquidity I think works out to roughly Rs. 20,000 crores.

So, basically this outstanding Rs. 25,000 crore of cash position plus maybe some part of investments which you would be counting towards this, this should come down to 2025 eventually? Or how should we think about it? Where should this balance be ideally for a balance sheet of say today's size?

Parag Sharma: Yes, so what you're saying is right. We will bring it to three months of liability repayment. If you're looking at the ALM, there can be some bulk repayment which can be there in subsequent particular months because of the bullet repayment of entities what we have would have taken. But the steady state number will be at around Rs. 18,000 crores to Rs. 19,000 crores of liabilities

in three months is what we normally plan and that will be the number we will be targeting to maintain.

Abhishek M.: But that Rs. 18,000 crores -Rs. 20,000 crores is cash only, right? So, not cash plus investments. Which one should we think about?

S. S. Sunder: Yes, it will be, normally what we do is it will be bifurcated into both cash and investments.

Investments are with mutual funds only, liquid schemes or mutual funds.

Abhishek M.: So, the question actually, really sorry, is that cash plus investment today is Rs. 38,000 crores - Rs. 39,000 crores. That 39,000 should come down to 20 odd?

S. S. Sunder: No, we should not look at the balance sheet number because that will also include, I will not

count everything as liquidity because that will have SLR component that will have loan marked component also. So, liquidity which is free from any encumbrance is what we count for liquidity purposes.

Abhishek M.: So, how much is excess? Like what will you eventually run down? Is it 10,000?

S. S. Sunder: It will be close to around Rs. 10,000 crores which will run down.

Abhishek M.: And what time frame sir? Because last 3-4 quarters we have been having this conversation and there is a big negative lag which is showing up in NIM.

Parag Sharma: No, it went up in the month of January when we did large borrowing, particularly December end in January is when we did and we said it will take 2 to 3 quarters for this to come down. As of now we are pretty confident that next 3 or 4 months is what we will target and look at lower borrowing and also if possible if we are able to repay some high cost is what we will target.

Abhishek M.: Understood. Sir, the second question is on NIMs. Umesh sir, you said 8.5% NIM for '26. So, is it full year '26 or is it by 4th Quarter of '26, which one?

Umesh G. Revankar: By 4th Quarter.

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Abhishek M.: So, the average NIM would be around 8.2-8.3 or so for the year, for the full year?

Umesh G. Revankar: Yes, it depends if the 3rd and 4th quarter is bigger then the average can be different. So, we would aim to reach 8.5 by the year end.

Abhishek M.: By the 4th Quarter, that is the quarterly target. Average will be accordingly. Okay. Third question sir is on GS2 going up. So, this quarter almost 9%-10% QOQ increase in overall GS2 and if you look at some individual segments it is even higher. Does this mean that next quarter we should see the forward flow into GS3 from this and therefore your credit costs can go up? Or are you seeing fairly good recovery potential in whatever is flowing forward? If you can talk about that a bit.

Umesh G. Revankar: Most of our customers are known customers or where we can reach and our executives are in touch with those customers. We are confident of rolling back most of the customers. It may be a temporary cash flow mismatches which we are confident that we will be able to reach out to them and address their challenges and be able to recover. So, I don't really see that flowing into GS3. Normally people who go from GS1 to GS2 come back to '1' sometimes or to '0' bucket. So, that effort is always on and the activities and actions are taken accordingly and especially on the vehicles and all we go for repossession so that we address that issue fully.

Abhishek M.: Right. Actually the forward flow is building up. So, last quarter it was 6% QOQ. This quarter is 10% QOQ. So, at some point it will start spilling over into GS3 which has not happened so far. So, that's why I am just wondering?

Umesh G. Revankar: Actions we take, the immediate actions, there is always a follow-up and there is a touch with the customer directly. So, we are not dependent on outsourced agents for reaching to the customer.

We have in-house executives who will reach out to the customers.

Abhishek M.: Right, sir. Thank you. And this quarter write-off would be around Rs. 500 crores roughly? Just the number if you can share?

S. S. Sunder: For the current quarter it is Rs. 448 crores and provisions are Rs. 838 crores totalling to Rs. 1,286 crores.

Abhishek M.: Got it. Thank you so much. All the best. Thank you.

Moderator: Thank you. Your next question comes from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Yes. Hi. Good evening. Congrats on good numbers. My question again is on the flow rate. So, flows from Stage -1 to Stage -2 are happening. But they are not moving forward into Stage -3.

And so for example in this quarter as you said because of onset of early monsoon

on and some

disturbance getting created, you did see incremental new flows from Stage -1 to Stage -2. But the existing Stage -2 pool never flow forward into Stage -3. So, can you explain why the flow rate

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between Stage -2 and Stage -3 is much lesser despite the outside disturbances and what all collection actions and mechanisms are being taken when the account slips into Stage -2 and also whether any remediation is offered to the customer who has moved into Stage -2.

Umesh G. Revankar: See, normally we meet the customer, address his issue and sensitize him in improving his credit score by bringing him back to Stage -1. That's the first step we take. If we feel the customer has a permanent mismatch then we will resort to repossession. If you look at our total asset book 65% is passenger and commercial vehicle, another 7% is the two-wheeler. All this can be repossessed and we can sell and either collect the money from the customer make it nil or we can sell the vehicle. So, we have immediate liquidatable asset in our hand therefore it doesn't flow into Stage -3.

Rajiv Mehta: Okay but no remediation in terms of changing the loan structure or anything of that sort you can offer?

Umesh G. Revankar: We can't do that.

Y. Chakravarti: Also it is not really needed because it's a temporary mismatch of cash flow. The customer is not a defaulter willful defaulter. It's a temporary mismatch and those guys come back and pay you.

So, it's not really case for restructuring.

Rajiv Mehta: So, the same logic makes you confident that the current Stage -2 will also not forward flow so much into Stage -3 going forward?

Y. Chakravarti: Exactly. We have seen this even in worst of times we have seen the customers skipping a couple of installments but then start paying the current installment. So, I mean it's an experience we have seen over last 30-35 years.

Rajiv Mehta: Okay. Now the second question is on the growth in the C V financing portfolio which is predominantly used. So, now the traction is being maintained at 3 %-4% Q-on-Q and 12 %-13% Y-on-Y. But I was just wondering because in the last 2-3 quarters at least the price appreciation or the resale prices have not gone up but your traction of growth continues. So, is it now more volume driven in the recent quarters and less value driven and if it is more volume driven then has there been any changes in the way you are sourcing on the ground and whether any lending policies have been kind of slightly relaxed?

Umesh G. Revankar: Now it is both value and volume both because what happens is, the loan which was sourced 4 years back are getting matured now and a new loan is getting given. So, definitely there will be an increase in value year-on-year. Every year in spite of the new vehicle prices not going up in the last year. So, that is one thing and second, our reach has always going up. If you see last year also we added 165 branches this year also first quarter we added 5 branches. So, as we create more reach we are able to grow our business and the other most important factor is the smaller lenders are not able to grow their business because they are not able to raise the liability side. So, we are able to raise liability and therefore we are able to take market share from the market.

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For example there are around 9,000 small NBFCs and many of them do not have any ability to raise resources to leverage on the balance sheet. We are able to do that. So, there is always our ability to grow in the market and maybe take the market share also from the small lenders.

Rajiv Mehta: Just one last thing sir, your fee and commission cost line has been growing at 30 %-40% Y-on-Y in the last 3-4 quarters. Why is it growing so fast, the fee and commission cost line? And employee cost this quarter was higher

than the previous quarter. There was a jump of 7% -8%.

Did we run any incentive scheme which we generally run in a quarterly format?

S. S. Sunder: The staff cost has increased primarily on account of the increment that were due in the current year, April '25 and also the annual bonuses which were paid. So, this is the main reason for the increase in the staff cost. And the fee and commission income you are talking about?

Rajiv Mehta: No, cost.

S. S. Sunder: The commission expenses, it is primarily are commission paid by the deposit agents. There has been an increase in the deposit inflow in the first quarter of this financial year. There has been some increase in the cost.

Rajiv Mehta: Thank you so much and best of luck.

Moderator: Thank you. Our next question comes from the line of Sonal from Asian Market Securities. Please go ahead.

Sonal: Hi sir. Sir, my first question is on the NIMs. I just wanted to check have you reduced yields in any of the products or the yields continue to remain the same as last year?

S. Sunder: The yield has been stable similar to the last year yield. There has not been any decrease in the yield.

Sonal: So, the entire impact is just because of negative carry on NIM?

Umesh G. Revankar: Yes, correct.

Sonal: Okay, Second one, sir, what is your strategy on deposits going ahead? Because we are still raising it. If you could just tell us what is the landed cost of deposits that you are raising? What is it as compared to NCDs and Bank borrowings?

Umesh G. Revankar: See, deposit, if you look at our growth in the first quarter, the growth has been around 10% Q-on-Q growth. That is grown by 10%. Portfolio has grown by 10%. And whenever we announced the rate reduction, there has been more inflow to lock into longer duration by the depositor. So, we have again reduced the rate from the first week of August by 40 basis point. So, effectively our cost for deposit interest rate comes to 7.6 now, which was around 8% plus 8.5 in the beginning of the financial year. So, there has been significant reduction in the interest rate. So, Shriram Finance Limited
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the total cost of deposit including the intermediate cost stands at around 8.8 in the books now. It will go down to around 8.4, 8.3 from the next, maybe August. The next quarter it will be around 8.3 total cost. And when compared with the other liability, it will be much cheaper because bank borrowing will be still higher than that.

Sonal: And NCDs sir?

Parag Sharma: NCD rate is lower. NCD rate now is running at around 775-780 range but that is the incremental borrowing rates.

Sonal: So, sir, my question is more that why are we focusing more on deposits because we are already carrying --

Y. Chakravarti: Now incremental rate for deposit will be 7.50-7.60. It will be in line with what we are doing in capital market. So, not much of difference there. See, the other thing also is, Shriram as a Group, see we look at depositors because there have been, there are depositors, generational depositors who are with us and most of our deposits, almost 55% of our deposit is from senior citizens. So, we, as a philosophy, we wouldn't mind if it costs 10-15 bps more than what we can get from the market also. That's a call that we have taken consciously. And it's a diversified, diversification of our borrowing portfolio and the deposits are sticky.

Sonal: Sir, the other question was on fee income. So, we have seen decline in that line item. So, if you could just explain what exactly happened there? So, I think last quarter it was about Rs. 330 crores, this quarter it was Rs. 100 crores?

S. S. Sunder: In the last quarter number, we had received collection commission on account of DA transaction, which was amounting to Rs. 170 crores, which is not there in the current quarter.

Sonal: Okay. So, this is like about 0.25% of disbursements is --

something we should look at going ahead?

S. S. Sunder: I think there is no linkage between the disbursement and this one. There is more to do with the assignment transaction that we had done a couple of years back.

Sonal: Okay. Got it. And, sir, just two questions more. One was on personal loan. We are seeing about 24% decline in disbursements. So, and even, I don't know if I got that number correct, but in construction equipment, from Rs. 2,180 crores, it's down to Rs. 526 crores. So, is it because of higher delinquency, in this segment, in construction equipment, that we become a little more cautious in terms of sourcing? Is there anything else, that we shouldn't read too much into this number?

Umesh G. Revankar: No, construction equipment is basically the construction activities slowed down much earlier than expected because of early onset of monsoon. So, most of them got postponed. So, you will see a bigger demand that will come in the month of August and September, mostly in September.

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So, it is just a postponement and we also felt that it is better we wait for the right time to increase our construction equipment disbursement.

Sonal: Right. And personal loan?

Umesh G. Revankar: Personal loan, there is no decline. Our focus on personal loan is not diluted, it is continuing.

Sonal: Okay, maybe I will take this offline. Thank you so much.

Moderator: Thank you. Our next follow-up question comes from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi, thank you. Just wanted to follow up. You said that 8.5% NIM will be an exit NIM for FY '26, but previously you had said 8.5-8.6 will be the full year NIM. So, which one is it? Just want to get this right because there is obviously a big difference between the two guidance.

Umesh G. Revankar: 8.5 for full year, when I said exit, we will close the year at 8.5-8.6 I said.

Chintan: Yes, okay. So, that is an exit NIM. It is not for the full year average.

Umesh G. Revankar: Yes, but see, our effort will be there to improve the margin by reducing the borrowing cost. As we are able to reduce the borrowing cost, the margin will improve.

Chintan: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Umesh J. Revankar for closing comments.

Umesh G. Revankar: Thank you. Thank you for joining this call. As many of you said, we had a good quarter, first quarter, and second quarter should be much better is what we believe because the good economic condition in the rural market and since we are having a large presence in the rural market, we should be able to perform much better. So, wish you all the best and we will meet in the next quarter. Thank you.

Moderator: Thank you. On behalf of Shriram Finance Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2025

SEC/FILING/BSE -NSE/25 -26/68A -B November 04, 2025

BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai – 400 001.
Scrip Code: 511218 National Stock Exchange of India Limited
Listing Department Exchange Plaza,
5th Floor, Plot no. C/1, G - Block,
Bandra - Kurla Complex, Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN
Dear Sirs,

Sub.: Transcript of investors earnings call for the second quarter and half year ended September 30, 2025.

Further to our letter dated October 31, 2025, regarding the audio link of the investor's earnings call for the second quarter and half year ended September 30 2025, we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in .

Thanki ng you.
Yours faithfully,
For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & COMPLIANCE OFFICER
Encl.:a/a.

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“Shriram Finance Limited Q2 FY'26 Earnings
Conference Call ”

October 31, 2025

MANAGEMENT : MR. UMESH G. REVANKAR - EXECUTIVE VICE
CHAIRMAN , SHRIRAM FINANCE LIMITED
MR. CHAKRAVARTI - MANAGING DIRECTOR & CEO,
SHRIRAM FINANCE LIMITED
MR. PARAG SHARMA - MANAGING DIRECTOR & CFO,
SHRIRAM FINANCE LIMITED
MR. S. SUNDER - JOINT MANAGING DIRECTOR ,
SHRIRAM FINANCE LIMITED
MR. SANJAY KUMAR MUNDRA - IR (HEAD), SHRIRAM
FINANCE LIMITED

Shriram Finance Limited
October 31, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Shriram Finance Limited Q2 FY '26 Earnings Conference call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh G. Revankar – Executive Vice Chairman, Shriram Finance Limited. Thank you and over to you, sir.

Umesh G. Revankar: Thank you. Good evening, friends from India and Asia, and a warm welcome to all of you. Greetings also to those who joined the call from the western part of the world.

To present our Q2 FY '26 Earnings Call today, I have with me our Managing Director and CEO – Mr. Chakravarti, Managing Director and CFO – Mr. Parag Sharma ; S. Sunder – Joint Managing Director and Sanjay Kumar Mundra – our IR head.

It has been a good second quarter of the year for Shriram Finance under current circumstances.

Let us look at the broad economic indicators that had a direct impact on our business :

GDP, Indian economy recorded a strong start in the first quarter with the real GDP rising to 7.8 against the 6.5 growth in the same period last year. The performance is largely driven by the services sector and while Agri and manufacturing also have contributed positively. On inflation, inflation has been at an all-time low for a reasonably long time, and it has fallen below the RBI's 2% low tolerance limit. Food prices, which account for nearly half of the basket, dropped to 2.28 against 2.65 in the earlier lowest December 2018.

The RBI policy, the key takeaways are the RBI has kept the repo rate unchanged at 5.5, policy stands have remained neutral, the GDP forecast is revised upwards to 6.8 from earlier 6.5, and CPI inflation forecast has lowered to 2.6 down from 3.1. All are very positive. Rural economy, the monsoon has been very good, spread across the country, even though there has been some excess rains, but overall, there is an estimation of increase in Kharif food grain production by 2.4%. It has come down from earlier prediction of 4% because of some damage to the crop, but it is still positive for the rural economy. GST collection has risen by 9.1% year-on-year. It has been growing steadily, and we expect with the increased GST collection, the government infrastructure spend will go up further and that will help the automobile and the construction equipment industry.

Now, coming to the auto industry :

The quarter has been quite good for automobiles, especially if you look at the commercial vehicle sales have gone up by 8.27% in Q2. It stands at 2.4 lakh units against 2.21 lakh units in the previous quarter, previous year same quarter. And within CV, M&H CV have recorded a growth Shriram Finance Limited

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of 6.16, and LCV have grown well with 9.54% which stands at 1.52 lakh units versus 1.3 lakh units. Passenger have declined by 1.51%. It stands at 10.39%, but the demand in October has been very good for passenger vehicle across, especially for the base model. And we expect this quarter, that is the third quarter, passenger vehicle credit growth will be significantly higher. The two-wheeler has recorded a growth of 7.39, with sales of 55.62 lakh units against 51.79 units in the previous year same quarter. But this October, the demand for two-wheeler has been extremely good, and we expect that momentum to continue, and we do expect good growth for the Q3. Three-wheelers have been growing steadily at 9.83% in this quarter, with a sale of 2.2 lakh units against 2.09 units in the same quarter previous year. Tractors have been again growing very well, re

corded a growth of 14.72%, with 2.39 lakh units being sold against 2.08 units. It again speaks volume about the demand coming from the rural segment, and we expect the growth in the rural backed by the government support for the MSP price is likely to be very good. Construction equipment has declined as the infrastructure activity by the government have been on a slow pace. Here, I would like to say that the central government spend has been reasonably steady, but the local government, especially state government and local, the panchayat and the corporation level spend has been minimal in many of the states across the country, that has reduced the demand for construction equipment. And overall, the real estate market seems to be doing quite well, but it also is concentrated in a few geographies not across. The Board has declared an interim dividend of 4.8 per share, which is 240%, and the record date for the entitlement thereof has been fixed as November 7, 2025.

Now, I shall ask my colleague Mr. Chakravarti to take us through the operational performance of this quarter.

Y.S. Chakravarti: Thank you, Umesh. Good evening and good morning to people who have woken up now. I welcome all of you to our Q2 FY '26 Earnings Call, and I trust you had the opportunity to peruse them and the related Investor Presentation which has been posted on the website of the Stock

Exchanges .

We registered a disbursement growth of 10.24% year -on-year. Our disbursements in Q2 FY '26 this year aggregated to 43,019.17 crore versus 39,021.63 crore in Q2 FY'25. Our assets under management as of 30th September 2025 registered a growth of 15.74% over Q2 FY'25 and of 3.3% sequentially. Our AUM stood at Rs. 2,81,309.46 crores as against Rs. 2,43,042.55 crores a year ago and Rs. 2,72,249.01 crore in Q1 FY '26.

Our net interest income in Q2 FY '26 registered a growth of 11.77% year -on-year. We earned a net interest income of Rs. 6,266.84 crores in Q2 FY '26 this year as compared to Rs. 5,606.74 crores in Q2 FY '25. Our net interest margin was 8.19% as against 8.74% in Q2 FY '25 and 8.11% in Q1 FY '26. Our profit after tax grew by 11.39% in Q2 FY '26 over Q2 FY '25 and by 7.03% over Q1 FY'26. We have registered a PAT of Rs. 2,307.18 crores for Q2 FY '26 as compared to Rs. 2,071.26 crores in Q2 FY '25 and Rs. 2,155.73 crores in Q1 FY '26. Our earnings per share for the quarter stood at Rs. 12.27 as against Rs. 11.02 in Q2 FY '25 and Rs. 11.46 in Q1 FY '26. On our asset quality, gross stage 3 in Q2 FY '26 stood at Rs. 4.57 % and net stage 3 at 2.49%. These numbers thus show an improvement over the corresponding period of 5.32% gross and

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2.64% net in Q2 FY '25 and was 4.53% gross stage 3 and 2.57% net stage 3 in Q1 FY '26. Our credit cost and total assets for Q2 FY '26 stood at Rs. 1.68% as against Rs. 1.84% for Q2 FY '25 and Rs. 1.64% for Q1 FY '26. Our cost to income ratio was 27.76% in Q2 FY '26 as against 27.95% recorded in Q2 FY '25. Our cost to income ratio in Q1 FY '26 as you know was 29.29%.

I shall now request our Managing Director and CFO – Mr. Parag Sharma to inform you about our resource raising activities after which our Joint Managing Director – Mr. Sunder will brief you about accounting and regulatory aspects. Thank you. Over to you, Parag.

Parag Sharma: Thank you. Hello, everyone. I think first and foremost, we were carrying excess liquidity in the previous quarters and we have worked hard to bring down that liquidity. Thereby, the overall debt has come down from Rs. 2,42,911 crores in the June quarter to Rs. 2,34,000 crores in the September quarter. The overall liquidity is now adequate for three months of liability repayment and that is what was the norm which we used to have prior to the December quarter. The incremental cost of fund is also coming down. It is close to around 8.07% for the current quarter and

that should give us benefit in the coming quarters. The cost of liabilities have come down from March '25 from 8.95 to 8.83 as of September. June, the number was 8.88. The leverage ratio, because of the overall liabilities being down, has come down from 4.15 to 3.88 and we did not raise large resources in the current quarter and we will look at cheaper borrowing in the coming quarters. The liquidity coverage ratio was at 297% and the previous quarter was 268%. Over to Sunder.

S. Sunder: Thank you, Parag. Hello, everyone. The employee count as on 30th September 2025 was 78,833 as against 79,186 in the June quarter. There has been a net decrease of 353 employees. The ECL numbers, the Stage -1 PD was 8.85% as on 30th September as against 8.82% on June quarter end and Stage -2 PD was 21.15% as against 21.35% in June quarter and LGD was 39.04% as against 39.05%.

Coming to the disbursement numbers product -wise:

The commercial vehicle segment we disbursed was Rs.17,325 crores . Passenger vehicles was Rs.8,673. Construction equipment was Rs. 603 crores . Farm equipment was Rs. 957 crores . MSME Rs. 9,708 crores . Two -wheeler Rs. 2,605 crores . Gold Rs. 3,521 crores . Personal loan Rs. 2,425 crores totalling to Rs. 43,019 crores. This was against June disbursement number of Rs. 41,816.

With this, we hand it over to the moderator. We can open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi. Good evening, gentlemen. Can I ask on two aspects, your net interest margin and your growth outlook? On net interest margin, could you give us some guidance on where you think the exit

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run rate on NIMs would be by the time you reach 4Q? I see that you have used up your excess liquidity but it is not showing up in your NIMs currently. Was that reduction coming in late in September? That would be my first question and then I will ask you on growth as well.

Umesh G. Revankar: Yes, you are right. The reduction has come in the later part of September. So, as we guided in the last quarter, the exit of the fourth quarter, the net interest margin will reach to 8.5. So, on average, it will be anywhere between 8.25 to 8.3 for the full year.

Chintan: Okay. And how should we think about the next year? If you are growing new vehicles a little

more than your back book, should NIMs see some pressure next year or you have more than enough cushion on cost of funds to offset that?

Umesh G. Revankar: That will not have any impact on the net interest margin. We will protect our net interest margin to present level or try to improve on the same. We are looking at various opportunity and scope to reduce the borrowing cost and thereby do more newer vehicle. So, that is the strategy we have but not at the cost of net interest margin.

Chintan: Okay. Thank you for that. And if you do get a ratings upgrade, does that help you change your business mix down the line or irrespective of the rating upgrades, your margin you want to keep it stable. How do you think about it?

Umesh G. Revankar: See, basically, our idea of the business is to retain the customer because many of our customers remain with us for 10, 15, 20 years. Then they move out when they upgrade to new vehicles. So, we would like to have the customer retained and that is the strategy we are following. And the rating upgrade will only help us to do it much faster. But otherwise also, we would like to retain the customer by having an ideal mix of liability that will bring down the cost.

Chintan: Understood. Okay. And then on growth, could you give us some idea what you are thinking about the second half of the year and FY '27? If you could also comment about October activity levels, that would be helpful.

Umesh G. Revankar: See, we do see a very good demand in month of October. And if I look into the October demand, if I extrapolate, then the overall third quarter looks quite good. And I do expect a little higher growth compared to the present growth, our AUM growth was 15.74. It may be another 2% additional growth we can get for the next half of the year, the second half of the year.

Chintan: Thank you.

Moderator: Thank you. Our next question comes from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Good evening. Thank you and congratulations on a strong performance. Sir, firstly on asset quality, what drove a strong collection performance in early buckets across your main products?

Because when I calculate the flow rates into Stage -2, they seem to be much better in Q2 versus

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Q1. So, can you give us some color about how the income, liquidity and leverage of your customer moved in this quarter, which may have helped you in collecting better?

Umesh G. Revankar: See, our customers are retail customers and they have individual businesses. So, we will not have a full view of their cash flow. But we do understand there is a cash flow mismatches for each of our customers. And by having access to them, reach to them, understanding their business, we do help them in better management of their financial situation. And therefore, our recovery is based on the reach to the customer. And I will not have a total view of their what we call cash flows or their business models.

Rajiv Mehta: Okay. And, sir, in the light of, you know, reduction in the value of vehicles, now, how do we see the traction, growth traction in used CV and PV likely getting impacted in the next, you know, couple of quarters? And to respond to it, do we plan to tweak our valuation or LTV practices?

Umesh G. Revankar: See, basically, let us understand, how much is the reduction in value of the vehicle? This first we need to understand. Now, let me give an example of a commercial vehicle. A commercial vehicle costing around 50 lakh, a larger M & HCV, if the price is 50 lakh, the OEMs that manufacturers were giving discount up to 5 lakhs, that is around 10% discount on the value of the vehicle in the past. But GST, after post-GST reduction, all the OEMs have reduced their discounting. The GST rates have come down from 28 to 18, that means 10% relief they got. And the discounts which are offered by the manufacturers have come down from 10% to around 2% or 1%. So, the OEMs have significantly reduced the discount. And therefore, net cost to the customers have not really changed much, hardly a big change for the customers, especially in the commercial vehicle. Maybe in the car, you are right, to some extent, the prices have come down for the vehicles which are less than 4 meters. And that resale value may have some impact at the hand of the customer. But on a commercial vehicle, we have not seen reduction in value even for the second-hand vehicle. In fact, that was the speculation when the GST price reduction was announced. And the speculation was very high saying that the resale value of the second-hand vehicle will come down. But after more than one month of the GST rate cut, we did enquire, because we do have various sources of inquiry or various sources of information that we collect. We have not seen any reduction in the value of the vehicles, especially commercial vehicles. So, even in the car, it is only for a few segments, there has been some reduction in the value of a second-hand vehicle. So, overall, the business robustness has remained strong.

Rajiv Mehta: Got it. Thank you, sir, and best of luck.

Moderator: Thank you. Our next question is from the line of Raghav from Ambit Capital. Please go ahead.

Raghav: Sir, hi, good evening, and thank you for the opportunity. Sir, I have

2-3 questions. One, I

remember you saying that the transactions in the used CV market have been low. But when I look at your growth rate in the CV portfolio, that has increased from 11% in the 4th Quarter to about 14% now in this quarter. I am just trying to understand, despite you mentioning about low

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market volumes, how is it that the growth rate has increased? If you can give some color, maybe some bifurcation of value growth and volume growth? That's my first question.

Umesh G. Revankar: See, basically, what has happened is the number of transactions, I said it has come down because naturally what happens is if a person is owning a 10-year-old vehicle, he will upgrade and buy a seven years old vehicle after 3 to 4 years. That's the general practice. But currently, since the prices have gone up significantly in the last two years, people who are having 10 years old vehicle, he's using it for further two or three years, thereby, the number of transaction has come down. But since the value of each of the transaction being higher, for us, we are able to grow the business. And also, we are having an advantage of gaining the market share from the small players at the local level. Since we have the ability to reach and we are gaining the market share, we continuously add more number of customers. So, as the used vehicle prices rationalize over the next 3 to 4 years, I believe number of transaction can go up significantly. But we are quite comfortable with the growth what we are getting out of volume and the market share gain.

Raghav: Sir, what would have been the average price growth for a used truck that you would have financed, rough number will be fine?

Umesh G. Revankar: Year-on-year, it will be around 5%. But last year, if you ask me, it would have been much higher because the used vehicle prices went up sharply. Between '21 to '24, it went up sharply. Between '24, '25, '26, you will see the prices increase marginal by 4% to 5%.

Raghav: Sir, my second question is on the asset quality. So, during this quarter, multiple finances have said that there is some stress in the CV portfolio. And then when I look at your number also, slippage has gone up but not materially, it seems. What are some of your observations from branches and from the ground about your customers' ability to earn and service their loans? And I think you partly answered in the previous question about your overall asset quality outlook. But I think just some of your thoughts on what's happening on the ground with respect to truck utilization and all will be very helpful. Thanks.

Umesh G. Revankar: See, truck utilization have remained quite good. It has never come down. Even if you take the urban and rural all segment, it has not come down. It is quite good. Certain geographies where there was excessive rains and some challenges due to a stoppage of transportation because of the damage, because of excessive rain, there were certain challenges. And that was a temporary, maybe for 10-15 days. And that would have impacted certain geography, not all over India. So, we also had a certain request from some geographies that they should get some kind of a relief on making the payment and all. But one advantage what we have over others is, we have field executives who are earmarked for each of the customers. They were able to reach to them, talk to them and able to get the recovery done because what happens is, a temporary stoppage of 1 week or 15 days will not alter the business model significantly because he would get a much bigger business post 15 days. And he is able to recover it over the month or maybe sometime 45 days. He may miss one installment, but he will not miss two installments, two consecutive installments. So, we do give some time and opportunity for the customer to manage himself and

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give back. And since we have our person to guide him, we are able to recover it much better for the peers.

Raghav: Understood. Sir, Shriram Automotive revenues, they've been growing at 20%-30% since last two quarters. Does it in any way mean that your repossession activity has gone up or that's not the case?

Umesh G. Revankar: Repositions have not really gone up. What I have seen is, they have created a separate retail segment where they are encouraging more buy and sale activity. And they also have introduced more what you call segments. They are not just dependent on commercial vehicle, their car segment or construction equipment segment also is doing well. So, overall, I think they are doing well. Even these gold auctions also have increased. So, since they are having multiple revenue streams, they are improving. And we have not seen significant increase in repossession. But the market is quite large for them. And I think they will have a good opportunity to grow in the next two quarters.

Raghav: Perfect, sir. Thank you, sir. Thanks a lot for those answers.

Moderator: Thank you. Our next question is from the line of Renish from ICICI. Please go ahead.

Renish: Hi, sir. Congrats on a good set of numbers. Just two things, sir. First, on this MSME piece again

in this book, GST has gone up and it has been actually increasing from past two quarters. And surprisingly, when we look at historical trend, generally, GST tends to improve in second quarter. But that is not the case in this quarter. So, just wanted to know, what are the emerging trends in this segment? And given this segment has been one of the fastest growing portfolio for us, it has been driving credit growth also. So, do you think to calibrate disbursement in this portfolio given some sort of stress buildup from last two quarters?

Umesh G. Revankar: We have been cautious with MSME segment, especially the post the tariff, US tariff, because some of the segments are dependent on US market. And some of the segments have as high as 60% of their output going into the US market, especially manufacturers and some of the service providers to them. By and large, we are financing service providers, we are not lending to manufacturers. So, we do not really see a big challenge there for us. And our growth was mainly because of wide reach we have created. Earlier, our exposure was mostly in the southern market. But today, post merger, we have large number of branches and larger geography available for the growth. And since we activated many of the branches, we are able to grow across the country.

Renish: Got it. So, this uptick in Q2 can be attributable to US tariff, maybe in context of seasonality or how you mean?

Umesh G. Revankar: I think US tariff impact is still not there other than some of the like fisheries, prawn culture and all, there where the impact was immediate. But other segment where they were able to divert their production or the output to the domestic, they are able to manage. October has been quite good for most of them. So, we need to really watch and see what happens in November. And we

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also hope and wish that some kind of arrangement will be there between India and US, some truce, so that the impact will be minimized. But the reduction of GST has definitely helped MSME to divert the production or manufacturing to the domestic market and keep going.

Renish: Got it. Sir, very helpful. Sir, the second question is on the overall credit cost front. So, we have been hiding at the full credit cost at 2%. Now, obviously, you did mention about the prices for CVs will not come down materially. But definitely, there will be some impact on the prices for PV. So, in that case, how do you see the reposition losses in second half, especially in PV segment? Because now, the net realization for you would be

lower than first half assuming price

reduction in PV. So, how one should look at that segment, credit cost and then the overall credit cost?

Umesh G. Revankar: I think in the previous question, I did explain that the prices have not corrected. I do not want to repeat it again. But I can tell you very confidently that the used vehicle prices have not corrected sharply as you are trying to express. And this is the feedback I have across country.

Renish: And this is true for passenger vehicle as well?

Umesh G. Revankar: No, it is not true for passenger. It is commercial vehicle has not come down. Maybe passenger vehicle, we need to really wait and see the impact because mostly in the base model cars, there has been the price impact. But other car, the price impact is not there.

Renish: Got it. Okay, sir. That is it from my side and best of luck.

Umesh G. Revankar: Thank you.

Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from PhilipCapital. Please go ahead.

Shubhranshu Mishra: Hi, sir. Good evening. So, two or three questions. The first one is on the strong commercial vehicle, light commercial vehicle. How do we look at the asset quality there? Are the SRTOs, under cash flow pressure? Second is on the passenger vehicle, we've had various OEMs like Maruti and Hyundai talking about 6% to 10% volume growth in FY '27. However, have the OEMs come back to you speaking about price increases from January '26 onwards, because the GST rate cut would have put up prices later. I am talking about the new vehicles here. And again, in terms of new vehicles, how do we look at 50 tonners and more? Thanks. These are my three questions.

Umesh G. Revankar: The 50 tonner and more is a little more dependent on government infrastructure spend because most of this vehicle goes for infrastructure-related activity, either for mining or it will go for the large transportation. Right now, the government spend has been little muted. And therefore, the demand is not really big on the large trucks. I did not get the first.

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Shubhranshu Mishra: Okay. Passenger vehicle, you're saying with the January '26 onwards, there'll be a price increase. And light commercial vehicle asset quality, the cash flows of SRTOs?

Umesh G. Revankar: The cash flow of SRTOs is not impacted at all. It is, I believe, whatever the reading I have is that SRTOs their earnings have been studied. And therefore, there's no impact on them directly.

And the price increase by OEMs, we cannot speculate because, see, there's only one reason for price increase is improvement in the technology or the government insistence on the technology upgradation for various purposes on either for the fuel emission or some other reason. If the government put in more conditions, then the vehicle prices can go up. Otherwise, it may not go up. So if the prices go up, then it is good for us because asset quality of a second-hand vehicle or our LTV coverage will be higher.

Shubhanshu Mishra: So just one clarification on the passenger vehicle pricing. Essentially, there will be a price deflator because of the GST rate cut. And you guys will be definitely having discussions with the OEM. So what you're saying is that they haven't communicated anything about price increases from January '26 because they might want to cover up this price deflation?

Umesh G. Revankar: So I can't really talk about what OEM is planning to do at this juncture. So as of now, I can say that the portfolio is holding good. And as far as the economy is doing well, customer will definitely repay the money. So it is all the cash flow for the customer and economy doing well, that is more important. So price increase or decrease will not have much bearing as far as the cars are concerned. Maybe for commercial vehicle, yes, but not for the cars.

Shubhanshu Mishra: Underst

ood. Thank you so much. I will come back in the queue.

Moderator: Thank you. Our next question is from the line of Shripal Doshi from Equirus. Please go ahead.

Shripal Doshi: Hi, sir. Congrats on a good set of numbers. My question was pertaining to pricing side. So we've already started seeing cost benefit and also liquidity on the balance sheet coming, moderating on a Q&A basis. So on the lending rate side, are we expecting or are we building in any rate cut or passing of rate cut benefit to the end customer, let's say in 3-4 quarters time period?

Umesh G. Revankar: See, we are yet to get the lower cost in a big way. See, if you look at my liability side, 87% is fixed and 13% is floating. So the scope to get a lower rate of return, rate of borrowing comes from only 13%. And the banks are yet to pass on that advantage to us. So we have nothing much to pass on to the customer, but we would definitely love to pass on some cost benefit to the customer depending upon how much we will be able to get out of it. So immediately there's no change, but whatever we can do best to make the customer life and journey better, we will do it.

Shripal Doshi: So in that case, when would we see maximum benefit on the cost coming to us, let's say with respect to the timeline?

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Umesh G. Revankar: As I was telling you, the reduction in the borrowing cost comes to us as and when we reprice the existing loan borrowings. And when it happens, we will pass on some benefit to the customer.

So it is going to happen over the 18 months, not immediately.

Shripal Doshi: Got it. And the other question was pertaining to rollout of all the City Union products at Shriram Branches. So could you please give us some update on how many branches will see MSME Gold, PV and PL being rolled out or what is the status there?

Umesh G. Revankar: It is being done progressively across all the regions, but it will be done steadily, especially for Gold, we need to build infrastructure and for MSME, we need to build expertise. It happens across the real number of branches that progress, what progress we have made, that maybe Sanjay will be able to give you the exact numbers, but right now I don't have it.

Shripal Doshi: Got it, sir. And just one last question was pertaining to the number of customers. So there has been a decline on a sequential basis. What explains that? I mean, so it's 9.66 last quarter, it was 9.72. What explains this?

Umesh G. Revankar: I think the two-wheeler maturity, when it's high, its numbers come down drastically. And since now in the festive period, since our lending goes up, next quarter you'll see number going up.

Shripal Doshi: Got it, sir. Thank you, sir.

Moderator: Thank you. The next question is from the line of Kamal from Jefferies. Please go ahead.

Kamal: Hi, sir. If you could just, I will just start with the asset quality part only. During the quarter, if you could just guide us, what was the write-offs and what was the same during the last quarter as well?

Parag Sharma: The write-off in the current quarter was Rs. 456 crores as against Rs. 447 crores in the previous quarter. And the provisions was Rs. 877 crores as against Rs. 838 crores in the previous quarter.

Kamal: Okay, sir. And during the quarter, we have seen quite a bit of improvement in the Stage -2 slippages majorly, while stage 3 slippages, if I calculated, has been increased quarter-on-quarter. So if you could just guide what exactly has happened in the Stage -2 bucket versus the stage 3 bucket and how the overall environment was?

Parag Sharma: If you take Stage -2 and 3 put together, over a period of time, it has been more or less stable. So there may be some intermittent movements across quarters between Stage -2 and stage 3, but nothing alarming, I would say. It is stable.

Kamal: Okay, got it. Those were my questi

ons. Thank you.

Moderator: Thank you. We have our next question from the line of Shweta from Elara. Please go ahead.

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Shweta: Thank you, sir, for the opportunity and congratulations on good set of numbers. So I have a couple of questions. So as far as GST rate simplifications are concerned, would that lead to higher repossession losses for us, at least in the interim period? That is my first question. Second is, so you have partially dealt with the operator economics of SRTOs, but given that there have been regional challenges, so has it impacted load availability for these operators? And also there have been articles surfacing on freight rates going up in India by 2% to 3%. So can you just dwell on these factors as far as operator economics is concerned? And thirdly, so you did mention that Stage -2 has not been alarming, but if we look at two -wheeler construction equipment and even personal loans and MSMEs, so MSMEs, you did give some sense because of the export sector exposure, but two -wheeler stage 3 has been fine, but Stage -2 has been slightly higher, even construction equipment. Those were my questions.

Umesh G. Revankar: See, construction equipment, it is quite obvious that we have reduced our exposure to construction equipment in the last two quarters. We have been cautious because there has been some delay in bill payment in certain geographies. And therefore, there has been some delay in payment. And we do understand that because the bills have been held at various levels and that I think situation will improve immediately, we expect, we are hoping, because the certain states where the bills are a little slow, bills movement is slow, things have what you call challenges. And you said that the freight rates have increased and that is definitely a good for the economics of transportation. And I feel that the operator economics, if you ask me, the ideal time is one of the lowest in the last two years. I have not seen last two years, all the operators have been running at full, what you call, operations. There is no slowdown to any of the operators, any geography. There is temporarily some challenges are there, but that has been addressed over the period. In a quarter or in a six -month, normally get averaged and they are able to repay. So, SRTO economics has been quite good. And one of the advantages SRTO has it, they have their own drivers or they themselves drive. So, that brings their operational cost and they have an advantage as an edge over the large fleet operators. So, therefore, SRTO's payment have been quite good for us. And the other one you talked about the GST coming down and the sale, I think I already explained that.

Shweta: Reposition loss is going up because of GST rate cut.

Umesh G. Revankar: No, how are you linking GST rate cut and the reposition going up? See, the re-sale values of the vehicles have not dropped. People are not defaulting. When people are not defaulting, why should I repossess? So, the reposition rates have not increased at all in the last two quarters, if you see. And there is no linkage between GST rate cut and the vehicle price coming down and reposition going up. So, it is all hypothetical questions.

Shweta: Okay, so what I meant was if there are GST rate cuts and if we have repossessed the vehicle, so if we sell in the market, we will fetch a lower value today. So, the net credit losses would be higher than what we used to put up earlier.

Umesh G. Revankar: Madam, I already explained in the previous questions, I do not know whether you heard or not, the vehicle prices have not come down post -GST. Anyway, whatever is the GST prices come

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down, the OEMs have reduced their discounts, the cost to the customer have remained same. So, second -hand values also have not come down. So, the

re is nothing to say that there is a repossession loss. And GST rate have happened just one month back. And do you expect people to repossess and book a loss immediately. It will take time to understand what impact it is. Right now, the resale values have not come down. So, reposition costs, reposition losses also are not there.

Shweta: Sure, sir. That explains. Thank you.

Moderator: Thank you. Our next question is from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Hi, thanks for the opportunity. I just wanted to know if the segmental, if we have the segmental disbursement numbers and the total disbursement number for this quarter?

S.Sunder : It was already announced, but still I will repeat it. The commercial vehicle was Rs. 17,325 crores, passenger vehicles Rs. 8,673 crores, construction equipment Rs. 603 crores, farm equipment Rs. 957 crores, MSME Rs. 6,907 crores, two wheelers Rs. 2,605 crores, personal loans Rs. 2,425 crores, totaling to Rs. 43,019 crores.

Prithviraj Patil: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Sonal Gandhi from Asian Market Securities. Please go ahead.

Sonal Gandhi: Thanks for the opportunity. So I have two questions. So on the subsidiary, so what has been the thought process behind investing in Shriram Overseas Investment Limited? And, if you could just give us some plan that what do you plan to do through the subsidiary? And second one was on public deposits. So that is already making up 28% of your borrowing mix today. So how much further scope do you have to increase this? And maybe after 6-9 months or maybe after a year when you exhaust the limit which are the instruments through which you plan to finance the liability side of the borrowing?

Parag Sharma: Okay, on the subsidiary, we took some board permission to start a primary dealership business. And that is why this subsidiary was created. As of now, we have to get RBI approvals for starting this business. However, the subsidiary is continuing to do government securities trading. But to become a full fledged PD, the license is something which we will await from the regulator.

Second question?

S.Sunder : On the deposit, now we are at 28%. So what is the future of...?

Parag Sharma: Okay, so deposit, in fact, we were actually planning to make it to around 30% of our liabilities.

So we are closer to around 28. And we will try to maintain it at that particular level. And whatever additional money is required will go through the domestic capital market route or the foreign borrowing.

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Prithviraj Patil: So, sir, if you could just help us, what is the landed rate for the foreign borrowings currently?

And also NCDs we can look up, but if you could help us with that number?

Parag Sharma: Okay, I will not have the exact, okay, the landed cost as of now for the additional borrowing I mentioned in the beginning, the cost of borrowing for the quarter was around 8.07. But NCDs, we will look at the overall need. And I think what we do normally is around 1,000 crores to 1,500 crores of NCD borrowing every quarter. And that is what we will look at in this quarter. Other than that, we will look at bank borrowings or if there is an opportunity to get offshore funding, we will look at that.

Prithviraj Patil: Sure. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was our last question. I would now like to hand the conference over to Mr. Umesh G. Revankar for closing comments. Over to you, sir.

Umesh G. Revankar: Thank you for joining the call. As I was telling in the beginning, the second quarter is a normally a tricky quarter, which we have done quite well. And Q3 and Q4, we should be doing much better because the credit demand has been good and the rural economy seems to be doing very well. The demand across the country

try for credit has been good and the asset quality has been holding good. And with some improvement in net interest margin, we should expect better numbers coming Q3 and Q4. Thank you very much for joining the call.

Moderator: Thank you. On behalf of Shriram Finance Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2026

SEC/FILING/BSE -NSE/25 -26/68A -B

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Dalal Street,Fort,
Mumbai – 400 001.
Scrip Code: 511218 January 01, 202 6

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G - Block,
Bandra - Kurla Complex, Mumbai – 400 051.
NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of conference call done on December 30, 2025 .

Further to our letter dated December 30, 2025, regarding the audio link of the conference call we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanki ng you.
Yours faithfully,
For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO
COMPANY SECRETARY & CHIEF COMPLIANCE OFFICER

Encl.:a/a.
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"Shriram Finance Limited
Business Update Conference Call"
December 30, 2025

MANAGEMENT : MR. UMESH REVANKAR – EXECUTIVE VICE
CHAIRMAN – SHRIRAM FINANCE LIMITED
MR. PARAG SHARMA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SHRIRAM FINANCE
LIMITED
MR. SUNDER SUBRAMANIAN – WHOLE -TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER –
SHRIRAM FINANCE LIMITED
MR. SANJAY K MUNDRA – EXECUTIVE DIRECTOR ,
INVESTOR RELATIONS – SHRIRAM FINANCE LIMITED

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December 30, 202 5

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Moderator: Ladies and gentlemen, good morning and welcome to the Shriram Finance Limited Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone.

Please note that this conference is being recorded. I will now hand the conference over to Mr. Umesh Revankar, Executive Vice -Chairman, for opening remarks. Thank you and over to you, sir.

Umesh Revankar: Yes, thank you. I'm Umesh Revankar here . Mr. Parag Sharma, MD, CEO and Sunde r, Whole - Time Director and CFO, along with Sanjay are with me. We can now begin Q &A session after initial remarks. So, good morning to everyone and I would like to share a few of my thoughts here.

As you know that Shriram had a merger of two listed entities in 2022. Shriram Transport Finance Compa ny, which was mostly focused on vehicle and equipment financing. Shriram City Union Finance, who were into SME, two -wheeler and gold financing, we merged with the purpose that we will have a larger branch network, better reach and multiproduct.

The multip roduct was a strategy which we adopted and thereafter, post -COVID, you would have witnessed that we have been growing at around 16 % to 17%, even some quarter reaching 18 %, 19%. So, the growth rate has been quite good, satisfactory and we were able to reall y use the multiproduct strategy in all the branches. We have 3,225 branches and we have been able to activate many of the branches, most of the branches, I can say, for multiproduct.

With this kind of growth, we have been looking for a strategic partner t o raise capital and in this process, we have been talking to many of the interested investors who were also are keen to participate in India's growth story. What is very important for us is the India's growth story and the investor having the comfort of co ming for a long -term haul. In this process, we interacted with the MUFG.

As you know, MUFG is one of the top bankers in the world. They are 10th largest in asset size with \$2.8 trillion in asset. The proposed partnership with MUFG will be with a 20% stake , in the sense, the professional allotment given to them.

So fresh capital would be coming in with approximately US\$4.4 billion. That is the proposal and both the board, MUFG board and SFL board, have approved the proposal and we have already sent the not ice for the EGM and that is with you. Some of the things which you would like to highlight here is, we believe with large capital coming into SFL, we will have a long - term growth strategy and we would be able to grow significantly higher than what we have been growing.

We have been growing around 16 %-17%. We would like to grow another 3 %-4% more, that is anywhere between 18 %-20%. It all depends upon the economic activity. Last 2 quarter, the GDP growth in India, if you have witnessed, it is growing around 8% plus, which is a very positive

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sign and we believe this is going to be a long -term happening in India, the way things are moving. The GST reforms also have given some kind of a positive consumer consumption push and we believe greater demand will follow . We also believe that growth rate, credit demand in India will grow around two and a half times of the GDP, that is approximately 20%.

We should be able to grow on par with the credit demand and maybe in certain quarters and certain segments, certain geo graphies, we would be able to grow much faster. There are a few things which we have in plan. We have been all these years financing to small vehicle operators and machinery owners, agricultural households for tractors,

mechanization of agricultural
activi ty through mechanization, SMEs.

We have been either to doing a small ticket lending. We believe with our knowledge and experience in this field, we can upgrade to little newer vehicle and bigger ticket. We don't have to really go into unrelated businesses with the addition of new capital.

The additional growth what we can provide by having additional capital, that itself will be sufficient for our growth. From where we are getting this confidence is basically when a large strategic partner comes into, we believe our balance sheet being very strong, the borrowing rates will come down. Additionally, with rating upgrade, further the rates will come down and overall we believe the 100 basis point advantage will get over the next two years on our borrowing cost . Our liability side will get re -rated on the borrowing and some of this will get passed on to the customers, especially the customers who are moving away from us for better rat e to either bank or other peer N BFCs. So retention and attracting few new customers would be sufficient for us to keep up a growth momentum and grow at around 20%.

The immediate impact of the capital infusion will be our gearing increase around 4.3, that is leveraging will come down to 2 .6 and we expect that as we keep using capital that will keep

increasing. The ROA part of it, because the capital and lower cost, the ROA will expand from current 2.8 to around 3.6 over the period and the ROE which will come down in next year because of the additional capital to around 13.5 will start growing year after, and we would be able to go back to the current ROE by 31, that is around 5 years from now. So we should be able to have a growth momentum, better ROA, better ROE and we also expect the credit cost to come down even though we don't want to give, we have been always a conservative, we don't want to give a very high positive picture on this, but around 10 to 20 basis point improvement in credit cost is a possibility, because we would be able to retain our top customers, our best paying customers for a longer term. So these are all the positives of the investment. And I think this is the base -- and of course, the other advantages which I would like to highlight, the M UFG has an investment in Morgan Stanley with 23.7. And apart from that, they have investment into 4 Asian countries, that is Philippines, Vietnam, Thailand and Indonesia and their experience in these countries have been good.

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They have a very strong digital play that we should be able to take certain advantage of the platform what they have built in these countries. And since they have the experience of investing in Asian countries, it will be very comfortable management for us. As per the understanding, they will have 2 board seats and we also expect certain advantage in funding support, capital market support, treasury solution.

These are the broad understanding we have. But as we move together, we should be able to work out on a lot of mutually beneficial advantages. These are the broad numbers and I think the rest of the information you already have. We are happy to go in for Q&A. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Mahrukh Adajania from Nuvama Wealth Management Limited. Please go ahead.

Mahrukh Adajania: Hello. Congratulations, sir. Sir, I had a couple of questions. Firstly, what was the ROA indication that you gave? I could not catch that properly.

Umesh Revankar: See, right now, our ROA is around 2.8. We expect it to improve to 3.6.

Mahrukh Adajania: Okay. Sir, my questions were that just in terms of growth, where do you see the share of new CV settling? What do you think would be an ideal mix for your new CV? And if

you could guide

to a margin trajectory, say, over the next one year and maybe even longer term, would we see it crossing 9? How does it work?

Umesh Revankar: See, basically, what happens is the interest rate, the borrowing cost reduction will be much steeper and for the entire book. And we will be onboarding few customers for new vehicle. That means maybe around 5% of my customer would be new vehicle customer. Since my borrowing cost comes down by nearly 100 basis point, a few of the customers, if I am able to retain by reducing my lending rate, it will not have any impact on the net interest margin.

In fact, my net interest margin is likely to expand from here. Exact numbers I will not be able to give you immediately. Sanjay will be able to help you out of that. But you can imagine 100 basis point coming down for the entire book over the two years and very few customers I will be able to offer new vehicle lending rate. Even here, since we will be giving to select few, they will not have any impact on the margins or spreads.

Mahrukh Adajania: Sure. But, sir, what will be the ideal proportion? I mean, how much do you want to increase the proportion of new vehicles to?

Umesh Revankar: Yes. See, basically, our new vehicle market share is very low. It's around 3%, including the passenger vehicle among the overall new vehicle sales, which we would like to double it in the next three years.

Mahrukh Adajania: Got it. And the ROA target, not target, but the indicative ROA is for two to three years, is it?

Umesh Revankar: Yes. It will start improving from the next year and it will have over the four years.

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Moderator: Thank you. We take the next question from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes. Hi, team. Congratulations on this landmark deal for the Shriram Group and the Indian financial sector. So my first question is, some of the management changes we did two months

ago, was this in lieu of this deal? And should we expect any more changes over the next course of the next few quarters?

Umesh Revankar: No, the management changes were the normal management changes. There is nothing surprising here. So as the term came to end of the earlier Managing Director, the new Managing Director and CEO has come, Mr. Parag Sharma. And he will continue for a longer time. And there is nothing in anticipation of this deal we have done.

Piran Engineer : Okay, understood. And so also, like you mentioned that in the vehicle segment, you will go into the higher ticket, lower risk segment. Should we expect something similar in MSME where you get into higher ticket lap right now you're operating in the INR10 lakh, INR 12 lakh segment ? But that's still a more niche market, the INR50 lakh , INR1 crore s segment? Should we expect you all to enter into that also?

Umesh Revankar: No, we will not go into large ticket SME lending. We will never get into lab lending. We will do only the SME business lending. We are very clear. However, yes, we will have additional security of property, either commercial property or residential property that will continue. But we will not get into large ticket and will not get into LA P.

Piran Engineer : But if I may ask, why will you not do that now that your cost of funds is likely to be competitive with the good players?

Umesh Revankar: See, we have been repeatedly saying that we are a conservative company. We do not wish to play for a long term lending. LA P, moment you call it as a LA P, it goes into 12 to 15 years longer lending, which you would like to restrict to five to seven years only, and only for a term loan and for the business purpose and based on the cash flow.

Piran Engineer : Understood, understood. And even this vehicle, new vehicle segment that we are talking about doubling market share, that will come primarily

from new vehicle loans to existing customers.

We will not go into the open market to source new vehicle loans aggressively?

Umesh Revankar: Yes, yes, you are right.

Piran Engineer : Got it, got it. And just my last question, could we, now that we're sitting on INR40,000 crores of cash, any potential acquisition, M&A that we could be thinking of?

Umesh Revankar: No. So we'll not be looking into any kind of inordinate growth.

Moderator: Thank you. We take the next question from the line of Avinash Singh from Emkay Global Financial Services Limited. Please go ahead.

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Avinash Singh : Yes, good morning. Congrats on the deal. First question, again, repeating on that, of course, you have provided some color, but I mean, with the higher capital in terms of accelerating growth, I mean, in terms of product, customer and geography, I mean, on the product side, adjacencies, you explained where you would like to go.

Now, in terms of your geographic footprints, you have been relatively more into the rural, semi - urban. I mean, does now your cost of funding becoming very, very competitive? Would you like to kind of venture more aggressively into urban or metros as well as, I mean, going after the prime customers also?

I mean, typically, the NBFCs or banks have been operating. So I mean, do you have certain plans around this customer and geographic adjacencies? And secondly, on MUFG, I mean, of course, the filing and everything says for now they are kind of a public investor. But now given the kind of direction of this investment and its trending importance, is there a plan from their side kind of being turning into the Copper Motors and like that? Thanks.

Umesh Revankar: See, basically, we would like to remain in our geographies where we are. We do not want to get into metros at all. We would prefer to be in the semi -urban rural market. And as I was telling, that we would prefer to retain my existing customer and definitely I will create more reach in the north, central and east where our footprints are a little less. We would be expanding. We have a rural center there.

We would be converting those into branches. So naturally, my reach in these geographies are going to be better. Even if you see the way each states are growing in India, south seems to be growing much faster and the GDP per person also is much higher and also to some extent west. But there is a scope in the east and north and central to grow. Especially we believe that central and north are likely to grow much faster and there is enough indication for us that they are catching up with south maybe in the next 5 to 10 years. And that is where we believe the sweet spot and the maximum growth we should be able to get.

Parag Sharma : On MUFG, there is no discussion whatsoever for any further stake. They will be classified as non-promoter and have 20% stake. There is no discussion whatsoever for any further increase as of now. And this is huge capital which is going to take some time for us to deploy. There is no need for any further capital or discussion for their stake increase.

Avinash Singh: Thank you.

Moderator: Thank you. We take the next question from the line of Pratik Kothari from Unique PMS . Please go ahead.

Pratik Kothari: Yes, good morning. So one question, irrespective of this large capital, we had the wherewithal, the products, the customer segments, etc etc, to kind of accelerate growth. But like you mentioned, for the last 3, 4, 5 years, we have been growing at this 15 %, 16%, 17%. So is it just this incremental capital which kind of now makes us more aggressive and we want to do 20%?

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Because the reverse would have been what we would expect. We are growing at 20% and you need capital and hence you went out and got capital. It seems t

he reverse where you got capital
and hence now you want to grow faster.

Umesh Revankar: See, basically everything falls into your cost of borrowing. And with this new capital, our cost of borrowing will come down and that will help us to get into a certain segment or certain customers. And therefore, the growth rate is higher. So it is not that we can grow at 20% at the current borrowing cost and attract capital. Therefore, we were looking for a partner for making a ground that our total liability cost, borrowing cost comes down with the peers in the market.

Parag Sharma : And also with the economic environment, the current GDP growth is good and possibilities and opportunities are there. We would like to take advantage of that and then grow faster.

Pratik Kothari: Correct. And sir, this 100 bps of cost of fund improvement over 2 years, if I just highlight the timeline, what happens very quickly, what happens 2 years out and the assumptions behind the thing?

Parag Sharma : I think 2 -3 things. One is the incremental liabilities and replacement of the current debt takes 2 years to 3 years. That is why we said it will happen over a period of time and not immediately. So whatever debt gets replaced, maturity will be around 2, 2.5 to 3 years. So that is why we give this 3 years ' timeline.

And for growth, whatever liabilities we raise additionally, that will definitely come cheaper, but that will be around 20% growth only for liabilities also. But replacement of debt, which normally takes a longer period for getting the pricing benefit.

Pratik Kothari: So the thought behind this is two, right? So one is a larger institutional partner backing us and two potential rethinking upgrades. So two of this fall in place and we 100 bps is what we can get?

Parag Sharma : So, I think that is the thing. And in fact, other thing also, because of RBI action rate cuts, the benefit is anyways flowing in ...

Pratik Kothari: I thought this 100 was over and above that. So this assumes the RBI rate cuts, which is yet to pass through?

Parag Sharma : Correct. It assumes that also. But yesterday also one rating agency has upgraded us to AAA. So we expect other rating agencies actions also being there. So let us, I think we will wait and watch. But we factor in all the positives and then say 100 bps improvement.

Pratik Kothari: Correct. And sir, last on this \$200 million non -compete that the Employed Trust kind of got. If you just explain what is this, the rationale, something on this?

Umesh Revankar: See, basically the promoters, part of the in the SOT, they should not be starting a similar business. Because you would have seen that normally whenever there is any investment, there is a non -compete clause for maybe a year or two. But this gives an, there is an understanding

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that we will not start any similar business by the promoter group. That is SOT. That is why this payment is made.

Pratik Kothari: But sir, this is unfair to the other minority, right? It's just this one cohort of investors who get something. I mean, I understand the reason behind it. And usually non -compete is part of things. But to get such a large amount just to one cohort, this seems off as a minority investor.

Umesh Revankar: No, it is paid directly by the investor.

Parag Sharma : And there is no price which is reduced because of this investment. As per the SEBI determined pricing, whatever was the preferential issue rate is what is paid, which is not discounted at all. So that full money comes into Shriram Finance.

Pratik Kothari: No, fair. But the one of the cohort of investors got a larger, I mean, if you do the per share calculation, what you got a different amount than what the others got, what Shriram Finance got.

So, I mean, agreed to what you are saying, but did you, I mean, the promoters did get a different rate

?

Umesh Revankar: No, promoters are not selling anything here. It is a fresh capital that is coming in.

Pratik Kothari: Thank you.

Moderator: Thank you. We take the next question from the line of Shubhranshu Mishra from PhillipCapital .

Please go ahead.

Shubhranshu Mishra: Hi, thank you for this opportunity and congratulations on this deal. So just the stock exchange notification that was originally put out, there were two other points which you answered earlier, but I'm just reiterating it, that MUFG can second up to three of its personnel as senior management up to 6 months of the completion date.

And there is a non-binding MOU to explore framework to identify beneficial business opportunities, which implies that there could be senior management changes, or they can have their own people come in. Second is that there can be acquisition targets. You answered these two, but if you can just clarify these two points from the stock exchange notification itself?

Thanks.

Umesh Revankar: Yes, see basically the understanding is that none of the second is -- would be either KMPs or senior management. They will be number two or number three level only. So none of the KMPs and senior management change is envisaged at this level or discussed.

Shubhranshu Mishra : Areas of synergy.

Umesh Revankar: Areas of synergy is basically, see, since they have investment in other Asian countries, we would like to see how their investment have progressed. And depending upon that some sharing of the information will be there. It can be that they will also learn from our experience here in India, and we can also learn from their experience.

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It's a mutually agreed. And I believe on the digital platform there will be some advantage, because they have a very robust digital platform in the Asian countries. And even though India is one of the leading in the digital what you call network and digital transactions, we believe that the other Asian countries have done much better in certain areas. We would like to really know from that and if possible, adopt here.

Shubhranshu Mishra : Right. One last question is that they also have a significant stake in DMI Finance, which is into digital lending and consumer durable lending, which could be a complementary business for us as well. In the future, is there a case that we will see the merger of DMI Finance into Shriram Finance?

Umesh Revankar: No, we don't see that opportunity -- the chances because it's a purely Fintech company and we have never -- we did not discuss. In fact, they have invested in DMI through their fund, one of their fund called Ganesha Fund and not directly from the bank as planned, as they're investing here.

Shubhranshu Mishra : And we don't want to explore that complementary business also in the present construct, consumer durable financing, Fintech partnerships, so on and so forth?

Umesh Revankar: Nothing was discussed and I don't see any kind of a chance there.

Shubhranshu Mishra : Thank you. Best of luck and Happy New Year.

Umesh Revankar: Thank you.

Moderator: Thank you. We take the next question from the line of Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Please go ahead.

Abhijit Tibrewal: Good morning, sir. Congratulations on this transaction. So, just a couple of questions . So, what is the timeline that we're looking for the completion of this transaction and once the transaction is completed, within what timeframe can we expect this equity including the two get deployed?

Umesh Revankar: Basically, the 14th is the EGM date and after that we need to apply for RBI approval, a formal approval from RBI and CCI. We expect it to take two to three months, but it can be faster also.

It all depends on how these things move. And we would be happy to get it in this financial year, but at the max it can be April

. So, we are happy to receive as early as possible.

Abhijit Tibrewal: So, basically, minimum of two to three months is what you're expecting on this transaction to get completed?

Umesh Revankar: There's something called minimum. It can be as early as possible. We are just giving you outer time it can be possible.

Abhijit Tibrewal: Okay. Got it. So, the other thing is, I mean, yesterday we reported we already have a AAA credit rating approved from CARE and maybe the others will follow it in the coming quarters. After that, I mean, with the AAA credit rating from multiple credit rating agencies, what is the steady

state leverage that we can operate at? I understand it will take a few years to get there, but what is the steady state leverage at which we can operate?

Umesh Revankar: See, as we have an international rating, we have to have a capital adequacy of 20. So, we always feel the sweet spot for us is anywhere between four to five times. Maximum five and four is ideal. And for reaching that four times leverage it may take maybe five to six years, but we are happy in this. I think the sweet spot is four to five and we should or I should say 4.5, should be the exact.

Abhijit Tibrewal: Got it, sir. Sir, then, I mean, a couple of times earlier in the call, we shared that over the next two years, we're expecting 100 basis points impact or benefit on a blended cost of funds. So, if Parag sir can just briefly explain, where is it that the bigger benefit will come from? Will it come from the debt capital market or will it be coming from the bank borrowings and how much of this benefit will be retained versus passed on to the customers to be mortgaged?

Parag Sharma: Yes, I think two, three fronts where the larger benefit will come. I don't think there is much of a differential when it comes to the bank borrowing between AAA and AA. There is definitely a lot of differential between the capital market borrowing what we have and also the retail deposit. Retail deposit is, for us, is around 26%, 27%. So, as and when we reduce rate there and the capital market, which is close to around 23% of our liabilities, both this will have benefit and that should happen over a period, as I mentioned, around two and a half to three years.

Abhijit Tibrewal: Got it. And sir how much of this do you think can be retained versus what could be passed on to the customers so that we gain market share, we can grow at a higher rate?

Umesh Revankar: See, basically, if you would like to retain many existing customers who are growing and becoming larger, how many of them -- I can tell you that around 30% of my customers over the period move out because they grow their business and they want a newer vehicle -- new vehicle or larger ticket. And if you are able to retain that itself is significant. We don't have to really look for a new customer to, you know, grow my business.

Abhijit Tibrewal: Got it. And sir, lastly, we spoke about now maybe targeting a 20% kind of an equilibrium CAGR with this equity infusion. And like you said, even if we end up retaining some of our existing customers who move out, we can very well get there.

Just trying to understand, I mean, we've discussed already a lot in terms of our focus on maybe venturing into newer series, maybe a bigger MSME playbook. But in terms of product segments, which are those product segments which will enough consume most of this growth capital that has come in?

Umesh Revankar: See, vehicle being 70% of my book, automatically, the larger capital will flow into that. All commercial vehicle, construction vehicle, plus your passenger vehicle is put together 70% of my book. And in the two wheeler, we're already number one player in the market. And we'll continue to remain number one there.

I don't really see a big change in the two wheeler, our market position. Probably, we'll be able to grow on the, what you call, bigger bike, that is -- which we were mostly focusing on a transportation kind of a bike. We may get into a little bigger bike, that's all. Otherwise, there may not be a big difference there.

But in the SME, I see a huge opportunity, but we'll be very cautious. As I was explaining you, we will not get into that. We will do only SME cash flow based lending. But definitely, we'll go for a secured lending. At least for some more years, we believe till the SME segment becomes much well understood by us, we will get into secured lending.

Abhijit Tibrewal: Got it. Sir, this is very useful. Thank you very much. And I wish you and your team the very best.

Moderator: Thank you. We take the next question from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Yes. Hi. Thank you. First of all, congrats on this landmark investment, sir. So, I have three questions. Third one more of a clarificatory question. So, first of all, you have mentioned also the 100 bucks reduction in cost of funds.

Now, if I tie in this with the lower leverage that we will have post this money coming in, and also the lower credit cost that you guided, do you think you are being too conservative on the

ROA numbers that you are guiding for, sir?

Because just mathematically, when I added all these three up, the numbers seem to be much higher the ROA uplift, at least, of course, in the intervening period. I'm not talking of, say, on a steady state basis like -for-like leverage, etc etc., which will still be at least 6, 7 years down the line.

Umesh Revankar: 3.6, I said at the end of 5 years. Interim, yes. When the capital comes in, the ROA will go up significantly. It may go up to 3.8. But it will slowly, as we expand our business, it will come down to 3.6. Whatever I'm trying to say is at the end of 5 years.

Viral Shah: Okay, got it, sir. Sir, secondly, on the growth front, you mentioned the growth acceleration from 15%-16% to, say, 18 %-20%. And this seems to be just incrementally on back of lending for new vehicles and that too for retaining customers. Do you think this is the kind of, just on back of this, we can achieve this growth, even, say, in the next 1 to 2 years?

Umesh Revankar: Yes, we are quite confident. See, the GDP growth rate gives us that kind of comfort and scope for growth. Now, 8% GDP growth in the last two quarters is very positive for us. And the credit demand, because of the increase, today's headline also you'd have seen that manufacturing is -- in one of the highest in the month of November.

So, I think there is enough demand for us to grow. So, as I was telling you, by just retaining my customer, I'll be able to grow 20. I don't have to really acquire a new market or new customer or do something totally different to achieve my growth.

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Viral Shah: Got it. And sir, lastly, on the leverage, you mentioned the sweet spot of 4.5 x. Just wanted to clarify, are you referring to the debt -to-equity or the asset -to-equity?

Umesh Revankar: Debt -to-equity. Debt -to-equity.

Viral Shah: Okay. Got it, sir. Thank you and all the best.

Umesh Revankar: Thank you.

Moderator: We take the next question from the line of Shriya Shivani from Nomura. Please go ahead.

Shriya Shivani: Hi. Good morning, everybody, and congratulations on this historic deal. So, I have two questions. My first question is just focusing on your product mix. While you've explained very well that your new customers itself, your existing customers themselves can support growth, but where would the vehicle, non -vehicle mix be for you?

It has been at about, if you include two -wheeler in the vehicle, it has been at about 80 -20. Will that, over 5 years, will you keep

it at 80 -20? Does that shift to 50-50 or any other number? If

you can help us understand how the diversification within your book takes place?

And my second question is, on the MUFG, the three set of people who will come in, will they - is there any clarity on which business segments would they come in to be a part of? One, you mentioned how you want to deliver their digital capability.

So, one can expect something like that can come in there, but is there any other area where you expect these people to, the new set of people to come in and be a part of certain business segments? So, those are my two questions. Thank you.

Umesh Revankar: Basically, on the overall proportion, I don't see there is any change because, as you rightly said, including two -wheeler and construction equipment and farm equipment, it is 80 -20. That is, 15% is SME and another 5% is gold and personal loans. So, overall, that proportion will continue to remain. But maybe, yes, we will be a little more aggressive in the gold financing because we have a reach which we need to take an advantage.

There will be a certain push for gold finance that will increase maybe another 2% more. So, gold finance going up by 2% more can bring down our proportion to 78 -22. So, it will be just 2 -2.

Maybe 5% variation could be there within the segment -- broader segment, not the small segment, that is how I think it will play out over the 5 -6 years. The second question is...

Parag Sharma: The second is?

Umesh Revankar: See, second is, right now, they have not indicated where they would like to put. But there are many things when the MUFG also has regulatory requirements there in Japan. And therefore, they also have to understand our accounting and some kind of reporting would be there because it is a significantly large investment in to India. So, we believe it will be mostly on this account maintenance and maybe reporting and digital.

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These are the areas. On the business front, it may take more time because they need to understand the businesses in India and slowly. But one thing we have made it very clear, it will neither be a KMP nor a senior management. It will be someone who will be wanting to learn business in India and understand India's environment and help in more of an information flow and the digital play.

Shriya Shivani: Got it. But there is still a possibility that some of them could come into some business segment as secondary also, right? Not just in these three, account maintenance and reporting that you are talking, that is still a possibility. There is no restriction on that, right?

Umesh Revankar: See, I can't put any restriction. But yes, definitely if they want to learn something in India and use that in Indonesia, definitely welcome, no.

Shriya Shivani: Yes.

Umesh Revankar: That's how any investment has to be for learning new things. Because Indonesia also has a very active NBFC sector and there are a large number of financial institutions there beyond the bank.

Of course, they have invested in the bank, but the bank also has a NBFC, sorry subsidiary. That's how we understand.

Shriya Shivani: Got it, sir. This is very useful. Thank you and all the best.

Moderator: Thank you. We take the next question from the line of Umang Shah from Kotak Mutual Fund.

Please go ahead.

Umang Shah: Hi, good morning and thanks for taking my question. Congratulations on the deal and the much-anticipated rating update. Sir, just one question and a couple of clarifications. First is on the non-compete, if you could just help us understand this better. So, what is the duration of the non-compete? And the non-compete, does it just apply on SOT or even the members or beneficiaries of the SOT, which could be current or past senior management within the group?

Umesh Revankar: No, it is basically for SOT,

that is a promoter group. And there is nothing like a timeline. So, we have decided that we will not have another business started by the SOT, that's all. Matter is over.

One time.

Umang Shah: Okay. And any of the members or beneficiaries are sort of then technically become part of this agreement, right?

Umesh Revankar: They are all part of the SOT. Anyone who is part of the SOT, they will not be able to start any business. Matter simple.

Umang Shah: Okay, understood. Sir, the other two clarifications. One is once all the regulatory approvals are in place, the \$4 odd billion comes, the money comes into the company in one shot or are there any milestone linked investments?

Umesh Revankar: No, it is one shot.

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Umang Shah: Okay. Perfect. And so, the last one is, when looking at your commentary, it appears that your ROE target for the next five years appears a bit conservative. Even if I build in the cost of fund advantage and maybe a little bit of credit cost benefit, ideally, we should hit our ROE targets much sooner compared to what you are guiding for. I mean, it's fair to be conservative, but is my understanding correct or am I missing something here?

Umesh Revankar: See, we are a conservative company. We'll be thinking conservatively only. We don't have any other way to think. So, you should guide us on other possibilities.

Umang Shah: All right. Okay. No problem, sir. I got it. Thank you so much and wish you all the best.

Umesh Revankar: Thank you.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to Mr. Umesh Ravankar for his closing comments.

Umesh Revankar: Thank you, everyone, to come online today. Now, these are all holidays and so many of you, it is the holiday season and I wish you New Year wishes. Plus, one thing I would like to remind you, we have sent notices and I request everyone to positively participate in the vote for us - vote for the resolution and participate. If you have anything to discuss, feel free to talk to Sanjay. We are open to discuss one-on-one at any point of time on any issues. Thank you very much. I wish you all the best for the New Year 2026.

Moderator: Thank you. On behalf of Shriram Finance Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

SHRIRAM Finance

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SEC/FILING/BSE -NSE/2 6-27/68A -B May 04, 2026

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Scrip Code: 511218 National Stock Exchange of India Limited

Listing Department Exchange Plaza,

5th Floor, Plot no. C/1, G - Block, Bandra -

Kurla Complex, Mumbai – 400 051.

NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the fourth quarter and financial year ended March 31, 2026.

Further to our letter dated April 24,2026 , regarding the audio link of the investor's earnings call for the fourth quarter and financial year ended March 31 2026, we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you.

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO

COMPANY SECRETARY & CHIEF COMPLIANCE OFFICER

Encl.:a/a.

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"Shriram Finance Limited

Q4 FY 26 Conference Call

April 24, 2026

MANAGEMENT : MR. UMESH G. REVANKAR – EXECUTIVE VICE

CHAIRMAN – SHRIRAM FINANCE LIMITED

MR. PARAG SHARMA – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – SHRIRAM FINANCE

LIMITED

MR. S. SUNDER – JOINT MANAGING DIRECTOR AND

CHIEF FINANCIAL OFFICER– SHRIRAM FINANCE

LIMITED

MR. SANJAY KUMAR – INVESTOR RELATIONS HEAD –

SHRIRAM FINANCE LIMITED

SHRIRAM Finance Shriram Finance Limited

April 24, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Shriram Finance Limited Q4 FY '26, Fourth Quarter Ended 31st March 2026 Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh G. Revankar, Executive Vice Chairman, Shriram Finance Limited. Thank you, and over to you, sir.

Umesh G. Revankar : Yes. Thank you. Good evening, friends from India and Asia. And warm welcome to all of you . Greetings also to those who joined the call from western part of the world. To present our Q4 FY '26 earnings call today, I have with me Managing Director and CEO, Parag Sharma, Managing Director; S. Sunder, Joint Managing Director and CFO; Sanjay Kumar, our Investor Relation Head. It has been a good fourth quarter year for result for Shriram Finance under current circumstances. Let us first look at the broad economic indicators.

The India's GDP growth slowed down to 7.8% in the third quarter fiscal 2026 down from 8.4% previous quarter. However, FY '26 growth projection has been revised to 7.6% from 7.1%. Despite the current volatility, the IMF have projected the growth rate of 6.5% for FY '27. The economic strength is attributed to resilient domestic consumption and investment. However, it faces risk of high oil prices and geopolitical tension.

India's retail inflation rose slightly to 3.4% in March 2026, up from 3.21% in February. This increase is mainly due to higher food prices influenced by external geopolitical factors, especially the ongoing crisis in West Asia. India's wholesale price -based inflation also accelerated over three years high, reaching 3.88% in March from 2.13% in February.

A key takeaway of RBI policies are as follows: repo rate unchanged to 5.25%. Policy stand remain at neutral. GDP forecast '26 -'27 is at 6.9% against earlier projection 7.6% of '25 -'26. CPI inflation forecast for FY '26 -'27 is raised to 4.6%, up from 4.2% due to rising crude oil price and supply chain disruption.

India's rural economy is facing dual threat in 2026 from potential monsoon shortfall and elevated agro input costs driven by global conflict, both of which could weigh on agriculture output and farmers' income, rural demand and food inflation. The Southwest monsoon remains critical for Indian economic growth as strong kharif harvest boosts rural income, drive demand for FMCG tractor, automobile, 2 -wheeler, jewellery and consumer durables.

As per the IMD forecast, the rains are likely to 92% of average rainfall as per IMD. This climate has projected Southwest monsoon of 94% of long -term -- long period average. The deficit is expected to weaken rainfall primarily in the second half of the season.

However, good rains during last two years above 100% has helped the reservoir being at a good level and also water table being high. These are the positive, and we expect that to help out the initial challenges in this current year. The GST collection grew by 8.8% to over INR2 lakh crores in March this year as compared to INR1.83 lakh crores in March 2025. Meanwhile, gross GST SHRIRAM Finance Shriram Finance Limited
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revenue rose to INR2 lakh crores in financial year '25 -'26, an 8.3% increase over to INR2 lakh crores recorded last year.

Overall, the OEMs had a good year this year. The total CV sales increased by 18.86 in Q4 FY '26, which stands at 3.25 lakh units as against 2.74 lakh units sold in Q4 '25. For the full year, the sales increased by 12.64% to 10.8 lakh units against 9.59 lakh units in

FY '25. With CV,

M&HCV recorded 21.2 in Q4 '26, and which stands at 1.4 lakh units against 1.5 lakh units sold in Q4 '25. For the full year sales, it increased by 12.86 to 4.23 lakh unit against 3.75 lakh units in FY '25.

LCV sales recorded 17.14 growth in Q4 '26. It stands at 1.8 lakh unit versus 1.58 lakh units sold in Q4 FY '25. And for the full year, sales increased by 12.5% to 6.57 lakh units against 5.84 lakh units. Passenger vehicle sales at Q4 '26 recorded 13.22% growth, which stands at 13.16 lakh units as against 11.63 lakh units in Q4 '25.

And for the full year, sales increased by 7.94% to 46.43 lakh units as against 43.02 lakh units in FY '25. Two -wheelers recorded growth of 26.39% with sales of 57.73 lakh unit in Q4 FY '26 at against 45.68 lakh units sold in Q4 '25.

For the full year, sales increased by 10.70 % 217.06 lakh unit against 196.07 lakh unit in FY'25. Three -wheeler's sales recorded a growth of 26.74 in Q4 with sale of 2.27 lakh unit sold versus 1.79 lakh unit sold in Q4 '25. For the full year, sales increased by 12.79% to 8.36 lakh unit

against 7.41 lakh units. Tractor also recorded a growth of 22.87% with 2.86 lakh units sold as against 2.33 lakh units sold in Q4 FY '25. For the full year sales increased by 18.95% to 10.5 lakh unit against 8.83 lakh unit in FY '25.

Construction equipment recorded a degrowth of 16.02% with 29,289 units being sold as against 34,876 lakh units sold in Q4 '25. For the full year, sales decreased by 8.24% to 1.14 lakh units as against 1.24 lakh units in FY '25. EV sales, electric vehicle sales, the PV increased by 82.4% to 1.89 lakh units as against 1.03 lakh unit for the full year. Similarly, three-wheelers increased by 18.84% to 8.31 lakh units as against 6.99 lakh unit. Two-wheeler, the full year increased by 21.72% to 13.93 lakh units against 11.44 lakh unit.

On April 8, 2026 in terms of investment agreement dated December 19, 2025, the company achieved a transformative milestone by successfully completing preferential allotment of INR47,11,21,055 fully paid up equity shares of face value of INR2 each to MUFG Bank Limited at an issue price of INR840.93 per share.

This landmark transaction totalling INR396.18 billion resulted in MUFG Bank holding 20% stake in Shriram Finance on a fully diluted basis, which significantly bolsters our capital adequacy and provides a robust foundation for long-term strategic expansion. The Board of Directors have recommended a final dividend of INR6 per equity share for the face value of INR2 each fully paid, that is 300% for financial year '25-'26.

Subject to approval by members in ensuing 47th Annual General Meeting of the company. This is in addition to the interim dividend of INR4.8 per equity share declared on October 31, 2025.

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With this total dividend for the financial year will be INR10.8 per share for INR2 each. I shall now ask my colleague, Parag Sharma, to take us through operational performance.

Parag Sharma: Thank you. Good evening, everyone and welcome to our Q4 FY '26 earnings call and I trust you had the opportunity to use our results and the related investor presentation, which has been posted on the website of stock exchanges. With regard to disbursement, our growth was 14.91% year-on-year. Our disbursement in Q4 FY '26 this year aggregated to INR50,952.30 crores versus INR44,340.57 crores in Q4 FY '25.

Our assets under management as on 31st March 2026, registered a growth of 14.85% over Q4 FY '25 and of 3.62% sequentially. Our AUM stood at INR 3,02,273.75 crores as against INR2,63,190.27 crores a year ago and INR2,91,709.03 crores in Q3 FY '26. Our net interest income in Q4 FY '26 registered a growth of 15.58% year-on-year.

We earned a net interest income of INR6,994.08 crores in Q4 FY '26 this year as compared to INR6,051.19 crores in Q4 F

Y '25. Our net interest margin in Q4 FY '26 was at 8.61% as against 8.25% in Q4 FY '25 and 8.58% in Q3 FY '26. Our profit after tax grew by 40.86% in Q4 FY '26 over Q4 FY '25. We registered PAT of INR3,013.57 crores for Q4 FY '26 as compared to INR2,139.39 crores in Q4 FY '25 and INR2,521.67 crores in Q3 FY '26.

Our earnings per share for the quarter stood at INR16.02 as against INR 11.38 in Q4 FY '25 and INR13.40 in Q3 FY '26. Our asset quality gross Stage 3 in Q4 FY '26 stood at 4.58% and net Stage 3 at 2.33% as against 4.55% gross and 2.64% net in Q4 FY '25 and was 4.54% gross and 2.38% net in Q3 FY '26.

Our credit cost on total assets for FY '26 stood at 1.68% as against 2.07% for Q4 FY '25 and 1.62% for Q3 FY '26. Our cost-to-income ratio was 25.32% in Q4 FY '26 as against 27.65% recorded in Q4 FY '25. Our cost-to-income ratio in Q3 FY '26 was 29.66%. The increase in cost to income in Q3 FY '26 was mainly due to incremental impact of INR 196.95 crores on gratuity and long-term compensated absences, representing increase in past service costs because of change in definition of wages under new Labour Code.

On the liability side, this quarter the borrowing has been muted and overall liabilities have not grown compared to December quarter and liabilities stand at INR 2,50,690 crores. The cost of liabilities have marginally come down compared to previous quarter from 8.69% to 8.59%. And as of March '25, it was 8.96%.

The incremental cost of fund is not relevant because we've not borrowed much, but still it was 7.2%. The liquidity coverage ratio for the company is at 323.17%, which was 335% in the December quarter. Now overall liquidity is at INR13,000 crores, roughly around INR13,000 crores and that is sufficient for more than 2 months of liability repayment.

The liquidity was slightly brought down because of anticipation of large capital funds being targeted for the first week of April, which was INR 40,000 crores. The leverage ratio is at 3.82 times and that has slightly come down from the December quarter. And with this capital infusion, this will be in the range of 2.4% roughly. The capital adequacy ratio post this equity as of now

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is 20.4% and post-equity infusion will be 34%. So with this, I hand it back to the operator for opening the forum for question and answers.

Moderator: Thank you very much, sir. We will now begin the question and answer session. Our first question is from the line of Renish from ICICI. Please go ahead.

Renish : Yes. Hi, sir. Thanks for the opportunity. My first question is on the segment-wise AUM growth right? So if we look at it except CV and farm equipment, most of the segments are witnessing capital growth specifically in Q4 and despite seasonally being the strong quarter and also benefiting from GST cut.

So how one should read this trend, I mean it is due to demand at ground level owing to external environment or do you see some stress building up in some product market and hence we might be calibrating growth in such segments. Also last quarter, we've been mentioned about we will start entering into high ticket size loans, new vehicle loans, etcetera. So any updates on that front also?

Umesh G. Revankar : Yes. Basically, if you look at the overall sales number, which I presented while giving you the note. The numbers have grown right from 10% to 20% in various category especially this increase in sales have happened post reform or post GST reforms or GST rate cuts. And therefore, the last quarter, especially Jan to March, you saw good progress in the new vehicle sales, and there is also equally demand in used vehicle in the both, I think, the demand is good. And this year, we expect the overall growth to be muted. I don't see a big growth in this financial year. But since the demand for used vehicle

is likely to remain strong, I think we will have a steady growth. And we also expect on the farm side, the tractor side, this year, since the monsoons are likely to be delayed and monsoons are likely to be weaker, we expect the demand to come down a little.

But however, it should not impact the used tractor financing. And on the new vehicle financing, as you asked us, there is a growth in our new vehicle financing, especially the customers who were otherwise going out to the competition, we are able to retain and finance them. And we are seeing good progress in the growth of new vehicle in our area.

Renish: Got it. And just a follow-up on that, sir. So when we are saying FY '27 growth to remain muted, so should we assume that it will be lower than FY '26 growth as well?

Umesh G. Revankar : I see we have ended the last financial year with around 12% to 15% growth in most of the segment. If you are able to have the same number of sales this year, flat growth, that in itself will be an achievement. So I think that itself will give us growth in all the segments for us because our penetration will go up and we'll be able to retain our customers longer.

Renish: Got it. So the reason why I'm asking this is because when we hosted a call, when this deal was announced, I think our plan was to accelerate growth to 17%, 18% with entering to high-ticket loans, vehicle financing, etcetera. So I mean is this a transitory element because of external environment, hence we are seeing growth will be muted in FY '27. Is that the ...?

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Umesh G. Revankar : I'm not talking about companies growth muted. I'm talking about sales number is muted, but we will be growing at 18%. Yes. We will be growing at 18%.

Renish: So, for us, AUM growth, we'll be 17%, 18% is what you're saying?

Umesh G. Revankar : Yes, yes. We have projected and budgeted 18%, and we'll grow at 18%.

Moderator: The next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: My question was, firstly, on the opex front. So that while Parag sir, highlighted that last quarter, INR190 crores was the one-off in the opex number. But in this quarter, we have seen sharp decline even on Y-o-Y basis, it is down by 2 percentages. So what explains that?

S. Sunder: There was some decrease in the operating cost, and it was also aided by a strong NII in the current quarter, which has resulted in an improved cost-to-income ratio. And as we have been earlier guiding, we should be in the long-term range, it should be around between 26% to 27%.

Shreepal Doshi: Sir, but on the opex front, like not talking about the CI ratio, but on the opex front alone, this improvement is...?

Umesh G. Revankar : Compared to the previous quarter.

Shreepal Doshi: Yeah, compared to the last year. Yes, compared to 2Q FY '27.

S. Sunder : Okay, compared to Q4 '25, it's a long-term thing. I would suggest that we'll compare with the December number. December number, as you are aware at INR196 crores of additional cost was incurred for providing into the new labour code requirement. So that increased the staff cost, that is not there in the current quarter. And there has been a muted. We were not very aggressive in the increasing the headcount. It has been compared to the previous year, if you see from

79,000 odd employees, we are at 76,000 employees.

And that has also contributed to a lower staff cost in the current quarter, which, going forward, we again want to increase it closer to 80,000 in the next couple of quarters. So that is one. And on the other opex, the current quarter, we spent less on our branding expenses and other advertisement cost.

And also there was one change in the accounting estimate wherein the expenses related to the two-wheeler DSA payout. As until December 2025, we were charging it upfront, now this is to align with

the Ind AS requirements, we have decided to defer it over the tenor of the contract.

And hence, there has been a dip of around INR50 crores on that account.

Shreepal Doshi: My second question was on the GS 2 plus GS3 print. So on a sequential basis, we have seen an uptick there, and it is visible across CV, PV and MSME, which are our key segments. So have you seen some deterioration in that business segment. Are you experiencing any customer profile specific or geography-specific issues sir?

Umesh G. Revankar : See, we are into retail segment. There will be some fluctuations in the cash flow of the retail customers. So we can't construe that it is an ongoing. It keeps moving from Stage 2 or Stage 3

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sometimes and even between Stage 1 and Stage 2 and come back. So there's nothing like one specific geography. So there are some segments of MSME had some impact. But I think it is now reasonably well controlled.

And we also have reduced our MSME growth just to keep a watch on this segment, and we are very careful about it. And most of our MSME loans are against the mortgage of property. So we have nothing to really worry about it.

Shreepal Doshi: Got it. Sir, just a follow-up there. Within PV, we have seen highest GS2 increase. And also in CV, it is up by almost 17 basis points on a sequential basis. So anything like while you highlighted with in MSME, there are two segments within CV and PV also, like if you could give some more details?

Umesh G. Revankar : So this also, again, we are into extreme retail individual operator kind of lending, where there will be fluctuation in the incomes. So we have anticipated this while lending itself. Our business model itself recognizes this fact and the credit cost is factored in our lending rates. So we have nothing to really worry about it. When you look at our asset quality, overall, it is more from gross Stage 3, 4.55 to 4.58 only 3 basis points year-on-year.

Shreepal Doshi: Got it. So sir, given that like you highlighted that our customer segment is relatively retail, extremely retail, now given that the geopolitical situation as well as oil prices going up, it exposes us significantly. So are we looking at a higher let's say, building in a higher credit cost number for FY '27? Or you're trying to or in the current quarter, have we tried to create some buffers?

Umesh G. Revankar : See, overall coverage, we have increased a little. But right now, we cannot comment on that, because fuel prices have not gone up. Unless the fuel price goes up and to what extent it goes up, we can't build a model on what is the likely credit cost or the -- ultimately, whatever the increase in the fuel price, the operators will pass on to the customer. It is not absorbed by the transport alone or part -- even part. It passes down to the either shipper or the customers. So that his business model does not get disrupted.

Shreepal Doshi: Got it, sir. Thank you so much for answering my question and good luck for the next quarter.

Moderator: Thank you. The next question is from the line of Sanket Chheda from DAM. Please go ahead.

Sanket Chheda: Hi, sir. So my question was that as you mentioned that maybe in some quarters the GS3 moves up. But in Q4, it is usually unlikely that it does moving up. So was there anything specific?

Umesh G. Revankar : No, Q4 gone up what?

S.Sunder : Marginally.

Umesh G. Revankar : 4.58 it is from 4.55 to 4.58.

Sanket Chheda: Yes, it has gone up 17 bps, not a big increase, but just taking into context that is the Q4, where we usually see improvement across other vehicle financials?

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Umesh G. Revankar : No, we are not seeing any kind of what we call challenging situation. Things are quite normal. And since it's we are lending to all the

retail customers. Cash flow mismatches will be there.

Sanket Chheda: Okay. So second question was, sir, now post this MUFG infusion, we are at the same level as

far as the stake is concerned between you and MUFG and as far as the deal is concerned there was a point wherein MUFG will not be able to say, buy from secondary market for 24 months. So does that stay or maybe there is a possibility that there could be some same increase before that also by MUFG. So anything on that, that you would like to say?

Umesh G. Revankar : See, this cannot be spoken here because nothing has been discussed. So they have just come in and you are already talking about something futuristic. I think this is not a very appropriate question at all.

Sanket Chheda: No. So just wanted to get a sense because there was a, say, condition that there won't be secondary market that is what you are trying to?

Umesh G. Revankar : See, this was part of the agreement. Okay. So, you cannot speak immediately on the arrival, what will be the next stage. You can't speak about it.

Sanket Chheda: So it's too early, you were saying?

Umesh G. Revankar : You have to understand, it's not even one month.

Sanket Chheda: Correct. Sure sir. I get that. And lastly on the growth, we had said that maybe this year, at the start of the year you were saying 15% we will grow, but around the GST cuts and the positive impact of that coming in Q3, we had expected that we might do 16%, 17% or slightly higher than 15%. But we are closing this year at 15%. What gives you the confidence that 18% in FY'27 would be achievable considering some impact in Q1 as far as growth is concerned. So what really gives you the confidence that 18% would be really possible?

Umesh G. Revankar : See 18% is the budget we planned. And looking at the current situation, we need to relook at it, but not now because you would like to wait for the situation to be understood fully. We would like to know which are the segment has an impact. Right now as of today, since fuel price have not increased, the monsoon conditions are not known. We can't predict anything. So April month is normal April month for us. We have not seen any challenges. Going forward, what is going to happen that we need to see. But definitely, after the first quarter, first three months, we will relook at our budget. Then probably give guidance.

Sanket Chheda: Sure, sir. That was really helpful. Thanks a lot.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Good evening, sir. Thank you for the opportunity. The first one is slightly clarificatory. This 18% growth you are talking about is on the AUM or the disbursement? Second, what is our growth guidance or maybe a cost to assets guidance growth guidance for opex or cost to asset guidance.

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Third is, sir, how do we look at the credit cost, do we want to increase our provisioning given there are certain headwinds and uncertainties. And fourth is around the new directors we have on Board the Japanese Directors. How do we look at the executive team from a 3-year perspective? Would we see any changes at the executive level?

Umesh G. Revankar : See, the 18% is on AUM growth opex cost will be on same level at around 26%, 27%. The credit cost as of now, we don't see a big challenge there. But we will be revisiting the number after the first quarter result, looking at the market condition and the challenges we are facing. And it will be mostly dependent on how the higher fuel price as and when it is declared is going to have an impact on the inflation.

And if the inflation impacts the consumption and the manufacturing, what will be the ultimate impact on the transporters. So that will take some time for us to understand. But as of now, we feel

there is no change in our estimation on the credit cost. And the new directors have joined the Board and there is no change in the way management is functioning. Management has continued to function. And the Board also has recommended Mr. Parag Sharma to continue for approved continuation for next 5 years. And it is going to be AGM for the shareholders' approval.

Shubhranshu Mishra: Sir, what I meant is that presently there on the Board, would we see more of Japanese people on the senior management personnel as well in executives roles in management roles?

Umesh G. Revankar : No. Right now directors have come in the Board. We have some people coming in the executive role, but not in the senior management role.

Shubhranshu Mishra: Understood, sir. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Yes. Good evening, sir. Am I audible?

Umesh G. Revankar : Yes.

Abhijit Tibrewal: Hi, sir. Sir just one thing. A few times, we talked about fuel prices and the fact that, I mean, given that state elections might now get over, there could be an increase in fuel prices. Just wanted to understand this fuel price increase leading into inflation, which may consequently

feed into some impact on consumption and eventually the loan truck operators get. When something like this happens, do we first see this impacting asset quality or first, the impact comes on growth?

Umesh G. Revankar : See, basically, what happens is when these things happen, the transporters pass on the cost to the customer. They don't absorb the cost. So they don't have any challenge on their net earnings. Net earnings of the customers do not get impacted at all. The impact will be when the economy is closed down.

When there are not enough activity in the economy, when the vehicles are not fully engaged, then the impact comes. So it happens over the period. So if the economy revives or keep growing

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at the same rate, even when the prices go up, the transportation prices, nothing happens to the credit cost or to the transporters business.

Abhijit Tibrewal: Got it. So sir, I mean in that case, if fuel prices indeed go up and we'll have to see by what amount it goes up. And if that leads to some slowdown in the economy, you see that the growth might slow down, not the number of vehicles sold might slow down, but there is no direct impact on collections and credit costs and asset quality like you mentioned.

Umesh G. Revankar : Yes.

Abhijit Tibrewal: Second thing is sir, I mean, almost what, 55 days into this West Asia war. In the last maybe one week or so or maybe, not one week, maybe last one month or so, have you seen some supply chain disruptions on the ground where truckers are not getting adequate loads. Basically, what I'm trying to understand is, are we still at a point in time on 24th April today where this West Asia conflict has had no impact on the economic activity?

Umesh G. Revankar : See as of now, we don't really see that, because there are delays in getting raw materials. This is a challenge of supply, but as far as the transportation slowing down, our customers not getting enough growth, there are no indication as of now.

Abhijit Tibrewal: Got it sir. And then, sir, lastly, I just wanted to understand, we have, reported a very strong Y-o-Y and Q-o-Q growth in the profits in this quarter. Just trying to understand was taking any contingent or continued provisions or management only contemplated in the Board meeting earlier today?

Umesh G. Revankar : There were discussion on the same. But we thought, unless we have a realistic picture on the, either the fuel price or the monsoon situation. We'll not be able to assess. So the discussion will be definitely there. But since it is not as

essed, they not really acted on that. But we always have a conservative approach and we do have some additional cover.

Abhijit Tibrewal: Got it, sir. And then, sir, my last question is for Parag sir. Sir, given what has been happening to the bond yields and the fact that we are also active in the debt markets while you mentioned in your opening remarks that we did not borrow a lot in the last quarter. How were incremental cost of funds trending in March compared to, let's say, Jan and Feb and how are they today in April?

And lastly, for us, when I talk about our liabilities and our cost of borrowings, we all know you will see some benefit in your cost of fund because of a credit rating upgrade. But if you were to just remove that element out, do you think that the cost of borrowings and especially the incremental cost of funding has started moving up if we just take out the element of the credit rating upgrade benefit that we have?

Parag Sharma: Okay. One, I think capital market, we have not borrowed in the last quarter. But if I look at what we borrowed in December quarter compared to rates at which we might have borrowed at the earlier rating levels. We did around 7.5 was the last bond issuance we did in the December quarter. If we had to borrow in March quarter, I think we would have borrowed at close to around

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770, 775 level. So that could have been around 25 basis point increase in the bond rate. But yes, this is at the AA+ rating level, and we have now been upgraded.

So, we have to test the waters with AAA rating. We are, as of now, not in a hurry because of the excess liquidity and maybe looking at borrowing only after maybe four or five months. We'll have to look at the market situation at that point of time. But at the earlier rating level, yes, in a quarter, there has been some movement in the volume.

When it comes to other borrowing instrument. I think we are more comfortable because bank, the risk weight comes down to rate should definitely improve. We have reduced our deposit rates. Overall, I think we should look at lower cost of borrowing in the coming year.

Moderator: The next question is from the line of Piran Engineer from CLSA.

Piran Engineer: Congratulations on the quarter. Just continuing on the previous question, how much of the cost of funds benefit will be passed on borrowers in terms of yield pricing? In another way, are we targeting a NIM at current levels? Or are we targeting the NIM at, say, 9, 9.2 sort of levels?

Umesh G. Revankar : See, we would like to protect the NIM and keep growing the business. It all depends upon the market situation. And if at all, we need to pass on some benefit to the customer to grow our business, we will do it. So how much, we can't really park it separately and do it. As and when it matters, it keeps happening. So, ultimately, our aim is to retain our existing customer. And when, as and when he grows for larger ticket or new vehicles or new machinery keep funding it.

Piran Engineer: Okay. Sir, if I asked this question in another way, in your budgeting today, where you budgeted 18% AUM growth for next year. What have we budgeted for margins?

Parag Sharma: Interest Margin 8.5.

Umesh G. Revankar : Interest margin, we have budgeted 8.5 only.

Piran Engineer: 8.5 only? But sir, why would you budget that?

Umesh G. Revankar : Pardon?

Piran Engineer: I mean why wouldn't you budget a higher NIM because of the cost of funds benefit we are going to get.

Umesh G. Revankar : As and when the cost of benefit comes, we'll keep doing it. The Q-on-Q it will vary. You can pinpoint and put this as a number.

Piran Engineer: Understood. Understood. Okay, sir. Sir, secondly, just on MSME lending, what percentage of this book is unsecured? And what signs should we see to sort of expect growth to come back?

Umesh G. Revan

kar : See mostly all large tickets, we have a mortgage. Only the small ticket, we do not insist on the mortgage of property. So exact numbers, we will pass it on through Sanjay.

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Piran Engineer: Okay. And sir, just on growth?

Umesh G. Revankar : On growth?

Piran Engineer: Like when do we, like last two years, growth was 25%, 30% in MSME after the merger with SCUF happened? Last year, it has moderated to 10%, 12%. Some part of it could be cautioned.

My question is next year, should we see this scale back up? Or are we continuing with our cautious view?

Umesh G. Revankar : We'll be cautious, because, one, we slowed down because of the U. S. tariff, now because of West Asia. So we will be looking at reviewing the situation and keep working on it. So as of now, we'll be conservative. We'll be looking at around 13% to 15% growth. But as situation improves, we'll increase our lending.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Congrats on good numbers. My first question is on the very strong growth seen sequentially in CV portfolio. So if you can give some color whether the new CV financing you picked up on?

Or was it used, which kind of increased its momentum. And whether in use, did we increase our market share in our core vintage segment of 5 to 8 years or 5 to 10 years? Can you give some color about why this high growth came about in this quarter in the CV portfolio?

Umesh G. Revankar : The new financing has actually gone up. It has improved significantly because sales also has improved. If you look at the quarter-on-quarter sale year-on-year quarter, nearly 20% growth is there in the CV sales. So that also helped us. Our new vehicle financing has gone up significantly. Meanwhile, our used also is growing, because we are able to create more penetration in the deeper pockets. That also is growing.

Rajiv Mehta: And in terms of market share, did we increase market share in used?

Umesh G. Revankar : You mean the new vehicle market share?

Rajiv Mehta: No, no, used vehicle, used CV market share, in financing.

Umesh G. Revankar : Used Vehicle. Yes. That is, we are the largest player in the second-hand vehicle. More the penetration, we are able to grow our business. So it is increasing and the rural demand is also quite good for CV now.

Rajiv Mehta: Sir, why did the used CV financing portfolio slowed in this quarter? I mean sequential growth rate is very tepid, whereas I think we were in a very good momentum for the last two, three years. But suddenly, in this quarter, we have seen the momentum kind of come down significantly. And I mean, generally, what did you see in the market to slow down so much?

Umesh G. Revankar : There's no slowdown in CV. I don't see, actually, we have grown in the CV.

Rajiv Mehta: No, PV, PV, sir. Used PV financing.

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Umesh G. Revankar : PV, passenger vehicle. The passenger vehicle, there's nothing to say that. But maybe the focus was more on the CV. But I think we'll be able to grow that back. And we'll be growing strongest in this financial year. You will be able to see more than 20% growth in passenger vehicle.

Rajiv Mehta: Okay, this year?

Umesh G. Revankar : Yes, this year.

Rajiv Mehta: And sir, you said that in April collections are , I mean you said that April there has been no impact so far, which means that can you presume that collections are going steady? That's number one. And secondly, again, just circling back to the asset quality when I look at the flow forward and the movement in Stage 2 and Stage 3, especially in Stage 2 also, in CV and PV, there has been an increase in a usually strong quarter of collection.

So I just want to understand, was there something specific somewhere in these

two portfolios,

which led to slightly lesser collections than what you have budgeted and which is why there was a slight significant increase in Stage 2 and Stage 3 in this quarter.

Umesh G. Revankar : See, in the retail lending, if somebody moves from the 0 bucket to 30 bucket, 30 to 60, we normally don't know very take a stringent action on the customer. We also understand cash flow mismatches are quite common.

There could be some reason and marginal increase in these buckets doesn't really bother us because we are financing asset earning asset, which has a good resale value. So, if it is unsecured, then we should be worried or if it is a personal loan, we should be worried.

These are all the asset which has a good value and we normally fund conservatively for used vehicle at around 65% of the value. And new vehicle, we financed around 80%, 85% of the value. So, we don't have really a rush to make a collection. But we do take the we do reach out to the customer to remind. So, we are not unduly worried about it a small increase in the Stage 2, we don't get upset.

Rajiv Mehta: Thank you and best of luck .

Moderator: Thank you. The next question is from the line of Kunal Shah from Citi group. Please go ahead.

Kunal Shah: Yes. Thanks for taking my question. So, when we look at it in terms of the disbursements, what has been the proportion of this new vehicle's now? And where do we see it going through over the next 18 to 24 months because we have been saying that the new vehicle will start contributing to the growth. But just want to gauge in terms of the proportion of disbursements, how it's scaling up?

Umesh G. Revankar : No, I'll give the exact number through Sanjay. But actually, our new vehicle proportions are increasing in our disbursement. And I believe this is going to become norm over the period, because both in passenger vehicle and the commercial vehicle, new vehicle proportions are increasing and the exact number will be given through Sanjay.

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Kunal Shah: So broadly, would it be in the range of like 10, 20 today? And do we see it scaling it up to like 30%, 35% over a period because that's something which can drive the growth by 3, 4 percentage points, okay? So just wanted to gauge where we are and how you would look at over the next 18 to 24 months in terms of the proportion?

Umesh G. Revankar : Yes, it's around must be around 15% now on yields 15% to 20% now. But it may not go to 30%, 35% of the proportion. I know where you are arriving at Kunal, you want to arrive with the overall growth where it comes from. But.

Kunal Shah: Yes, broadly, also maybe if you can just give this breakup of maybe the projected growth ?

Umesh G. Revankar : 15% to 20% it may go by 5 to 10, another 5 to 10 % over the next two quarters .

Kunal Shah: Okay. So, 15% to 20% of disbursements might go up by another 5, 10 percentage points on the new side ?

Umesh G. Revankar : Yes.

Kunal Shah: And when you project is growth of 18 % odd, if you can just highlight in terms of across the product segments, how we are projecting. It may be on the commercial vehicles, on the passenger vehicles, MSME, you indicated it will be 13% to 15% odd. Maybe tractors will come down from the base of 32. So, what are the numbers when we look at the overall projected growth of 18%, yes?

Umesh G. Revankar : See, in CV, it will be around 15% to 18% overall growth. And on the passenger vehicle, it will be more than 20%. Goal definitely is in the , our basis is small, the growth will be more than 30%. So MSME as I have put 13% to 15%, but we may change the gear in the MSME as the situation normalizes.

It all depends on quarter -to-quarter. 18% is broad for full year. So, this particular quarter, the growth may not be 18%, it will be a little lesser because we are very watchful. And as the

situation becomes mor

e positive, then we'll increase our growth rate.

Kunal Shah: Got it. Perfect. And margins, you are still saying maybe even though there would be the equity benefit, which might flow through, we are still not seeing an improvement because any which ways we are not borrowing hugely. And you said like we would not need to borrow, okay, over the next few months from at least from the debt market side. So then shouldn't it actually contribute to the overall NIMs in terms of the equity contribution itself?

Umesh G. Revankar: It will be definitely, yes. The NIM will definitely expand. But for the budget sake, we have put it a conservative budget. And as we told in the beginning itself, some benefit will be passed on to the customer and some benefit will accrue to the bottom line.

Kunal Shah: Got it. Yes. And lastly, in terms of the GS2 plus GS3 on a year -on-year basis, it's still been flat, okay? We have not seen any deterioration as such. Maybe quarter -on-quarter, there is still some increase out there in a few of the segments. But when we look at next year, given this kind of a situation of below average monsoon plus the geopolitical conflict should we see the increase and

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maybe even on the credit cost side, would we see compared to what we have been earlier guiding for? Would there be a risk to that number?

Umesh G. Revankar : See, it depends upon how long the situation continues. So, imagine if the , if you have seen last quarter , last week, Friday, the Brent price came down to 85. By Monday morning, it crossed 100. So that is the situation. So how do you predict? So, it is difficult to predict. But as you rightly said, there are challenges.

The cost of the manufacturing will go up. Cost of the products will go up; the cost of the food prices will go up and it will have some impact. How much impact and whether it will contribute to the slowdown of the economy.

Because if the economy is still growing, when the prices go up and if it's if they're able to pass on to the customer, then it will be a normal situation. It will not lead to any credit cost increase. But if the economies closed down, then only we have a challenge.

So, I believe the it all depends upon how the economy will shape after two months when the monsoon arise if the monsoon is reasonably decent, all these things will be normal for us. But monsoon plays prompt, and then you have a challenge.

But this also will be reflected mostly after November, December, not immediately. Because immediately, there will be a festival period, the demand will come back. Nothing will be seen. Post November, December only, we will see some stress.

Kunal Shah: Perfect this is very helpful . Thank you and all the best.

Moderator: Thank you. The next question is from the line of Arun Antony from JM Financial. Please go ahead.

Arun Antony: My question was actually already answered. Thank you.

Moderator: Ladies and gentlemen, as this was the last question for today. I now hand the conference over to Mr. Umesh G. Revankar for closing comments.

Umesh G. Revankar : Thank you for joining our call today. And as the last quarter was a very good quarter for us. And we hope to come out with similar good numbers next quarter also. However, there are a lot of ifs and buts in this quarter. First quarter of this financial year is going to be most difficult to predict, but we are quite hopeful to come out with good numbers. Thank you very much for joining.

Moderator: Thank you. On behalf of Shriram Finance Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2026

S F I T I R I R A M

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SEC/FILING/BSE-NSE/26-27/68A-B July 27, 2026

BSE Limited

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Dalal Street, Fort,

Mumbai – 400 001.

Scrip Code: 511218 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1, G- Block,

Bandra-Kurla Complex, Mumbai – 400 051.

NSE Symbol: SHRIRAMFIN

Dear Sirs,

Sub.: Transcript of investors earnings call for the first quarter ended June 30, 2026.

Further to our letter dated July 24, 2026, regarding the audio link of the investor's earnings call for the first quarter ended June 30 2026, we enclose herewith the transcript of the said call. The Transcript is also been uploaded on the Company website www.shriramfinance.in

Thanking you.

Yours faithfully,

For SHRIRAM FINANCE LIMITED

U BALASUNDARARAO

COMPANY SECRETARY & CHIEF COMPLIANCE OFFICER

Encl.:a/a.

SHRIRAM Finance

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"Shriram Finance Limited

Q1 FY '27 Earnings Conference Call"

July 24, 202 6

MANAGEMENT : MR. UMESH REVANKAR – EXECUTIVE VICE
CHAIRMAN – SHRIRAM FINANCE LIMITED

MR. PARAG SHARMA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SHRIRAM FINANCE
LIMITED

MR. S. SUNDER – JOINT MANAGING DIRECTOR AND
CHIEF FINANCIAL OFFICER – SHRIRAM FINANCE

LIMITED
MR. SANJAY KUMAR MUNDRA – EXECUTIVE
DIRECTOR AND HEAD, INVESTOR RELATIONS –
SHRIRAM FINANCE LIMITED

SHRIRAM Finance Shriram Finance Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Shriram Finance Limited Q1 FY '27 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Revankar, Executive Vice Chairman, Shriram Finance Limited. Thank you, and over to you, sir.

Umesh Revankar: Thank you. Good evening, friends from India and Asia, and a warm welcome to everyone joining us from Western part of the world. I'm excited to share our Q1 FY '27 earnings call with you today, and I'm joined by our Managing Director and CEO, Parag Sharma; Joint Managing Director and CFO Sunder; and Mr. Sanjay Kumar Mundra, our Executive Director and Investor Relations Head. Looking back, the first quarter of the year has been a positive one for Shriram Finance, especially given the current situation.

Let us start by examining some broad economic indicators that affect our business directly or indirectly. India's economy wrapped up FY '25, '26 on a strong note with the GDP growth picking up to 7.8% in the fourth quarter, which was a comfortable beat to the market expectation of 7.3% for the growth trajectory and revised full year real GDP growth rate of 7.7% with updated base year.

However, RBI has lowered its economic growth forecast for FY '27 to 6.6%. This adjustment comes as they are concerned about global conflicts, energy prices and weather conditions. India's retail inflation has increased to 4.38% in June, up from 3.93% in May. This rise is mainly due to higher fuel and food prices, which have increased because of supply disruption driven by war in Middle East and delaying seasonal rains.

India's wholesale price based inflation jumped to record 9.87% in June, up from 9.68% in May. Fuel and power prices went up a lot, which really pushed this number higher. Food inflation also hit an 18-month high, which affected overall index. Coming to the recent RBI policy, there are main points from June 26 RBI monetary policy. Repo rate stays at 5.25%. Policy stance remains neutral. GDP forecast has been adjusted to 6.6% from earlier 6.9%. CPI inflation forecast has been raised to 5.1%, up from 4.6%.

Coming to the rural economy. The biggest challenge for India's economy right now are geopolitical tension in West Asia and uneven rainfall from Southwest monsoon. A big monsoon deficit, a changing monsoon path, inconsistent rainfall could cause problems for agriculture, inflation and overall spending. The IMD recently lowered its forecast for 2026 Southwest monsoon, predicting only 90% of usual rainfall. This is happening as El Nino gets stronger, which might lead to even more rainfall problems during important planting season.

The latest Meteorological Department data shows India's Southwest monsoon is in a long dry spell with the total seasonal rainfall now 24% below normal between June 4 to July 16. But the good news is that the country has made some changes like more irrigation, different ways for

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people to earn money in the countryside, which makes the whole economy stronger when it rains unpredictably compared to the past.

Coming to the GST collection, India's GST collection went up by 13.9% year-on-year to INR1.95 lakh crores in June '26 compared to INR1.71 lakh crores in same month last year. This increase was mainly because of more money coming in for both domestic and imported goods. If you look at the whole April, June period of FY '27, gross GST collection were INR6.32 lakh

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crores, which is 8.4% increase from INR5.83 lakh crores collected in the same period last year.

Coming to the auto industry. On OEM sales side, this quarter has been very good for automobile sector following GST rate cut. It has -- it had a positive impact, leading to significant surge in sales. Commercial vehicle sales increased by 14.1% in Q1 FY '27 and stands at 2.65 lakh units as against 2.24 lakh units in the Q1 '26.

Within CV, M&HCV grew at 18.3% and stands at 95,910 units against 84,040 units sold in the

Q1 '26. LCV sales recorded growth of 20.8% in Q1 FY '27 and stands at 1.69 lakh units versus 1.4 lakh units sold in the Q1 '26. Passenger vehicle sales in Q1 '27 recorded a growth of 25.9% and stands at 12.74 lakh units as against 10.12 lakh units in Q1 '26. 2-wheeler recorded growth of 20.3% with sales of 56.29 lakh units in Q1 as against 46.78 lakh units. 3-wheelers sales recorded growth of 29.7% in Q1 FY '27 with sales of 2.14 lakh units sold versus 1.65 lakh units sold in Q1 '26. Tractor sales recorded growth of 21.6% with 2.65 lakh units sold against 2.18 lakh units sold in Q1 '26. Construction equipment recorded a growth of 8.8% with 25,176 units being sold against 23,147 units and showing a growth after negative growth in the last financial year.

Here, one highlight is the EV sales have gone up significantly, maybe due to the uncertainty about the fuel price, but very positive. The PV sales, passenger vehicle sales increased by 94.8% to 84,665 units against 43,464 units sold in Q1 '26. 3-wheeler sales for Q1 increased by 13.2% to 2.15 lakh units against 1.9 lakh units sold same period last year. 2-wheelers sales for Q1 '27 increased by 69.3% to 5.22 lakh units against 3.08 lakh units sold in Q1 '26.

Now I shall ask my colleague, Parag Sharma, to take through the operational performance.

Parag Sharma: Thank you. Welcome, everyone, to our Q1 FY '27 earnings call, and I trust you had the opportunity to peruse our results and the related investor presentation, which have been posted on the website of stock exchanges. We registered a disbursement growth of 19.51% Y-o-Y. Our disbursement in Q1 FY '27 this year aggregated to INR49,974.49 crores versus INR41,816.75 crores in Q1 FY '26. Our assets under management as on 30th June 2026 registered a growth of 15.26% over Q1 FY '26 and of 3.81% sequentially. Our assets under management stood at INR3,13,798.39 crores as against INR2,72,249.01 crores a year ago and INR3,02,273.75 crores in Q4 FY '26.

Our net interest income in Q1 FY '27 registered a growth of 33.67% Y-o-Y. We earned a net interest income of INR8,055.70 crores in Q1 FY '27 this year as compared to INR6,026.43 crores in Q1 FY '26. Our profit after tax grew by 59.79% and stands at INR3,444.56 crores in Q1 FY '27. SHRIRAM Finance Shriram Finance Limited

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'27 as against INR2,155.7 crores in Q1 FY '26. The profit after tax was INR3,013.57 crores in Q4 FY '26.

Our net interest margin in Q1 FY '27 was 9.04% as against 8.11% in Q1 FY '26 and 8.61% in Q4 FY '26. Our earnings per share for the quarter stood at INR14.83 as against INR11.46 in Q1 FY '26. On asset quality, gross Stage 3 in Q1 FY '27 stood at 4.64% and net Stage 3 at 2.33% as against 4.53% gross and 2.57% net in Q1 FY '26 and was 4.58% gross and 2.33% net in Q4 FY '26.

Our credit cost to total asset for Q1 FY '27 stood at 1.66% as against 1.64% for Q1 FY '26 and 1.68% for Q4 FY '26. Our cost-to-income ratio was 25.48% in Q1 FY '27 as against 29.29% recorded in FY '26. The same was 25.32% in Q4 FY '26.

On the liability side, this quarter, we didn't borrow much and overall liabilities have come down from INR2,50,690 crores as of March to INR2,32,639 crores because of use of capital in the current quarter, which was infused in April 2026. The overall liabilities have come down. The cost of liability has also come down from 8.59% to 8.56%, 3 ba

sis point reduction. The incremental cost is at 7.77%.

The liquidity coverage ratio for the company was healthy at 262.54% and liquidity is well maintained for 6 months of liability repayment. The leverage ratio came down because of this large capital infusion, is at 2.14x versus 3.82x as of March. The capital adequacy ratio for the company was healthy at 34.1%.

And I think with this, we can open the forum for questions and answers.

Moderator: Thank you very much. Your first question comes from the line of Renish Hareshbhai Bhuvra from ICICI. Please go ahead.

Renish Bhuvra: Congrats on a good set of numbers. Just 2 things, sir. First on this AUM mix, right? So from a 2- to 3-year perspective, how do you see the share of new vehicle financing shaping up in overall vehicle financing portfolio? And what is the current risk-adjusted yield in this segment? I mean it is better than the book-adjusted yield or at par or maybe slightly lower?

And also if you can share how internally you estimate the return metrics for new vehicle [disbursement 0:16:02] I wanted to get a sense at product level, the new vehicle finance book ROE in a steady basis will be upwards of 15%, 16% or it will be slightly lower?

Umesh Revankar: Yes. See, we are slowly increasing our new vehicle disbursement, focusing on existing customer upgrading. And see, our existing customers keep upgrading to new vehicle. And that's a common. Everyone has aspiration to upgrade to new vehicle, and we have been financing them. Plus, we are also reaching out to the -- our earlier customer. Shriram has been in this business for nearly 50 years.

Many of our customers would have gone to the other players because we were not matching the interest rate in the past. Today, since we have a capital and since our cost of borrowing is coming
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down, we are able to match the rates. So not only we match the rate, we are also able to service the customer much better. So we are increasing our new vehicle portfolio.

Right now, on the disbursement basis, it is around 16% of the disbursement is new vehicle. And increasingly, it will go up next 2 to 3 years as we reach out to more number of our earlier customers.

Renish Bhuvu: And sir, any comment on the profitability in the new...

Umesh Revankar: Profitability, since we are passing on the reduced cost of borrowing to the customer, overall margins will not come down. So our long-term margins of 8.5%, we will be able to manage.

Renish Bhuvu: Okay. Okay. And sir, second on the growth side, right? So while we were a little cautious during our Q4 earnings call because of West Asia war and hence, we were not guiding for higher numbers. But as you did mention in the remarks that Q1 despite being a seasonally weak quarter, the volumes are better. So are we aspiring for 18% to 20% growth in this year itself or we may want to still wait for another quarter and then reassess the guidance?

Umesh Revankar: We would like to wait for another quarter because the net impact of the deficit in monsoon is a little less known. So we would like to wait for that. But we are confident that we'll be able to grow more than 15% at least for next quarter. Then onwards, if things are much better, we feel that we'll be able to catch up and grow faster.

Renish Bhuvu: Got it. Got it. So can you just share the full year guidance on growth for this year at this point in time?

Umesh Revankar: Our earlier guidance of 18% will hold good unless after second quarter, we revise it.

Moderator: Your next question comes from the line of Chintan with Autonomous.

Chintan: The first one is on asset quality. What kind of impacts are you currently seeing from the West Asia war? Are you seeing capacity utilization come down? Are you seeing signs of demand disruption? Like what signs are you currently seeing on the ground?

Umesh Revankar: See, basically, we were expecting that fuel price to go up steeply. But since the fuel price has not gone up steeply, the operating margin for the operators have not changed much. They are able to pass on the increase in cost to either shipper or the end customer. So that has not changed much. And the demand for the vehicle remains good because we have not seen any stress or vehicle idling anywhere, and there has been good demand for the vehicle. And that is reflected in the way the sales have gone up. If the utilization levels were a little lower, then sales would not have gone up by 20% year-on-year, which is actually a positive surprise to us.

Chintan: Okay. So it's holding up well just now. Okay. The second question is on margins. So your NIMs were 9% this quarter. How should we think about your NIMs over the next 3, 4 quarters? And how should we think about the excess liquidity that you have on your balance sheet? So I'm, kind of thinking about the next few quarters here rather than long term with the new vehicle

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finance. Like let's leave that aside, just kind of trying to think about how your balance sheet develops over the next 3, 4 quarters?

Umesh Revankar: See, immediate 2 quarters, I think the current NIM will hold good because we are utilizing the capital. But over the medium term, definitely, it will come down a little because our new vehicle mix will go up. And right now, whatever the benefit we are getting off because of the lower cost of borrowing, to some extent, we are passing on to the new vehicle purchases. So I believe the - as new vehicle portfolio keep increasing within the hours run, we will be able to manage the NIM at around 8.5% in the medium term.

Chintan: I mean this is where I have a problem with your guidance, I don't understand this 8.5% number. You're currently at 9%. You've got excess liquidity on balance sheet. So that will probably go a little bit higher. And the mix shift, the way you're guiding on new vehicle loans, the mix is moving very slowly. So how does the NIM then drop from, say, 9.1%, 9.2% back to 8.5%. That just seems very conservative. Is it fair that you're just being conservative in this guidance?

Umesh Revankar: Yes, I'm talking about a medium term. Medium term is 2 to 3 years. And in the short term, I said we'll hold...

Chintan: Unless -- no, no, fair enough. But unless the new vehicle book grows very fast, it's hard to see that much mix shift come through and then see 8.5% NIM again. So either your growth will really go fast, which you are not guiding to, you're guiding to more balanced growth, the mix shift would be more like 5 years rather than 2 to 3 years? Or am I -- but I can understand if you're

being conservative.

Umesh Revankar: See, we always have been conservative in our guidance. But new vehicle, if you look at the mix, from 10% our new vehicle volume, we have increased to around 16%, 17% now. And it will keep increasing to around 20% to 25% over the period. So definitely, new vehicle book will be around 30% of our book, 30% plus in our book maybe in the medium term.

Chintan: Understood. Okay. And then finally, on the non-vehicle portfolios on asset quality, could you give us some sense what's happening in MSME, gold, PL, these areas, we are seeing GS3 inch up a little bit. Can you provide some color on what's happening there?

Umesh Revankar: See, our gold portfolio is definitely growing very fast, and we expect it to grow very large because we have started using many of our existing branches for gold loan. And currently, around 2,200 branches are made ready for gold loan activity. So we expect the portfolio to grow double in the next 3 years from around 2.5% of the overall book to around 5% because we feel that there's a very big opportunity for us to grow in the gold. And MSME book also, we have

been traditionally lending in the southern market. Other markets have not really explored much. And since we have now branch network across the country, we will be able to grow our MSME book. And last year, we were a little cautious because of the U.S. tariff and a little inconsistency in the policy, which many of the MSME were dependent on exports. Now since there is the MSME, by and large, are able to find new market and expand the market within India, we are confident of the growth in the MSME book.

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So from around 15% of the portfolio, the MSME will become around 20% of the book. Personal loan also, we would like to extend to other customers, either to -- we were focusing only on 2-wheeler customers. Now we will be offering this to other customers like gold, MSME customers also. So the personal loan book also will keep growing. But we try to, as much as possible, keep it within our known customers. And we do not wish to make the outsourcing as a big way to move forward in a personal loan.

Chintan: And there is no worry about asset quality in gold and MSME at the moment, right? Because the GST...

Umesh Revankar: Gold, absolutely not. MSME, we have been cautious in the last 1 year. We are now pretty confident about the MSME quality -- asset quality.

Chintan: And a final quick one. Any guidance on opex? Because the revenues are now growing stronger because of the excess capital. Should we think about a stable cost-income ratio? Or should we think about an improving cost-income ratio?

Umesh Revankar: Stable, I should say.

Moderator: The next question comes from the line of Kunal Shah with Citigroup.

Kunal Shah: So firstly, again, coming on to this entire deployment of liquidity question. So if you look at it, money was utilized in terms of repaying the borrowings, borrowings are down. And then there is some liquidity, which is parked in the cash bank balances and the investments. So here on, do we assume that maybe now the repayment of the borrowing is largely done, we will not utilize the funds or excess liquidity to repay the borrowings and it will be more utilized towards the growth. And how long would it take to utilize this entire excess liquidity out there, which is currently on sheet?

Parag Sharma: Yes. I think whatever liability repayment we targeted, we have achieved. So we'll be looking at business growth only utilization towards more of growth only. And we previously also used to maintain slightly higher liquidity, which will be close to around 3 months of our future liability repayment, which works out to close to around INR17,000 crores to INR18,000 crores. The balance, what we have surplus of that will definitely come down because of higher disbursement. And we don't look at any utilization towards liability repayment. In fact, we'll be looking at mobilization towards the end of the quarter of fund mobilization also. So yes, what you're saying is right, no more liability repayment, more of growth and look at some mobilization towards the end of the quarter.

Kunal Shah: Got it. So as this liquidity gets utilized into the growth, in fact, that should support the margins in the near term, and that's the reason you are confident that it will remain in this trajectory for a few quarters?

Parag Sharma: Correct.

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Kunal Shah: Okay. Got it. And secondly, in terms of the credit cost, given that it's holding on quite well, and

you indicated that there is no stress reflected in any of the segment. Do we stay with the credit cost guidance? Or would there be any risk to whatever we are indicating we are still hitting below our guidance of 2 -odd percent. So any changes out there on the credit cost front?

Umesh Revankar: Yes, I think it will hold good, but our -- see, our guidance has

been around 2%. So it will remain

around that in the near term or even in the medium term.

Kunal Shah: Okay. So no risk out there? Okay. And MSME, we have started to see the inflection, maybe it has started to grow quarter -on-quarter. So as you are indicating, the MSME proportion will also inch up. Should we see the accelerated pace in SME growth and getting towards the double -digit kind of a number on a year -on-year basis now? Or would it still take some time before we get the comfort on the overall environment?

Umesh Revankar: No, I think it will start growing now. We are pretty comfortable and confident, and we would like to expand the market.

Kunal Shah: So sequential momentum on MSME will pick up?

Umesh Revankar: Yes, yes.

Kunal Shah: Okay. Got it. And just last question in terms of the data point breakup of disbursements, yes.

Sunder Subramanian: Yes. CV for the current quarter was INR19,556 crores, passenger vehicle, INR11,018 crores, construction equipment, INR792 crores, farm equipment INR947 crores; MSME, INR6,184 crores; 2 -wheelers, INR3,548 crores; gold, INR5,153 crores; personal loans, INR2,773 crores, total INR49,974 crores.

Moderator: The next question comes from the line of Adarsh with P P Capital.

Adarsh : Am I audible?

Umesh Revankar: Yes.

Adarsh : Yes. So I want to ask a question regarding the gold. As you know that our Prime Minister has requested our citizens to buy less gold. So how this is going to affect the businesses for Shriram?

And overall, I want to understand like in the Middle East crisis and all, how this is going to affect the business of Shriram Finance?

Umesh Revankar: Basically, gold against the existing jewelry. It is not against the buying of the gold. So -- and gold traditionally is not used for raising resources or borrowing. People have been hesitant to part away with the gold. And thanks to some of the NBFCs who specialize in gold, they have highlighted the advantages of raising resource against gold at a lower cost.

So people who were otherwise would have raised personal loan or hand loan, now they are raising against gold for all their requirements. So I believe the gold holding in India is pretty large, so it will keep increasing. And also, there is a large number of pawnbrokers who are still in the business and doing pretty good. So I think some of this business will flow into NBFCs.

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So in that way, I think it will turn out to be a good volume for everyone who is there in this business.

West Asia crisis, even though there were certain challenges, especially in certain industry, which was dependent on the petroleum product as their raw material like plastic and all. So there, the cost went up and there were some challenges for the manufacturers to pass it on to the end customers. But I think that phase is over now. So onetime increase in cost is already passed on and people have started living with it. And therefore, I think there may not be further surprise unless the retail fuel price goes up further.

And the government also have taken a lot of measures in managing this by the higher ethanol mix. E20 is going to be a norm now, and that is going to have, to some extent, less dependent on the import. So I think overall, I feel the situation is quite comfortable and the economy is doing quite well and growing at the indicated level of what RBI has indicated or forecasted at 6.6%. And I believe that the economy is growing steady.

Adarsh : Congratulations for the good set of numbers.

Moderator: Your next question comes from the line of Raghav Garg with AMBIT Capital.

Raghav Garg I just have 2 questions. Most of my questions have been answered. One, I know you said that your incremental cost of funds is 7.77%. I just wanted to know what is the incremental cost of bank funds, if you can share that, please?

Umesh Revankar

ar: Yes. So we have not borrowed from banks in the current quarter. But when we start borrowing, I think it would be in the range of around 8%.

Raghav Garg Around 8%. Okay. Superb. And the second question is on your MSME portfolio. So see, I think at the time of the merger, the thought process was to expand the portfolio across the rest of the branches in the non -South states and regions. As of today, where are you? Has the product been rolled out across all those branches that you were targeting? Or there's still some more

penetration to go there? That's the second question.

Umesh Revankar: No, I think it's a long way to go. There are a lot of scope and opportunity. From the -- we -- initially, we were mostly in the South. Now in the West, we have rolled it out. We need to grow more in the North and East, which we are looking at scaling up. So we are also trying to have more specialized people in these areas. So as we are able to get more specialized and experienced people, we should be able to grow that business across India.

Raghav Garg Can you share some numbers maybe in terms of your percentage of branches covered, what would be right now in the West? And then as you go into north, that will help us get some idea on what is the opportunity out there?

Umesh Revankar: Not all branches, we were doing -- even in the South, we were not using all branches for sourcing the MSME. We were focusing on the certain pockets where the MSME segment is pretty large.

In other branches, it's mostly lending to small shopkeepers or trading activity. So the manufacturing MSMEs and all are mostly focused in the what we call industrialized belt. So

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there, we need to build certain manpower, especially when you go to North and all, so North, Central. So that is where we need to build business. But we are covering most of the southern part now, if not from all branches. We are sourcing from all branches, but processing in the few branches. It's a hub-and-spoke in -- as far as MSME goes.

Moderator: The next question comes from the line of Rajiv Mehta with Yes Securities.

Rajiv Mehta: Congratulations on good numbers. So my first question is on this very resilient CV growth that we are seeing even in Q1. So is it largely reflecting that the demand on the ground has kind of stood up well despite the movement in fuel price and not so -- if the full pass on did not happen also in the quarter, but still the demand for used vehicle was pretty healthy in your cohort or your vintage segments?

Or is it also a reflection of some decline in competitive intensity, which benefited us? Or did we use some flexibility in underwriting or pricing because our cost of funds is now moving down? Can you just elaborate on what have been some granular drivers of growth in used CV in this quarter?

Umesh Revankar: If you look at the broad numbers, it's in line with the increase in sales itself. The CV sales have gone up by nearly 20%, both M&HCV and LCV put together. So naturally, any player in this market will grow by 20% very comfortably because market is growing at 20%. Even in used vehicle, the demand is quite good from the rural market. So I think it's a very comfortable journey. We have not really made extra push for growing the CV. But yes, we have been doing more new vehicle. So naturally, our growth rate will be higher because the ticket size of new vehicles are pretty large.

Rajiv Mehta: So sir, for the remaining part of the year, would it be right to say that you are most comfortable as far as the growth outlook is concerned in CV per se because I think this segment grew well in Q4 last year as well as Q1 of this year. And would you expect this momentum of growth to last for the whole year?

Umesh Revankar: With the current scenario in mind, yes, I feel the growth rate will be comfortable and we'll be

able to go as per the guidelines. But I would like to still wait till the second quarter for the actual impact of El Nino because we will see whether the agricultural output drops. Right now, the indication is that rice cultivation, there may not be a downtrend. It will be flat year-on-year. There will be some downtrend in the oilseeds and the pulses because the Central India got less rainfall. And that is the current estimation.

But I think if there is a prolonged rain, then there may be a delay in the output. So there can be some kind of new surprises, like positive surprise like rain continuing to hold longer and good output. Then of course, we need to wait for the rabi crop. So ultimately, there is a little uncertainty towards the output and the rural income. So that is the only challenge we would like to wait and see. Otherwise, our guidance hold good.

Rajiv Mehta : And sir, this revival in growth in used CV, right? I mean, last quarter, I think we went slow despite the market was pretty strong. And now in this quarter, I think we have accelerated growth

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when I look at how the portfolio has grown on a Q-on-Q basis. So what has changed in our approach between 2 quarters?

Umesh Revankar: There's no change. I -- as I was telling you, the new vehicle portfolio has gone up. So volume has gone up.

Rajiv Mehta: Okay. Okay. And just last on the gold loan portfolio, how have we kind of adjusted with the new guidelines, which came into play from 1st April because I think we've seen a good growth in portfolio in this quarter. And at the same time, on the asset quality side, we have seen some forward flows. Stage 2 has gone up and Stage 3 has also gone up in the gold loan portfolio. So anything -- any connection with the new regulations or any change in the way we used to do the business before and now post the regulations?

Umesh Revankar: No, no, there's no fresh guidelines that guidelines came a year back. I don't see any fresh guidelines recently. But I feel the portfolio is holding very good. There may be some change in the buckets because we are trying to promote more on the interest servicing gold loan. Normally, they are habituated to pay only bullet payment. We are trying to make the customers more towards interest payment. And that's the only thing, I think, change. Anything else?

Parag Sharma: No nothing.

Moderator: The next question comes from the line of Aditya Vikram with DB Securities.

Aditya Vikram : Sir, I wanted to understand of your NIMs, which is at 9.04%, what percentage of this has come from the past funds?

Sunder Subramanian: Around INR500 crores of the NII, which is being reflected is out of the past funds. That INR39,600 crores, what we received as fresh capital. That has contributed to this INR500 crores of additional interest income.

Aditya Vikram : Okay. And will that -- so the guidance, which you are giving for the shorter term that the NIMs will hold at this level and considering the cautious commentary, right, because of the uncertain situation, like INR500 crores will remain static for next quarter as well, right, this current quarter?

Sunder Subramanian: It will gradually come down. So what we were indicating earlier is that the operational NIM will hold at around 8.5%, and we continue to guide that. And the benefit of the surplus liquidity, which the equity that we had come in will gradually subside over a period of time.

Aditya Vikram : Okay. Okay. All right. So my next question then is, sir, with this Iran war again flaring up, right, and the weather being uncertain and based on IMD prediction, July and August does not look very -- sorry, August and September might actually lead to lower rainfall or El Niño impact getting heavier and heavier, right? So are we confident that the disbursements and everything else, which we are guiding for, right,

ht, we won't have any negative surprise on that front?

Umesh Revankar: No. Right now, we feel that we're pretty confident of similar growth as first quarter.

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Aditya Vikram : Okay. Okay. And last and the final, sir, the new loan portfolio, right? Currently, you said, if I heard you correctly, 16%, right, of the total numbers or it has increased gradually. That ideally comes at a lower NIMs, right, lower than the second-hand purchases, right? So will that be NIM accretive for us? Or do you see still we will be able to manage everything as it stands because of the surplus liquidity, the INR500 crores coming from there?

Umesh Revankar: Basically, borrowing cost, which is lower borrowing cost is getting passed on to them. So it is not -- there will not be a big change in the NIM because of that.

Aditya Vikram : The only reason why I'm asking, sir, is because some of the peers have suggested that the funding is getting a little tighter, right, and funding costs are increasing. You don't see any challenge or any negativity coming in from that front because you are saying that our cost will go down. And in case if we take bank funding, it would be around 8%.

Parag Sharma: Yes. In fact, previously, we used to borrow as a AA-rated entity. And now we are getting the benefit of rating. That itself gives us some benefit of lower cost.

Aditya Vikram : For this quarter, it was 3 bps, right? For this quarter, it was 3 bps.

Parag Sharma: Three bps is on the overall liabilities, which has come down. Talking about the incremental, we didn't borrow much, in fact. Overall liabilities have come down and that has some high cost paid off and overall liability costs came down. But when we do the incremental borrowing, which was at 770, 780 levels, which will be much lower than the cost of liabilities on balance sheet, which is 8.56%. So incremental borrowing costs will be lower, and that is why we are confident about overall costs still coming down.

Aditya Vikram : And sir, so the only thing I don't understand then is you have surplus liquidity within your books, right? But you have again said that between August and October, you will be raising new funds.

What is that going to use for?

Parag Sharma: No. In fact, what we said is the overall liquidity, which was -- which is more as of June will be utilized for growth. We'll be utilizing excess liquidity in 1, 1.5 months and then look at fresh borrowing.

Moderator: The next question comes from the line of Bunty Chawla with ASK Wealth.

Bunty Chawla: Congratulations on a good set of numbers. My questions have been answered. Just 2. First is that now we are seeing that their off-balance sheet as a percentage of total AUM is coming down

consecutively from last few quarters. So what is the thought process on this? Any change in the strategy? Are we not going for the securitization or assignment or there is not much of a demand from the banking sector? How one should see this?

Parag Sharma: Since our overall borrowing program was subdued for the quarter, we have not done transactions of securitization or direct assignment. Both the transactions were not done. But when we talk about fresh borrowing in -- towards the end of the quarter, it will be in the form of securitization also. So we will look at opportunities. I don't think there is any dearth of demand for securitized instruments. It's only that because we were carrying higher liquidity, we didn't borrow in any

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format, and that is why whatever portfolio was there was on a monthly amortizing basis has been paid off and not replaced with fresh transactions, which will happen towards the end of the quarter.

Bunty Chawla: Okay. Secondly, as you said, the full year guidance still remains at 18% and Q2 might be around 15%

to 16%. So it seems to be slightly heavy demand from second half. So on that basis, what we have done in terms of branch expansion, employee base expansion because still we are guiding for the cost-to-income ratio at a stable entity. So any thought process or any data point if you can share?

Umesh Revankar: We will be adding some branches and definitely, we'll increase the manpower. But that will not come at additional cost. It is as volume goes up, that additional cost will be absorbed. So we don't really see a big change in the -- our operational cost or cost-to-income ratio.

Bunty Chawla: So total branches to be added for full year FY '27, if you can share that number?

Umesh Revankar: Tentatively around 150 branches.

Bunty Chawla: Okay. Lastly, sir, just one request as we are now moving more towards new CV portfolio, if you can share in a presentation out of the -- at least from the CV portfolio, what is the new and what is the old used vehicle in the CV portfolio? That will be quite helpful.

Umesh Revankar: Sanjay will provide that information offline.

Moderator: The next question comes from Pranuj Shah with 3P Investment Managers.

Pranuj Shah: Just on your MSME book coming back to the growth, I think you had INR6,200 crores of disbursement this quarter. For the Q-o-Q growth to pick up, you would need to sizably move up from 2Q and then hit the INR7,000 crores run rate plus from 3Q, 4Q onwards. So is that the kind of number that we are looking at?

Umesh Revankar: Yes, definitely, yes.

Pranuj Shah: Okay. So should your MSME growth for the full year be in line or higher than your overall book for this particular FY '27?

Umesh Revankar: Overall book, we have given guidelines. Now it could be as per the guidelines.

Pranuj Shah: Okay. But no guidance as to whether MSME can surpass that 18% target for the overall book?

Umesh Revankar: MSME growth will be definitely higher than this because we are projecting CV at around 15%. So MSME book and gold will be faster.

Pranuj Shah: Understood, sir. Perfect. And just second question on the growth itself. Your construction equipment has steadily been coming off and now it's been INR1,000 crores disbursement for the last 5 quarters. What will give you confidence to pull this back up to that INR2,000 crores run rate you used to have until FY '25?

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Umesh Revankar: No. We are seeing that there is some demand slowly coming back because the sales of construction equipment in the first quarter has started positive from the negative growth. Last year, if you see all the 4 quarters, it was growing negative. But this quarter, it is positive. And we believe that there can be a demand coming back into construction equipment. So we should start growing that book from next quarter.

Pranuj Shah: You don't see any lingering AQ concerns in that space to hike?

Umesh Revankar: Right now, we don't see. No, okay. We feel it's robust.

Moderator: The next question comes from Mayank Mistry with Antique Stock Broking.

Mayank Mistry: Congratulations on a good quarter. Sir, most of my questions are answered. Just wanted to know your long-term view of this used vehicle demand. Since you highlighted that over near term, this E20-based petroleum has kept prices lower and the demand is right now good. But there is also a theory that E20-based petroleum is impacting durability of the vehicle. So do you see this as a long-term risk in the inventory, especially, which can also impact the borrowers demand later on since borrowers would not be keen on buying the used vehicles if the vehicles are not so -

- cannot be used for a longer tenure.

Umesh Revankar: See, this is basically, I think, challenge with the cars. That's what I understand. But I don't see that it's having any impact as of now because maybe people who have older personal car will have

some challenges. And -- but the OEMs have said that their cars are capable of running on the E20. So we really don't have a clear picture on the same.

Mayank Mistry: Okay, sir. Sir, basically, I was asking this from maybe from a 5 to 6 years point of view. So...

Umesh Revankar: Yes, I agree. But I really don't see any challenge there. See, if the very old cars, we don't normally finance a car, which are more than 7 years. Trucks, we do. So there's no problem with trucks there. It's basically on the personal cars. So there may not be a big challenge is what I feel.

Moderator: Our next follow-up question comes from the line of Aditya Vikram from DB Securities.

Aditya Vikram : Sir, just one more thing. So this quarter, our Stage 3 assets increased 18% Y-o-Y and 5.5% or approximately yes, 5.5% Q-on-Q, right? It seems some Stage 3 assets have increased on the CV side. So what kind of challenges are you seeing or because now we have funds, we are trying to clean up our books a little faster?

Umesh Revankar: If you see the numbers, it is a marginal increase only from 4.58%, it has gone to 4.63% Stage 3. So this seasonal impact are there. So I don't really see there's a big change.

Aditya Vikram : Okay. Okay. I just wanted to clarify that because the number, 18% looked higher. So I just wanted to see if they're trying to book a little faster than they ideally would. But do you think it's a seasonal impact, mostly nothing to do with the uncertain weather or the crisis as such?

Umesh Revankar: Yes.

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Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference call over to Mr. Umesh Revankar for closing comments.

Umesh Revankar: Thank you. We had a good quarter, I should say. Second quarter is normally a little tricky because depending upon the rainfalls. And of course, there is added uncertainty of West Asia crisis. But we are very confident that the company will do well and we will come out with a good set of numbers. Thank you for joining.

Moderator: Ladies and gentlemen, on behalf of Shriram Finance Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines. Thank you.